The 3C Machine

100 scripts · Josh Li

Act 1 · Why buy

EP 01 · Every way to buy a business, from 100% down to 0% down (the 3C map)

There are two types of people who want to own a business. The ones who save until they can afford one. And the ones who work out the business can pay for itself.

I'm Josh Li. At 25 I was unemployed, with no savings and no experience. My first business was a physio clinic. I put in no deposit. The seller was paid over time, out of the clinic's own profit.

Here's every way to buy a business, from 100 percent down to zero, and the five-stage map that gets you to the bottom of that ladder.

Take a business making 300 thousand a year in profit. At four times profit, it's priced at 1.2 million. How you fund that 1.2 million decides how much of the 300 thousand you keep, how much of the company you own, and who gets the exit. Same business. Very different outcomes.

Before I owned anything I worked in banking. More than 30 million dollars of deals by 21, and I've been involved in over 100 million of transactions. Now I run a healthcare group full time.

This series is for owners, executives and people with capital who want to own cash flow. If you want a four-hour week, it isn't for you.

You were told you need a deposit. You were told the bank decides. You were told that if you don't have the money, you raise it.

None of that is the whole picture. The cheapest money in most deals is the seller's. The scarcest thing is credibility.

There are four levels of funding a business. Most people are stuck on Level 2. And if you've been stuck there, it has nothing to do with your salary or your discipline. It has everything to do with the fact that nobody showed you Levels 3 and 4.

I help owners and operators do exactly this, through the Owners Academy or one-on-one. Book a call below. Now the detail.

Level 1: Pay cash.

You write a cheque for 1.2 million. You own 100 percent and you keep all 300 thousand.

That's a 25 percent return on your cash before tax. Not bad. The problem is you can do it once. Your capital is now locked in one business, and the next one needs another 1.2 million.

The rule: your own cash is the most expensive money in a deal, because it's finite.

Level 2: Deposit plus bank.

Say the bank wants 30 percent down. That's 360 thousand of your money, and the bank lends the rest.

Better return on your cash. But you spend years saving the deposit. Then the bank takes months to decide, and you're bidding against buyers with more money than you.

This is where most people sit. They're not short of ability. They're short of a structure.

Level 3: Investors.

You put in nothing. Investors put in the lot.

It sounds like the answer. It isn't. Every cheque is months of meetings. Then you've given away a large slice of the company, a say in how it's run and usually a say in when it's sold. If investors end up with half, you get half the exit on a business you run every day.

The rule I use: debt over dilution. Borrow inside safe limits rather than sell the company.

Level 4: The structure.

Here’s the third way. The seller gets paid over time. Sometimes the seller keeps a slice, which we call a rollover. The bank fills the gap. Little to none of it is your cash.

The limit is one number. Free cash flow has to cover the debt payments at least 1.5 times. On 300 thousand of profit, that’s no more than 200 thousand a year going to payments, and 100 thousand of buffer.

What you give instead of cash is equity to a board. Experienced operators, two to ten percent each, who make banks and sellers take you seriously. I built mine through LinkedIn and cold outreach with no network. The founder of the Australian Institute of Fitness is a shareholder. I still own 73 percent of my company.

My physio clinic was this level. 100 percent vendor finance. Seven years at four percent, principal and interest. A nine-month payment holiday. Rent in arrears. No deposit. I pulled 150 thousand out in year one and built mid six figures in equity. **[JOSH: one line on the clinic’s price and profit at purchase.]**

Before it closed, four deals fell over and I’d made about a thousand cold calls. It’s a process. Most of it is volume.

The map.

Level 4 runs in five stages, in order.

Credibility. No track record, so you borrow one. A board, good lawyers, good accountants.

Capital. Seller, rollover, bank. The 1.5 rule and debt over dilution sit over all of it.

Closing. You call owners directly. Before any offer you get three years of financials, matching tax returns and revenue by year. You offer three to five times profit in a letter of intent. Then due diligence on whether the earnings are real, then legals.

Grow. Every extra dollar of profit is worth several dollars when you sell.

Exit. Small businesses sell at small multiples. Groups sell at bigger ones. Buy ten at around four times, combine them, and the group can sell at eight, ten, sometimes fifteen.

The first three Cs get you the business. Grow and Exit are where the money is made.

Level 4 caps payments at $200K a year and leaves $100K of buffer. You keep the cash flow and the exit, and your own money stays free for the next one.

Where people lose money.

- Saving for years at Level 2 while retiring owners sell to someone else.
- Giving away half the company at Level 3 to fund a business that could have funded itself.
- Agreeing to payments the profit can’t carry. Break the 1.5 rule and one bad year takes the business.
- Trying to master all five stages before starting the first one.

From here there are two paths. You work through it alone, lose deals learning each stage and take years. Or you work with someone who’s already made those mistakes.

On the call we work out your strategy, your first structure and whether the Owners Academy or one-on-one advisory fits. The Academy is the full course, every template and script, and daily deal discussion. One-on-one, I work your structures and lender presentations with you.

If you’re someone who’s done waiting for the number, someone who can give this 40 hours a week from Monday, and someone who’d rather own the business than work for one, you’ve already decided.

Thirty days from now you’ll be thirty days older either way. Either still saving, or with an industry picked and a board in progress.

Book a call with me below. Not a setter. Me.

Not ready? Grab the free 3C Starter Kit below.

Next episode: why a retiring owner will let you pay them over time, and get more doing it.

EP 02 · $800K cash vs $1.3M over time: the offer a retiring owner takes

The person most likely to fund your next business isn't a bank. It's the owner selling it.

Paid over time, a seller can often get six to seven times profit instead of the usual three to five, and close in two to four weeks instead of six to sixteen.

I'll put two offers on the same business side by side and walk them in the order the seller reads them.

If you already own one business, this is how the second one gets funded without another deposit. The difference between the two offers here is half a million dollars to the seller and a deposit you never have to find.

This is for operators who'll put serious hours in. If you want something passive, this isn't it.

You were told the seller wants all their money on day one. You were told the bank decides. That's why so many good operators run one business for years and never buy a second.

The deal is decided in the seller's chair. Sit in it, and the offer writes itself.

There are four lines on the offer that matter: what the seller wants, the price, the timeline, and the terms. Then the words you use to say it.

I structure these with owners every week, through the Owners Academy or one-on-one. Book a call below. Now the detail.

The seller's chair.

Picture someone who's run a business for decades. It pays well. It also owns them. They get the call when a staff member doesn't show. They haven't had a real holiday in years.

That’s the burden of ownership. A whole generation of owners in traditional industries is carrying it and ready to retire. They want out, and they want the business, the staff and the customers looked after.

Their options are a cash buyer who needs a bank, private equity that only wants bigger businesses and beats the price down, or a broker listing that brings bargain hunters.

Line 1: the price.

Round numbers. The business makes 200 thousand a year in profit.

Offer A is cash through a bank at four times profit. 800 thousand.

Offer B is paid over time at six and a half times. 1.3 million over ten years. About 130 thousand a year, plus interest.

The seller reads the headline first. Offer B is half a million bigger.

Line 2: the timeline.

Offer A waits on a bank. Six to sixteen weeks, a thousand questions, and it can still fall over.

Offer B closes in two to four weeks, because the seller is the lender. For an owner who’s done, speed is worth money. Every extra month is another month of staff calls, another month of the burden. And there’s interest on top while they wait. Most owners have never had a buyer explain that to them.

Line 3: the terms, and your test.

Now your side. Profit of 200 thousand. Payments of 130 thousand. 200 divided by 130 is about 1.54. That passes the 1.5 rule. The business pays for itself with a buffer.

If it doesn’t pass, you don’t do the deal. That’s the line between a good structure and a trap.

Then the order. Agree the headline price first. Once that's agreed, ask for a payment holiday of nine to twelve months, framed honestly: it gives you time to make sure the business keeps performing, which protects their payments. If you need to, offer a slightly higher rate in return.

My first deal looked like this. Physio clinic, 100 percent vendor finance, seven years at four percent, principal and interest, a nine-month holiday, rent in arrears, no deposit. **[JOSH: one line on how the physio seller reacted to being paid over time.]**

A friend of mine in the US, Elliot, made around 40 offers and got three letters of intent signed at 100 percent seller finance. Some on 99-year "pension plan" terms. One example: 350 thousand a year for life, on 500 thousand of net operating income. For some owners, a steady yearly payment is exactly what they want.

The words.

The seller is taking a risk on you. Three things make it small. A credible board behind you. The seller staying on for a handover, usually six months to three years. And a structure the business can carry.

Then the language. Open with one question: "Have you ever thought about selling?" Then listen.

When you get to terms, never say "vendor finance". Say "getting paid over time". Don't say "I can't afford it upfront". Say "I can pay you more in total if it's paid over time". Don't say "I need a payment holiday". Say "I'd like time to make sure the business keeps performing for you".

Same structure. One sounds like a favour. The other sounds like a plan.

Read the signals too. Financials within a day or two of an NDA, questions about your timeline, talk about life afterwards: motivated. Weeks to send basics and only talk about price: not ready. Check back in six to twelve months.

The seller gets more. You get the business without a deposit. The business funds both of you, as long as the 1.5 rule holds.

Where people lose money.

- Saying “vendor finance” on the first call. The seller hears “can’t pay” and the deal is gone.
- Asking for the payment holiday before the price is agreed. It reads as weakness and the price goes up.
- Agreeing to a price the profit can’t cover at 1.5 times. You’ve bought a business that eats you.
- Chasing sellers who aren’t ready instead of calling more owners.

You can keep doing what you’re doing. Keep running one business at the ceiling. Keep saving for the next deposit. Keep taking structures to banks that were never going to fund them. Or you can learn the structure a retiring owner says yes to.

On the call we build your first “paid over time” offer and work out whether the Owners Academy, with every seller script, or one-on-one advisory fits you.

If you’re someone who’s built one business and knows you could run more, and someone who’d rather pay a seller more than ask a bank for permission, you’ve already decided.

Thirty days from now, you’re either at the same ceiling or you’ve run the 1.5 rule on a real target and started the seller conversations.

Book a call with me below. Not a setter. Me.

Not ready? The free 3C Starter Kit has the DSCR calculator.

Next episode: a million dollars in a rental versus a million in a business.

EP 03 · $1M in a rental vs $1M in a business (the math)

James did everything he was told. He saved a deposit, bought a rental, then another.

Sam didn't. Sam bought a boring business from a retiring owner and paid for it over time out of its profit.

Ten houses are worth ten houses. Ten businesses, put together, can be worth a lot more than ten businesses. Here's the math.

If your capital sits in property or the market earning a thin return, this is the comparison nobody ran for you. Same million dollars. One option pays a yield. The other pays cash flow now and a bigger multiple later.

If you want something you can buy and forget, property may suit you better. I'll say so honestly.

Most people think property is the safe road and a business is a job with extra risk. That's not how it works.

A business is priced on what it earns. A property is priced on what people think it's worth. Once you see that, the comparison changes.

Three differences: cash flow, time and the multiple. Then a self-test and a verdict.

And if most of your money is in bricks, that's not bad judgement. It's what everyone around you did, and nobody showed you the other column.

I help people buy their first business and plan the group from day one, through the Owners Academy or one-on-one. Book a call below. Now the detail.

Option A: the rental.

A million-dollar rental. The bank wants a deposit, say 200 thousand, saved or tied up first. Rent after costs, say 40 thousand a year. Then interest on 800 thousand of loan. Depending on rates, you keep a little, or you top it up from your wages.

Option B: the business.

A business priced at a million, at four times profit. That's 250 thousand a year in profit.

Pay the seller over time. Under the 1.5 rule, no more than about 166 thousand a year goes to payments. That leaves around 84 thousand of buffer every year, and you didn't need a deposit.

Dollar for dollar, the business throws off far more cash. The reason it's priced cheaper is that it needs work, and buyers discount anything that needs work. That discount is your margin.

And the property you already own isn't wasted. It's an asset a lender can see, which can make the business deal easier and faster.

Time, both sides.

Be honest about this. Property is mostly passive. A business isn't, at first. Staff, customers, suppliers. That's the work you're paid for.

But the time that matters more is how long it takes to start. A deposit takes years. A retiring owner paid over time can get you in the door in weeks.

And growth compounds differently. More property usually means another deposit, or borrowing against the last one. With businesses, the first one's cash flow and track record make the second easier, because lenders and sellers have seen you do it.

You also have levers. You can't double the rent because you ran the house better. You can lift a business's profit by fixing price, cost and sales, and every dollar you add is worth several at the exit.

The multiple.

This is the one property can't do.

A small business with 250 thousand of profit sells for three to five times. It’s small, it leans on the owner, buyers price in the risk.

Put ten of them under one management team, with proper reporting and no single owner holding it together. That’s a group. Groups sell to private equity and bigger buyers at eight, ten, sometimes fifteen times.

Ten businesses at 250 thousand profit, bought at four times: ten million in purchase prices, mostly paid over time. Combined profit, two and a half million. Sold at eight times: twenty million. Before debt, costs and everything that can go wrong. Bought at four. Sold at eight. Same profit, bigger multiple.

A friend of mine, Jason Nagy, did a real version. His first deal was a five and a half million dollar radiology business with zero down, on a 60/40 structure. Seven years later he exited to private equity for 200 million.

Self-test and verdict.

Three questions.

Can you give this 40 hours a week or more for the first stretch? If not, stay in property for now.

Do you want to improve an asset, or wait on one? If you’d rather wait, property is fine.

Do you have equity in property already? Then you’re not choosing. That equity can make your first business deal faster and easier.

The verdict: property for passive. Businesses for cash flow and the multiple. For most people with capital, both, in that order: property as the base, businesses as the engine.

The rental’s return depends on the market. The business’s return depends on you, which is the risk and the point.

Where people lose money.

- Keeping all the capital in property because it feels safe, while the yield barely covers the interest.
- Buying the first business with no idea what the group looks like. Pick an industry nobody buys at scale and the multiple never shows up.
- Treating a business as passive. Without the hours in year one, the buffer disappears.
- Paying a property-style price for a business. Pay ten times profit for a small business and you've bought a yield, not a multiple.

Two paths. Alone, people buy one business, never plan the group, and sell it at the small multiple. Or you plan the exit before the first offer, with someone who's seen how groups get built.

On the call we map your first business and the group behind it, and decide whether the Owners Academy or one-on-one advisory fits.

If you're someone with capital earning less than it should, and someone who can see the gap between buying at four and selling at eight, you already know which side of James and Sam you're on.

Thirty days from now your money will still be somewhere. Either earning the same thin return, or thirty days into a plan with an industry picked and the first numbers run.

Book a call with me below. Not a setter. Me.

Not ready? Grab the free 3C Starter Kit below.

Next episode: buy boring, and the five mistakes that make a business impossible to fund.

EP 04 · 5 mistakes that make a business impossible to fund (buy boring)

Every day, someone online is selling you the exciting business. The app. The brand. The café with the queue out the door.

The exciting ones are the hardest to fund, the easiest to copy, and they often walk out with the owner.

Here are the five mistakes that make a business impossible to fund, ranked, with the costliest last.

If you already run one business and you're stuck in it, the next one has to be different. The wrong target costs you three months of diligence, legal fees and a deal the bank won't touch. The right one funds itself.

If you want trendy, this is the wrong video.

Buy boring. Businesses that have done the same useful thing for twenty years and will for twenty more. Healthcare, trades, commercial and professional services. Fragmented markets full of owners ready to retire.

If you've looked at businesses before and nothing fit, it has nothing to do with your eye for a deal or your budget. It has everything to do with where you were looking. The exciting stuff and the listings are where everyone looks.

Five mistakes. Each one costs you the deal.

I help people pick the right industry and the right business, through the Owners Academy or one-on-one. Book a call below. Now the detail.

Mistake 5: Buying exciting.

Fads fade and anything trendy is easy to copy. Commodity businesses where the cheapest wins leave no margin to pay a seller.

Run the money. A café doing 1.2 million at under eight percent margin makes about 90 thousand. Under the 1.5 rule, that’s 60 thousand a year to pay a seller. On a business priced at four times profit, 360 thousand, that’s six years of payments with nothing left to pay you or a manager. One bad winter and you’re funding it yourself.

The rule: a problem people will still have in ten years, at net margins of fifteen percent or more. Pipes leak. Backs get sore. Offices need cleaning.

Mistake 4: Buying what a bank can’t lend against.

Asset-light businesses with messy books don’t get funded. Equipment, vehicles and receivables give a lender security. On bigger deals, typically over about five million, that can mean no personal guarantee. Every lender and deal is different.

Clean numbers matter as much as assets. Before any offer, ask for three years of financials, the matching tax returns and revenue by year. If they don’t match, walk. A lender won’t fund profit it can’t see, and neither should you. If a lender can’t understand the business in five minutes, you’ll struggle to fund it.

Mistake 3: Buying the owner.

If the owner is the business, you’re buying a job, and a risky one. Check who the customers actually call.

Buyers price that in, and so do banks. A business that depends on its owner is worth less the day the owner leaves, and you’re the one holding the payments when that happens.

You want an owner ready to go within a couple of years, no one in the family taking over, and willing to stay for a handover. That’s also who says yes to being paid over time. That was episode 2. An owner who wants to walk out the day you settle is a red flag. If you already run a business you can’t step out of, you know exactly what that costs.

Mistake 2: Buying a ceiling.

Two ceilings to check. Location: a single café is capped by its street, a trades business covering a whole city isn't. Concentration: if one or two customers are more than about thirty percent of revenue, one lost contract breaks your payments.

And look for the upside. Most boring businesses run on referrals and do no marketing. That isn't a dealbreaker. It's what you fix in the Grow stage.

Mistake 1: Buying too small.

The costliest, because it looks like the safe option.

A business priced at 250 thousand, making 60 thousand. Under the 1.5 rule, no more than 40 thousand a year goes to the seller. That leaves 20 thousand. That doesn't pay you, doesn't cover a manager and doesn't survive a bad year.

Under about a million dollars, there's rarely enough cash flow to pay the seller, pay you and keep a buffer. Same work, more risk. A bigger business also usually comes with a team, so you're buying a business and not a job.

My own first business was a physio clinic, healthcare, traditional, with an owner ready to be paid over time. **[JOSH: one line on why the physio clinic passed these filters.]**

Nobody posts about Business B. That's exactly why you can buy it well. At 450 thousand profit, the 1.5 rule allows about 300 thousand a year in payments, with 150 thousand of buffer.

Here's a real one. Saul, a member of the Academy, didn't wait for a listing. He cold called the owner of an electrical and aircon business. Twenty-five staff, around 3.8 million in revenue, owner retiring in two years. NDA signed, early due diligence. Not a secret listing. A phone call.

Where people lose money.

- Falling for the business before running the filters, then finding the owner is the business three months in.

- Waiting on broker listings with every other buyer, so you pay full price in an auction.
- Skipping the three documents and paying lawyers to find what the tax returns would have shown in a day.
- Buying under a million because it feels safer, then working for free to service the debt.

You can keep doing what you're doing. Keep working in the one business you've got. Keep scrolling listings. Keep waiting for the right one to find you. Or you can test your target before you lose three months to it.

On the call we look at your industry and your first target, and whether the Owners Academy, where members put targets up for others to pull apart, or one-on-one advisory fits.

If you're someone who's built one business and is tired of holding it up, and someone who'd rather own a reliable plumber than a trendy brand, you've already decided. And wanting a portfolio isn't greed. It's the next step.

Thirty days from now, you're either still scrolling listings, or you've got twenty businesses scored and the first calls made.

Book a call with me below. Not a setter. Me.

Not ready? The free 3C Starter Kit lists the three documents to request.

Next episode: four failed deals and a thousand cold calls, and why you decide at 60 percent.

EP 05 · 4 failed deals and 1,000 cold calls before my first no-money-down business

How come capable people with good careers find it so hard to make a first offer on a business?

They've got experience and discipline. Most have watched hours of content on how to do it. The offer still never goes out.

Before my first deal closed, four fell over and I'd made about a thousand cold calls. Here's what that year taught me about when to move.

Waiting feels free. It isn't. On a business making 200 thousand, paying the seller inside the 1.5 rule, that's around 67 thousand a year you don't have, and a year of equity and track record you don't build.

This is for people who'll act before they feel ready. If you're planning to watch for another year first, be honest with yourself about that.

Decide at 60 percent. You'll never have all the information, because most of it only shows up once you start.

If you've been stuck at "nearly ready", it has nothing to do with your intelligence or your courage. It has everything to do with waiting for a feeling that only arrives after you start. Confidence comes last.

Four parts: the year, the diagnosis, the 60 percent, and the rule.

Most people I work with don't need more information. They need someone to make the next move with. Book a call below. Now the detail.

The year.

About a thousand cold calls. Most said no, hung up or didn't pick up. Four deals got far enough to matter and then fell over. **[JOSH: one line on why one of the four fell over.]**

Before I understood what those four were, every no felt like a verdict. After, they were information. Each one told me something about sellers, banks or structure that no book had.

The fifth was the physio clinic. 100 percent vendor finance, no deposit. 150 thousand out in year one, mid six figures in equity.

Not because I got lucky, and not because I knew everything. If I'd waited to know everything, I'd never have made call one. **[JOSH: one line on what kept you calling after deal four.]**

The diagnosis: two kinds of risk.

Active risk is the risk of acting. A deal falls over, a seller says no, you sound green on a call. It's visible, so it feels big.

Passive risk is the risk of doing nothing. Another year in the same job, owning nothing. It feels safe because nothing happens. That's the problem. Nothing happens.

Most people weigh the first and ignore the second. That's backwards. The active risk costs you a few bad calls and some legal fees. The passive risk costs you the 67 thousand a year, compounding, for as long as you wait.

And in this model the active risk is managed. No deposit. Payments the business carries at 1.5 times. Due diligence before you sign. An offer isn't a marriage. If something turns up, you walk.

The 60 percent.

The 60 percent you need before acting: you understand the map, Credibility through Exit. You know the 1.5 rule. You've picked an industry with the filters from episode 4. You know the three documents to ask a seller for. And you've cleared the hours. That's a couple of weeks.

The 40 percent you only learn by doing: how sellers in your industry talk, what your local banks will lend against, how your first offer lands, which board

members say yes. You can’t read your way to any of it. Reading feels like progress. It isn’t. A tenth book teaches you less than one real seller call.

You don’t carry the 40 percent alone. That’s the Credibility stage: a board of people who’ve run businesses and closed deals, and advisers who’ve done a hundred of these. You act at 60 because the team covers the other 40.

The rule.

In order. The business passes the filters. The three documents line up. The numbers pass the 1.5 rule. Once all three are true, you make the offer. You don’t wait for a better one and you don’t wait to feel confident.

Then the part nobody likes. Time, money and energy. You can make up for less money with structure. You can make up for less experience with a board. You can’t make up for energy.

I’ve had people pay 20 to 30 thousand for advisory and still not take action. The money wasn’t the problem. Their energy went everywhere except the phone. Energy is the eleventh call after ten people said no.

And background isn’t the excuse people think. Christian Dawes was unemployed, with no higher education and a criminal record. His first deal was 2.4 million dollars, funded 100 percent by the bank.

Waiting doesn’t send you an invoice. It just costs this, every year, before anything you’d improve.

Where people lose money.

- Researching for another year. Another course, another podcast, no offers sent.
- Treating the first no as a verdict and stopping before deal five.
- Paying for help and then not making the calls.
- Waiting for the market. Retiring owners don’t wait for it.

Two paths. Alone, it goes wrong quietly. Nobody fails. They just keep researching, and a year goes by without an offer. Or you work beside someone who's already lost four deals and expects to see your next call made.

Some moments work like thresholds. Before, you're someone thinking about buying a business. After, you're someone doing it. It doesn't take certainty. It takes a decision.

On the call we get you to 60 percent, set your first structure, and work out whether the Owners Academy, where it's hard to stay at 40 percent when everyone around you is making calls, or one-on-one advisory fits.

If you're someone who's been nearly ready for too long, and someone who'd rather lose four deals than never try for one, you're at 60 percent already.

Thirty days from now, either you've watched another month of content, or your hours are blocked, your industry is picked and your first board conversations have started.

Book a call with me below. Not a setter. Me.

Not ready? Use the free 3C Starter Kit to get to 60.

Next episode starts Credibility: how to build a board in 30 days with no network.

Act 2 · Credibility

EP 06 · Unemployed at 25: how I borrowed a track record and kept 73%

The first-time buyers who get funded have one thing in common, and it isn't money.

At 25 I was unemployed. No savings, no experience. My first deal was a physio clinic, 100% vendor finance, no deposit. I pulled $150,000 out in year one.

The thing that got me taken seriously cost me no cash at all. It was a board. Here's how I built it and what it costs you.

Every deal has two gatekeepers. The seller decides whether to take your call. The bank decides whether to lend. Both are asking one question: is this person going to run it and pay the money back?

If you can't answer that, you pay for it in cash. A bigger deposit, a worse price, or a seller who sells to someone else. This is for people putting 40-plus hours a week into buying a company and aiming for a group or an exit. If you want a four-hour work week, this isn't it.

You don't need a track record. You borrow one. Three parts: the seats, the price, and the outreach.

If you've been knocked back, or never tried, it has nothing to do with your age, your bank balance or the title on your LinkedIn. It has everything to do with who's standing next to you when you ask.

You were told you need a track record first. Your own money in the deal. The right network. None of that is how this stage works. The buyers who get through didn't wait to earn a track record. They borrowed one.

I help people build this. Which seat first, what to send, how to set the equity. Book a call below. Now the detail.

The low point.

At 25 a bank had no reason to lend me a dollar. A retiring owner had no reason to take my call. I'd done more than $30 million in deals in banking by 21, but on the buy side I was nobody.

So I stopped selling them me. I sold them my board. Every person on it came from LinkedIn and cold messages. No network. The founder of the Australian Institute of Fitness is a shareholder today, and I still keep 73% of the company.

[JOSH: one line on who said yes first and what that first message said.]

The diagnosis: four seats.

A credit team doesn't lend to enthusiasm. It lends to people it thinks will run the business. A seller who spent 30 years building something won't hand it to a 25-year-old. But they'll talk to a company whose board looks like it knows what it's doing. Your board is the evidence.

You want four seats.

A chair with weight: a former executive or seasoned director. A finance lead who speaks the bank's language, a former CFO or credit person. A legal lead, an M&A lawyer or former general counsel. And a sector operator who's run businesses in the industry you're buying.

Friends and family don't go on it. A weak board is worse than none. It tells the bank you don't know what good looks like.

The price: equity, not cash.

You pay in founders' equity. Usually 2 to 10% each, scaled to the seat. They get a ground-floor stake in a group. You get their name, their judgement and their network.

The people who say yes are mostly recently retired. Experience, time, and they miss being involved. You're not asking a favour. You're offering a seat.

The first call is 30 minutes. The industry, why owners are selling, what you're building. Then what you need: a few hours a month, their name on the executive

summary, and help on lender and seller calls. Equity that vests on the first deal. Don’t haggle percentages on the first call. That’s next episode.

The outreach.

Pick the seat you need most. Build a list. Look for three things: a title a bank manager would recognise, real time in the role, and signs they’re winding down: “former”, “non-executive”, “adviser”.

That’s the whole message. Then follow up twice, a week apart. A lot of yeses come on the third message.

It moves fast. Jy Kingston is one of my mentees. IT background, no finance experience. Board in under 30 days through LinkedIn. Accountants and lawyers within about two weeks. Twelve deals active, closing his first.

Another of my students got the former CEO of IBM to join their company. Same method. They asked.

Where this doesn’t apply: if you’re buying one small business with your own cash, you may not need a board at all. The board earns its equity when someone else’s money is in the deal, a bank’s or a seller’s.

A few hundred messages is a few weeks of work. The board costs you no cash, and it’s what lets the business and the seller fund the deal instead of your savings.

Where people lose money.

- They fill seats with mates. The bank reads it in one glance and the deal gets a worse structure, or no structure.
- They send 20 messages, hear nothing and quit. The yes was in message 60.
- They hand over equity on a call with nothing written. That’s the slice that costs them control later.

The rule: board first, then deals. Deal first works too, but you'll be recruiting under a seller's deadline. A one-page executive summary with your board on it and a handshake on equity. You walk into a seller's office with a team, not a story.

Two paths from here. Do it alone: pick friends because it feels safer, promise equity with no vesting, send three messages and decide it doesn't work. Or do it with someone who's already made those mistakes.

That's the call. We work out your strategy, your first structure, and whether the Owners Academy or 1:1 advisory fits. The Academy is the community, the full course and every template and script. 1:1 is me working your structures and lender presentations with you.

If you're someone who's the most capable person in a building you don't own, and you'll send the messages when the first 20 get ignored, this is for you.

Thirty days from now you're either 30 days older with a blank board section, or 30 days older with serious people saying yes. Book a call with me below. Not a setter. Me.

Not ready? The free 3C Starter Kit is in the description.

Next episode: how much equity to give that board, and how I still keep 73%.

EP 07 · 5 board equity mistakes that give away 40% before your first deal

Four board seats at 10% each is 40% of your company gone before you've bought a single business.

There are two types of owners building a group. The ones who spend equity like currency, and the ones who sit on 100% of one business for twenty years.

I pay my board in equity and keep 73%. Here are the five mistakes that stop people doing the same.

Equity is the one thing you can't easily take back. Give too much and there's nothing left for you, the next hire or the exit. Give too little and nobody good says yes.

This is for owners building something to scale or sell. If you want one business you run on your own, you don't need a board, and this isn't for you.

Small slices, earned on a deal, with the job written down.

If you're stuck at one business, it has nothing to do with your work ethic or your industry. It has everything to do with never being shown how to pay people before you have cash.

Most owners think a bigger percentage is a safer percentage. That's not how it works. Equity is the currency you spend before you have cash. Five ways people spend it badly, ranked from cheapest to most expensive.

If you want me to look at your split before you offer it to anyone, book a call below. Now the detail.

Mistake 1. Too few shares.

People set up the holding company with 100 shares. Then someone needs 7.5% and it's a restructure.

Issue a million at the start. Handing someone 70,000 shares out of a million is easy. The holding company owns the group. Each business you buy sits in its own company underneath, so each deal's debt stays in its own box, and the board owns a slice of the whole group, not one clinic.

It also protects your number later. When a seller keeps a stake in the business they sell you, that stake usually sits in the company that owns that one business. So a seller's rollover doesn't dilute you or the board at the top.

Mistake 2. Same slice for every seat.

Founders' equity runs 2 to 10% per person. Where each seat lands depends on three things: how much their name moves a bank or a seller, how many hours they'll give you, and how hard they'd be to replace. The chair usually wins on the first, so the chair goes higher.

Weigh the work, not the title. A sector operator on seller calls every week can earn more than a lawyer who reviews two documents a quarter. And leave headroom. Keep yourself at 70% or more after the board, so there's room for a group CEO later, or another seat when you move into a second industry. Four seats at 10% leaves you 60% and nowhere to go. Four seats between 6 and 8% leaves you 73% and room to grow.

Mistake 3. Vesting at the handshake.

Nothing vests on a handshake. A portion vests when you sign the sale agreement on your first deal, the SPA. The rest vests over the 12 months after closing. Leave early, and the unvested shares come back. Your lawyer calls these leaver terms.

If they don't help you get a deal done, they don't own anything. That one rule filters out people who only wanted a title. It's also fair to the good ones: they know exactly what earns their shares, and when.

Mistake 4. No written job.

A board seat is a senior hire paid in equity. Set the job before they say yes, not after.

Put it in a one or two page letter per person. Role, percentage, vesting, monthly commitments, leaver terms, confidentiality. Signed before their name goes on your executive summary. If someone won't sign a page that fair, you've learned something cheaply.

Mistake 5. Giving away the exit.

This is the expensive one. Minority holders get no veto and no voting control. Add a drag-along, so if you sell the group they sell with you on the same terms. Add transfer restrictions, so nobody sells to a stranger. Set it up from day one, not when there's a problem. A minority holder with a veto can block a sale years later.

Good board members will ask about one more thing: directors' and officers' insurance. Have it. It protects them, and it tells them you're serious.

[JOSH: one line on how you set control terms with your own board.]

That's your pitch to a former CFO. Not "help me out". A ground-floor stake in something worth a lot if you build it. And you still hold 73%.

If giving away 27% feels like losing, run it the other way. 27% of a $20 million group is real money for them. 73% of it is real money for you. 100% of one business capped at your own hours is a ceiling. And none of their 27% exists unless a deal gets done.

Where people lose money.

- Promising "a piece" on a handshake that two people remember differently. That ends in a lawyer's letter, not a deal.
- Starting at 60% after the board. There's no room left for the people who'll actually grow the group.
- Haggling percentages on the first call. The best people walk, and you're left with the ones who only wanted a title.

Or you can keep doing what you're doing. Keep 100% of a business that only grows as fast as you work. Keep waiting for cash before you buy the second one.

Or get the split right before you've offered it to anyone. On the call we go through your goal, the seats you need, your first structure, and whether the Owners Academy or 1:1 advisory fits. The Academy has the board equity terms and recruitment scripts. In 1:1 I work your structures with you.

If you're someone who'd rather own 73% of a group than 100% of a ceiling, this call is for you.

Thirty days from now you're either 30 days older with the same ceiling, or 30 days older with a split on paper and your first seat offered. Book a call with me below. Not a setter. Me.

Not ready? Grab the free 3C Starter Kit in the description.

Next episode: lawyers and accountants who get paid at closing, by the deal, not by you.

EP 08 • $70K of deal fees: pay upfront vs pay at settlement

Owners who can read a P&L better than most buyers still don't buy a second business, because of one question: who pays the lawyers?

On a $3 million deal that's about $70,000 of legal and accounting fees. Most people pull it out of the business they already own.

You don't have to. Here's the version where the deal pays its own costs.

$70,000 out of your current business is a buffer gone, a hire you don't make, or a slow month you can't survive. Do it on a deal that dies and it's gone.

This is for people buying real businesses, usually a million dollars or more in value. If you're buying a small online store off a marketplace, skip this one.

Two ways to pay your deal team. Option A: pay as you go, from your own cash. Option B: pay at settlement, from money the bank lends the business on the day.

If you've stalled here, it has nothing to do with being cheap or scared. It has everything to do with nobody telling you fees can sit at settlement. I'll cost both, give you a test, and a verdict.

Getting good firms to wait for their money comes down to how you pitch it. I help people with that. Book a call below. Now the detail.

Option A. Pay as you go.

You engage a firm on hourly terms. They bill monthly. You pay from your current business.

What it costs: the full bill, upfront, whether the deal closes or not. And open hourly terms invite fee-jacking. Every small point becomes a memo, and the bill doubles.

What it gets you: control over the firm, and nothing owed if you walk. That's it.

Option B. Pay at settlement.

Three moves.

Build the bench first. An M&A lawyer. An accountant who can do a quality of earnings review, which is a check that the profit is real. Big Four or a strong regional firm. And an industry adviser if the sector has rules you don't know.

Ask for deferred or rolled fees. Some or all of the bill is paid at settlement instead of as they go.

Then at settlement, the bank funds a working capital line into the new company. As a rough guide it's often around 10% of annual revenue. It pays the firms that afternoon, and the rest is runway.

Why a good firm says yes.

You're not one deal. You're a group buying business after business. To a law firm that's a repeat client. To an accountant it's years of work: diligence, then the books, tax and audits for every business you add. You pitch the pipeline, not the job.

And top-tier matters for the same reason the board does. A bank trusts a quality of earnings report from a firm it knows. A cheap firm nobody's heard of costs you more in delay than it saves in fees.

A proper quality of earnings review checks five things. Whether revenue will keep coming. Whether one or two customers carry too much of it. Whether the seller's adjustments to profit are fair. How much working capital the business really needs. And whether the cash flow holds once you own it. That's the report your bank leans on to say yes.

Where to find them: ask your board's legal and finance leads who they'd use. Then LinkedIn, partners who list acquisition work. Then ask your lenders which firms' reports they trust.

Some firms will say no. Some defer half. Some do the early work at a fixed fee and the heavy work at settlement. Ask five.

[JOSH: one line on how your own first deal's fees were paid.]

The proof.

“A bank won’t do that for me.” My good friend Cam did two deals in 23 days with 100% vendor finance, and $500,000 of working capital from the bank. Not from his pocket. From the deal.

And Jy Kingston, one of my mentees, had accountants and lawyers on board within about two weeks of starting.

Option A: $70,000 out of your pocket before you know the deal closes. Option B: $0 out of your pocket, fees paid on the day, $230,000 left to run the business. The bank sets the size of the line, not you. That’s Act 3.

THE TEST AND THE VERDICT.

The self-test. Before you spend a dollar on lawyers, has the seller sent three years of financials, matching tax returns and revenue by financial year? If not, they’re not serious, and neither option is worth paying for yet.

The verdict: Option B, in this order. Board, then bench, then deals. Fixed fees per stage, deferred to settlement, with a capped amount if it dies. Aim for about four weeks to paper the contracts.

Where people lose money.

- Hiring a cheap firm the bank doesn’t trust. The saving comes back as weeks of delay and a tougher credit team.
- Signing open hourly terms. No scope, no cap, and the bill doubles. The fix is leadership: a tight scope, a timeline, and a ranked issues list so the big points get solved first.
- Spending the working capital line on yourself. It’s runway for the business. Spend it and you’re back at the bank in six months with a worse story.

Two paths. Alone, this goes wrong in cash: a cheap firm, an open meter, or diligence on a seller who was never selling, paid from the business you’ve already built. Or set up the bench and the fee terms with someone who’s done it.

On the call we go through your strategy, your first structure, and whether the Owners Academy or 1:1 advisory fits. The Academy has the outreach email to firms. In 1:1 I work your structures and lender presentations with you.

If you’re someone who won’t bet the business you built to buy the next one, this call is for you.

Thirty days from now you’re either 30 days older still wondering who pays for diligence, or 30 days older with a lawyer and an accountant who’ve agreed to wait for settlement. Book a call with me below. Not a setter. Me.

Not ready? The free 3C Starter Kit has the three documents to ask a seller for.

Next episode: the credibility packet, four documents including one a client was quoted $7,000 for.

EP 09 · The $7,000 offer letter and 3 other documents sellers read first (copy them)

When you buy what everyone else is offered, you pay what everyone else pays.

Another property. Another fund. Another listed business with a crowd already bidding. The alternative is going direct to owners ready to retire, at three to five times profit, with four documents that make you the most serious buyer they'll speak to.

A client was quoted about $7,000 for one of them. Here are all four, in the order a seller reads them.

Listed deals get auctioned. Off-market deals get negotiated, and the buyer who looks most serious wins on terms, not just price. A packet is the cheapest way to look serious before you've closed anything. It costs a weekend and some templates. Being one more offer in the pile costs you the price and the terms.

This is for people who want to be taken seriously before their first deal. If you're happy to buy one small business with cash and a handshake, you don't need it.

One packet, three readers: sellers, lenders, board recruits. Four documents, one job each.

The market has moved. A generation of owners in traditional industries is ready to retire. They don't want to wait 16 weeks for a bank. They want out, and to be looked after. Being paid over time can get them more than most buyers offer, and a close in two to four weeks instead of six to sixteen. The buyers who understand that go direct. Everyone else fights over what's listed.

And if you've looked at businesses and couldn't tell a good one from a dressed-up one, it has nothing to do with your experience as an investor. It has everything to do with never having a thesis and a checklist.

Academy members get every one of these as a template, and I'll go through yours on a call. Book below. Now the teardown.

The executive summary.

The first thing a seller, banker or board recruit sees. One or two pages.

The board section does the heavy lifting. One line each, the strongest true fact: former CFO of this, thirty years running that. “How we work with owners” is where you win sellers: fast close, staff kept on, a handover that suits them.

One rule. Never write “vendor finance” to a seller. Write “getting paid over time”. Same thing. It reads like you’re looking after them.

Then a two-line cover email. For a seller: who you are, and have you ever thought about selling? For a banker: you’re building lender relationships before you bring deals. Same attachment every time.

[JOSH: one line on what the board section of your own summary said.]

The thesis memo.

Two or three pages. Why this industry, what exactly you buy, what you won’t, and how it ends.

What you won’t buy matters more. One or two customers carrying the revenue. Industries being eaten by technology. Owners who want out tomorrow with no handover. And very small deals. Under about a million in value, there usually isn’t enough cash flow to pay the debt and pay you.

The end game goes in too. Buy at small-business multiples, grow, combine, sell the group for more. That’s Act 7.

The NBIO.

The non-binding indicative offer. A short offer letter. This is the one a client was quoted about $7,000 for.

Five parts. A headline price, around three to five times profit, and how you got there. The structure: how much is paid over time, the term, any payment holiday. Conditions: diligence, finance, lease, licences. Exclusivity, usually 60 to 90 days.

And a timeline to close. Economics up front, fine print later. Episode 22 goes line by line.

The point of having it as a template: when a seller says “what would you pay?”, you answer in days, not weeks. Speed reads as seriousness, and a retiring owner is choosing who to trust as much as what to accept.

The diligence checklist.

It runs in order. Before any offer: three years of financials, matching tax returns, revenue by financial year. If a seller won’t send those under an NDA, they’re not serious. After the offer’s accepted: quality of earnings, customer concentration, adjustments to profit, staff interviews, leases, licences.

Keep one issues log, and use it when you talk price. And put your finance lead’s name next to the sign-off. That’s a different document from one you ticked yourself.

Behind the four, keep two more in a folder: a board roster with full bios, and each board member’s signed terms. A lender may ask how your board is engaged. “Here are the signed terms” beats “we’ve got a handshake”.

One packet serves all three readers. A recruit reads the thesis and the upside. A seller reads the summary and how you treat owners. A lender reads the board, the criteria and the checklist. You change the cover email, not the packet.

The packet doesn’t change what a business earns. It changes who you’re competing with, and that changes the price and the terms.

Where people lose money.

- Writing “vendor finance” on page one and losing the owner before the first meeting.
- Sending a packet that promises a team you don’t have. A seller can tell in one phone call whether there’s a real board behind the PDF.

- Polishing documents for months and never sending one. Draft in a weekend, let the board pull it apart, fix what they find.

Or you can keep doing what you're doing. Keep the money where it earns little. Keep bidding on listed businesses against everyone else. Keep turning up to owners with a story instead of a packet.

Or build it properly. On the call we work out your strategy, your first structure, and whether the Owners Academy or 1:1 advisory fits. The Academy has every template here. Join and the NBIO template is yours, plus a 1:1 with Jy Kingston, who built his board in under 30 days. In 1:1 I build the lender packet with you.

If you're someone who'd rather know exactly what you're buying than trust a broker's summary, this call is for you.

Thirty days from now you're either 30 days older being pitched the same three things, or 30 days older with a thesis, a packet and owner conversations booked. Book a call with me below. Not a setter. Me.

Not ready? The free 3C Starter Kit has the executive summary template.

Next episode closes Credibility: buying with a partner, and what to sign before the offer letter.

EP 10 · Every partner setup from 50/50 handshake to bankable, explained

Buying a business with a partner doubles your hours. Done on a handshake, it can also halve your equity.

It goes from sharing the work to arguing about the split. From one plan to two. From a mate to a lawyer's letter. And it usually happens when the money shows up, not before.

Here's every level from a 50/50 handshake to a setup a bank and a seller will back.

In years one to three you're paying the seller and the bank, settling staff in, working long hours. Later the debt's paid down and the business throws off cash. That's when an unwritten split starts to cost real money, and you can't renegotiate it calmly once there's money on the table.

If you're buying alone, stay anyway. This applies to anyone who'll ever own a piece of what you build.

A partner should bring something you can't borrow. Four levels. Most pairs are stuck on level one.

When partnerships blow up, it usually has nothing to do with one of you being greedy or lazy. It has everything to do with terms written for year one still being used in year five.

Before you know that, a partnership feels like a question of trust. After you know it, you see it's a question of conditions. Conditions change. The paper has to change with them.

I help co-buyers set this up before a seller and a bank are asking who's in charge. If you're buying with someone, book a call below and bring them. Now the detail.

Level 1. The handshake.

Two people, 50/50, nothing written, often trading as a partnership.

The trap: a partnership gives you no protection between the partners and the business's liabilities. A 50/50 split with no tie-break means every disagreement is a deadlock. And the bank will ask who owns it and who signs, and you won't have one answer.

The one move to level two: decide whether you need a partner at all. There are three good reasons. Hours, because this takes 40 to 100 a week. Assets, because cash, an existing business or property makes it easier and faster. And skills you don't have. No to all three? Buy alone. You can borrow credibility from a board without giving anyone a co-owner's share.

Level 2. A company and separate jobs.

Use a company, not a partnership. Then split the jobs so they don't overlap.

Two of you can split three jobs. Two of you can't both own "deals". Each person has final say in their own lane: the operator on staff, the deal-finder on which seller to chase. Nobody relitigates the other's area. For anything that crosses lanes, write a deadlock rule now: who breaks the tie, or who you bring in to break it. A 50/50 with no tie-break isn't equal. It's stuck.

Level 3. Shares that match the work.

Each person's shares vest on their role. The deal-finder's on signing the first SPA. The operator's over the first 12 months of running it. Write in a date each year to review the terms, because conditions will change. One of you may drop to part-time. One may put in more cash. The review date is when you adjust, calmly, instead of in the middle of a fight.

And a partner doesn't replace the board. A partner is a co-owner with a full-time job in the business. A board member is a few hours a month, a name a bank trusts, and a small slice that vests on a deal. Two co-buyers with no board are still two people with no track record.

Level 4. Bankable: signed before the LOI.

A shareholders' agreement with five things.

Inside it, the buy-sell clause: if one of you leaves, gets sick or dies, who buys the shares, at what price, worked out how, paid over how long. Agree the formula, not the number.

Then personal guarantees. If a lender wants one, someone signs. Larger deals, typically over about $5 million, often don't need one, because the business's assets give the bank its security. Every lender and deal is different. Agree now who signs and how you share that risk.

And it all goes before the LOI. Once a seller signs, you're in 60 to 90 days of exclusivity. The seller wants to know who'll run it. The bank wants to know who owns it and who signs. You don't want to negotiate with your partner and the seller in the same week.

[JOSH: one line on a co-buyer setup you've seen go well or badly.]

The split is identical. The difference is what happens when one of them stops working in year four. Level one can cost you the business. Level four costs a few hours.

Where people lose money.

- Signing the offer letter first and arguing about shares during due diligence while the seller watches.
- Both wanting the same job. One of you is paid for work the other is doing.
- Leaving personal guarantees unspoken until the bank asks. That's the worst week to find out you disagree.

Each of you writes one page, separately: role, hours, what you bring, what you expect to own, what happens if you leave. Then swap. Where the pages match, you're done. Where they don't, that's the conversation.

"We're mates, we don't need paperwork." That's exactly why you do it now, while it's easy. "We can't afford a lawyer." You can't afford the fight, or a deal that stalls

because the bank doesn’t know who’s in charge. “We’re a couple.” Same rule. Different jobs, written down.

Two paths. Work it out between you, alone, and it goes wrong between people who trust each other. Or sit down with someone who’s seen how this breaks and set it up before it can.

On the call we go through your goal, who does what, your first structure, and whether the Owners Academy or 1:1 advisory fits. Co-buyers can work through the Academy together. In 1:1 I work your structures with both of you.

If you’re someone who’d rather have the awkward conversation now than the expensive one later, this call is for you.

Thirty days from now you’re either two people with an idea and a handshake, or two co-buyers with roles in writing and a buy-sell drafted. Book a call with me below. Not a setter. Me. Bring your partner.

Not ready? Grab the free 3C Starter Kit in the description.

That’s Credibility done. Next, Capital: how a business making $250,000 profit carries a $1.66 million offer.

Act 3 · Capital

EP 11 · A $1.66M Offer on $250K Profit (Cash Buyer vs Paid Over Time)

How come the buyer with less money can pay the seller more?

A business making $250,000 a year in profit sells to a cash buyer for about a million. The same business can carry an offer of about $1.66 million, paid over time, out of its own profit.

Not your money. The business's. Here's the two-minute maths, and the three places it lies to you.

That gap is the whole of Capital. The cash route needs a deposit, a bank's yes and months of waiting. The paid-over-time route has the seller fund the deal, you bring nothing, and you still put the biggest number on the table.

This is for owners, executives and people with capital who want a cash-flowing business without tying up their own money. If you want a four-hour week, this isn't your channel.

One line: don't ask what a business is worth. Ask what it can pay.

Two offers for the same business. Option A, the cash buyer. Option B, paid over time. Then a test that tells you which one you can actually make.

And if you've spent years thinking you need a deposit first, that has nothing to do with your salary or your savings. It has everything to do with a question nobody taught you to ask.

I help owners build these structures and put them in front of sellers. Book a call below. Now the detail.

Option A. The cash buyer.

A cash buyer pays three to five times profit. On $250,000, that's $750,000 to $1.25 million. Call it a million.

To pay it, they need a deposit and a bank. The bank takes six to sixteen weeks. The seller waits, and the deal can still die in credit.

For a retiring owner that’s the worst of both. A lower price, and a slow close with no certainty.

Option B. Paid over time.

Three steps. I call it the speed run.

One. Real profit. Say $250,000.

Two. Divide by 1.5. About $166,000 a year. That’s the most this business should pay in debt each year. The other $84,000 stays in the business as a buffer. That rule is next episode.

Three. Multiply by the term. Ten years at $166,000 is $1.66 million. About 6.6 times profit.

You’ve just outbid the cash buyer by about $660,000. And you can close in two to four weeks, not six to sixteen.

Now, you were told you need a deposit, a track record and a bank’s permission. That’s not how retiring owners sell. My first deal was a physio clinic. I was 25, unemployed, no savings. 100% vendor finance, seven years at 4%, a nine-month payment holiday, rent in arrears, no deposit. I pulled $150,000 out in year one.

The seller got paid by the business. Not by me.

The test. Three checks before you say a number.

The speed run is a ceiling, not a price. Three checks turn it into an offer.

Check one. The profit is real. Every seller’s profit number is a story. Some tell it high, some tell it low, most don’t know it. Get three years of financials, the matching tax returns, and revenue by financial year. If the financials and the tax returns don’t match, that’s not a negotiation. It’s a walk.

Then normalise it. Add back what the owner runs through the business that you won't. Take out a proper wage for whoever runs it after you. Say the books show $280,000. Add $20,000 of the owner's personal costs. Take out a $50,000 manager. Real profit, $250,000. Skip the manager and you'd use $300,000, and offer $2 million for a business that can only carry $1.66 million. That's how people buy a job with a debt attached.

Check two. Interest. The $166,000 is principal and interest together. At 4% over ten years, it repays about $1.35 million of price. That's your real number. Still above any cash offer.

Check three. The levers. Term, rate, a payment holiday before the first instalment, and sometimes a balloon. My good friend Cam did two deals in 23 days, both 100% vendor finance, interest-only for ten years with balloons in years three and ten. Interest-only keeps the payments small. The balloon is the principal in one lump. Never sign one you haven't planned to pay, from cash you've built up or a bank refinance once you have a track record.

Option B wins when three things are true. The profit survives normalising. The value is big enough to be worth the work, roughly a million and up. And the seller can wait to be paid. If they need every dollar on day one, you blend with a bank. That's episode 14.

Self-test. Can you name this business's real profit, why the seller is selling, and how long they can wait for their money? If not, you're not ready to make either offer.

One more rule. Never say "vendor finance" to a seller. Say "getting paid over time". Something like: "I can get you more than a cash buyer would, paid over time out of the business you built, and we can close in weeks, not months."

Even after interest you're about $100,000 above the top of the cash range. And the seller's money is doing the funding.

Where people lose money.

- Using the seller’s profit instead of the normalised one. On these numbers that’s about $330,000 overpaid.
- Opening with the ceiling. You’ve got nowhere to move, and the seller anchors on your top number.
- Signing a balloon with no refinance plan. The deal you won becomes the debt you can’t pay.

So there are two paths. You can do this alone. My version of that was four failed deals and about a thousand cold calls before the first one closed. Or you can do it with someone who’s already made those mistakes.

On the call, it’s a short application, then me. We run the speed run on a real business you’ve found, sketch your first structure, and work out whether the Owners Academy or 1:1 advisory fits.

If you’re someone who’d rather run the numbers than read about them, and you’ll put real hours in from Monday, you’ve already decided.

Thirty days from now you’ll be thirty days older either way. Either you’ll still be asking what businesses are worth, or you’ll know what three of them can pay and which seller to ring.

Book a call with me below. Not a setter. Me.

Not ready? The free 3C Starter Kit has the DSCR calculator you just saw.

Next episode: the 1.5, and why a deal at 1.2 can cost you your own money in its first bad year.

EP 12 · Every DSCR From 0.96× to 2× (and Why I Sign at 1.5)

Two buyers look at the same business making $300,000 a year. James wants it, so he stretches the debt until the seller's price fits. Chad won't sign below 1.5.

A year later, one big customer leaves. James is topping the business up from his own pocket. Chad's capital is still his.

Same business. One number. Here's every level of it, from 0.96 to 2.

If you've got capital, this number decides whether a business pays you or you pay it. Get it wrong and the downside isn't a lower return. It's writing cheques into a business you bought to receive them.

This is for people who want to own businesses for the long run. If you're trying to squeeze every last dollar of debt out of a deal, this will annoy you. Good.

DSCR, debt service coverage ratio: the cash the business makes before debt, divided by every debt payment you owe in a year. Bank, seller, equipment finance, all of it.

There are four levels. 0.96, 1.2, 1.5 and 2. Most stretched deals sit on level two and look fine until the first bad year.

And if you've struggled to tell a safe deal from a dangerous one, it has nothing to do with your intelligence or how long you've invested. It has everything to do with what you're shown. Sellers and brokers show you the good year. Nobody hands you the bad one.

I help owners and investors structure deals that survive their worst year. Book a call below. Now the levels.

One term first. The covenant.

When a bank lends, it writes a covenant into the loan: a minimum DSCR, tested regularly. Every lender sets its own, so ask. For this video, say 1.25. Drop below it

and you're in breach, and a breach hands the lender rights over your business you don't want them to have.

So here's how most people think about a deal. They think it's safe if it pays in an average year. That's not how it works. A deal is safe if it still pays in its worst year.

All the levels below use the same business. $300,000 profit in the base case. A bad year is profit down 20%, to $240,000. One customer leaves, or one key person walks.

Level 1. 0.96×. The business can't pay its own debt.

James's deal. He stretches to $250,000 a year of payments on $300,000 of profit. In the bad year, $240,000 comes in and $250,000 goes out.

The business can't cover its own debt. He's $10,000 short, in breach, and explaining himself to a bank. That's the bottom of the ladder, and you get there from level two with one bad customer.

Level 2. 1.2×. Fine on a good year.

Same deal, base case. $300,000 over $250,000 is 1.2. On a good year it pays, just. It's already under a 1.25 covenant, so a bank won't touch it, and it only gets done because the seller carries the debt without stress-testing it. Any dip and it's level one.

This is where most stretched deals sit. They start with the seller's price and work backwards until the debt fits. Then the add-backs grow and the bad year gets gentler until a 1.2 looks like a 1.5.

Level 3. 1.5×. The floor.

$200,000 of payments on $300,000. For every dollar you owe, a dollar fifty comes in.

The real number is headroom: how far profit can fall before you breach. At 1.5 with a 1.25 covenant, profit can fall to $250,000. About 17%. A 20% bad year takes you to 1.2. Still a breach.

So 1.5 is the floor in the base case, not the target. It's the least that gives you a chance.

[JOSH: one line on a deal you walked from because it failed 1.5.]

Level 4. 2×. Change the structure, not the spreadsheet.

Say the debt is a $1.2 million seller note at 4%. Over seven years, about $200,000 a year. That's level three.

Ask for ten years instead. About $148,000 a year. Same price. Same seller. Base DSCR about 2. Bad year about 1.6. You've bought a bad year just by asking for a longer term.

Other levers do the same job. A payment holiday at the start. An interest-only period, though watch interest cover, profit divided by interest alone, and the year the principal comes due. Part of the price as an earn-out. Or the seller rolling part of their value into shares. That's episode 14.

The rule.

1.5 in the base case. Above the covenant in the bad year. If the bad year fails, change the structure. Never the numbers.

Build the bad year from the actual business. Take out the biggest customer. Price in replacing the one person everyone relies on. Look at the worst of the last three years. Then add year-one takeover costs: systems, lawyers, a manager overlapping with the old owner.

Self-test. If you can't name the biggest customer and the DSCR without them, you're not ready to sign.

And once you own it, check one thing every month. Cash collected, minus costs, minus debt payments. Track DSCR on the last twelve months, so if it slides from 1.6 to 1.4, you see it months before the bank does.

Same business, same price. The term alone moves the bad year from minus $10,000 to plus $92,000.

Where people lose money.

- Starting from the seller's price and stretching the debt to fit. You win the deal and fund its first bad year.
- Leaving small debts off the bottom of the fraction. Equipment finance counts.
- Signing interest-only without testing the year the principal lands. The DSCR looks great until it doesn't.

Or you can keep doing what James did. Keep starting with the seller's price. Keep letting the bad year get gentler. And keep finding out in the first bad quarter. Alone, you fall in love with a business and the spreadsheet starts lying for you. You need someone in the room who isn't in love with the deal.

On the call, short application, then me. We pressure-test your deal or target against its worst year, sketch the structure that passes, and see whether the Owners Academy or 1:1 advisory fits.

If you're someone who'd rather walk from a deal than fund it from your own pocket, you've already decided.

Thirty days from now you'll be thirty days older either way. Either you'll still be looking at deals you can't quite judge, or you'll have a base case, a bad year and a floor you trust.

Book a call with me below. Not a setter. Me.

Not ready? The free 3C Starter Kit has the DSCR calculator.

Next episode: the people who set your covenant, and why I tell you to interview fifty of them before you need one.

EP 13 · The Lender Matrix That Finds $300K More Borrowing (Copy It)

Most business owners have one bank, and they ring it the week they need money. They've got a deadline, the bank can smell it, and they get one answer.

Same business, same rule: one lender will lend you about $1.04 million, another about $1.34 million. You only know which if you asked before the deal.

Here's the system, in the order the bank sees it.

$300,000 of borrowing is $300,000 more you can pay a seller without bringing a cent. Or it's the difference between a deal that settles and one that dies in week ten.

This is for owners who want a second and third business, not just one. If picking up the phone fifty times is a deal-breaker, it's not for you.

One line: interview fifty lenders before you need one, and go in as the interviewer.

Four parts, in the order the bank meets you. The email. The signature and the one-pager. The call. Then the hypothetical, which feeds the lender matrix.

And if a bank has said no to you before, it has nothing to do with your business or your credit. It has everything to do with asking one bank, at the worst time, for a favour.

I build lender lists and lender presentations with owners, so the money's lined up before the deal is. Book a call below. Now the teardown.

The email.

A bank is set up to lend. That's the whole business. But every bank lends differently: sectors, ticket sizes, terms. One will say no to a deal another would happily fund.

So you write to the business banker, not the front counter. Big banks, regionals and specialist lenders. On LinkedIn, look for business banking manager or commercial lending.

Notice the word “interviewing”. No begging, no life story. You’re someone with options, because you’re about to have them.

The signature and the one-pager.

The banker’s second look is who’s behind you. Put your board in your signature. “Board includes a former CFO and a sector operator” reads very differently from a name and a phone number. Send the one-page executive summary ahead: board, sector, size of business, roughly how you’ll structure it. That’s episodes 6 and 9 paying off.

Now, I know what you’re thinking. “Banks don’t lend to people like me.” Christian Dawes was unemployed, with no higher education and a criminal record. His first deal was $2.4 million, and the bank funded it 100%. Over-financed, in fact. So the question was never whether banks lend to people like you. It’s which bank, and on what file.

The call.

Five groups of questions. They’re the columns of your matrix.

Sector. How many deals have you done in this industry, at what size, and what worries you about it?

Credit. What DSCR and interest cover do you need? How do you calculate profit here, and what do you add back?

Structure. How much of the price will you lend, over how many years? Balloons? Standard covenants?

Security and guarantees. What do you take as security? What’s your personal guarantee policy, under $5 million and over?

Process. Who makes the credit decision, you or a committee? How long from application to money? What do you need to see?

That last one matters more than people think. A banker who decides is worth ten who pass your file to someone you'll never meet.

Run your first five calls with lenders you care about least. Put the one you most want at number fifteen, when you sound like you've done this before. No reply? A short email a week later, then a call. Bankers are busy, not rude.

[JOSH: one line on how many lenders you spoke to before JC Health, and what one told you.]

The hypothetical and the matrix.

Then ask: "Say I brought you a healthcare business, profit around a million, buying at four times. How would you look at it?" Some give you a term sheet. Some give you a conversation. Both go in the matrix.

Here's what one column is worth. A business makes $300,000. At 1.5 you can carry $200,000 a year in payments. At 8%, Lender A amortises over seven years. That $200,000 borrows about $1.04 million. Lender B amortises over ten. The same $200,000 borrows about $1.34 million.

A no is a row, not a failure. "We don't do that sector" is data. By lender thirty you'll know the market better than most people who've bought businesses for years. Sort the rows: who likes your sector, who decides locally, who's flexible on guarantees. That's your top five. Self-test: if you can't name five lenders who like your sector and who decides at each, you're not ready to make an offer. When a deal lands, they get a call the same day with a file that answers the questions they told you they'd ask. And if you're in the US, the same approach works. I have a lender network there too.

Same business, same rule, same rate. The only variable is which lender you knew to call.

Where people lose money.

- Waiting for a deal before meeting a bank. The seller won't wait while you start from scratch, and the deal goes to whoever had a banker on speed dial.
- Turning the interview into a pitch. Ask for money on the first call and you burn the relationship.
- Going quiet after the call. A short email each quarter on your pipeline, and tell them when you close, even if they didn't fund it. Bankers like lending to people who close.

Two paths. Alone, most people ring their own bank, get one no and decide banks won't lend to them. Or they build the bench with someone who's already built one, and walk into every call knowing what to ask.

On the call, short application, then me. We map your strategy, sketch your first structure, and work out whether the Owners Academy, with the lender email and question list, or 1:1 advisory, where I build your lender presentation with you, fits.

If you're someone who's tired of one bank deciding what you can buy, you've already decided.

Thirty days from now you'll be thirty days older either way. Either you'll still have one bank and one answer, or a matrix with thirty rows and five lenders who know your name.

Book a call with me below. Not a setter. Me.

Not ready? Get the free 3C Starter Kit: the executive summary template and the DSCR calculator.

Next episode: what happens when a bank and a seller fund the same deal, and how my friend Jason bought a $5.5 million business with nothing down.

EP 14 • $5M Deal, Nothing Down: 3 Ways to Fund the Seller's 40% (Ranked)

Getting paid over time is a phenomenal way to buy a business. Until the seller wants cash. Then it goes from an easy yes to "I'm not waiting ten years", and from one business to no deal.

My friend Jason Nagy's first deal was a $5.5 million radiology business. Zero down. A bank funded part of it. The seller funded the rest by staying in.

Here are the three ways to fund the seller's share, ranked. One fails.

[JOSH: confirm Jason is happy to be named, and which of his terms, if any, can go on screen.]

This is the structure that gets you past one business. Seller finance alone caps you at sellers who'll wait. A blend lets you buy bigger, asset-rich businesses where the profit is measured in millions, with nothing of yours in.

It's for owners who want bigger deals and will bring in a bank. If you only want small, quick flips, this one's more than you need.

One line: the bank funds about 60%, the seller funds about 40% by not taking it as cash.

The 60 is the easy part. Commercial debt at market rates, and it's what puts cash in the seller's hand at settlement. The question is the 40. There are three ways to handle it, and I'll rank them from worst to best.

If you've lost a deal to a seller who wanted cash, it has nothing to do with your offer or your bank balance. It has everything to do with having only one structure to offer.

I work through blends like this with owners every week: which mix, which lender, how to say it to the seller. Book a call below. Now the ranking.

The deal.

Round numbers, illustrative. A business makes $1.25 million profit. You buy at four times: $5 million. The bank lends 60%, $3 million, over seven years at 8%. About $575,000 a year. The seller's 40% is $2 million.

Blends work best on businesses like radiology. Expensive equipment, referrals that keep coming. Asset-rich, steady, boring. That's what a bank lends against.

#3. Seller note, fully amortising. Fails.

The seller lends you the $2 million. Seven years at 4%. About $333,000 a year.

Add the bank and you're paying about $910,000 a year on $1.25 million of profit. DSCR about 1.37. Under the 1.5 floor before anything goes wrong. It fails. Walk away from this version, not from the deal.

#2. Seller note, interest-only. Passes, with a catch.

Same note, interest-only. About $80,000 a year. Total payments about $655,000. DSCR around 1.9. Passes.

The catch: the $2 million is still owed one day. That's a balloon. It works if you've planned how you'll pay it: cash built up, or a refinance once the business has a track record with you. Never sign one you haven't planned for.

#1. Rollover equity.

The seller rolls their 40% into shares in the new company. No repayments to the seller at all. Your only debt is the bank's $575,000. DSCR about 2.2. Plenty of room for a bad year.

And the seller now wins when you win. They get most of their money at settlement, and a stake, so when you grow the business and sell it as part of a group, they get paid a second time. The bank likes it too: it's lending only part of the value, with the seller's money sitting behind its own. How big a stake they end up with is negotiation. Your accountant and lawyer build the share structure.

Here's why sellers say yes. A generation of owners in traditional industries is ready to retire. Some will take paid over time. Some want cash now. A buyer with

one structure loses every seller who wants cash. A buyer who can blend talks to both.

Making #1 work.

Three things people skip.

Minority rules. A seller with a stake is a minority shareholder. Drag-along, so if you sell the whole thing they come with you. No veto and no voting control for minorities. Set it from day one. It's very hard to add later.

The bank, early. The bank will want the seller's money behind theirs. Tell the seller up front, so it's not a surprise in legals. And if you can't agree on value, part of the price can be an earn-out, paid only if the business hits a target after you buy. One measure, ideally revenue, because it's harder to argue about.

The order. Agree the headline price first, because that's what sellers focus on. Then how it's paid. Then bring in the bank. And how you say it: not "vendor finance", not "rollover equity". "You get most of your money at settlement, and you keep a share, so when we grow it and sell the group, you get paid again."

Where it breaks. The seller wants 100% cash and won't hear anything else. The bank doesn't like the sector, which you find out in your lender matrix, not the week before settlement. Or the seller wants to stay in charge. Then they're not selling. Walk.

Jason's first deal ended in a $200 million exit to private equity, seven years later. That's episode 34.

Same price, same seller, same bank. How you treat the 40% decides whether the deal fails the floor or clears it with room to spare.

Where people lose money.

- Walking from every seller who wants cash, and staying stuck at businesses small enough for one structure.

- Giving the seller a stake with no drag-along. Two years later they have a say in your exit.
- Picking interest-only for the DSCR and forgetting the $2 million that comes due.

Or you can keep doing what you're doing. Keep walking from sellers who want cash. Keep running one business while the bigger ones go to whoever knew how to blend. And alone, a blend gets complicated fast: two parties to keep happy, a bank that wants things the seller doesn't.

On the call, short application, then me. We look at your seller, run all three options on the real numbers, and see whether the Owners Academy or 1:1 advisory fits. On bigger blended deals, equity or advisory roles are considered case by case.

If you're someone who's hit the ceiling of one business and would rather blend than walk, you've already decided.

Thirty days from now you'll be thirty days older either way. Either you'll still be walking from sellers who want cash, or you'll have run all three options on a real business and know which one fits.

Book a call with me below. Not a setter. Me.

Not ready? The free 3C Starter Kit has the DSCR calculator to run all three yourself.

Next episode: why I take debt over investors almost every time, and the protections that make debt safe.

EP 15 · Investor Money Is the Most Expensive Money in a $2M Deal

There are two types of first-time business buyers. The ones who borrow the money and keep the company. And the ones who sell half of it to get started, and spend years working for their investors.

On an $8 million exit, that choice is worth about $4 million.

Debt ends. Equity you give away never comes back.

Your first deal sets the cap table for everything after it. If you're building toward a group and an exit, the share you keep is the most valuable thing you own. Give it away to avoid a few bank meetings and you've sold the exit before you've started.

This is for people who want to own the company, not a slice of it. If you want a lifestyle business, this series isn't for you.

One line: borrow the money, keep the company.

Four parts. The claim, in numbers. Why everyone raises anyway. The test for when equity is actually right. And the three protections that make debt safe.

And if your first instinct was to find a partner with money, it has nothing to do with being naive or scared. It has everything to do with how buying a business gets explained. Everyone talks about raising money. Nobody shows you the bill at the exit.

I help owners build first structures they keep control of. Book a call below. Now the numbers.

The claim, in numbers.

Round numbers, illustrative. A business makes $500,000 profit. You buy it at four times, $2 million.

Route one, investors. They put up the money and take half the company.

Route two, debt. Seller note or bank, seven years at 4%. About $333,000 a year. DSCR 1.5, right on the floor. Over seven years you repay about $2.33 million. The interest is about $330,000, and the business pays all of it.

Now you grow it. Profit gets to $1 million. You bolt it into a group and sell at eight times. $8 million.

Investor route: you get half. $4 million. The investors get the other $4 million, and they had a vote on when and how you sold.

Debt route: the debt's long gone. You keep the lot, less your board's equity.

Think of it like a house. A loan is renting money for a few years. Equity is selling a room in your house, forever, to someone who also gets a say in when you sell.

Why everyone raises anyway.

Because raising feels safer. No repayments, someone else's risk. But it's slow. Months per cheque. And you give away equity, and with it control and the exit. A bank is set up to lend. Debt is easier to find than investors, and when it's paid, it's gone.

The other reason: people think you need to give away a big chunk to get serious people around you. Here's mine. My board was found entirely through LinkedIn and cold outreach. The founder of the Australian Institute of Fitness is a shareholder. I still keep 73% of my company.

My board does get equity. Founders' equity, earned by helping build the company. That's paying for credibility, not cash. You can bring in serious people and keep control at the same time.

[JOSH: one line on whether you were offered investor money early and why you said no.]

The test. When equity is right.

Debt is only safe inside the 1.5 rule. Debt the business can't comfortably cover isn't leverage. It's a trap.

So here’s the test. If the debt won’t fit inside 1.5 however you structure it, and the deal is good enough, a small amount of equity can close the gap. But try the longer term, the payment holiday, the blend and the earn-out first. Equity is the last tool, not the first.

And if you do bring investors in, give them economics, not control. Drag-along, no veto, set up from the start. A lender wants its money back with interest. An investor wants a share of everything, forever.

Three protections that make debt safe.

One. Personal guarantees. A guarantee lets the lender come after you personally if the business can’t pay. On larger deals, over about $5 million, you often don’t need one. An asset-rich business gives the bank its security. That’s typical, not universal. On smaller deals, expect to be asked. Don’t just sign. Ask what else would satisfy them: tighter reporting, a cash reserve requirement, security over specific assets. Buy through a company set up for that deal, and have your lawyer read every line of what you’re guaranteeing.

Two. Working capital. Buying the business is one loan. Running it is another. Get a working capital line approved before settlement and drawn on the day. It pays fees at close, integration and runway. As a rough guide, often around 10% of revenue: about $300,000 on a $3 million business. My good friend Cam got $500,000 of working capital from the bank on his two deals. The word that matters is approved. Not “should be fine”.

Three. A reserve floor. A number the business’s cash never drops below. A few months of payroll and debt payments. No distributions under it. And never stack credit cards on top of a seller note to get through a bad month.

The lender’s money cost about $330,000, paid by the business. The investor’s money cost $4 million, paid by you.

Where people lose money.

- Bringing in a mate’s money “just for the deposit” and giving away a third of the company for it.
- Signing a guarantee without asking what else the lender would take.
- Settling without approved working capital and paying the lawyers from your own pocket in week one.

That’s all of Capital. A business can pay for itself. The 1.5 rule keeps it safe. A lender bench funds it, and a blend keeps a cash seller in. Before this act, you’d have gone looking for investors.

Two paths from here. Alone, this is where people panic: they sign the guarantee unread, or sell a third for a deposit. Or you build the structure with someone who’s done it, so control stays with you from day one.

On the call, short application, then me. We work out your first structure, debt the business can carry, and whether the Owners Academy or 1:1 advisory fits.

If you’re someone who wants to own the company, not a slice of it, and you’ll read every line before you sign, you’ve already decided.

Thirty days from now you’ll be thirty days older either way. Either still wondering who’ll fund you, or with a structure on paper and your equity still yours.

Borrow the money. Keep the company. Book a call with me below. Not a setter. Me.

Not a fit yet? The free 3C Starter Kit has the executive summary template and the DSCR calculator.

Next episode, Act 4: the thousand cold calls and four failed deals before my first one closed, and why off-market is where the deals are.

Act 4 · Finding deals

EP 16 · I made 1,000 cold calls before my first 100% vendor-financed deal

There’s a well-kept secret in buying businesses. The one you should buy isn’t for sale.

It’s not on a listing site. No broker has it. It belongs to an owner nobody has rung yet.

Before my first deal I made about a thousand of those calls and watched four deals fall over. Then one closed, with no deposit.

Where you find a business decides what you pay for it. A listed business is an auction: cash buyers, sometimes private equity, a broker paid to push the price up. An owner you call direct has one buyer on the line. You. That’s where terms come from, and terms are where the money is. This is for people who’ll pick up the phone forty hours a week. If you want a listing to land in your inbox, this isn’t your episode.

The rule in one line: go direct to owners, and treat a thousand calls as the unit, not fifty.

Three parts. What happened on my thousand. Why off-market pays. And the system that turns calls into deals.

If you’ve looked for a business before and found nothing worth buying, it has nothing to do with your salary, your age or your contacts. It has everything to do with where you were looking. Most good businesses never go in the “for sale” window.

I help people run this, from the list to the first offer, in the Owners Academy or one-on-one. Book a call below if you want help with yours. Now the detail.

The confession.

At 25 I was unemployed. No savings, zero experience, no network.

You were told you need a network to find a deal. You were told good businesses come through brokers. You were told no owner sells to someone with no track record. I had none of that. So I called.

About a thousand calls. Four deals that got close and died. **[JOSH: one line on what killed one of the four failed deals.]**

The one that closed was a physio clinic. 100% vendor finance. Seven years at 4% principal and interest. A nine-month payment holiday. Rent in arrears. No deposit. I pulled about $150K out in year one.

The thousand calls and the four failures were the training. Nobody puts that part in the thumbnail.

Here's the diagnosis. The calls didn't fail because owners won't sell. Most of them said "not now," not "never." What I didn't have early on was a list I trusted, a fixed time to call, and a date to ring each owner back. Once I had those three, the calls stopped being a mood and became a pipeline.

Why off-market pays.

A generation of owners in traditional industries wants to retire. Clinics, electricians, cleaners, plumbers. Twenty or thirty years carrying the business. They want out, and they want their staff looked after.

Most have never listed. Listing means a broker, months of tyre-kickers and a buyer's bank process that can run sixteen weeks.

Call direct and three things change. There's no auction. You can talk about the seller getting paid over time. And you set the pace. Paid over time, a seller can get above market, six to seven times profit instead of three to five, and close in two to four weeks instead of six to sixteen.

Do the maths on that from the seller's side. A higher price, paid from a business they already know makes money, with no auction and no sixteen-week wait. For a lot of retiring owners that beats a lower cash cheque from a stranger.

One rule. Never say “vendor finance” to a seller. Say “getting paid over time.” One sounds like a loan. The other sounds like a pension.

The system.

Volume before judgement. Fifty calls tells you nothing. At call one hundred you’re reading off the page. By three hundred you sound like a person. By six hundred you hear an owner’s mood in the first sentence. You can’t skip to six hundred.

Pick one industry and one city. You want to sound like you know the space by week two.

Build a list of one to two thousand businesses from directories, associations, map searches and company registers. Owner’s name, phone, rough revenue. Aim for roughly half a million to ten million in revenue. Under about a million in value, a deal rarely throws off enough cash to pay the debt and pay you.

Block the same three hours every morning. Forty to fifty calls. Afternoons are follow-up.

Run a tracker. Status goes Cold, Warm, Hot, Financials, Offer, Due diligence, Close. The column that makes money is “next action date.” Every “not now” gets a date. Health changes. A partner wants out. The kids say no. Whoever calls back in the right month gets the deal.

It works without a track record. Saul, an Owners Academy member, found an electrical and air-conditioning business by cold call. Twenty-five staff, about $3.8 million revenue, owner retiring in two years. NDA signed, early due diligence. No broker, no auction.

Sixty hours to put yourself in front of most of the owners in one industry and one city. People spend longer picking a company name.

Where people lose money.

- Stopping at call sixty and deciding the industry’s wrong. The first thousand was the cost of entry, and you’ve thrown it away.

- No follow-up. Every “not yet” goes cold, and the owner sells to whoever rang back.
- Talking price on the first call. You’ve set the anchor before you’ve seen a tax return.
- Calling five industries at once. You sound like a tourist in all of them.

Two ways to do your first thousand calls. Alone, which usually means years, deals lost to silly mistakes, and quitting around call sixty. Or with someone who’s made the thousand and lived through the four dead deals, looking at your list and your calls every week.

On a call with me we work out your industry, your list and your first structure, and whether the Academy or one-on-one advisory fits.

If you’re someone who’d rather make the calls than wait for a listing, and you can hear no forty times and dial the forty-first, you’ve already decided.

Thirty days from now you’ll be thirty days older either way. Or thirty days older with most of your first thousand calls made and a tracker full of next-action dates.

Book a call with me below. Not a setter. Me.

Not ready? Grab the free 3C Starter Kit in the description.

Next episode: the six words you say when the owner picks up.

EP 17 · The 6-word question that finds off-market deals (copy it)

There are two types of people who ring a business owner. The ones who get a conversation, and the ones who get a click.

The difference is six words, asked inside twenty seconds. Most people bury them under two minutes of small talk, then quote a price to sound serious.

Here's the whole call, line by line, in the order the owner hears it.

The first sixty seconds decide two things: whether you get a second call, and what number you'll be negotiating from later. Get it wrong and you either get hung up on or you anchor a price you can't walk back. If you run a business, you've been on the other end of this call. You know how fast you decide.

The rule: earn ten seconds, ask the question, then ask, don't tell.

Five parts, in order. The opener. The question. The three answers. Discovery. The exit.

If your calls have been dying early, it has nothing to do with your voice, your age or your accent. It has everything to do with your first sentence.

I help people with this, from the first script to the signed offer, in the Academy or one-on-one. Book a call below. Now the call.

The opener.

Word for word.

Four parts. Name and company, so you sound like a business. "Building a company in your industry," so you sound like a buyer with a plan. That line only works if it's true, which is why Credibility comes first. "Wanted to introduce myself," which says relationship, not one-off. Then the question.

No "how are you going today." Every owner knows that line means a sales call.

[JOSH: one line on the opener you actually used on the physio clinic call, if it differed.]

The question.

“Have you ever thought about selling” is soft on purpose. It doesn’t ask them to commit. It’s easy for an owner to say, “Yeah, actually, I have.” And a fair few do.

Compare “Are you looking to sell?” That’s a yes-or-no about today, and today the answer is nearly always no. “Ever thought about it” lets them tell you about the bad year, the sore back, the kids who don’t want it.

The three answers.

“Yes, actually.” Don’t pitch. Ask, “What’s got you thinking about it?” Then shut up.

“Not right now.” Say, “No problem. I’m building relationships in the industry. Mind if I check back in six to twelve months?” Date in the tracker. A “not yet” owner is still an owner.

“No,” or the click. “No worries, thanks for your time.” Next call.

Discovery.

Most people think a good first call is a good pitch. That the owner needs to hear about you, your plan, your money. That’s not how it works.

You have the most leverage before you’ve said a number. The moment you say one, that’s the number. So on call one you ask.

That last one is the one people skip. A spouse, a partner, the accountant. If someone else decides, you want them on the next call, not hearing about it over dinner.

Learn the questions, then have a conversation. It should sound like two business owners talking.

Here’s why discovery is worth money. The answers become your structure. An owner who cares about the staff wants a handover period, and that’s time for you

to learn the business on their watch. An owner who wants steady income is the one who'll take getting paid over time. You can't design that offer if you spent the call talking.

Don't explain the 3C model. Don't say "vendor finance." Don't mention a multiple. And never say you've got no money.

If they ask how you'd pay: "We'd look at options once I've seen the numbers. Some owners like getting paid over time, some want more up front."

Here's an illustrative call.

"Hi Gary, this is Josh. I'm building a company in commercial cleaning here in Melbourne and wanted to introduce myself. Have you ever thought about selling?"

"Funny you ask. My wife's been on at me about it."

"What's got you both thinking about it?"

"I'm sixty-three. Back's had it. Kids aren't interested."

"If you did step back, what would matter most?"

"The staff. Some have been with me fifteen years."

"Would your wife want to be part of the conversation?"

"Probably, yeah."

No price, no structure, nothing about me. Gary did the talking. I know why he'd sell, what he cares about, and who decides.

The exit.

Leave every live call with an NDA going out or a date to call back. Send the NDA within the hour, not tomorrow. How fast it comes back is your first read on how serious they are. Once it's signed, you ask for three years of numbers, and that's where pricing actually starts.

On call one you have no tax returns, no revenue breakdown, no idea what the add-backs are hiding. Any number you say is a guess with your name on it. Saying a number early doesn't make you look serious. It hands the seller $280K of expectation that you created and now have to take back.

Where people lose money.

- Quoting a multiple to sound smart. The owner anchors on it for the rest of the deal.
- Saying "vendor finance." The owner hears "this buyer has no money." Say "getting paid over time."
- Finding out about the spouse or partner three months in, when they quietly kill the deal.
- Talking about yourself. Calls that die around two minutes usually died there.

You can keep pitching on call one, quoting a multiple, and finding out who really decides after you've spent three months on the deal. Or you can have someone listen to your calls and tell you what to fix.

On a call with me we work out your strategy, your first structure, and whether the Academy or one-on-one advisory fits.

If you're someone who already knows what it's like to carry a business alone, and you'd rather ask the question than give the speech, you've already decided.

Thirty days from now you'll be thirty days older either way. Or thirty days older with an opener that sounds like you and a few NDAs out.

Book a call with me below. Not a setter. Me.

Not ready? The free 3C Starter Kit is in the description.

Next episode: why we don't buy from brokers, and the one time we do.

EP 18 · Broker vs off-market: same $250K-profit business, $1M vs $1.66M

Every day, almost everyone looking for a business does the same thing. Same listing sites. Same brokers. Same auction.

A broker's job is to get the seller the highest price, in cash, fast. Fair job. It's the opposite of yours.

Same business, two ways to buy it. One costs about a million in cash. The other pays the seller more and costs you nothing up front.

If you've got capital, you can buy a listed business outright and plenty do. The question is whether you should pay auction prices with your own cash when the seller would fund it for you. Every dollar you don't put into deal one goes into deal two. This is for buyers who want terms, not just a purchase.

The rule: at least 80% of your deal-finding goes direct to owners. Brokers get 20%, at most.

Option A, buy listed. Option B, buy direct. A self-test. Then the verdict, and when a broker is still worth a call.

If you've lost listed deals before, it has nothing to do with your offer, your capital or your judgement. It has everything to do with the room you were in. That process is built for one outcome: the highest cash bid at settlement.

I help people buy with little to no money down, which mostly means getting them off listing sites and onto the phone. Book a call below. Now the detail.

Option A: buy listed.

Three costs.

Competition. A listing is an auction. Cash buyers, sometimes private equity. With little down you lose most of them. With money, you pay for the privilege of winning.

Price. The broker is usually paid on the sale. Their incentive is a high headline, cash at settlement, done quickly. An offer paid over time is what that process is built to filter out.

Leverage. The broker sets the timeline. You're one name on a spreadsheet. "Offers by Friday."

Brokers do real work. For a seller who wants the most cash on the day, a good one earns the fee. Just remember who they work for.

And the listing has been dressed for sale. Read it the way a lender would: the profit on the tax return, not the profit in the brochure.

Option B: buy direct.

Here's what a lot of buyers haven't caught up with. A generation of owners in traditional industries is ready to retire. The listing sites still look the same, but many of the owners who'll sell in the next few years haven't rung a broker yet.

For that owner, getting paid over time can be the better deal. Six to seven times profit instead of three to five. Two to four weeks to close instead of six to sixteen. You set the pace, you shape the structure, and you can walk away.

That conversation is hard to start once a broker has told the seller the goal is maximum cash.

And there's no bidding war, so the price is set by what the business can carry, not by the most excited buyer in the room. That's the number you want to pay.

The self-test.

Three questions.

Do you need the seller to carry part of the price? Do you want your capital free for the next deal? Would you rather not wait sixteen weeks on a buyer's bank?

Two yeses and you go direct. Three noes and you've got cash, patience and one deal in mind. Buy listed and pay the market. Just know that's what you're doing.

The verdict.

Direct first. Brokers for three things.

Stale listings. Six months or more on the market. The cash buyers have looked and passed, and the seller is more open than on day one.

Open brokers. Some will put terms in front of their client once they see a credible team behind you. Ask straight:

Market intel. What's selling, at what multiples, which owners asked about value and never listed. Take them for a coffee. Never tell a broker your walk-away number.

Same rules on a broker deal as any other. Three years of financials and matching tax returns before an offer. The 1.5 cover rule. And a willingness to walk.

In hours, that's four mornings a week on owner calls and one block on brokers and stale listings. Do that for a month and you'll know your market's prices better than most buyers, so the stale listing that's actually a bargain jumps out.

[JOSH: one listed deal you looked at and passed on, and why.]

You pay more in total. The seller gets more in total. The business pays the seller from its own cash flow with 1.5 times cover, and your capital stays free for the next one. For someone deploying money, the return on cash you didn't put in is the number that matters.

Where people lose money.

- Trusting add-backs. If "adjusted" profit is miles above the tax return, the price is built on air.
- Financials that don't match the tax returns. Walk away, listed or not.
- Letting "other buyers are interested" or a Friday deadline set your pace. You don't do your best work on someone else's clock.

- One or two customers making up a big slice of revenue. One contract leaves and so does your debt cover.

Two paths. Six months on listing sites, a handful of offers beaten by cash or won at the top of the range, then deciding little-to-no-money-down doesn't work. Or the same six months spent talking to owners, with someone who's read the numbers on the deals you're looking at.

On a call with me we look at your capital, your strategy and your first structure, and whether the Academy or one-on-one advisory fits.

If you're someone who'd rather set the terms than bid at an auction, and you want your capital in real businesses bought properly, you've already decided.

Thirty days from now you'll be thirty days older either way. Or thirty days older with owners on the phone, two brokers who know what you buy, and a stale listing worth a proper look.

Book a call with me below. Not a setter. Me.

Not the right time? The free 3C Starter Kit is in the description.

Next episode: the deal-flow maths. How many calls make one business.

EP 19 · 1,000 calls to 1 business: every stage of the deal-flow maths

Two owners both want a second business. One reads listings on Sunday nights and calls owners when the shop's quiet. The other calls in the same block four mornings a week and writes down five numbers every Monday.

A year later the first one has a folder. The second has offers out.

A friend of mine in the US, Elliot, sent around forty offers. Three came back signed, all at 100% seller finance. Forty to get three. That's what deal flow looks like.

If you own one business and want a second, the constraint usually isn't capital. The deal gets funded by the structure, the seller and the lender. The constraint is a pipeline you can't measure. This is for owners who like knowing where they stand. If you're counting on one lucky call, it might happen. Don't plan on it.

The rule: work backwards from one close to a weekly number, then track five stages.

Calls. Conversations. NDAs. Offers. Closes. Five levels. Each one leaks for a different reason.

If you've been at this for months with nothing to show, it has nothing to do with your work ethic or your market. It has everything to do with what you were counting. Most people count deals, and deals lag by months.

I help people build this pipeline and read it every week, in the Academy or one-on-one. Book a call below if you want someone to find your leak. Now the levels.

Level 1: Calls.

A call is a dial, answered or not. Say a thousand.

This is the one stage you fully control. If few calls turn into conversations, your list is weak or you're ringing at the wrong time of day. Mornings suit most owners.

Set a weekly call target you can hit four weeks running. Not a heroic one. Two hundred a week is four mornings of fifty. If you've only got evenings, the target is smaller and the timeline is longer. Plan with your real hours.

[JOSH: rough weekly call count in the run-up to your first deal.]

Level 2: Conversations.

A conversation is the owner, on the phone, hearing the question. Not the receptionist. Not voicemail. Say two hundred.

If you've got conversations but no NDAs, it's your opener and your questions. That was episode 17.

Track one more thing here: who asked you to call back, and when. Those "not yet" owners are Level 2 conversations you've already paid for. Ring them on the date and they cost you nothing to restart.

Level 3: NDAs.

An NDA counts when it's signed and back, not when you sent it. Say twenty.

A lot of these come from owners you first rang six or twelve months ago. That's why weeks one to five feel like nothing's happening. You're planting.

If NDAs pile up with no offers, you're over-analysing. Get the three documents, then send an offer.

Most of the twenty won't be right. The numbers won't stack up, or the owner isn't really ready. That's the stage doing its job. An NDA is cheap. It buys you a look at the books before you spend real time on the deal.

Level 4: Offers.

An offer counts when it's in the seller's hands with a price and a structure. Say four.

This is the number I care about most early on. So, honest question. You've been watching for months. How many offers have you sent?

Sending one feels huge. It isn't. A non-binding indicative offer is exactly that: non-binding. A price range and the shape of the deal, subject to diligence and finance. If diligence turns up problems, you adjust or you walk.

I know what you're thinking. "I've already got a business eating my week." Look at Jy Kingston, who I mentor. IT background, no finance experience. Twelve deals active while he closes his first. Not because he had advantages you don't. Because he had volume.

When you've got ten deals moving, you can walk from a bad one. When you've got one, you'll talk yourself into it.

Level 5: Close.

A close is settlement. Keys, not a handshake. Say one.

Offer to settlement can take three to six months. Diligence, finance, contracts. That's the lag, and it's why you never stop calling while a deal is in diligence. The next deal starts at Level 1.

You don't control closes. Owners and lenders do. You control calls, follow-ups and offers sent. Set targets on those three and treat the rest as the scoreboard.

If you've got offers but no closes, either your structures don't work for sellers or you're picking the wrong businesses. More calls won't fix that.

About sixty hours on the phone for one business, on these made-up ratios. Once you've made two hundred calls of your own, bin my numbers and forecast from yours: calls times your conversation rate, times your NDA rate. Now you can predict next month instead of hoping.

Fifteen minutes every Monday. Fill in last week, set this week. "Follow-ups due" is the owners whose next-action date lands this week. Often your cheapest deal flow.

Where people lose money.

- Fudging the definitions on a bad week. A voicemail isn't a conversation, and a sent NDA isn't a signed one.
- Sitting on twenty NDAs with no offers out. The deal goes to the buyer who sent one.
- Fixing the wrong stage. A month rewriting your script when the leak was your list.
- Working one deal at a time. You overpay for the only thing in your pipeline.

You can keep doing what the first owner does. Not knowing whether a ten percent conversation rate is good or terrible. Spending a month fixing the wrong stage. Twenty NDAs and nobody asking how many offers you've sent. Or you can have someone ask you every week.

On a call with me we work out your strategy, your first structure, and whether the Academy or one-on-one advisory fits.

If you're someone who's hit the ceiling of one business and knows the next step is a second, not more hours in the first, you've already decided.

Thirty days from now you'll be thirty days older either way. Or thirty days older with four rows on the Monday sheet and your first offer out or close to it.

Book a call with me below. Not a setter. Me.

Not now? The free 3C Starter Kit is in the description.

Next episode: the industries banks love to fund, so your thousand calls go somewhere.

EP 20 · Same $300K profit: why the bank funds the cleaner, not the agency

How come smart people with good jobs so often pick the one business a bank won't touch?

The café. The agency. The startup. Then the lender says no.

The best business to buy is usually the dullest one on the street. Here's how a bank picks, and a seven-question test to run before you make a single call.

With little to no money down, the lender and the seller are funding your deal. If they won't back the business, there's no deal, however good it looks. Five weeks of calls into an industry no bank likes is sixty hours gone. This is for people who want something bankable and build from there. If you want to buy the café you love, this will be a buzzkill.

The rule: the lender is your first customer. Pick the business they'd lend against.

Four parts. Why smart buyers pick wrong. What a lender pays for. Where to look. The test.

If you've been drawn to the interesting business, it has nothing to do with your judgement. It has everything to do with nobody telling you how a lender thinks.

I help people pick the industry and get the first deal funded, in the Academy or one-on-one. If you want a second opinion before you spend five weeks calling, book a call below. Now the detail.

Why smart buyers pick wrong.

Before you know how a lender thinks, you pick like a customer. Is it exciting? Would I use it?

After you know, you pick like a bank. Will this cash flow still be here in five years? What's there to fall back on if it isn't?

The customer lens costs you twice. The bank says no, and the seller, who needs the bank or the business to pay them, won't carry an offer either. You've done the work on a deal nobody will fund.

My first business was a physio clinic. Nobody's making a film about it. But the seller, the bank and I could all see exactly how it made money. **[JOSH: one line on why you chose a physio clinic for your first deal.]**

What a lender pays for.

Two things. Cash flow that lasts and assets to fall back on.

A business that's traded twenty years with repeat customers and vans, equipment and receivables gives them both. A two-year-old business with one big client and some laptops gives them neither.

Assets also change your personal risk. On larger deals, over about five million, an asset-rich business often gives the bank its security without a personal guarantee. Typically. Every lender and every deal is different.

You go into the bank as the interviewer. Part of that is bringing them a business they already like lending to.

One more filter: what caps this business? A location, one platform, one big customer, the owner? Some caps you fix after you buy. The one to fear is the owner. If the owner is the product, the customers might leave with them.

Where to look.

Healthcare. Allied health, GP, dental, imaging. Steady demand, regulated, clinicians tired of the admin. My friend Jason Nagy's first deal was a $5.5 million radiology business with no money down. He sold the group to private equity seven years later for $200 million.

Trades. Electrical, air-con, plumbing. Saul, an Owners Academy member, is in early diligence on an electrical and air-con business he found by cold call. About $3.8 million revenue, twenty-five staff.

Commercial services. Cleaning, logistics, waste. Contracts, vehicles, repeat work.

Professional services. Accounting practices and the like. Recurring fees.

What they share: traditional, fragmented, lots of owners near retirement. Fragmented is what makes a roll-up possible later. Buy several at around four times profit, combine them, and a group can sell at eight, ten, fifteen times.

The test.

Seven yes-or-no questions. Score the industry first, then each business.

Most of these you can answer from the outside. Years trading. Vans in the photos. Reviews naming the same staff for years. A website that talks about contracts, not one-off jobs.

Then a size check. Under about a million in value, a deal rarely has the cash flow to pay the debt and pay you. Five or more yeses and the right size, keep going. Fewer, move on.

Then the order. Score three industries and pick one. Score five businesses in it. Call two lenders and ask their appetite for that sector. Once a lender tells you what they like, build the list and start the calling block from episode 16.

Illustrative, not real businesses. Same profit. A gets funded, because the bank and the seller both believe the cash flow outlives the sale. B might be a fine business. It’s just not a first acquisition with little to no money down.

Where people lose money.

- Falling for the interesting business, then losing five weeks and a keen seller when no lender will touch it.
- Buying a business where the owner is the product. The customers leave with them, and so does your debt cover.
- Concentration. One client at 40% is one phone call from breaking your 1.5 cover.

- Industries being eaten by technology, or commodity work on thin margins. Cheap today, cheaper next year.
- Financials that don’t match the tax returns. Walk, however much you like it.

That’s finding deals done. You know the deal is usually off-market, the six words, why brokers get 20%, the five numbers, and which businesses a bank will follow you into. The person who knows that doesn’t go back to scrolling listings.

Two paths from here. Pick the industry you find interesting, and find out after five weeks of calls that no lender wants it. Or pressure-test the industry with me before the first call, so the five weeks go somewhere.

On a call with me we look at your industry, your strategy and your first structure, and whether the Academy or one-on-one advisory fits.

If you’re someone who’d rather own the dull business than admire the shiny one, you’ve already decided.

Thirty days from now you’ll be thirty days older either way. Or thirty days older with an industry scored, two lenders’ appetite in your notes and your first few hundred calls made.

Book a call with me below. Not a setter. Me.

Not the right time? The free 3C Starter Kit is in the description.

Next, Act 5: the three documents you get before any offer.

Act 5 · Closing the deal

EP 21 · Never name a price before these 3 documents (the $600K gap)

There are two types of business buyers. The ones who read the tax returns before they name a price. And the ones who pay four times profit for profit that was never there.

Illustrative numbers. The P&L says $500,000. The tax return says $350,000. At four times, that gap is $600,000 of price.

So here's my rule. No documents, no number. And the way a seller sends them tells you more than anything they say on the phone.

The first number you say becomes the anchor for the whole deal. Say it too early and every later conversation is you climbing down from it, or the seller holding you to it. This is for people who'll put serious hours into buying a business and want to pay for profit that exists. It isn't for anyone who wants to fall in love with a business on the first call.

Price is the last thing you discuss, not the first. Three documents, one test, then a number.

If you've talked price too early before, it has nothing to do with being naive or bad with numbers. It has everything to do with the order you were shown. Listings put the asking price at the top and the documents after you're attached.

Most buyers think naming a number early shows you're serious. That's not how it works. A number without documents shows the seller you'll pay for a story. The serious move is the request.

I help owners and operators do this, from the first request to a funded offer. Book a call below. Now the detail.

Three years of financials.

Profit and loss plus balance sheet, for three years. One year can be a fluke: a big contract, a bad winter, an insurance payout. Three shows the pattern.

The P&L tells you what the business earns. The balance sheet tells you what it owes: tax, staff entitlements, equipment loans. Those become your problem on settlement day. Illustrative: a $200,000 tax debt is $200,000 off your price, or the seller's to clear before settlement. Either is fine. Finding it after you've signed isn't.

Ask for accountant-prepared statements, not management accounts. Management accounts are where the optimistic numbers live.

Matching tax returns.

This is the one that sets the price. The financials are what the owner tells you. The tax return is what the owner told the government. Banks lend against what can be proven.

If the two don't match, one of two things is true. The owner under-reported to the tax office, or over-reported to you. Neither is a business you pay the higher number for. And "we run a few things through cash" is income no bank will lend against. The business is worth what it can prove.

When the owner asks why you need returns, tell them straight. "The bank lends against the returns. If I want to pay you properly, I need them."

Revenue by financial year.

Split the way the business earns it: by service line, location or customer group. In healthcare, billings by practitioner.

Same three-year total. One is growing, one is shrinking, and the owner of the shrinking one will quote you last year's profit. The split also shows where the risk sits. If the retiring owner bills half the revenue, half the revenue retires with them.

And read gross margin across the same three years. Revenue up with margin slipping means the owner has been buying growth with price. You'd be paying a multiple on a trend that's about to turn.

The NDA test.

Send a confidentiality agreement within a day of the "maybe". Once it's signed, send one paragraph: three years of financials, matching tax returns, revenue by year, straight from the accountant.

Then count the days. Serious sellers send in a day or two and start asking about your timeline. Curious ones take weeks and only want to talk price. They don't get deleted. They go back on the follow-up list, and your week goes to the ones who sent.

Saul, an Owners Academy member, found an electrical and air-conditioning business by cold call, direct to the owner. About 25 staff, around $3.8 million in revenue, owner retiring in two years. NDA signed, now in early due diligence. No broker, no bidding war. Just the sequence.

[JOSH: one line on a seller whose returns didn't match the P&L, and what you did]

The range comes from the returns. The 1.5 rule tells you how much of that range the business can actually carry. Paid over seven years at 4%, $266,000 a year carries about $1.6 million. So on these numbers your real offer sits near four times, and you know that before the seller has heard a number.

Where people lose money.

- Naming a price on the first call. You anchor to the seller's story and spend the deal climbing down.
- Accepting management accounts. A $150,000 gap at 4× is $600,000 you pay for nothing.
- Over-asking. Three documents, not a 200-line checklist. The long list comes in due diligence, after the letter.

- Reading them alone. Send them to your accountant and your board the day they land.
- Treating a mismatch as a negotiating point. Statements that don’t match the returns end the deal. You walk, politely.

You can do this alone. You skip the documents because you like the owner, offer on a number no bank will lend against, and lose three months finding out. Or you sit next to someone who’s done it and read the same documents together before you name a number.

On a call with me we work out your strategy and your first structure, and whether the Owners Academy, with every template and daily deal discussion, or 1:1 advisory fits you. It’s for people who’ll give this 40-plus hours a week and want a big outcome: a roll-up exit, a legacy business or flips. It’s not for lifestyle-business hunters.

If you’re someone who’d rather read the numbers than be sold the story, and who’ll send an NDA this week, you’ve already decided. Thirty days from now you’ll be thirty days older either way. Either your “maybe” sellers are still sitting in your inbox, or you know which are real and what their profit actually is.

Book a call with me below. Not a setter. Me.

Not ready? Take the free 3C Starter Kit. It has the three-document request.

Next episode: the documents check out, so you write the offer.

EP 22 · The 2-page offer behind a 100% seller-financed deal (copy it)

There's a well-kept secret in buying businesses: the deal is won in a two-page letter, not the contract.

Illustrative. A business making $400,000. Offer $1.6 million. All of it paid over time, out of the business's own profit. No deposit.

Get 80% of the deal agreed in that letter and the lawyers just write it down. Here it is, line by line, in the order the seller reads it.

Everything you leave out of the letter gets settled later by two law firms on the clock. Everything you put in gets settled now, in a five-minute conversation with the owner. If you already own one business and can't see how you'd fund the second, this letter is usually how.

An offer letter is an NBIO or LOI: a non-binding indicative offer, or letter of intent. Same job. What you'll pay, how you'll pay it, and what has to be true first. Four sections.

If you've hit a ceiling at one business, it has nothing to do with your ambition or your bank balance. It has everything to do with a structure nobody showed you. Banks and brokers talk as if you pay cash on the day. Many retiring owners don't need that. They need to see how they get paid.

I help owners write these and get them signed. Book a call below. Now the letter.

Price and method.

Write one number, not a range. Then show the working: "Based on FY24 financials and tax returns, adjusted profit of $400,000, at four times." Small businesses usually trade at three to five times profit.

When the owner sees your method, the conversation is about the inputs, not whether you're being cheeky. If they argue, they argue the profit or the multiple, and you've got the tax returns for one and the market for the other. And you agree the headline first, because that's where sellers fight hardest.

How you get paid.

This is where no-money-down lives. Cash at settlement, amount paid over time, term, rate, payment holiday, any rollover where the seller keeps a slice, any bank debt alongside.

Two words never appear: vendor finance. Not in the letter, not on the phone. Say “paid over time”. Same thing, and it sounds like what it is: the owner getting looked after.

You were told you need a deposit. You were told sellers want the biggest cash cheque. You were told nobody takes a letter seriously without a track record.

My first deal was a physio clinic. 100% vendor finance, seven years at 4%, principal and interest. Nine-month payment holiday. Rent in arrears. No deposit. I was 25, unemployed, no savings. The structure did the work.

[JOSH: one line on how you asked for the nine-month holiday, and the seller’s reaction]

Ask for the holiday after the headline is agreed. Once they have their price, time to make sure the business keeps performing reads as sensible.

Why would an owner take this? Because paid over time, owners will often accept more than they’d get in cash today, and close in two to four weeks instead of the six to sixteen a bank takes. They want out, and they want to be looked after. The letter shows them both.

Conditions.

What must be true before you’re bound. Satisfactory due diligence. Finance approval if a bank is in. Lease assigned or renewed. Licences confirmed. Key staff on agreements. The seller’s transition in writing.

These are your exits and your renegotiation levers. If diligence finds a problem, the conditions are how you change the price or walk. A letter without them is a promise to pay for whatever you find.

Exclusivity and timeline.

Exclusivity, usually 60 to 90 days, so the seller doesn't talk to other buyers while you pay accountants to check the business. Then target dates for diligence, contracts and settlement. A tired owner wants to know when it ends. Give them a date.

Then put the small money items in as one line each: stock on hand, staff leave entitlements, how long the owner stays, whether the vehicles are included. Five minutes now. Three invoiced emails later.

Call the owner, walk them through it in plain English, and send it the same day. Their accountant and their kids will read it, so it has to explain itself without you. One line on why the structure is good for them, in their words: paid in full, over time, out of the business they built. Some clauses, usually confidentiality and exclusivity, are often binding. Your lawyer reads it once, on a fixed fee.

At four times the business carries the letter with room for a bad year. At five times on the same terms it doesn't. When the owner wants more, change the shape, a longer term or some rollover, never the 1.5.

Where people lose money.

- Writing a range. The seller hears the top of it.
- Saying "vendor finance". It sounds like a loan the owner is giving a stranger, and the conversation goes cold.
- Leaving the economics for the contract. Every open item becomes billable hours.
- Waiting for the perfect letter.

A friend of mine in the US, Elliot, sent about 40 offers. Three came back signed at 100% seller finance, some on "pension plan" terms, like $350,000 a year for life on $500,000 of net operating income. Forty letters. Three signed. People who get deals send letters.

Or you keep doing what you're doing. One business, waiting for enough cash to buy the next, sending vague letters and leaving half the deal for the lawyers.

Or you book a call with me. We work out your strategy, sketch your first structure, and decide whether the Academy or 1:1 fits. Joining comes with the NBIO template I use. A client was quoted about $7,000 for the same document. It's for people who'll put in 40-plus hours a week and send an offer before they feel ready. Not for anyone after a four-hour work week.

If you're someone who's built one business and knows it isn't the last, you've already decided. Thirty days from now you're either thirty days older with a blank page, or thirty days older with a signed letter the business can pay for.

Book a call with me below. Not a setter. Me.

Not ready? The free 3C Starter Kit has a DSCR calculator to check your letter against the 1.5.

Next episode: the seller says someone offered more.

EP 23 · 5 negotiation mistakes that add $400K to a business price

Two buyers get the same message: another buyer has offered $2 million.

James has one deal. He goes up $400,000. Chad has eleven other conversations. He replies, “No worries, good luck.” Often the seller comes back to Chad at $1.6 million.

The best negotiation tactic in buying a business is being genuinely able to walk away. Here are the five mistakes that make it impossible.

A business is paid for over seven years or more. One phone call where you cave sets the payments for all of them. If you already run a business you know this from the other side. The customer who needed you more than you needed them always paid more. This is for people who’d rather lose a deal than overpay for one.

Walking away is a position, not a mood. You can’t fake it. The second-best tactic is a time limit.

If you’ve caved in a negotiation before, it has nothing to do with being soft or bad at deals. It has everything to do with having one option. Anyone with one option negotiates badly, and the seller hears it in your voice.

I help owners build the pipeline and hold the line. Book a call below. Now the five, worst first.

Mistake 1. Negotiating with one deal.

If this is the only seller you’re talking to, you’ve lost before you start. Run ten or more conversations at once. Most die at the documents stage, which is the point.

Jy Kingston, one of my students, came from IT with no finance background. Twelve deals active, closing his first. Twelve is what lets you say no to one. My own first deal came after about a thousand cold calls and four deals that fell over. With one deal at a time I’d have quit after the first.

Rule of thumb: if you can't name three other sellers you'd happily buy instead, you're not ready to negotiate this one. Go make calls.

Mistake 2. No written walk-away line.

Write it before the call. Mine: debt payments covered at least 1.5 times. Statements match tax returns. Seller commits to a transition. No single customer big enough to sink the business. None of those is a feeling. Decide at your desk, not on the phone with your heart rate up. Keep it on a card next to the phone. If a deal breaks one line, you're out, and you can be polite about it.

Mistake 3. Matching the "other buyer".

Most of the time it isn't true. And the market has moved. A generation of owners in traditional industries is ready to retire. They don't want to wait sixteen weeks for a bank. They want out and looked after. The highest number on paper often loses to the offer that feels certain.

Even if the other buyer is real, your maths didn't change. So you say: "No worries, good luck with them. My offer stands until Friday."

To test the claim without calling it a lie, ask a normal buyer's question. "Are they paying cash at settlement or over time? Is their finance approved?" A real buyer has answers. A made-up one goes quiet.

Often they come back. Sometimes in a few days. Sometimes in six months, after the other buyer's bank said no. Either way you didn't pay $400,000 to find out.

[JOSH: a time you walked away and the seller came back, if you have one]

Mistake 4. Moving price instead of terms.

When a seller says the price is too low, that's rarely the whole story. Ask: "Price aside, is selling to us the right move for you? What would need to be true?"

Usually it's the staff, whether they'll actually get paid, or what they'll do on Monday. You solve those with terms: a transition role, staff commitments, monthly

reporting so they can see the business is healthy. None of it costs you cover. And let them keep the work ute. Spend leverage where the money is.

Mistake 5. Deadlines you don't keep.

"This offer is open for 24 hours." It's respect for both people's time. A seller who's sat on your letter for three weeks either wants it or doesn't. But a deadline you extend twice teaches the seller your words are soft. If they let it lapse, let it lapse. You can always send a fresh letter in three months, on the same numbers.

Watch for the reverse too. "I need an answer today" from a seller is artificial urgency. Your answer is the same: your offer, your timeline, your line.

Illustrative. At 1.2 one bad year and you can't pay. Matching would cost $400,000 of price to buy a business you can't safely carry. And the extra $66,000 a year comes out of the cash you'd use to grow it, every year for seven years.

Where people lose money.

- Chasing after a no. Check in every six to eight weeks, then quarterly. Health scares, bad years and kids who don't want the business change sellers' minds. The polite buyer who kept in touch gets the call.
- Confusing liked with respected. You can be warm and still say no.
- Spending your week negotiating when you have fewer than ten conversations. That week is for calls.
- Negotiating against yourself. Dropping your own terms before the seller has asked for anything. State the offer, then wait for the counter.

You can do this the hard way: one deal, no written line, and a seller who senses it. You overpay, or you freeze and lose it, and start again from zero. Or you take the path where the pipeline is built properly, the line is written before the call, and someone in your corner tells you to walk when you don't want to hear it.

On a call with me we work out your strategy, your first structure, and whether the Owners Academy or 1:1 advisory fits. In the Academy, when a seller bluffs you

post it and get a straight answer that afternoon. It’s for people who’ll put in 40-plus hours a week and want a roll-up exit, a legacy business or flips. Not for the four-hour-work-week crowd.

If you’re someone who wants more than the one business you’re stuck inside, and who’ll make the calls to have somewhere to walk to, you’ve already decided. Thirty days from now you’re either still holding your breath over one seller’s reply, or you’ve got a pipeline and two sentences you can say without flinching.

Book a call with me below. Not a setter. Me.

Not ready? The free 3C Starter Kit’s DSCR calculator gives you your walk-away number.

Next episode: they’ve signed, so now you check everything.

EP 24 · Every layer of due diligence, from $500K “adjusted” to $400K real

How come investors who’d never buy a share without reading the annual report will buy a whole business on the seller’s adjusted number?

Illustrative. “Adjusted” profit, $500,000. Real profit, $400,000. At four times, that’s $400,000 paid for nothing.

Due diligence is the last point where you can still change the price. Here are the five layers between the seller’s number and the real one.

You priced the business at a multiple of profit. Every dollar you prove or disprove now moves the price by three to five. This is for people with capital who want it in a business whose profit is proven. It isn’t for anyone who’d rather skip the boring work and trust the seller.

Due diligence is about the quality of earnings: is the profit real, will it stay after the owner leaves, and how much cash does it take to run.

If you’ve been burnt before, it has nothing to do with being careless. It has everything to do with who wrote the number. The adjusted figure is written by the one person who benefits from it being high.

Most buyers think diligence is about finding reasons to say yes. That’s not how it works. It’s where you find out what you’re buying, and reprice it.

I help investors and owners run this and take the findings back to the seller. Book a call below. Now the layers.

Level 1. Reported profit.

The tax returns from episode 21. This is the floor: the profit the business has proven to the government. Everything above it has to earn its place. If the seller’s pitch starts above this line, your diligence starts here.

Level 2. Adjusted profit.

Add-backs are the owner's adjustments to show what a new owner would earn. Some are fair: a personal car through the books, a genuine one-off legal bill. Test every one.

The "one-off" legal bill that shows up every year isn't one-off. The owner adding back his own salary forgets someone has to do his job, and that person costs money. Rule: an add-back survives only if a stranger could justify it with paperwork. Ask for the invoice, the payslip, the contract. No paper, no add-back. Each $10,000 that fails is $40,000 off a 4× price.

Level 3. Durable profit.

Profit that stays after you settle. Two checks.

Concentration. Revenue by customer. One or two customers over about 30% is a red flag. One over half, you walk or price it heavily. Check their contracts can be assigned to you. And look at the share across all three years. A customer that's gone from 15% to 35% is a concentration problem in the making.

Source. Where does each dollar come from: repeat customers, referrals, a contract, or the owner's golf mates? If the honest answer is "the owner's relationships", that revenue might leave with him.

[JOSH: one diligence finding from your own deals that changed the price or structure]

Level 4. Cash profit.

Working capital: the cash tied up in stock and unpaid invoices that pays wages before customers pay. If the seller strips the cash before settlement and you put it back, that's a deposit by another name. Agree the level in the contract and line up the working capital facility before close. Watch debtors too. If customers have been taking longer to pay each year, profit can look fine while cash runs dry.

Level 5. People.

The financials tell you what happened. The staff tell you what's about to. Interview key people before you settle, with the seller's agreement. Ask what they'd change, who customers actually call, who's thinking of leaving.

If the business runs on two or three people, put retention bonuses in the deal, say at 90 days and one year. Often it isn't the owner the business runs on. It's the office manager of fifteen years. The worst finding is the one you get on day three, when your best technician resigns.

Who does what. Your accountant runs quality of earnings. Your lawyer covers contracts, lease, licences, employment and disputes. The operator on your board walks the site. You run the timeline, 90 days at the outside.

Same multiple you agreed in the letter, new input. That's why diligence was a condition. You're not haggling when you go back. You're applying the formula the seller already accepted to a corrected number, and showing the paperwork for every line.

Where people lose money.

- Accepting the adjusted number. The table above.
- Ambushing the seller. Sit down with the log: here's what we found, here's what it does to profit, here's what that does to price. Most owners respect working, not haggling.
- Only using price. A concentration risk can be fixed by paying part of the price only if that customer is still there in a year. A staff risk, by the seller staying longer.
- Killing a good deal at the first finding. Issues under about 10% of profit, accept or adjust. Statements that don't match returns, or a seller who won't transition, you walk.

Or you keep doing what you're doing. Capital sitting in low-yield assets. Deals you look at without knowing which add-backs to believe. Either accepting them all, or panicking and killing a deal that only needed a price change.

Or you run diligence like it’s your money, because it is. On a call with me we work out your strategy, your first structure, and whether the Owners Academy, with the diligence checklist and daily deal discussion, or 1:1 advisory fits. You don’t need to be a finance person. Jy came from IT. You ask the right questions and make your team answer them. It’s for people who want their capital in real businesses and will put the hours in. Not for passive hope.

If you’re someone who reads the fine print before you commit capital, you’ve already decided. Thirty days from now your capital is either sitting where it is, or you have a log and a way to prove profit before you pay a multiple on it.

Book a call with me below. Not a setter. Me.

Not ready? Run your real profit, not the adjusted one, through the free 3C Starter Kit’s DSCR calculator.

Next episode: diligence is done, so you get it signed in four weeks.

EP 25 • Share sale vs asset sale: from signed LOI to keys in 4 weeks

This one isn't for anyone buying a business one day. It's for the four weeks between a signed letter and the keys.

Run them right and the business pays its own legal bill. Illustrative: a $300,000 working capital line, $60,000 of fees paid from it at settlement, $240,000 of runway on your first morning.

Run them wrong and the deal dies in a lawyer's inbox.

Good deals rarely die at contracts over a big problem. They die because nobody's driving. The bill doubles, the seller gets nervous at month three, and you're back at the start of the pipeline. This is for people who'll run the last stage like a project, not wait on it.

Two decisions and one plan. Which contract. How the paid-over-time paperwork protects you. Then four weeks to settlement.

If a deal has stalled at contracts before, it has nothing to do with not being a legal person. It has everything to do with nobody owning the timeline. Lawyers are trained to find risk, not to finish. You finish.

I help owners get contracts done on time and on budget, on the terms they agreed in the letter. Book a call below. Now the detail.

Option A. Share sale (SPA).

A share purchase agreement means you buy the company itself. Staff, contracts, lease and supplier accounts carry on automatically. Simpler on day one.

But you inherit its history, known and unknown. That's why share deals need more diligence and stronger promises from the seller in the contract: warranties and indemnities.

Option B. Asset sale (APA).

An asset purchase agreement means you buy the parts you want, equipment, customer list, name, and leave the old liabilities with the seller's company. The cost is admin: contracts, leases and licences re-done or assigned to your company, and some customers told.

Self-test and verdict.

Three questions. Did diligence come back clean? Are there contracts or licences that can't be easily assigned? Does the seller have a strong tax reason to sell shares?

If diligence found gaps, or the history is messy, lean asset. If everything is clean and the key contracts can't move, a share sale can be the simpler path.

For no-money-down deals, an asset sale often gives you more control and less risk. A share sale is fine with clean diligence and proper warranties. On bigger deals, ask about warranty and indemnity insurance. Tax changes by country and deal, so your lawyer and accountant make the call. And raise it at the letter stage, not week three of contracts.

Four weeks, run like a project.

Before most buyers know how this stage works, they hand over the contract and wait. They approve another round of drafting, watch the bill climb and the seller go quiet. That's fee-jacking.

Once you know a contract without a deadline expands to fill the time, you stop waiting. Fixed scope before they start. A list of the six or seven issues that matter, in order of money, with an instruction not to reopen what the letter settled. A weekly call. A deadline in writing. Good firms will defer fees to closing, so they want to get there too. That's the point of putting 80% of the deal in the letter. Less to argue about means fewer hours.

[JOSH: how long your first deal took from signed LOI to settlement]

The paperwork that protects you.

For the part paid over time, five checks. The seller's note sits behind any bank debt. You can repay early without penalty. Liability sits in the buying company, not your house. A default on one agreement doesn't automatically trigger the others. The seller gets regular reporting.

Personal guarantees: larger deals, typically over about $5 million, often don't need one, because the business's assets are the bank's security. Typically. Every lender and deal is different.

Then minority rules, set from day one. Your board holds founders' equity, two to ten percent each. No veto or voting control for minorities, and a drag-along, so when the majority sells, the minority comes on the same terms. Without it, one person with 3% can hold up an exit years from now.

Settlement day.

In order. Sign the purchase and paid-over-time documents. Bank money moves. Keys, passwords, system access. Insurance live the same day the seller's stops. Working capital line drawn, fees paid from it.

Before you sign, tick off every condition in your letter: finance, lease, licences, key staff agreements, and the seller's transition in writing, anywhere from six months to three years.

And plan the first week before you settle. Who tells the staff, and when. Which customers get a call from the seller introducing you. Which accounts move to your company. Settlement day is your team's first impression of you as the owner.

A good friend of mine, Cam, closed two deals in 23 days. 100% vendor finance, interest-only for ten years, balloons in years three and ten, and $500,000 of working capital from the bank. Fast settlements need a tight letter and someone driving the lawyers.

Working capital lines are often around 10% of revenue. Drawn on settlement day, the business funds its own close.

Where people lose money.

- No deadline. Hours grow to fill the time, and the seller’s nerve doesn’t.
- Switching share to asset sale in week three. It reopens the deal.
- No drag-along. The cheapest clause now, the most expensive to fix at exit.
- A seller who wants to hand over the keys and vanish next morning. That’s a finding you should have had weeks ago.

There are two ways through this stage. Alone, the lawyers set the pace, the bill doubles and the seller backs out at month three. Or with someone who’s done it holding the timeline with you, so four weeks means four weeks.

On a call with me we work out your strategy, your first structure, and whether the Owners Academy or 1:1 advisory fits. In the Academy you ask how others handled the issues list before your lawyer bills you for the answer. It’s for people who’ll put in 40-plus hours a week and want a big outcome. Not for lifestyle-business hunters.

If you’re someone who’s tired of “one day” and wants to hold the keys, not just the letter, you’ve already decided. Thirty days from now you’re either waiting on a draft, or four weeks into a plan with a settlement date on the calendar.

Book a call with me below. Not a setter. Me.

Not ready? Take the free 3C Starter Kit.

That’s Closing done. Next episode starts Act 6: your first 100 days as the owner.

Act 6 · Grow what you bought

EP 26 · 5 mistakes that sink a $1M vendor-finance deal in the first 100 days

Two new owners buy the same $2 million business on the same seller note.

James restructures in week two. By month three his best supervisor has gone, a big customer has followed, and the first seller payment is due on profit that no longer exists.

Chad changes nothing big for a month. He makes every payment.

Same business. Same debt. The difference is five mistakes. Here they are, ranked, with what each one costs.

In a 3C deal the seller and the bank are paid from the business. Your whole structure rests on one ratio: free cash flow covering debt payments at least 1.5 times. That's DSCR, debt service cover. Break the cash flow in the first 100 days and you break the structure, before you've pulled a single growth lever.

Keep one number in your head. A business doing $250,000 profit can carry about $166,000 a year to the seller. That's the speed run from episode 11, and it leaves less room than it sounds.

This is for people who've bought, or are about to, and plan to own for years. If you want to buy a job and coast, skip this act.

The first 100 days have one job: keep the machine you paid for running long enough to understand it.

Most new owners think day one is where you make your mark. They think the new boss has to look decisive. They think change is what they bought. That's not how it works. You bought cash flow that already exists. Your first job is to not interrupt it.

And if you came out of a corporate job, the urge to change everything isn't your fault. It has nothing to do with your judgement or your ambition. It has everything

to do with years of being rewarded for visible change. In a business paying off its own purchase price, visible change is the risk.

I help owners plan this before settlement, so the structure and the first 100 days fit together. Book a call below. Now the five.

Restructuring before you measure.

Week two, new org chart. Week three, new software. Every change you make before you have a baseline is a guess with borrowed money.

The rule: thirty days of real numbers before your first big change. Revenue by source. Gross margin, meaning what's left after the direct cost of the work. How full the team's week is. Cash in the bank every Friday.

Here's why it costs so much. Most changes are cheap to make and expensive to undo. New scheduling software takes a week to install and three months to bed in, and while it beds in the crew bills fewer hours. On a $2 million business at a 40% gross margin, a 5% dip in billable work is $40,000 of profit you didn't plan for.

Going silent with the staff.

You paid for the people. They walk faster than customers do. In silence, staff fill the gap with the worst story.

Day one, stand in front of them and say what isn't changing. Pay, roles, how the work gets done. Be specific. Your key people should already be on employment agreements as a condition of closing, not an afterthought. Lose one supervisor and you can lose the customers who trust them.

Not visiting the top customers with the seller.

Pull your top 20 customers and the share of revenue each one is. Then visit or call them with the seller beside you, introducing you as the person who looks after them now.

If one or two customers are over 30% of revenue, that's a red flag in diligence. If you bought one anyway, those customers get the first visits and a call from you every month.

Letting the seller disappear.

Negotiate a written transition, six months to three years. A seller being paid over time wants you to succeed, because their money depends on it. Use that.

Book a weekly handover. Ask for what isn't written anywhere. Who to call when the van breaks down. Which customer pays late but always pays. Then hand each relationship to a named person in the business, not just to you. Put the handover in the sale agreement, with hours and a schedule, so it's a term and not a favour.

Buying growth before you find the ceiling.

This is the expensive one, because it feels like progress.

Ask one question. If sales doubled next month, what breaks first? The one supervisor? Scheduling? Quoting? That answer is your first hire or your first system. It is never your first marketing campaign. Buying customers you can't serve costs you the customers, the staff and the reviews at once. A capacity fix pays twice. It protects the revenue you bought, and it's what lets every other lever in this act work.

The order: days 1 to 30, listen. Days 31 to 60, measure and find the ceiling. Days 61 to 100, make one fix.

My first deal, a physio clinic, came with a nine-month payment holiday. That wasn't luck. It was a term in the deal, there to buy time to learn the business, not rebuild it. **[JOSH: one line on what you changed, and didn't, in your first 100 days at the clinic]** I pulled $150,000 out in year one. That's not typical. Look at the shape: no deposit, a holiday before the first payment, and a business that kept running while the new owner learnt it.

One supervisor and one customer. You've gone from comfortable to underwater without changing a single price.

Where people lose money.

- Spending the working capital line on a rebrand instead of runway. That line is drawn at settlement for fees, integration and time.
- Not matching the payment holiday to the integration plan. Negotiate the holiday you need for the plan you've written.
- Raising prices on every customer in month one, before they know you. Price is next episode, and timing is half of it.

You can work this out alone, with a restructure in week two and the seller payments landing before the business has settled. Or you write the 100-day plan before settlement with someone who's already made the mistakes.

That's what the call is for. We work out your strategy and your structure, and whether the Owners Academy or 1:1 advisory fits you.

If you're someone who'd rather listen for a month than guess with borrowed money, and you're buying to own for years, you've already made the decision.

Thirty days from now you'll be thirty days older either way. Or thirty days older with a baseline sheet, a seller handover in the calendar and a business still running the way you bought it.

Book a call with me below. Not a setter. Me.

Not ready? Grab the free 3C Starter Kit below.

Next episode: the first growth lever, and why it's the price, not more customers.

EP 27 · A 10% price rise vs 10% more customers ($450K vs $330K profit)

Most professional buyers look at the price list before they look at marketing.

Here's why. On the same $2 million business, 10% more customers adds about $80,000 of profit. A 10% price rise adds about $200,000.

Same revenue. More than double the profit. I'll show you the maths, the test for whether you're cheap, and the order to do it in.

Profit sets the price of a business, not revenue. Every extra dollar of profit is worth three to five dollars when you sell, and it makes every seller payment safer from the first month. At four times, $200,000 of extra profit is $800,000 of extra value.

This is for owners and buyers who want more out of capital already in the business. It isn't for anyone who wants to be the cheapest in town. That's a race you win by going broke slowly.

Price is the biggest profit lever in a boring business, because a price rise carries no extra delivery cost.

Everything you were told points the other way. You were told the cheapest quote wins. You were told a business grows by adding customers. You were told a price rise loses the customers you've got. And that's exactly why so many boring businesses sit on a price list from years ago while costs rise every year.

If you own one of these businesses, being cheap isn't your fault. It has nothing to do with your skill or your work ethic. It has everything to do with nobody putting the margin maths in front of you.

I help people buy businesses with little to no money down and then do exactly this. If you want the numbers run on your deal, book a call below. Now the two options.

Option A. Win 10% more customers.

Revenue goes from $2 million to $2.2 million. But every new job carries its delivery cost. At a 40% gross margin, $200,000 of new revenue leaves $80,000.

And it isn't free. You need the capacity to deliver it, and you pay to win those customers. Profit lands around $330,000 before acquisition costs.

Now add them. Say the average job is $5,000, so you need forty new customers, and each one costs $2,000 to win. That's another $80,000. In year one, the volume play nets close to nothing.

Option B. Raise prices 10%.

Same $2.2 million of revenue. Same jobs, same crews, same materials. So the extra $200,000 lands almost entirely as profit. You go from $250,000 to about $450,000.

And the part that matters for a sceptic. At a 40% gross margin, a 10% price rise still breaks even if one in five jobs walks. Most businesses lose far fewer than that.

The self-test.

Three checks for whether you're cheap.

One. When was the last price rise? If it's more than a year ago and your costs have moved, you're almost certainly undercharging. Line the price history up against wages, materials and insurance. If costs are up 20% since the last rise, a 20% rise only gets you back to where you were.

Two. What's your quote win rate? Count last quarter's quotes and how many you won. If you win almost every quote, you're not great at sales. You're cheap.
[JOSH: confirm]

Three. Is there a budget option that eats your crew's time? Kill it or price it properly. One offer, one price.

Price first, then volume.

Start with new customers. New quotes, new contracts. Nobody has a reference point. Then move existing customers with at least a month's notice, a short letter, the new rate and no apology. Put the seller beside you on the calls to your biggest accounts, because those customers trust the seller more than you yet.

Move in jumps big enough to read. A tiny change disappears in the noise. Pick a step that shows up in the numbers, run it on new quotes for a few weeks, and watch your win rate. You don't double prices overnight in a trades business. **[JOSH: confirm]**

If you have contracts, read them for a review clause. Plenty of service contracts allow an annual increase that nobody has used in years. That's a price rise the customer has already signed.

And never discount to win. If a customer pushes back, change the terms, not the price. Deposit up front, staged payments, a longer contract.

The ceiling is your team and your customers' satisfaction. Push past it and you'll know, because good customers start leaving for the right reasons.

For the capital deployer, here's the opportunity. A business that hasn't moved its prices in years is the cheapest value you'll ever buy. You pay a multiple of today's profit. The price rise is profit the seller left on the table.

[JOSH: one line on whether you repriced at the physio clinic after settlement, and what happened]

Same top line, and the price rise is worth almost half a million dollars more at exit than the volume play, before you've paid to win a single customer.

Where people lose money.

- One letter to every customer in month two, before they know you. The biggest account walks, and so does a fifth of your cover.

- Tweaking prices by 2% a year. Too small to read, too small to cover rising costs.
- Discounting to close. Every dollar off comes straight out of profit, and out of the multiple.

Or you can keep doing what most owners do. Keep the price list from five years ago. Keep paying the seller out of thin margins. Keep calling rising costs a tough market.

On the call, we put the price move into your deal model, so the seller payment and the price rise are designed together. Then we work out whether the Owners Academy or 1:1 advisory fits.

If you're someone who'd rather fix one number than hire five people, and you can read a margin and act on it, you've already decided.

Thirty days from now you'll be thirty days older either way. Or thirty days older with a new price on every new quote and a win rate you can read.

Book a call with me below. Not a setter. Me.

Not ready? Get the free 3C Starter Kit below.

Next episode: you've fixed the price. Now buy the customers instead of waiting for them.

EP 28 · Every level from referrals to buying customers at $4,000 each

Every owner of a boring business gets the same growth advice: post more, hire an agency, wait for referrals.

When it doesn't work, you're out the money and the months. And referrals arrive when they feel like it, not when the seller payment is due.

How about something different. You buy customers, on purpose, at a price you worked out before you spent a cent. Here's every level from word of mouth to that.

A business that grows on referrals is valued on what it did. A business that can show cost per customer, lifetime value and revenue by source is valued on what it will do. That's a better story in front of a bank and a better multiple in front of a buyer.

This isn't for anyone hoping a logo refresh will do the job, or anyone who wants to spend on ads before the business can deliver.

A real business can turn money into customers at a known return. Five levels get you there. Each one adds one constraint.

If your business has stalled on referrals, that's not your fault. It has nothing to do with your service or your reputation. It has everything to do with how most boring businesses were built: one owner, one phone, and word of mouth.

I help owners buy boring businesses with little to no money down and build this on top. Book a call below. Now the levels.

Level 1. Referrals only.

Good customers send friends. It's a gift, not a system. You can't choose to grow in a given month, and you can't plan seller payments around a gift.

When I look at a deal, I ask one question: can revenue be bought here, with outbound or ads? If yes, there's upside the seller isn't pricing in. And it cuts both

ways at the exit. A referral-only business sells for less, because the buyer can't see where next year's customers will come from.

Level 2. The owner sells.

Growth now equals the owner's hours. Quotes, follow-ups, the big accounts. It works, and it's a ceiling. If the owner can quote fifteen jobs a week, the business tops out at fifteen quotes a week, whatever the market wants. It's also key-person risk, and a buyer will discount it. That's episode 29.

Level 3. Know what a customer is worth.

Lifetime value is the gross profit a typical customer brings over the whole time they stay. Gross profit, not revenue, because revenue doesn't pay for marketing. If you can't calculate it yet, take your last twenty customers and what they've paid you so far. A rough number beats none.

A common rule: lifetime value should be at least three times what it costs to win the customer. Below that, you're buying revenue at a loss once overheads land.

Then work backwards to a budget per quote. In the example on screen, that's up to $1,000 to get each quote in front of a decision-maker. Now you can judge a channel before you spend.

And from today, tag every new customer with its source. Referral, outbound, ads, website. Blended numbers hide which channel actually pays.

Level 4. One channel with an input you can count.

I know what you're thinking. My industry runs on relationships. Outbound doesn't work here.

I made about 1,000 cold calls before my first deal. Saul, a member of the Academy, found an electrical and air-con business, 25 staff, about $3.8 million in revenue, with a cold call straight to the owner. The question that finds a seller is the same muscle as "who looks after your cleaning at the moment?"

For a business-to-business service, outbound is often the first machine. A list, a script, a number of dials a day. For a consumer business, it’s usually paid ads. Either way, the input is counted.

Here’s how that reads, illustratively. One caller on $70,000 makes 40 dials a day. Two hundred dials a week gets twenty conversations, four quotes and one new contract. Fifty-two contracts a year at about $1,350 each, against a $4,000 ceiling. That’s a channel worth feeding.

Before you scale it, check the offer sells to strangers, not just to friends of existing customers. If cold leads don’t buy, fix the offer first.

Level 5. The volume knob.

Once a channel pays back, you feed it. Turn it up when you want growth. Turn it down to build systems. Growth stops being something that happens to you.

Two limits. Delivery first: run the “double the work” test from episode 26 before every push. And keep the 1.5× cover in front of you every month, because your marketing is paid from the same cash flow that pays the seller.

The first marketing money often comes from the deal itself. The working capital line is drawn at settlement. Cam, a good friend of mine, did two deals in 23 days with 100% vendor finance and got $500,000 of working capital from the bank.

It’s borrowed money. Test small, set the test size before you start, and never fund marketing with unsecured debt.

A channel that gets you in front of a decision-maker for under $1,000 a quote is worth running. Above that, it’s not, however good the agency’s report looks.

Where people lose money.

- Hiring an agency in month two and spending the working capital on clicks the crew can’t deliver.
- Calculating lifetime value on revenue, not gross profit, and overpaying for every customer.

- Judging a channel on lead count. A cheap channel full of tyre-kickers can lose money while it looks busiest.

You can build this alone, by trial and error with the money that’s meant to pay the seller. Or you build the acquisition plan into the deal model before you close.

On the call we work out your strategy and structure, and whether the Owners Academy or 1:1 advisory fits.

If you’re someone whose business has hit a ceiling it shouldn’t have, and you’d rather know your cost per customer than guess it, you already know what to do.

Thirty days from now you’ll be thirty days older. Either still waiting on referrals, or thirty days older with your lifetime value worked out, every customer tagged and one channel running every week.

Book a call with me below. Not a setter. Me.

Not ready? Get the free 3C Starter Kit below.

Next episode: the lever that moves the multiple most. Making the business run without you.

EP 29 · Why $380K profit sells for more than $500K

There are two types of business owners: the ones who own a business, and the ones who own a job with a business around it.

They can make the same profit. They sell for very different prices.

Here's the contrarian part. Cutting your profit by $120,000 can add $400,000 to what the business is worth.

Small businesses trade at roughly three to five times profit. Where you land in that range has a lot to do with one question: does the business need its owner?

If the owner wins the customers and keeps them happy, a buyer sees key-person risk. If the owner leaves, so do the customers, and the buyer prices that in.

This is for anyone who wants to own more than one business, or sell one for a proper price. It's not for people who want to be the hero who does everything.

Owner-independence is valuation. Three boxes, three named people, and proof that it runs without you.

If you're the owner who's still the business, that's not a character flaw. It has nothing to do with being a control freak or not trusting your people. It has everything to do with how small businesses grow. The founder does every job first, and nobody ever hands them on.

I help people buy businesses with little to no money down and set them up to run without the owner. Book a call below. Now the detail.

Why people believe the opposite.

Owners are paid on profit, so every salary feels like money out of their pocket. "Why pay a manager $120,000 to do what I do for free?"

Because you're not free. Your time is the cost the P&L doesn't show, and the buyer sees it straight away.

Think of two rental properties with the same rent. One has a tenant on a five-year lease. The other only earns if you live in it and run it as a guesthouse. Same income. Nobody pays the same for both.

The market has moved.

A generation of owners in traditional industries is ready to retire. They want out, and they want to be looked after. And most of their businesses run through them. Twenty years of being the first call for every customer, every quote, every problem.

That's often why they're selling. Saul, an Academy member, is in early due diligence on an electrical and air-con business: 25 staff, about $3.8 million in revenue, and an owner retiring in two years. That's the pattern. So the buyers who know how to take the owner out of these businesses are the ones who capture the gap between three times and five times. Once you've bought, the owner in the middle is you.

Three boxes, three names.

Split the business into three boxes.

Win the work: everything that brings customers in. Quoting, sales, the big accounts.

Do the work: everything that delivers and keeps customers. Crews, clinicians, account managers.

Protect the business: everything that keeps the other two out of trouble. Finance, payroll, compliance, HR.

Write a name under each. Every box with the owner's name, or the seller's, is key-person risk. Fix one box at a time. Low revenue is a Win-the-work problem. Churn is a Do-the-work problem. A missed invoice or a licence that nearly lapsed is a Protect-the-business problem.

In a 3C deal, your board and external team already cover a lot of Protect the business. Your job is a named person in the business for each box, not just on a board.

Build it, then prove it.

Set the scorecard before you hire for a box. A manager who writes their own scorecard writes one they can hit.

Pay by box. Win the work and Do the work earn money, so tie part of their pay to results. Protect the business is a cost centre, so it's salaried. Buyers like a pay structure they can see tied to results.

Write the SOPs. Every repeatable job written down or screen-recorded, so a new hire does it well in week one. Record one job a week and in a year you have fifty jobs that don't need you.

Watch labour cost per revenue dollar. As systems make jobs easier, it should fall as you grow. If it's rising, you're adding people, not systems. Work it out for the last twelve months now, so you have a starting point a buyer can compare against.

Use the seller transition. The seller's job isn't just to answer questions. It's to hand their relationships to named people, so the next buyer doesn't depend on you either.

Then prove it. The strongest evidence you can hand a buyer is a stretch where the owner was away and the numbers held. Two weeks is a start. A month is better. Write down what broke and fix that next.

I run a healthcare group full time. I built my board from LinkedIn and cold outreach, and I keep 73% of my company. **[JOSH: one line on who runs the clinics day to day, and the longest you've been away with the numbers holding]**

Less profit, more value. The $120,000 salary bought $400,000 of exit value, and the owner's week back.

Where people lose money.

- Hiring a general manager with no scorecard, then paying them for a year to define their own job.
- Keeping every big customer relationship personal. It feels like loyalty. To a buyer it’s a discount.
- Never taking the test month. Claiming the business runs without you is worth nothing next to the numbers that prove it.

Or you keep doing what you’re doing. Keep being the first call. Keep holding every relationship yourself. Keep telling yourself you’ll step back next year, while you can’t buy business number two because you can’t leave business number one.

On the call we plan the handover and the three boxes into the deal before you close, and work out whether the Owners Academy or 1:1 advisory fits.

If you’re someone who’s tired of being the first call, and you’d rather build something a buyer wants than a job nobody can take off you, you’ve already decided.

Thirty days from now you’ll be thirty days older. Either still the name in every box, or thirty days older with a name in each one, a scorecard written and four jobs recorded.

Book a call with me below. Not a setter. Me.

Not ready? Get the free 3C Starter Kit below.

Next episode: the nine numbers to check every Monday, and why buyers read them before your P&L.

EP 30 · The 9-number Monday sheet buyers read before your P&L (copy it)

How come people who've made real money elsewhere find it so hard to tell a good small business from a bad one?

They can read a statement. They have a good accountant. And they still get handed a box of paperwork and a "trust me".

It has nothing to do with intelligence. Nobody tracks the right few numbers. Here's the one-page sheet that fixes it, line by line, in the order a buyer reads it.

If you own a business, these nine tell you every Monday whether it's safe, growing and sellable. If you're buying, they're the questions to ask a seller, and what they can't answer tells you something too.

And at the exit, a buyer's diligence starts here. Clean, consistent numbers mean shorter diligence and a multiple that holds.

This isn't for people who'd rather check the bank balance and hope.

Few numbers, every week, same order. Three for survival, four for growth, two for the sale.

Before an owner tracks these, they run on the bank balance and a feeling. A bad month shows up three months late, in the accountant's report. After, the bad month shows up on a Monday, while there's still time to fix it. Same business. Different owner. **[JOSH: one line on what you tracked weekly before and after your first deal]**

If you've been running on feel, that isn't your fault. It has nothing to do with being bad at maths. It has everything to do with nobody handing you a short list and a habit.

I help people buy businesses with little to no money down and run them on numbers like these. Book a call below. Now the sheet.

Survive.

Line one. **Cash against your floor.** A simple floor is two months of fixed costs plus the next seller payment. **[JOSH: confirm]** Below it, nothing else on the sheet matters until you're back above it.

Line two. **Debt service cover.** Free cash flow over debt payments. The 3C rule is 1.5× minimum. Track it monthly, look at it weekly, and know your headroom before the bank asks.

Line three. **Customer concentration.** Share of revenue from your biggest customer and your top five. Over 30% in one or two customers is a red flag in diligence. Don't own a business you'd walk away from buying.

Grow.

Line four. **Revenue by source.** Referral, outbound, ads, repeat. Blended numbers hide which channel pays.

Line five. **Cost to win a customer.** Total sales and marketing spend divided by new customers. Include everything: ads, the salesperson's wage, the free first visit. Leave costs out and the number lies to you.

Line six. **Lifetime value to that cost.** From episode 28: at least three to one.

Line seven. **Gross margin.** What's left of each dollar after the direct cost of the work. From episode 27: it's where price shows up.

Read four and five together. A channel can bring in a small share of your leads and a large share of your revenue. Look at lead counts alone and you'll cut the one that pays the bills.

Sell.

Line eight. **Labour cost per revenue dollar.** From episode 29. It should fall as systems make jobs easier.

Line nine. **Churn, or repeat rate.** How many customers you lost, or how many came back. Recurring, sticky revenue is what lenders and buyers pay for.

The Monday habit.

At the bottom of the sheet, one line: what you expect next week, in numbers. Next Monday, compare. Predicting and checking is how you learn the business faster than anyone who just reads reports. When the guess is wrong, the gap tells you which line to look at first.

Twenty minutes, same time every week. Update the nine. Anything red gets one question: why, and who owns the fix? Then write next week's guess. If you have a general manager, they run it and you listen. The business reports to you, not through you. **[JOSH: confirm]**

What the buyer sees.

In Act 5 we asked sellers for three years of financials, matching tax returns and revenue by year. These nine are the same lens, pointed at a target. Ask the owner for as many as they have.

Now flip it. Two owners each say their business makes $500,000. One hands over a box of statements. The other hands over two years of these nine, every week, with tax returns that match. The second gets the cleaner offer and the faster diligence. And speed matters in money. Every month diligence drags is another month for a buyer to find something to renegotiate.

On my first deal I pulled $150,000 out in year one while the seller was paid over time from the same business. When the seller is paid from the business, lines one and two are the ones that let you sleep.

One sheet, nine lines, two to watch. That's a business you can run in twenty minutes, and a story a buyer can check.

Where people lose money.

- Calculating cover only when the bank asks. By then the headroom's gone.

- Starting the sheet in January and stopping in March. Two years of weekly numbers is the asset. Ten weeks isn't.
- Buying on a box of statements and a handshake, when the nine questions would have shown the gap in an afternoon.

That's the end of Grow. You've kept the business, raised the price, built a customer machine, taken your name out of the three boxes, and put it on nine numbers.

You can do this alone: a spreadsheet you abandon, a cover ratio you never check, and a buyer who marks your price down because the numbers don't line up. Or you set up the numbers before you close, and they follow you all the way to the exit.

That's the line. Before this act, a business you bought was something you hoped would work. Now you know how to keep it, grow it and prove it. Crossing that line takes a decision, not certainty.

On the call we work out your strategy, your structure, and whether the Owners Academy or 1:1 advisory fits.

If you're someone with capital who wants to see it work every Monday, and you'd rather vet a deal on nine numbers than a handshake, you've already decided.

Thirty days from now you'll be thirty days older either way. Or thirty days older with four Mondays of numbers on one sheet and your first forecast checked.

Book a call with me below. Not a setter. Me.

Not ready? Get the free 3C Starter Kit below. The cover calculator is in it.

Next episode, Act 7 starts where this pays off: the roll-up. Buy at four times, sell at ten.

Act 7 · Scale and exit

EP 31 · Buy at 4×, sell at 8×: every multiple from 3× to 10× explained

There are only two types of people who put money into businesses. The ones who get paid the day they buy. And the ones who get paid the day they sell.

The second group buys small businesses at around four times profit and sells them together at eight, ten, sometimes fifteen. Same profit. Double the price.

Here's every rung on that ladder, what moves you up one, and why I never model the top.

A multiple is the price divided by one year of profit. On two million of profit, the gap between four times and eight times is eight million dollars. That's bigger than all the cash flow you'll take out along the way.

This is for owners and investors who want a big outcome. If you want one business to run quietly until you retire, that's a fine life. This episode isn't for you.

You were told the money is in buying cheap. Or in working harder inside the business. Or in having a big pile of capital. None of that is where the big number comes from.

Here's the whole idea in one line. A buyer pays less for risk and more for certainty. A roll-up buys risk cheap and sells certainty dear.

There are four levels. Most owners sit on level one their whole lives and think it's the market price.

And if nobody showed you the higher rungs, that's not your fault. It has nothing to do with how smart you are or how much you've saved. It has everything to do with only ever seeing one business at a time.

I help owners and investors buy the first business with little to no money down, then build the group with the exit written down from day one. Book a call below. Now the detail.

Level 1: the owner's business, ~3×.

A business making four hundred thousand a year. The owner does the quoting, holds the relationships, and keeps the books for the tax return.

A buyer asks one question: what happens to this profit when the owner walks out? Nobody knows. So they pay three times, maybe four, and carry the risk on the rest.

This is where you buy. You don't fight this multiple. You harvest it. My first deal was a physio clinic at this level, bought at 25 with 100% vendor finance.

Level 2: runs without you, 4–5×.

Same four hundred thousand. Now a manager runs it, the numbers tie to the bank every month, and no customer is more than a tenth of revenue.

The risk dropped, so the multiple rose. That's the work from Act 6: price, a customer machine, owner-independence. One rung up on four hundred thousand of profit adds four to eight hundred thousand of value. Without a dollar more profit.

Level 3: the integrated group, 6–8×.

Five of those, one industry, one region. One back office. One set of numbers. Two million of profit.

Now a different class of buyer turns up: private equity and larger companies who need size before they'll look. They pay more because the profit is bigger, steadier and spread across sites.

The key word is integrated. Five businesses with five sets of books is a collection. A collection sells at level-one prices. Episode 33 is how you build the group.

Level 4: the platform, 8×+.

A group with a proven way to buy and bolt on the next business. The buyer isn't paying for what you own. They're paying for what they can add to it.

This is where ten and fifteen times live. It happens. I never put it in a model. If your deal only works at ten times, it doesn't work.

Here's the rule behind the whole ladder. Every rung is one less risk the buyer has to price. Owner risk goes at level two. Size and concentration risk go at level three. Growth risk goes at level four. You don't climb by working harder. You climb by removing a reason to pay less.

Most owners watching this are on level one with one business. The next move isn't a second business. It's getting the first one to level two, because that's what makes it the anchor of a group.

Four million of value came from nothing but putting them together properly. The rest came from two engines running at once: profit going up, and debt going down, paid by the businesses themselves.

And every deal in it still passes the rule from episode 12 on its own: profit covers the repayments at least one and a half times.

Where people lose money.

- **Paying seven times for business three** "because we'll sell at twelve." You just handed the seller your arbitrage. Buy at three to five. Every deal stands on its own cash flow.
- **Building a collection, not a group.** Five books, five habits. The buyer pays level-one prices. On two million of profit, four times instead of seven is six million gone.
- **The wrong vertical.** If three big players own the market, there's nothing to roll up. You want fragmented and boring, with owners near retirement: healthcare, trades, commercial services. Test: can you list a hundred businesses in your industry and region?
- **Modelling the exit at ten.** The exit is the bonus on a deal that already works.

From here there are two paths. You can do it alone: buy business one, get swallowed running it, and never build the group. Or buy five, never integrate, and sell five small businesses at small multiples.

Or you can do it with someone who's built these structures and already paid for the lessons.

On a call with me we write your vertical and your exit thesis, structure your first deal inside the one-and-a-half-times rule, and work out whether the Owners Academy or 1:1 advisory fits. If neither does, I'll tell you.

If you're someone who wants the group, not just the job. Someone who'd rather own cash flow than wait on a yield. Then you've already made the decision.

Thirty days from now you're thirty days older either way. Or you're thirty days older with your vertical in one sentence, a hundred businesses on a list, and the gap between four and eight times worked out on a real target.

Book a call with me below. Not a setter. Me.

Not ready? Grab the free 3C Starter Kit: the executive-summary template, the three documents to ask a seller for, and the DSCR calculator.

Next: why business number two is easier than number one, and the three gates to pass first.

EP 32 · Business #1 vs business #2: the $250K business that pays for itself

Owning one good business is a phenomenal thing. Until it stops growing past you.

Then you go from building to maintaining. One income. One valuation, at a small-business multiple.

The second business is cheaper to buy, faster to close, and pays for itself. My good friend Cam did two deals in 23 days. Here's business one against business two, the test to run, and the verdict.

Business two is where a group starts. Last episode showed why a group sells for more than its parts. You can't build one without a second deal.

This is for owners with one business that's running and profitable. If you haven't bought your first yet, keep this one for later. If one business is plenty, skip it.

One line: on deal one you borrow everything. On deal two you spend what deal one built.

Before deal one, you called owners who'd never heard of you. You walked into lenders as a stranger. After deal one, you know what a seller needs to hear, what a lender needs to see, and which lawyer to call.

And if number one felt like a grind, that's not your fault. It has nothing to do with your talent or your stamina. It has everything to do with it being the first time.

Four things change between deal one and deal two. Then a three-gate test, then the verdict.

I help owners buy the first business with little to no money down, then the next one faster. If you want number two planned around number one, book a call below. Now the detail.

Credibility: borrowed vs owned.

On deal one you borrowed credibility from a board you paid in founders' equity. On deal two you have your own.

One sentence does it: "We own a clinic in this region, and here's how it's performed since we bought it." That does more on a seller call than any board bio.

The board doesn't go away. It still matters to a lender. But you're no longer asking a retiring owner to trust people they've never met. They can ring the seller you bought from last year and ask how it went. That reference is worth more than anything you can put in a deck.

The lender: stranger vs customer.

A lender who funded deal one, or just watched it, now has twelve months of your reporting. They've seen the cover ratio hold. You're not a hypothetical anymore. You're a customer, and a bank is set up to lend to customers.

Cam's second deal came with five hundred thousand of working capital from the bank. Both his deals were 100% vendor finance, interest-only for ten years, with balloon payments in years three and ten.

The cash: nothing vs a surplus.

Business one makes three hundred thousand. Repayments are two hundred. That's one and a half times cover. A year of Act 6 work takes profit to three hundred and sixty. Repayments don't move. Now there's a hundred and sixty thousand left after repayments.

Keep sixty as a reserve, in its own account, never touched. Point the other hundred at deal two: fees, a buffer the lender can see, or a small upfront amount if a seller wants one.

Business two pays for itself. It's the speed run: two hundred and fifty thousand of profit, divided by one and a half, is about a hundred and sixty-six thousand a year to the seller. Ten years, one point six six million. A strong offer, funded by the business you're buying.

Your job: operator vs owner of operators.

On business one you were the operator. On business two you own two operators. You stop doing the work and start checking it.

That's why number two goes in the same industry and region. Then it isn't a distraction. It's the same thing done twice, sharing a back office later.

[JOSH: one line on how your second acquisition differed from your first.]

Process and pipeline: new vs run once.

Deal one, every document was new. Deal two, you have the NBIO template, the diligence checklist, and lawyers and accountants who know how you work. Diligence goes faster when everyone's done it with you before.

And your pipeline is warm. Remember the owners who said "not yet" during your first round of calls? Some of them are ready now. Call them back. That's how Cam moved fast. The machine was ready before the deals showed up.

Two businesses, still above the line. "I don't have the capital to buy more" stops being true, because number two pays its own way.

THE SELF-TEST.

Three gates. Business one runs without you: a real stretch away and nothing breaks. Its cover has held at one and a half or better, every month, for six months. Number two is in the same vertical.

Verdict: pass all three, buy number two. Fail one, fix it first. It's cheaper than watching two businesses slide.

Where people lose money.

- **Buying #2 before #1 runs without you.** Your attention splits and both slide. The cover on business one is usually the first thing to go.

- **Signing a cross-guarantee nobody read.** Each business sits in its own company under your holding company, so a bad number two can't take number one with it. Ask your lawyer before you sign.
- **Draining #1's reserve.** One bad quarter and you're missing repayments on the business that was paying for everything.
- **A cheap deal in a new industry.** You're learning from zero again, with nothing to share.

Or you can keep doing what you're doing. Keep running one business at its ceiling. Keep watching owners in your industry retire and sell to someone else.

On a call with me we check business one against the three gates, then structure number two so it pays for itself and sits in its own company. We work out whether the Owners Academy or 1:1 advisory fits.

If you're someone whose business has stopped growing past you, and you'd rather build a group than polish one shop, this is the next move.

Thirty days from now you're thirty days older either way. Or you're holding six months of cover ratios, a reserve in its own account, a coffee booked with your lender, and twenty "not yet" owners from your first round of calls rung back.

Book a call with me below. Not a setter. Me.

Not there yet? Take the free 3C Starter Kit: the executive-summary template, the three documents to request, and the DSCR calculator.

Next: running ten businesses without ten jobs.

EP 33 · The structure behind 10 businesses and 1 back office (copy it)

Take two owners. One owns one business and does every job in it. The other owns ten and does none of them.

The one with ten works less. And his back office alone can be worth close to a million at exit.

That comes down to one thing: structure. Here it is, layer by layer, in the order a bank and a buyer read it.

In a group, structure is money three ways. Ring-fencing protects what you already own. A shared back office adds profit. Clean, separate numbers lift the exit multiple.

Getting it right before deal one costs a few legal bills. Fixing it at deal five costs months, and sometimes a lender's consent you can't get. Every deal you add either slots into the structure or becomes another job for you. This is for people building a group. If you'll only ever own one business, take layer one and skip the rest.

Most owners think more businesses means more work. They think the owner has to be the best operator in the building. That's not how it works.

Here's how it works, in one line. The job in a group isn't running businesses. It's building the structure that runs them, then choosing the people who sit in it.

And if you're stuck inside one business right now, that's not your fault. It has nothing to do with your work ethic. It has everything to do with one business, set up the usual way, putting every job on the owner.

Four layers.

I help owners set this up before deal one, so they're not unpicking it at deal five. Book a call below. Now the detail.

The top: you and the holding company.

At the top is you, often through a family trust or your own company. Under that, the holding company: the permanent vehicle. Your board holds its founders' equity here.

Two things to set on day one. Issue a lot of shares, a million not a hundred, so handing a director ten thousand is easy later. And give minority holders drag-along, with no veto and no voting control. If a director with three per cent can block a sale, a buyer will price that in.

I keep 73% of my company. **[JOSH: one line on how your healthcare group's holding structure is set up.]**

One company per deal.

Every business you buy goes into its own new company under the holding company. One deal, one company. Its own bank account. Its own facilities.

That's the ring fence. If business seven has a bad year or a lawsuit, it stays in business seven. Lose one arm, the octopus lives. And each company's numbers are clean on their own, which is how a buyer wants to see them.

Once you're across several industries or regions, add one more level: separate arms under the holding company, each with its own businesses, its own manager and its own lenders.

Read any cross-guarantee with your lawyer. On larger deals, often over about five million, an asset-rich business can give the bank its security without a personal guarantee. Typically. Every lender and deal is different.

The shared back office.

Split every business in two. The front wins and serves customers: sales, service, the team on the tools. That stays local.

The back is the same everywhere: bookkeeping, payroll, HR, insurance, legal, compliance. Move it up to the holding company and run it once for all of them.

That’s where a group gets cheaper to run than its parts. One set of systems also means your Monday numbers arrive in the same format from every business.

Build it in order. First one strong finance person who can run the books for three or four businesses. Then, as the group grows, split that job into specialists: a controller, a head of people, eventually your own legal and compliance. Hire slowly, and hire people who’ve done it in bigger companies.

A manager in every business.

Each business gets a general manager who owns its results. Not you. Not the seller, long term. Often the best GM is already inside the business: the senior person staff go to when the owner isn’t there.

Set the numbers before they start. Never let a senior hire write their own targets. Pay a base, plus a bonus tied to that business’s profit and a few of its Monday numbers.

Then your job fits on one line. Read the numbers every Monday. Meet each GM once a month. Run a quarterly board. Keep lenders and the sellers you’re still paying informed. Find the next deal. You allocate capital and choose people. The group gets easier once every GM is better at running their business than you would be.

That’s nearly a million of exit value from a back office. Before buying power with suppliers.

Where people lose money.

- **Everything in one company.** One lawsuit or one bad site puts every business at risk, and the bank prices it that way.
- **A back office never centralised.** The group costs more to run than its parts, and a buyer sees a collection and pays small-business multiples.
- **The owner as GM of everything.** Ten jobs, no business, and a buyer who knows the profit walks out with you.

- **Handshake equity without a drag-along.** A small holder can stall your exit.

Two paths from here. You can build it alone, one fix at a time, and find out at deal five that it all sits in one company. Or you can set it up with someone who's already built these structures.

On a call with me we draw your structure, plan the back office you'll share, and work out whether the Owners Academy or 1:1 advisory fits.

If you're someone who's tired of being the bottleneck, and you want to own several businesses without working inside any of them, this is how.

Thirty days from now you're thirty days older either way. Either still doing payroll on a Sunday, or with your structure on one page, your back-office costs totalled, and a GM job description written before you need one.

Book a call with me below. Not a setter. Me.

Not ready? Take the free 3C Starter Kit: the executive-summary template, the three documents to request, and the DSCR calculator.

Next: my friend Jason Nagy's two hundred million dollar exit, and what private equity actually pays for.

EP 34 • $5.5M zero-down to a $200M exit: 5 things private equity pays for

There's a well-kept secret in selling a business. A buyer only pays for what they can check.

At seven times profit, every hundred thousand they can't verify is seven hundred thousand off your price.

My friend Jason Nagy bought a five and a half million dollar radiology business with zero down. Seven years later, private equity bought the group for two hundred million. Here are the five things a buyer like that checks, ranked by how much they cut your price.

The exit is usually the biggest cheque of your life. Most owners find out what it's worth three weeks before settlement, when the buyer's accountants tell them.

This is for owners who want to sell one day for a lot more than they paid. If you plan to hold forever and hand it to your kids, some of this helps. The rest isn't for you.

I know what you're thinking. Radiology. Two hundred million. My situation is different.

Look at the shape of it. One deal, a sixty-forty structure, nothing down. Then years of building what a buyer pays for. Jason's result isn't typical, but the shape is the same at five million.

[JOSH: one line on what Jason built in those seven years, if he's happy to share.]

The whole idea in one line: a buyer pays a multiple of the profit they can prove will stay after you leave. Five checks, smallest cut first.

I help owners buy the first business with little to no money down and build it for the exit from deal one. Book a call below. Now the detail.

Check 1: a clean structure.

Each business in its own company, under one holding company. Minority shareholders with drag-along and no veto, set up from the start.

If a director with three per cent can block the sale, the buyer prices in the delay. Cheap to fix on day one. Expensive the week before settlement.

The same goes for every business sitting in its own company. A buyer wants to see each piece on its own, with its own accounts, leases and contracts, so they can value it and finance it.

Check 2: room to grow.

A buyer at this level wants a platform: a fragmented industry, a process for buying the next business, a team that's done it before. That's what episodes 31 to 33 built. No room to grow, lower multiple.

Know who your buyer is. Private equity, a bigger company in your industry, or selling part now and part later. Each one pays for different things, so ask your advisers early.

Check 3: price and margin.

Private equity looks for one number to change, usually price, then multiplies the new profit. If you haven't fixed your pricing before you sell, they will. They'll pay you for today's profit and keep the uplift. Do episode 27 before you sell, not after.

Check 4: it runs without you.

If the buyer thinks the profit walks out with you, they cut the price or tie you in for years with an earn-out. An earn-out is part of your price paid later, only if the business hits targets after you've handed over control.

A GM in every business and a back office at the holding company is what makes this check pass. So does size and stability: no single customer carrying the place, and profit that doesn't swing year to year.

Check 5: numbers they can verify.

This is the big one, and it isn't growth. It's proof.

The buyer's accountants run a quality-of-earnings review. Every add-back gets tested: owner expenses, one-offs, things you say won't happen again. Anything they can't verify comes out before they multiply.

And if your books aren't ready for that, it's not your fault. It has nothing to do with being careless. It has everything to do with books kept for the tax return, not for a buyer. Nobody tells owners the difference until a buyer does.

They'll also ask where every dollar of revenue came from. Which channel, which referrer, which contract. If you can't show it, they can't see where growth comes from, so they won't pay for it.

You checked the seller's quality of earnings on the way in. One day someone checks yours. I spent my early years in banking and I've been involved in more than a hundred million dollars of transactions. The buyer's side tests every number, and the ones that can't be proven don't get paid for.

Three and a half million gone, because the books couldn't prove what you knew was true.

Exit-ready, in order. Two to three years out: monthly accounts that reconcile to the bank, Monday numbers on every business. One to two years out: fix price, fix key-person risk, put the GMs in. About a year out: your own quality-of-earnings review, so nothing in theirs surprises you. Then a data room: every contract, lease, licence and staff agreement in one place.

Where people lose money.

- **Add-backs with no document.** No document, no add-back. At 7×, each $100K cut costs $700K.
- **No drag-along.** A small holder holds up the sale, and the buyer discounts for it.

- **Selling before fixing price.** The buyer keeps the uplift you could have banked.
- **Staying the key person.** The price drops, or you sign a multi-year earn-out.

Or you can keep doing what most owners do. Keep the books for the tax man. Keep the add-backs in your head. Keep a shareholders' agreement nobody's read. And find out what that costs on the day a buyer tells you.

On a call with me we set up your structure and books so a buyer can check them, and plan every deal you add to be bought the same clean way. We work out whether the Owners Academy or 1:1 advisory fits.

If you're someone who'd rather a buyer find nothing than find out, and who builds for the exit from the first deal, you already know what to do.

Thirty days from now you're thirty days older either way. Or you're thirty days older with every add-back matched to a document, your drag-along checked, and a data room started.

Book a call with me below. Not a setter. Me.

Not ready? Grab the free 3C Starter Kit: the executive-summary template, the three documents to request, and the DSCR calculator.

Next: the mistakes that cost the most time. The last episode of this act.

EP 35 · 4 failed deals, 1,000 cold calls: the 3 mistakes that cost the most time

How come smart, capable people find it so hard to buy their first business? They have the salary, the skills, and can read a set of accounts better than the owner they'd buy from.

The expensive mistakes aren't the deals that fall over. I had four of those. The expensive ones are quiet: waiting, thinking, and the people you let near your decisions.

Here's what they cost, and the rule that fixes them.

Nobody sends you a bill for the deal you didn't make. But it's real. Take a business making two hundred and fifty thousand a year. After paying the seller, about eighty-four thousand a year stays with you. Wait three years and that's a quarter of a million you never kept, plus three years of debt you didn't pay down.

This is for people who are serious about buying. If you're here for entertainment, fine, but this one gets personal.

The idea in one line: in this game, time costs more than mistakes. Most people only count active risk, the chance a deal goes wrong. They never count passive risk: doing nothing while the years go by anyway.

First, my story. Then the three mistakes. Then the rule.

I help people stop waiting and buy a business with little to no money down. If you're stuck on one of these three, book a call below. Now the detail.

The confession.

At 25 I was unemployed, no savings, zero experience. If I'd waited until I felt ready, I'd still be waiting.

What I had was volume. Around a thousand cold calls. Four deals that fell over. Then a physio clinic: 100% vendor finance, seven years at four per cent, a nine-

month payment holiday, rent in arrears, no deposit. I pulled a hundred and fifty thousand out in year one.

[JOSH: one line on what the four failed deals had in common.]

Mistake 1: waiting for perfect.

There is never a perfect moment. Decide at sixty per cent. When you have sixty per cent of the information and the deal passes the rules, move. The other forty is what due diligence is for.

And the market has moved. A generation of owners in traditional industries is ready to retire. They don't want to wait sixteen weeks for a bank. They want out, and to be looked after. Paid over time, a deal can close in two to four weeks. Every month you wait, those owners sell to someone else.

Count both risks. Active risk is real: you might buy a deal that struggles. The rules exist to manage it. Passive risk is real too: another year in the same job, no ownership, and a business's profit paying down someone else's debt instead of yours.

Mistake 2: analysis instead of action.

This one gets engineers, accountants and consultants. A beautiful model of a deal they haven't found. Six months reading about vendor finance. No cold calls.

And if that's you, it's not your fault. It has nothing to do with your intelligence or your discipline. It has everything to do with a habit your career trained into you: learn first, act second. It gets you promoted. In deals, it keeps you at zero.

So here's the test. You've been watching for months. How many offers have you sent?

If it's zero, you don't have a knowledge problem. I've had people pay twenty to thirty thousand for advisory and still not take action. Money wasn't the issue. Where their energy went was.

Mistake 3: the wrong people.

On your board, friends and family who've never done a deal make you feel supported. They don't make a bank say yes. No relevant experience, no seat.

I had no network at 25. I found my whole board through LinkedIn and cold outreach, and the founder of the Australian Institute of Fitness is now a shareholder. The right people are reachable. You just have to ask them, with equity instead of cash.

In your advice, check who's actually done the thing before you learn from them. That includes me. Ask what I've done.

In your evenings, if everyone around you thinks buying with no money down is a scam, you'll start to believe it. Change the room. It's easier than changing yourself.

The rule.

Set a quota before you allow yourself more research. Fifty calls this week. One real NBIO to a real seller this month. Hit the number, then read whatever you like.

Careful is having rules: one and a half times cover, the three documents, walk away when it's wrong. Waiting is having no deadline.

Where this doesn't apply: if a deal fails the rules, walking away isn't waiting. That's the best negotiating tactic you have. The quota is for offers, not for closing bad deals.

That's before the equity you'd have built paying the debt down. The cost of waiting is the one number nobody puts in a model.

Where people lose money.

Once people own something, the time-wasters change shape.

- **Buying #2 before #1 runs without you.** Both slide, and you spend a year fixing what should have compounded.

- **Closing under 1.5× cover** because the price looked good. One bad quarter and you're feeding the business instead of it feeding you.
- **Letting the seller leave too fast.** No handover means relationships and know-how walk out the door.
- **Buying with no exit in mind.** You build a collection a buyer pays small-business multiples for.

Two paths. Alone, every mistake in this episode is easier to fall into. When nobody's asking how many offers you sent, the answer stays at zero. Or you can have someone in your corner who's already made the time-wasting mistakes and asks you every week what you sent.

On a call with me we set your quota, your first structure, and whether the Owners Academy or 1:1 advisory fits. There's so much value in just being able to ask someone.

If you're someone who's been watching for months and has done enough research, this is where you swap waiting for a quota.

Thirty days from now you're thirty days older either way. Either with another month of videos watched, or with two hundred calls made and one real NBIO in a seller's inbox.

Book a call with me below. Not a setter. Me.

Not ready? Get the free 3C Starter Kit: the executive-summary template, the three documents to request, and the DSCR calculator.

Next, the last act opens with the most common objection: "I don't have any money."

Act 8 · Objections and the close

EP 36 · I bought my first business with $0 down. Here's where every dollar came from

One profitable business is a great position. Until you want the second one.

Then the question goes from "what should I buy?" to "where's the deposit coming from?"

On my first deal the answer was nowhere. Zero down. Seven years at 4%, and no repayments for the first nine months.

Here's where every dollar came from instead, in the order the seller and the bank see it.

If you own one business, your cash is the obvious way to buy the second. It's also the most expensive. Every dollar of deposit is a dollar pulled out of the business that's already paying you. And the bank still might say no, or private equity outbids you. This is for owners and operators who'll put 40-plus hours a week into building a group. It's not for anyone after a lifestyle business.

Zero deposit is a structure, not a sacrifice. Four parties fund the deal: the seller, the business's own profit, the bank, and your board.

You were told you need a deposit. You were told the bank decides. You were told that if you don't have the cash, you raise it and hand over equity, control and the exit. None of that is how most of these deals get done.

And if you're still on one business, it has nothing to do with your savings rate. It has everything to do with the fact that nobody showed you how a seller, a lender and the profit fund the deal between them.

Take money off the table for a second. Would you want a second business that pays you, with a manager running it? If yes, money is now a design question.

I help owners build exactly this structure. Book a call below. Now the detail.

The seller.

The seller is your first bank. A generation of owners in traditional industries is ready to retire. Their problem isn't price. It's the burden of owning the thing.

Sold the normal way, they wait 6 to 16 weeks for a bank and get offered 3 to 5 times profit. Paid over time, the price can go to 6 or 7 times, and it can close in 2 to 4 weeks. For someone who wants out, speed and certainty beat a cheque on day one.

One rule. Never say "vendor finance" to a seller. Say "getting paid over time."

My first deal was exactly this. A physio clinic. 100% vendor finance. Seven years at 4%, principal and interest. A nine-month payment holiday. Rent in arrears. No deposit. I took $150,000 out in year one and built mid six figures of equity. About a thousand cold calls and four dead deals came first.

The profit.

The business pays for itself, or you don't buy it. Free cash flow has to cover the repayments at least 1.5 times. That's the debt service cover ratio, DSCR.

Profit here means profit after paying someone to run it day to day. Otherwise you've bought a job, not a business.

So the seller's price is set by what the profit can carry. Divide profit by 1.5. That's the most you pay the seller each year. Multiply by the years. That's your price. That's the speed run: five minutes on your phone for any business you know.

Settlement day.

The deposit is zero because the seller carries the price. That leaves the costs at the closing table.

Lawyers and accountants go on deferred fees, paid at closing. A working capital line from the bank, drawn at settlement, covers them and gives you runway. The deal pays its own closing costs, not your savings. My friend Cam did two deals in 23 days, both 100% vendor finance, interest-only for 10 years with balloons in years 3 and 10, and got $500,000 of working capital from the bank.

Your board gets equity, not cash. That’s next episode.

The bank blend.

A hundred percent seller money isn’t the only shape. A common blend is 60% from a commercial lender and 40% from the seller. My friend Jason Nagy did his first deal that way: a $5.5 million radiology business, nothing down.

Debt over dilution. A bank is set up to lend, investors aren’t, and debt lets you keep control and the exit. But only inside the 1.5 rule.

Personal guarantees: on deals over roughly $5 million, lenders often don’t need one, because an asset-rich business is their security. Typically. Every lender and every deal is different.

Your offer, paid over time, beats most cash offers the seller will see. And the $84,000 of headroom is what keeps you alive in a bad year.

Where people lose money.

- Forgetting the 1.5 rule. “No money down” with no headroom is how a slow quarter becomes a default.
- Buying a job. If the profit only works with you behind the counter, the price is wrong.
- Saying “vendor finance” to a retiring owner. It sounds like a trick. “Paid over time” sounds like a plan.
- Paying lawyers and accountants in cash up front, with money the deal should be paying.

You can work this out alone. Most people who do it alone take years and lose deals. A seller says “I need half up front” and they fold. Or they sign something that clears 1.5 on paper and breaks in the first slow quarter, because nobody stress-tested it.

Or you have someone who’s made those mistakes check your structure before a seller ever sees it. That’s the call. Short application, then you and me. We work out your strategy, your first structure, and whether the Owners Academy or 1:1 advisory fits.

If you’re someone who already owns one business and wants the next, someone who’ll give this 40-plus hours a week, someone who’d rather design the deal than save for it, you’ve already decided.

Thirty days from now you’re thirty days older either way. Either you’re still saving for the deposit, or you’ve run the numbers on real businesses and you know the structure your next deal needs.

Book a call with me below. Not a setter. Me.

Not ready? Get the free 3C Starter Kit: the executive-summary template, the three documents to request, and the DSCR calculator.

Next episode: “Nobody will take me seriously.” How to borrow a track record you don’t have yet.

EP 37 · Every level of credibility, from no track record to bankable (for ~20% equity)

There's a well-kept secret in buying businesses. The buyers who get the meeting never ask to be taken seriously.

They give away a slice of equity to people who already are.

I keep 73% of my company. The founder of the Australian Institute of Fitness is a shareholder. I found my board on LinkedIn, at 25, with no money and no network.

A seller is handing over thirty years of work and staff they care about. A bank is lending against a plan. Neither will do it for a stranger with a CV. Get this wrong and every offer you send is noise. Get it right and you're the only serious buyer in the room, for the price of some equity that only pays out if you win. This is for people who'll send a lot of messages and hear a lot of no.

Credibility gets borrowed before it gets earned. There are five levels, from you alone to a lender asking what you need.

If you've been ignored, it has nothing to do with your age, your CV or your bank balance. It has everything to do with who's standing next to you when you ask.

Most people sit at level one for years, waiting to feel senior enough.

I help people build the board, the bench and the packet. Book a call below. Now the detail.

Level 1: Just you.

A seller asks two things. Will this person look after what I built? Will I get paid? A bank asks one. Who's behind this, and have they done it before?

At level one the answer to both is "me", and that isn't enough. The trap here is spending another decade building credibility inside someone else's company. None of it transfers to a seller.

Level 2: The packet.

Put it on paper. A one-page executive summary. A short thesis: the industry, why now, what you'll buy and how you'll fund it. An offer template. A diligence checklist.

The packet costs nothing and makes you look like a team before you are one. It's also what you send to level three. Once the board is built, add one line: our board brings this many years of combined experience and this much in transactions. Real numbers only. Never round up.

Level 3: The board.

Three or four seats. A chair with a big career behind them. A finance person who understands deal structures. A legal person. An operator from your target industry.

You pay them in founders' equity, usually 2 to 10% each, not cash. Tie vesting to a signed purchase agreement, so nobody gets paid for turning up to one meeting.

The sweet spot is recently retired executives. They're not short of money. They're short of being useful. Pitch the vision and the ground floor in three or four lines. Something like: "I'm building a group that buys businesses in this industry. I want someone with your experience at the table from day one. There's founders' equity in it. Twenty minutes this week?" No forty-page deck. No apologising for your age. Silence isn't a no. Follow up twice.

This isn't faking it. Faking it is claiming experience you don't have. This is real people, with real equity, doing real work.

Before I knew this, I was a 25-year-old asking people to believe in me. **[JOSH: one line on what those early conversations with owners or lenders were like.]** After I knew it, I stopped asking for belief and started offering seats. Not everyone said yes. Enough did.

My student Jy Kingston came from IT with no finance experience. He built his board in under 30 days on LinkedIn. Another student got the former CEO of IBM to join their company.

Level 4: The bench.

A proper M&A lawyer. An accounting firm that can do quality-of-earnings work, checking the seller's profit is real and will still be there after you buy.

You don't pay them up front. You negotiate fees deferred to closing, covered by the working capital line at settlement. Not every firm will. Plenty will. Jy had accountants and lawyers on side within about two weeks.

Level 5: The lenders.

Now you go to banks as an interviewer, not a beggar. "Here's my board. Here's what we're buying. What are your parameters?" Ask their minimum debt service cover, the deal sizes they like, and whether they'll do a working capital line at settlement. Build three or four of these relationships before you need one.

Same person as level one. Different conversation. Board first, then the deal, because the first time a seller asks "who's with you?", you want an answer.

Volume in, a small board out. Twenty percent of something real beats a hundred percent of a deal no seller will take.

Where people lose money.

- Equity with no vesting. You pay 20% for a board that never does anything.
- Recruiting mates instead of credibility. The bank reads the bios.
- Overstating who's on the board. Never round up a track record. Their real one is enough.
- Ten messages, eight no's, done. The numbers above need two hundred.

You can keep doing what you're doing. Keep building a track record for someone else's company. Keep waiting to feel senior enough. Keep hoping a seller judges you on potential.

Or you build the board now, with someone who's done it. That's the call. Short application, then you and me. We work out your strategy, your first structure, and whether the Owners Academy or 1:1 advisory fits. Join and you also get a 1:1 session with Jy, the same Jy who built his board in under 30 days.

If you're someone who's tired of building credibility for someone else, someone who'll send the messages and hear the no's, someone who'd rather be judged by your board than your job title, you already know the next step.

Thirty days from now, either you're still waiting to feel ready, or you've got a one-page summary, a list of names, and two or three people saying yes to a seat.

Book a call with me below. Not a setter. Me.

Not ready? Get the free 3C Starter Kit. The executive-summary template is in it.

Next episode: "My situation is different." Three very different starts, and the one difference that does rule you out.

EP 38 · “My situation is different” vs the $2.4M deal a bank funded 100%

There are two types of “my situation is different.” One is a fact. The other costs you a year.

Christian Dawes was unemployed, with no higher education and a criminal record. His first deal was $2.4 million, and the bank funded all of it. Over-funded it, in fact.

Today: how to tell which of your differences is real.

Business owners say it more than anyone. “I’m too busy running my own place.” “My industry’s different.” “I couldn’t run two.” Some of that is true and changes the plan. Most of it is a story, and a story costs the most expensive thing you have: a year in which someone else buys the business you should have. This is for people who’ll be honest about which is which.

A fact changes the plan. A story stops you starting. “I’m not a finance person” is a story. “I can only give this ten hours a week” is a fact.

If you’ve told yourself your situation is different, it has nothing to do with your background or your postcode. It has everything to do with never being shown what a lender and a seller actually check. When you don’t know the checklist, every difference feels like it might be on it.

Two options, a test, and a verdict.

Sorting this out is half of what my first call does. Book a call below. Now the detail.

What they actually check.

A lender asks four things. Does the profit cover repayments with room to spare? Is there something to secure the loan against? Who runs it after settlement? Who’s on the board?

A seller asks two. Will you look after what I built? Will I get paid?

Your CV, your degree and your past sit a long way down both lists. That's why Christian's bank said yes. They lent against a business, not a biography.

Option A: The story.

I know the thought. "That sounds good, but my situation is different." So here are three people.

"I'm not from finance." Jy Kingston, my student, came from IT. Board in under 30 days. Accountants and lawyers within two weeks. Twelve deals active, closing his first. He didn't become a finance person. He put finance people around him.

"I've got nothing going for me." Christian. Less than most people watching this, and a $2.4 million deal the bank funded in full.

"My market's different." Saul, an Owners Academy member, made one cold call direct to an owner. It turned into a signed NDA and early due diligence on an electrical and aircon business. 25 staff, around $3.8 million in revenue, owner retiring in two years. Trades, clinics, services. Boring markets aren't different. They're ideal.

None of them had an advantage you can't get. They had the mechanism.

Option B: The fact.

Some differences are real. They change the plan, not the possibility.

You have cash, property or a business. Real, and good news. It's faster, and lenders read you differently.

You already own a business and you're stretched. Real, and it's the reason to buy properly. You pay a manager out of profit before you work out what the seller gets. You're adding a business with a manager, not a second job.

You're outside Australia. Real, and it changes the team, not the method. There's a lender network in the US. I can only be a director in Australia. Elsewhere I come in as an advisor or equity holder.

Your industry isn’t asset-rich enough to lend against. Real, and it changes which businesses you target, not whether you can buy one.

“I couldn’t run two.” You’re not meant to run them. You’re meant to own them, with someone running each one, paid before the seller is paid.

You can give this ten hours a week. Real. That’s a no for now. Not forever.

The self-test and the verdict.

Finish the sentence: “My situation is different because…” Then ask: does a lender’s list or a seller’s list care? If neither does, it’s a story. If one does, it’s a fact, and the plan bends around it.

Then answer what I ask on every call. Your goal: big exit, legacy, lifestyle or flips. Your hours from Monday. Your assets. What you’ve done so far. Your industry. And what would stop you starting this week. Those six answers are your facts. Everything else is story.

Verdict: facts change the speed and the shape. Only one fact changes the answer, and that’s hours. If you can give this 40-plus a week, your situation isn’t the thing stopping you.

Two of the three thought they were the exception. Only one was, and it wasn’t about money.

Where people lose money.

- Treating a story as a fact. You never start, and the owner sells to someone who did.
- Treating a fact as a story. You start without the hours and burn a seller’s trust.
- Buying a second job. No manager in the numbers means the owner pays for it in time.

- Being too smart. Three weeks on a spreadsheet of why your city is the exception is two hundred calls you didn't make.

So two paths. Sort this out alone, and most people who do take years and lose deals, because nobody tells them which difference is real. Or have someone who does this every day tell you in one conversation.

That's the call. Short application, then you and me. We sort your facts from your stories, then work out your strategy, your first structure, and whether the Owners Academy or 1:1 advisory fits. Outside Australia, that's where the advisor or equity role comes in, case by case.

If you're someone who's built one business and knows it could be more, someone who'll be honest about your facts, someone with the hours from Monday, then your situation isn't the thing stopping you.

Thirty days from now you'll have the same background and the same business. Either you're still calling it different, or you've got a plan built around your real facts and your first calls made.

Book a call with me below. Not a setter. Me.

If you're Person C, get the free 3C Starter Kit and use it while you free up the hours.

Next episode: can you learn all of this from free content? Yes. Then one question.

EP 39 · Free content is enough to buy a business (the $125K catch)

Most people watching this series shouldn't book a call with me.

Everything in the 3C model is learnable for free. This series is enough to act on.

The catch is the clock. A business making $250,000 profit hands someone $125,000 every six months. While you're still researching, that someone isn't you.

If you've got capital sitting in assets that barely move, you're paying for every month you spend learning. This isn't for you if you already send offers every week. It isn't for you if you've got someone who has closed deals to ring when it gets strange. It's for people who've watched for months and still couldn't say how they'd find and vet a real deal.

Information is free. What you pay for is speed and someone to ask. And one number tells you which you need: offers sent in the last 90 days.

If that number is zero, it has nothing to do with your intelligence or your discipline. It has everything to do with the fact that the hard moments in a deal are live, and the videos are recorded.

If you're in the second group, that's what I do. Book a call below. Now the detail.

The claim: you don't need me.

Here's the do-it-alone path, honestly. Recruit a board through cold messages. Find a lawyer and an accountant who'll defer fees. Interview lenders before you need one. Make something like a thousand cold calls. Get three years of financials out of owners who don't trust you yet. Write the offer. Run diligence. Get through legals.

Every step is in this series, and it's enough to act on. I mean that. I did it that way at 25, and four deals fell over before the first one closed. It works. It's slow.

Why people think they need more.

Most people think one more video will make them ready. They think the next book will answer the question they're stuck on. They think action comes after enough information.

That's not how it works. People don't stall on information. They stall on the first live moment.

A seller says, "I've got another buyer offering cash." Usually a bluff. The right answer is "no worries, good luck." If you've never heard it, you panic and raise your price. The video can't read your LOI before you send it. It can't tell you the add-back in their numbers is nonsense. The accountant's numbers come back lower than the seller said. Walk away, adjust, or normal? The lawyer's bill is double, three weeks into a four-week job.

None of that is hard the fiftieth time. All of it is hard the first time. **[JOSH: one line on a live moment where having someone to call saved a deal.]**

The analogy.

You can read the road rules for a year. You learn to drive in traffic, with someone in the passenger seat the first few times. The rules were never the hard part. Traffic was. A seller's counter-offer at nine at night is traffic.

That's why there's so much value in just being able to ask someone.

The test.

So, one question. How many offers have you sent?

A friend of mine in the US, Elliot, sent about 40. Three came back as signed LOIs at 100% seller finance, on 99-year "pension plan" terms. For example, $350,000 a year for life to the owner, on a business with $500,000 of net operating income.

Forty. Not four. That's what Closing is. Not knowing how to write an offer. Sending enough of them.

And notice the terms. The owner is paid out of the business's income over decades instead of a lump sum. You don't find structures like that by reading about them. You find them by asking enough owners until a few say yes.

Where paying doesn't help.

The flip side, because paying fixes nothing on its own. I've had people pay for advisory and still not take action. Joining doesn't send offers. You do. Where your energy goes decides whether this works, not where your money goes.

So if you go alone, do three things. Find one person who has closed a deal like yours and ask if you can ring them. Set a date for your first offer and tell someone. Measure offers, not hours of learning.

And do one thing today. Write down your offer count for the last 90 days. Then write the five questions you've actually been stuck on. Not "how do I start". The real ones. Those five are what a call is for.

That's the real comparison. Not free versus paid. How long versus how long. And the owner you didn't call this year retires anyway, to someone who did call.

Where people lose money.

- Counting learning as progress. Every video feels productive while the offer count stays at zero.
- Folding to the cash-buyer bluff and raising the price on the first counter.
- Making an offer before getting the three documents: three years of financials, matching tax returns, revenue by financial year.
- Paying for help and still not sending anything.

You can keep doing what you're doing. Keep watching. Keep your capital where it is. Keep telling yourself you'll start once you've seen enough.

Or put a date on it, with someone in your corner who's seen the live moments. That's the call. Short application, then you and me. We work out your strategy,

your first structure, and whether the Owners Academy, with deal discussion every day, or 1:1 advisory on your actual deals fits. If you're already sending offers and doing fine, I'll tell you to keep going alone.

If you're someone who's watched enough, someone who'd rather send forty offers than read forty more books, someone who wants capital working in a real business, the next step isn't another video.

Thirty days from now, either your offer count is still zero, or you've asked for the three documents, run the numbers on real businesses, and your first offer is out.

Book a call with me below. Not a setter. Me.

Going it alone? Get the free 3C Starter Kit. Then send something.

Next episode is the Season 1 finale: the whole 3C model, all five stages, and the most direct pitch I'll make.

EP 40 · Every stage from zero deposit to a 10× exit (the whole 3C model)

Everyone tells you to buy a business one of three ways. Save, raise or bid. All three are expensive.

Save, and it takes years, and the bank can still say no. Raise, and you give away equity, control and the exit. Bid on what's listed, and you're one offer in a pile.

How about something different. Buy at four times profit with the seller's money. Sell a group at eight or ten. That spread is the whole game.

This is the Season 1 finale. Forty episodes on one line: Credibility, Capital, Closing, Grow, Exit. If you own one business, it's the route from one income to a group worth a multiple. If you're employed, it's the route out without a deposit. It's for people who'll give this 40-plus hours a week, want a big outcome, and will act before they feel ready. Not for anyone after a four-hour work week.

The first three Cs get you the business. Grow makes it worth more. Exit is how it pays off. Five stages, and one way to lose money at each.

The save-a-deposit advice was written for a market that's moved. A generation of owners in traditional industries is ready to retire. They don't want 16 weeks with a bank. They want out, and to be looked after. The buyer who offers that wins, often without the most cash.

And if none of this was obvious before, it has nothing to do with you. It has everything to do with the fact that nobody teaches the third way.

I help people run this whole line. Book a call below. Now the five stages.

Credibility.

You don't have a track record, so you borrow one. A board of three or four: a chair, a finance lead, a legal lead and an operator from your industry, paid in

founders' equity, 2 to 10% each. Lawyers and accountants paid at closing. A one-page packet.

The mistake here is waiting to feel qualified. I found my board through LinkedIn and cold outreach at 25 with no network, and I still keep 73% of my company. My student Jy Kingston came from IT and built his board in under 30 days.

Capital.

The seller is your first bank. Paid over time out of profit, a retiring owner can get 6 to 7 times instead of 3 to 5, closed in 2 to 4 weeks instead of 6 to 16. Add a commercial lender where it helps, like a 60/40 split.

Two rules. Free cash flow covers repayments at least 1.5 times. And debt over dilution, so you keep control and the exit.

The mistake here is getting excited about "no money down" and forgetting the business has to carry the debt. $250,000 profit divided by 1.5 is about $166,000 a year to the seller. Over ten years, about $1.66 million. The $84,000 left over keeps you alive in a bad year.

My first deal ran on that logic. A physio clinic, 100% vendor finance, seven years at 4%, no deposit. I took $150,000 out in year one.

Closing.

Find the business before it's listed, with cold calls and one question: "Have you ever thought about selling?" Before any offer, get three years of financials, matching tax returns and revenue by financial year. Offer 3 to 5 times profit in an LOI, with the structure in it. Diligence on the quality of the earnings. Top-tier lawyers.

The mistake here is too few attempts. About a thousand calls before my first deal, and four that fell over. My friend Elliot sent about 40 offers to get three signed LOIs at 100% seller finance.

And when it gets tight, the best negotiation tactic is to walk away. The second best is a time limit: “You’ve got 24 hours to accept.”

Grow.

The mistake here is thinking the work ends at settlement. It starts there.

First hundred days: keep the staff, keep the customers, keep the seller involved through the handover. Change slowly. Then pull three levers. Price, which in a business you’ve just bought is often the lever nobody has touched in years. A way to win customers on purpose instead of waiting for referrals. And a business that runs without its owner, because that’s what the next buyer pays for.

Exit.

The mistake here is thinking one business is the goal. It’s the start.

Buy several at small-business multiples, combine them, run them properly, and sell the group at the multiple a bigger buyer pays. That’s multiple arbitrage. Business two is easier than business one, because now you have a track record, a lender who knows you and cash flow from the first.

My friend Jason Nagy did the real version. A $5.5 million radiology business, nothing down. Seven years later, a $200 million exit to private equity.

Illustrative, before debt, not a promise. It takes years, not months. But that’s the gap between owning a job and owning a group.

Where people lose money.

- Waiting for a perfect moment. There isn’t one. I decide at 60%.
- Doing nothing because it feels safe. That’s passive risk: a salary that never builds anything you own. A structure that has to clear 1.5 before you sign is active risk, and it’s the one you control.
- Stopping at one. The money in this model is in the second, the fifth and the tenth.

So, the most direct version of the turn I've made in every episode.

You can do this alone. Every stage is in this series, and it's free. Most people who do it alone take years and lose deals. They watch for a year. They sign a structure that breaks in a slow quarter. They give equity away with no vesting. Not because they're not smart. Because nobody was there at the moment it mattered.

Or you do it with me. Two ways in. The Owners Academy: the private community, the full course, every template and script, and deal discussion every day. Or 1:1 advisory through G&L M&A Advisory, where I work your strategy, your structures and your lender presentations with you. Equity or advisory roles are considered case by case.

The call works like this. Short application, then you talk to me. I'll ask your goal, your hours from Monday, what you have to leverage, your industry, and what would stop you starting this week. If it's nothing, we get to work: board first, then a structure run through the 1.5 rule before any seller sees it, then calls, documents and your first LOI, checked before it goes out. If neither option fits, I'll tell you.

Join, and you get the NBIO template, the offer document we use. A client of mine was quoted about $7,000 for the same document. And a 1:1 session with Jy Kingston.

Not for: four-hour-work-week seekers, lifestyle-business hunters, or people who'll watch for another year without sending an offer.

You now know a business can be bought without a deposit from you. You know credibility can be borrowed. You know the only thing between you and the first offer is a decision.

If you're someone who's done being the most capable person in a company you don't own, someone who can give this 40 hours a week from Monday, someone who'll act at 60%, you made this decision somewhere around episode one.

Thirty days from now, two things can be true. You're forty episodes in and nothing's changed. Or you've got a board forming, a structure that clears 1.5, and your first offers out to real owners.

Book a call with me below. Not a setter. Me.

Not ready? Get the free 3C Starter Kit: the executive-summary template, the three documents to request, the DSCR calculator.

Season 2 starts next episode, with one of my deals that failed: what broke and what it cost. New here? Start at episode one.

Act 9 · Deals that died

EP 41 · Inside a $3M no-money-down deal that died

There's a well-kept secret in buying businesses. Almost everyone who owns a few has a drawer full of deals that died. You see the closings. You never see the drawer.

This was a $3 million business, structured with no money down. It died **[JOSH: how far in, e.g. after the LOI / six weeks into diligence / days before settlement]**.

Today I open the drawer. And I'll show you the one gap that tells you a deal is dying months before it's dead.

A $3 million business that clears its debt properly can leave you around $300,000 a year after repayments. Illustrative. Chase the wrong deal for six months and the fees are the small part. The real cost is half a year of that cash from a deal you could have closed instead.

This one is for owners who already run a business and want the second. Your hours are the scarcest capital you have. If you're after a lifestyle business, this isn't for you.

Welcome to Season 2. The map in two lines. Credibility, Capital and Closing get you the business with little or none of your own money. Grow lifts the profit, and Exit is where you get paid for it.

This act is deals that died, and they die in Closing.

The whole idea in one line: deals rarely die at the end. They die at the start, and you find out at the end. What it costs you is the gap between the first warning sign and the day you walk.

Five parts to this post-mortem. The business. The structure. The timeline. The break. The rule.

And if a deal of yours has died, it has nothing to do with how smart you are or how much money you had. It has everything to do with nobody showing you where deals crack.

I help owners buy businesses this way, and spot the dead one before it eats six months. Book a call below. Now the post-mortem.

The business.

[JOSH: the business in one breath: industry (general if the seller needs privacy), city or region, years trading, staff, rough revenue and profit, why the owner was selling, and how you found it.]

On paper it ticked the boxes I teach. Boring. Asset-rich enough for a bank to lend against. An owner who wanted out.

[JOSH: which boxes it really ticked, and the honest reason you wanted it, e.g. “it would have been the platform for a group”.]

Hold on to that last part. Wanting a deal badly is what makes you look past the warning signs. The more a deal means to you, the worse you read it.

The structure.

First, how a $3 million deal like this is usually stacked. Illustrative, not this deal.

The bank lends 60%, $1.8 million, secured on the business. The seller carries 40%, $1.2 million, paid over time as a note or rolled into equity. A working capital line at settlement covers the advisers. Your deposit is zero.

One rule sits over all of it. Free cash flow covers every repayment at least one and a half times. That’s DSCR, debt service coverage. Below 1.5, one bad quarter puts you in trouble.

Here’s what we actually agreed.

[JOSH: price and multiple; the real stack (% seller, % bank, any rollover, term, rate, payment holiday, working capital line); DSCR if you remember it; anything unusual, e.g. earn-out, property, rent deferral.]

The timeline.

Now the dates. The gaps tell you more than the documents do.

[JOSH: first conversation, financials in hand, LOI signed, diligence started, the day it died; total months; which stretch ran longest, and why.]

A stage running twice as long as it should is rarely a scheduling problem. It's the deal telling you something. A seller who takes a month to send the tax returns is answering a question you haven't asked yet.

The break.

Here's the moment a $3 million deal died.

[JOSH: what killed it (bank said no / diligence found lower profit / seller walked / lease / key practitioner), the scene and the words used, and what you tried in the next few days to save it.]

And looking back, the first sign was there early.

[JOSH: when the first sign showed, what it was, and what you did with it, e.g. "decided it would sort itself out" / "didn't push because I wanted the deal".]

That's the bit to remember. Not the cause. The gap between the first sign and the day it died.

One more thing about the table. Everyone at it is paid by a different outcome. The seller's accountant, a broker, the bank, a lawyer billing by the hour. None of them carries the deal the way you do.

[JOSH: if it applied here, one line on who didn't carry your interest and how. Otherwise cut.]

The rule.

Here's what most people get wrong about a dead deal. They think it means the model doesn't work. They think it means they weren't ready. They think the answer is another year of study.

That's not how it works. A dead deal is the checks doing their job. The expensive deal is the bad one that closes.

[JOSH: the rule this deal left you in one sentence (e.g. “If X isn’t true by week Y, I stop”), and the two or three things you now do on every deal because of it.]

And here’s the order I’d give anyone, whatever killed their deal. First, three years of financials, the matching tax returns and revenue by year, before any offer. Then write your walk-away lines, before you start wanting it. And once you’re in diligence, keep two or three other deals moving, so no single seller owns your year.

The fees on a dead deal are usually small. The cost is the cash flow from the deal you didn’t close while you were chasing this one. About $25,000 a month, on these numbers.

Where people lose money.

- **One live deal.** You overpay and explain away the warning signs. It costs you this deal and every one you didn’t chase.
- **An offer before the documents.** No three years of financials and matching returns, no offer. Otherwise you pay for diligence on a business that was never what it said.
- **No walk-away date.** Without one written down at the start, six weeks becomes six months. On the numbers above, that’s about $25,000 a month.
- **No deal log.** A dead deal with no written rule is a lesson you paid for and didn’t collect.

You can do this alone. Path one: you run your business all week, chase a deal at night, it dies, and you work out why months later, if ever. Path two: someone who has watched deals die looks at yours in week one, and the crack shows while it’s still cheap to walk.

That second path is the call. A short application, then you talk to me. We look at your strategy, your first structure, and whether the Owners Academy or 1:1 advisory fits. If neither does, I’ll tell you.

If you’re someone who already runs one business and wants the next, who’d rather find the crack in week two than month six, and who’ll act before it feels perfect, this is for you.

Thirty days from now you’ll be thirty days older. Either with the same single deal and the same hope, or with a deal log, a live pipeline and someone checking your deal before it costs you. The difference is the decision you make today.

Book a call with me below. Not a setter. Me.

Not ready yet? Grab the free 3C Starter Kit below: the executive-summary template, the three documents to request, and a DSCR calculator.

Next episode: a $15 million deal, no money down, that died a different way. Bigger table, more people who can say no.

EP 42 · The $15M deal that died (who said no, and why)

Buying a $3 million business is a manageable thing. One seller, one lender, a deal you can hold in your head.

Until it gets to eight figures. Then it goes from a deal to a table. From one lender to a credit committee. From one adviser to six.

This was a $15 million business, no money down. The person who killed it was **[JOSH: who, in two or three words, e.g. “the bank” / “our own accountants” / “the seller’s son”]**.

At this size the upside is real. An illustrative $15 million business might clear $1.3 million a year after repayments, and above about $5 million banks often don’t need your personal guarantee. But every month the deal drifts is about $110,000 you’re not collecting. And there are more people who can stop it.

If you’ve got capital to put to work and want to know how big deals get vetted, this is the episode. If you want this to be easy, it isn’t.

The idea in one line: a big deal dies at the chair you didn’t map.

Three things change as deals get bigger. More people can say no. The checks get harder. And time becomes a risk on its own.

Four parts. The deal. The table. The break. The rule.

And if a big deal of yours has died, it has nothing to do with whether you were big enough for that size, or had enough grey hair. It has everything to do with how many doors a big deal has, and whether anyone showed you how to walk the table before they started closing.

I help people structure deals, big and small, and map who can kill them first. Book a call below. Now the post-mortem.

The deal.

[JOSH: the business: industry (general if needed), region or country, years trading, staff, rough revenue and profit, why the owner or owners wanted out, how it came to you, and what was different from the $3M deal at the start, e.g. “this time I had a board”.]

Here’s the general shape at this size first. Illustrative, not this deal.

A bank, or a group of lenders, takes most of the price against the business’s assets and cash flow. The seller carries the rest as a note, or keeps real equity and gets a second payday when the business sells again. The 1.5 rule doesn’t move with size. Free cash flow covers all repayments one and a half times.

Above about $5 million, the bank’s security is often the business’s assets, so a personal guarantee often isn’t needed. Typically. Every lender and deal is different. The price of that is scrutiny. Every number gets tested.

[JOSH: what you actually put on the table: price and multiple; % bank, % seller note or rollover, any other layer, term, rate, payment holiday; the lender in general terms and how you found them.]

The table.

Let me walk the table, because this is where it got complicated.

[JOSH: who sat on your side, who sat on the seller’s side, who else had a say (landlord, regulator, major customer, key staff), and who you marked as the biggest risk at the start, and why.]

At $3 million, it’s mostly you, the seller and one lender. At $15 million there’s often a credit committee, a bigger accounting firm doing quality-of-earnings work, lawyers on both sides, sometimes a landlord, sometimes the seller’s family. Every one of them is a door that can close.

And time works against you. The longer the process, the more room for a bad month, a nervous partner or a seller who changes their mind.

The break.

Here’s where it broke.

[JOSH: the timeline in one line (first contact, LOI, diligence, any milestone, the day it died, total months); what killed it (credit committee / earnings lower than the accounts / seller walked late / lawyers ran out the clock); how you heard and what was said; what you tried to save it, e.g. re-pricing, another lender, a longer seller note.]

[JOSH: was it the chair you’d marked as riskiest, or someone else, and what that taught you about reading a table.]

[JOSH: what it cost: rough out-of-pocket (or “mostly deferred adviser fees”), months, any relationship it touched, and what it did to your pipeline the month after.]

The rule.

Plenty of things in a dead deal sit outside your control. A credit committee. A seller’s family. That doesn’t make them outside your responsibility. The useful question is what you’d do differently, even when it wasn’t your fault.

[JOSH: the rule this deal left you, in one sentence, and two or three things you now do on bigger deals, e.g. meet the credit team earlier, test a term sheet before the LOI, meet the seller’s family or advisers in week one, a hard diligence date.]

And the order I’d give anyone moving up in size. First, talk to lenders before you need them. Then, in the first seller meeting, ask who else has a say. And once the LOI is signed, keep diligence tight. Ninety days is a ceiling, not a target.

Now, I know what a story like this does. It makes big deals sound like something for your tenth deal. So look at my friend Jason Nagy. His first deal was a $5.5 million radiology business. Nothing down, a 60/40 structure. Seven years later he sold to private equity for $200 million.

Not because big is easy. Because big isn’t reserved for people with a long track record. Size isn’t the risk. An unmapped table is.

The bigger the deal, the more each month costs and the more chairs can end it. Mapping the table is how you protect both.

Where people lose money.

- **Running six parties from your inbox.** Nobody owns the timeline, diligence drifts past 90 days, and each extra month costs about $110,000 here.
- **Assuming the bank's fine because nobody's said no.** Silence from a credit committee isn't approval. Ask what would make them decline, before the LOI.
- **Never meeting the person the seller listens to.** A spouse, a son, an accountant. You meet them at the end, when they can only say no.
- **Not knowing your guarantee position before the term sheet.** On a big deal, that's your personal balance sheet on the line.

Or you can keep doing it the way most people do. Keep managing six parties from your inbox. Keep assuming the bank's fine. Keep finding out who mattered after the deal is dead.

Or you can do it with me. A short application, then you talk to me. We find where your deal is weakest, work out your first structure, and decide whether the Owners Academy or 1:1 advisory fits, where I sit on your side of the table.

If you're someone with capital to put to work, who'd rather walk the table before diligence than after, and who'll give this real hours, this is for you.

Thirty days from now you'll be thirty days older either way. The question is whether you're thirty days older with your deal table on one page and someone on your side of it.

Book a call with me below. Not a setter. Me.

If not yet, get the free 3C Starter Kit: the executive-summary template, the three documents to request, and the DSCR calculator.

Next episode: four deals fell over before my first one closed. About a thousand cold calls, and what each one taught me.

EP 43 · 1,000 cold calls and 4 dead deals before my first business

How come smart, capable people find it so hard to close their first business? Good job, good brain, years of running other people's numbers. And the first deal doesn't close. Then the second doesn't either. Most people stop right there.

I had none of those advantages. About a thousand cold calls. Four deals that died. Then a physio clinic. Today is deals one to four.

Here's why it matters in money. Deal five was 100% vendor finance, no deposit, and I took $150,000 out of it in year one, with mid six figures of equity on top.

The four dead deals cost me time, not capital. A bad deal that closes costs you years. So the early failures are the cheapest lessons you'll ever pay for. This is for people with a good salary and no ownership, who can take a lot of no. If you need the first deal to work, this isn't for you.

The idea in one line: the first deal is a volume game, and each dead deal makes the next one more likely to close. Not because you get lucky. Because you stop making the same mistake.

Three parts. The calls. The four. What changed before the fifth.

When I started I was 25, unemployed, with no savings and no experience. And if your first deals have died, it has nothing to do with your CV, your savings or your age. It has everything to do with volume and pattern. Nobody tells you the first few are supposed to die.

I help people get through deals one to four faster, so they don't learn every lesson the hard way. Book a call below. Now the four.

The calls.

The four deals came out of the calls, so start there.

[JOSH: what kind of businesses you called and where the list came from; over how many months; roughly how many calls a day or week; one reaction you still remember (a hang-up, a laugh, a yes you didn't expect).]

The question was simple. "Have you ever thought about selling?" Calls still beat email for getting an owner talking. The best deals are off-market, and off-market deals come from conversations, not listings.

Here's how a funnel like that can look. Illustrative, not my numbers. A thousand calls. Maybe a hundred real conversations. Maybe twenty owners who'll talk numbers. A handful who send financials. One or two offers.

[JOSH: your rough real split if you remember it, e.g. conversations, financials received, offers. Otherwise cut.]

The exact ratios don't matter. The top has to be big for anything to come out the bottom. If you want one offer a month, work back from that number to your calls a day. That's the job, not a feeling.

The four.

Deal one.

[JOSH: deal one in one line each: business and rough size, how far it got, what killed it (owner not ready / numbers didn't hold / didn't know what to offer), the lesson.]

Deal two went further.

[JOSH: deal two: business and size, stage reached, what killed it (seller wanted all cash / no bank would look at me / financials didn't match the returns), the lesson.]

Deal three.

[JOSH: deal three: business and size, stage reached, what killed it (family member said no / landlord / key staff / ran out of credibility), the lesson.]

Deal four hurt the most.

[JOSH: deal four: why it hurt most (closest / you'd told people), business and size, stage, what killed it, the lesson, and what you nearly did next, e.g. go back to job-hunting, and what kept you going.]

What changed.

Put the four next to each other and a pattern shows. You can't see a pattern in one dead deal. You can in four. Most people never get to four, because they stop at one and decide the model doesn't work for them.

[JOSH: the before and after: before you knew X, you used to Y and got a dead deal every time; once you understood it, you stopped Y and started Z. Name the common thread, or say there wasn't one.]

Not because I got lucky. Not because I worked harder. Because I could finally see the pattern. That's why I keep saying volume. The calls aren't the cost of the deal. They're how you buy the pattern.

And here's what didn't change between deal four and deal five. My bank balance. Still zero.

Deal five was a physio clinic. 100% vendor finance. Seven years at 4%, principal and interest. A nine-month payment holiday. Rent in arrears. No deposit.

That payment holiday matters. For the first nine months, the profit isn't going out to the seller.

[JOSH: which lessons from deals one to four showed up in the physio deal, e.g. what you asked for earlier, how you made the offer, how you talked about getting paid over time.]

Four dead deals cost me time. The fifth paid me $150,000 in year one. The funnel is why the fifth existed at all.

Where people lose money.

- **Stopping at deal two.** The four dead deals are the cost of the fifth. Stop early and you've paid for the lessons without collecting.

- **Calling five industries at once.** Pick one boring, asset-rich industry with owners near retirement. One list, not five, so the pattern shows.
- **Offering before the documents.** Three years of financials, matching tax returns, revenue by year. Then an offer.
- **No tally.** Calls, conversations, financials, offers, every Friday. Without it, a slow month feels like a dead model.

You can do this alone. Path one: you keep the job, make calls when you can, and stop at deal two because nobody told you that's normal. Path two: you learn from dead deals that aren't yours, mine and the ones members bring to the community, and you get to the one that closes with fewer scars.

That second path is the call. A short application, then you talk to me. We work out your strategy, your first structure, and whether the Owners Academy, with the calling scripts and daily deal discussion, or 1:1 advisory fits.

If you're someone with a good job and no ownership, who can take a no and make the next call, and who'd rather learn from four dead deals than live through them, this is for you.

Thirty days from now you'll be thirty days older. Either with the same job and the same plan for "one day", or with a call tally, a target industry and someone in your corner for deal one.

Book a call with me below. Not a setter. Me.

Not yet? Get the free 3C Starter Kit: the executive-summary template, the three documents to request, the DSCR calculator.

Next episode: why sellers pull out at the last minute, and how to keep a deal alive.

EP 44 • 4 reasons sellers walk before settlement (ranked)

There are only two types of buyers. The ones who get the seller to settlement day, and the ones who get a phone call the week before.

The difference has nothing to do with price. A seller rarely pulls out on the day they pull out. They pull out weeks before. They just tell you on the day.

Here's why price is rarely the reason. Take a business making $250,000 profit. A cash buyer at four times offers about $1 million. Paid over time inside the 1.5 rule, the seller gets about $166,000 a year. Over ten years that's $1.66 million. Illustrative.

When a seller walks from that, something other than money got louder. If you've taken one business as far as it goes and the next step is buying a second, this is the episode that keeps that deal alive.

The idea in one line: the objection at the end is a question you didn't ask at the start.

Sellers walk for four reasons. I'll rank them from least to most dangerous, by how late they show up and how hard they are to fix. Staff. Advisers. Remorse. Family.

You were told sellers sell to the highest bidder. You were told the price is the deal. You were told a seller who signs an LOI has decided. None of that is the full story. A lot of sellers sell to whoever makes them feel safe about their name, their family and their people. Every one of those is something you can deal with.

So if a seller has pulled out on you, it has nothing to do with your offer being too low or you being too young. It has everything to do with a conversation nobody taught you to have in the first meeting.

I help people run their deals so the seller's still at the table on settlement day. Book a call below. Now the four.

Staff.

Owners often care about their people more than they let on. A deal can die because the owner pictures telling the team.

The fix: show them the plan for the staff before they ask. You keep the team. You meet key people before close, with the seller's permission, at the right time. Retention bonuses for key staff can go into the structure.

It's last on the list because it's the easiest to fix. Once the seller knows their people are looked after, it usually goes away.

Advisers.

The seller's accountant, lawyer, or a mate at the golf club says, "You could get more than that."

Sometimes they're right. More often they're comparing your offer to an all-cash price that doesn't exist for this business.

The fix: get the adviser in the room early and walk them through the maths. A higher multiple paid over time out of profit looks very different once someone explains it properly. And never say "vendor finance" to a seller. Say "getting paid over time."

Remorse.

Thirty years. Their name on the van. Their number on every invoice. Then someone tells them, nicely, that in six weeks it won't be theirs.

That isn't about money. It's about who they are on Monday morning.

The fix: ask about life after the sale in the first meeting. "What does your week look like a year after this?" If they can't answer, you've found your biggest risk. Then build them a role. A transition, typically six months to three years, with a title and dates. A seller with somewhere to go is far less likely to walk.

Family.

The most dangerous one is the person you never met. A spouse who wants the cash now. A son or daughter who assumed they'd inherit it. A sibling who owns 20% that nobody mentioned.

It's first because it surfaces last, when they can only say no.

The fix is one question, early. "Who else has a say in this? Who would you talk to before you signed?" Then you meet them. Over coffee in week two, not at the signing.

[JOSH: optional: one of your own deals where a seller pulled out late, and which of these would have caught it. Cut if none died this way.]

The five questions.

Every reason shows up in the first or second meeting, if you ask.

"What would you do with your week after this?" That's remorse.

"Who else has a say?" That's family.

"What worries you about your team?" That's staff.

"Who do you trust for advice on this?" That's advisers.

"When do you want this done, and why then?" That's timing.

You're not there to overcome the objection. You're there to understand it, before it's an objection.

Keep the clock tight.

Time feeds all four. The longer from yes to settlement, the louder they get.

First, an exclusivity period in the LOI, often 60 to 90 days. Then diligence, 90 days at most. And once diligence is done, legals, about four weeks. Push the lawyers on scope and dates, so fees don't creep and the deal doesn't drift.

And run more than one deal. A seller can feel the difference between a buyer who needs this deal and one who doesn't. If a seller says "there are other buyers,"

most of the time there aren't. Stay calm. The buyer who can walk away has the most leverage.

The seller is better off on paper. So when they walk, look for what got louder, not for a higher number.

Where people lose money.

- **Raising the price to keep them.** You pay more and the real reason stays. It comes back at settlement.
- **Meeting the family at the signing.** By then they can only say no.
- **Arguing with the adviser.** Explain the structure instead. An adviser who understands it often becomes your best seller.
- **Letting diligence drift.** Every week past the date is another week for remorse, family, staff or advisers to get louder.

Or you can keep doing what most buyers do. Keep focusing on the bank and the numbers and never meet the seller's spouse. Keep arguing with the adviser. Keep running one deal, so the seller can tell, and the price starts moving.

Or you can do it with me. A short application, then you talk to me. We work out your strategy, your first structure, and whether the Owners Academy, with the seller conversation scripts, or 1:1 advisory fits.

If you're someone who's taken one business as far as it goes, who'd rather meet the seller's family in week two than hear from them in week twelve, and who's ready to buy the next one, this is for you.

Thirty days from now you could have a seller still at the table, the spouse met, the adviser on side and a date on every stage. Or the same hope you've got today. The difference is the decision you make now.

Book a call with me below. Not a setter. Me.

Not yet? Get the free 3C Starter Kit: the executive-summary template, the three documents to request, the DSCR calculator.

Next episode is the last of this act: every red flag, stage by stage, in one checklist.

EP 45 · Every red flag from first call to settlement, in 5 gates

Everyone buying a business gets the same advice. Hire a good accountant, do your due diligence, and you'll be fine.

The only problem is, by the time diligence starts, most dead deals are already dead. Nobody's told you yet.

So instead of one big check at the end, here's one page you run at every stage. Five gates. If a line goes red, you fix it, price it in, or walk.

The money here is what you don't overpay for. Miss one line and you can own a business whose cash flow covers its repayments 1.33 times instead of 1.5. That's one slow quarter from trouble, with your capital in it.

This is for people with capital who want a process they can run every time. If you'd rather go on gut, this won't suit you.

The idea in one line: a checklist read once at the end is a post-mortem. Run at every stage, it's a filter.

Five gates, in the order a deal moves. Credibility. Capital. Before the offer. The offer and diligence. Legals and settlement.

Every line gets one of three actions. Fix it. Price it in. Or walk. Decide which before you're emotionally in the deal.

And if you've ever missed a red flag, it has nothing to do with intelligence or how carefully you read. It has everything to do with when you looked.

I help people run this list on real deals, so the red line shows up in week one, not month four. Book a call below. Here's the list.

Gate 1. Credibility.

First you check your own side.

Red flag: your board is friends and family. If they've no relevant deals or exits, a bank and a seller can tell. Fix it before you make offers.

Red flag: no engagement letters. Advisers who said "happy to help" aren't a team. Get deferred or rolled fees in writing.

Red flag: you've never spoken to a lender. If the first time a bank hears of you is with a live deal, you're asking, not choosing.

[JOSH: one Credibility gap that helped kill one of your early deals, in one line. Otherwise cut.]

Gate 2. Capital.

Next, the money.

Red flag: the deal doesn't clear 1.5. Free cash flow covers repayments less than one and a half times. That's not a deal. That's a slow month away from trouble.

Red flag: no working capital line approved before settlement. You can close and run out of cash in the same week.

Red flag: too small to carry itself. Under about a million in value, there often isn't enough cash flow to pay the seller and pay you.

Red flag: a personal guarantee you didn't plan for. Above about $5 million, banks often don't need one. Typically. Every lender and deal is different. Know where you stand before the term sheet.

Gate 3. Before the offer.

Here's why this gate matters more every year. A generation of owners in traditional industries is ready to retire. Clinics, trades, services. When that many owners want out, the scarce skill isn't finding a deal. It's knowing which ones to drop, early.

Red flag: one deal in your pipeline. You'll overpay and ignore the signs. Run several.

Red flag: the seller won't send three years of financials, the matching tax returns and revenue by year. That request is the motivation test. No documents, no offer.

Red flag: the financials and the returns don't match. Not a negotiation point. Walk.

Red flag: a broker process with inflated numbers and "other buyers interested." Most of the time there aren't. Stay calm.

Gate 4. The offer and diligence.

In the LOI, red flag: no conditions. Financing approval, quality-of-earnings sign-off, the lease, licences, key staff and the seller's transition should all be in there. No exclusivity period is another.

In diligence, the big ones. One or two customers above about 30% of revenue. Above half, walk or discount hard. Gross margin slipping behind accounting changes. Tax debt or liens. Key contracts that can't move to a new owner. Licence or compliance problems in a regulated industry. Very high staff turnover.

And a seller who wants out the day you settle, with no transition. High severity. Walk.

Gate 5. Legals and settlement.

Red flag: legals drifting past about four weeks. Fees creep and sellers get cold feet. Keep scope tight and dates clear.

Red flag: the lease isn't assigned or renewed.

Red flag: last episode's seller signs. Remorse with no plan for their week after. A family member you've never met. An adviser saying they could get more.

What this act added.

And the lines my own dead deals added to the list.

[JOSH: the three lines this act added, one each: the rule from the $3M deal, the rule from the $15M deal, and the one lesson from the first four you'd keep if you could keep only one.]

Then log every loss. Every dead deal gets one line: which gate, which red flag, which C. After five or six, your pattern shows. Fix that one first. Not all of them. The top one.

Same business, two lines. The coverage line you fix in the structure. The customer line you price in, or you find out how locked in that customer is and whether the contract moves to a new owner.

Where people lose money.

- **Running the list once, at the end.** By then you've paid for diligence on a deal that was red in week one.
- **Turning amber into green because you want it.** Concentration at 40% becomes "probably fine." That's how capital goes into the wrong business.
- **Treating every line as a walk.** Most lines are fixable or priceable. The walk lines are few. Kill too many deals and you kill your pipeline.
- **Skipping Gates 1 and 2.** A lot of deals were dead before the first call, because the board or the money wasn't there.

You can run this alone. Path one: you run the list yourself, and when you want the deal, amber turns green in your head. A seller with no plan becomes "they'll come round." Path two: someone who isn't in love with your deal runs it with you, and the red line shows while it's still cheap to walk.

That second path is the call. A short application, then you talk to me. We work out your strategy, your first structure, and whether the Owners Academy, where members run this list on each other's deals, or 1:1 advisory, where I go through yours line by line, fits.

If you're someone with capital to put to work, who'd rather find the red line in week one than month four, and who wants a second set of eyes before you sign, this is for you.

Thirty days from now you'll be thirty days older. Either with this list run on a real deal, or still wondering what you missed. That's decided today.

Book a call with me below. Not a setter. Me.

If not yet, the free 3C Starter Kit has the executive-summary template, the three documents to request and the DSCR calculator. Start there.

That's the end of deals that died. Next act, you own it, and the first job is money: the margin leaks to find in your first 30 days.

Act 10 · Grow: profit

EP 46 · The $800K customer eating your margin (P&L teardown)

There’s a well-kept secret in businesses bought from retiring owners, and it isn’t on the P&L.

In this one, the biggest customer brings in $800,000 and leaves the least behind. Fix that one account and the business is worth about $224,000 more.

Most new owners stare at revenue. That is... not it. Here’s the teardown, in the order you should read it.

In a 3C deal you pay the seller out of profit. So every dollar of margin you find lands twice: headroom on that payment now, and value at the exit, where profit gets multiplied.

This is for someone who has just bought, or is in diligence and wants to know what they’re actually buying. It isn’t for anyone planning to change prices in week one.

The rule: price every job before you change anything. Revenue tells you how busy you are. Margin tells you who’s paying for the business.

We read it four ways. The P&L. The service lines. The customers. The jobs. Then what one fix is worth.

And if you’ve owned a business for a month and can’t see the leaks, it has nothing to do with how smart you are or how many years you spent reading reports. It has everything to do with how small businesses keep their books. The P&L is built for the tax return, not the owner.

I help people buy businesses with little to no money down, then do exactly this in year one. If that’s you, book a call below. Now the detail.

The P&L.

The business is plumbing. $2 million revenue, $300,000 profit after paying a manager to run it. Bought on vendor finance, paying the seller $200,000 a year. That's $300,000 divided by 1.5, the minimum cover we structure to.

One definition. Gross margin is gross profit over revenue, and gross profit is revenue less the direct cost of doing the work. Overhead is everything you can't pin on one job.

The P&L gives you one margin for the whole business. It's an average. Averages hide everything.

Service lines.

Split it three ways.

Take off $350,000 of overhead and there's your $300,000.

Customers.

Most people think the biggest customer is the safest. They think more revenue means more profit. They think the seller knew where the money was. That's not how it works.

The builder is 40% of revenue and about 22% of gross profit. That's normal, not bad luck. Big customers negotiate, and over twenty years every negotiation went their way. Small customers never asked.

In diligence, one customer over 30% of revenue is a red flag. Once you own it, it isn't a flag. It's yours to manage.

Rule: list your top ten customers by revenue, with gross margin next to each. The order usually changes.

Jobs.

Now go one level down. Pull twelve months of jobs. For each one: what you invoiced, hours times the real cost of an hour, materials, and any return visit.

The real cost of an hour is the wage plus super, the van, fuel, the phone and the time between jobs. Cost it at the payslip rate and every job looks better than it is.

Sort worst to best. In trades and service businesses the same leaks turn up. Variations done on the day and never invoiced. Return visits done free and never recorded. A job an hour away charged like one around the corner. An old rate the previous owner agreed as a favour. And slow payers, which is episode 50.

Then ask the techs one question: “What do we do that we never charge for?” Write down every answer.

Last cut: tag every job by where the customer came from. Referral, Google, the builder, the number on the van. Your best margin often comes from the channel you spend least on.

In a clinic the job is the appointment. You cut by practitioner and by service. Same method. **[JOSH: one margin leak you found in the physio clinic or the healthcare group, and roughly what fixing it was worth.]**

The fix.

Month one, you measure and change nothing visible. Month two, you find why the builder’s margin is low. Say variations go unbilled and the rates haven’t moved in years. At the next contract review, every variation gets billed and the rates move. Margin goes from 18% to 25%.

The seller payment doesn’t move, so all of it is headroom. And at an illustrative four times, one account review is worth about $224,000 at the exit. The multiple depends on the market and the buyer.

The decision rule. Any customer running at under half your average margin gets reviewed at their next contract date. Three options: reprice, rescope, or let them go. And you only let one go when the seller payment is still covered 1.5 times without them. Here, it isn’t. So this one gets repriced, not fired.

Where people lose money.

- Cutting before measuring. You lose the best tech in week two, and the emergency customers who ask for him go too.
- Ringing the builder in month one with new rates. If they walk, $144,000 of gross profit goes. Profit drops to about $156,000 against a $200,000 seller payment. Cover falls below one.
- Costing labour at the wage. Every job looks profitable and the leaks stay hidden for another year.

There are two paths here. Alone, it's your first time, so you make first-time mistakes: you cut early, ring the big customer early, or find the leak and fix it clumsily. Or you do it with someone who has already made them. Measure first, fix second, talk to customers third.

On the call we look at your deal or your target, your structure, and which way in fits. The Owners Academy: the full course, every template and script, deals discussed daily. Or 1:1, where I work your strategy, structures and lender presentations with you. If neither fits, I'll tell you.

If you're someone who'd rather know the numbers than hope, and who'll put real hours into year one, you've already decided.

Thirty days from now you'll be thirty days older either way. Same P&L and the same guesses. Or every job priced and three leaks on a list.

Book a call with me below. Not a setter. Me.

Not ready? Grab the free 3C Starter Kit and put your target's profit through the DSCR calculator.

Next episode: the costs your customers never see, and the ones you never touch.

EP 47 · Costs customers never see vs costs they feel ($32K found in $350K of overhead)

There are two types of new owners: the ones who cut what customers never see, and the ones who cut what customers feel.

That's it.

The first group finds about 10% more profit and nobody notices. The second saves a little and loses the customer. Here's $350,000 of overhead, line by line, and which list each line belongs on.

In a vendor-finance deal, every dollar of cost you remove goes straight to cover on the seller payment. Cut the wrong dollar and you lose revenue you were counting on to make that payment.

This is for people who look at capital the way an investor does: what it costs, what it returns, what it protects. It isn't for the slash-and-burn crowd.

The idea in one line: cut once, from the list customers never see, then leave costs alone and go after income. Costs have a floor. Income doesn't.

Two options. Option A, the costs customers feel. Option B, the costs they never see. Then the test that sorts any line, and the verdict.

And if a business looks lean already, it has nothing to do with you missing something or not knowing the trade. It has everything to do with time. Twenty years of small costs pile up, and nobody running the place reads the bank statement line by line.

I help people buy businesses with little to no money down, then do this work in year one. If you want me on your numbers, book a call below. Now the detail.

Option A: costs customers feel.

You were told the way to fix a business is to cut the biggest line. You were told wages are the problem. You were told a new owner proves themselves by cutting

hard. None of that holds. The biggest line is usually the one customers feel. The money is in the small lines nobody reads.

List A is your best techs, the person who answers the phone, parts on the van, how fast you turn up. In a clinic it’s your practitioners and your front desk. Touch those and customers notice within a week. Pay properly here. Keeping a customer is worth more than the saving.

Option B: costs they never see.

Same illustrative plumbing business: $2 million revenue, $300,000 profit, $200,000 a year to the seller.

Walk list B. Software: a twenty-year-old business often pays for three tools that do one job, plus seats for people who left. Say $8,000. Insurance: re-quote through a broker at renewal, same cover checked line by line. Say $5,000. Vehicles: sell the ute nobody drives and the lease, rego and insurance go with it. Say $7,000. Bank and card fees: ask. Say $2,000.

One more that sits in delivery but customers never see: materials. Put more volume through fewer suppliers and ask for better terms. A couple of points on $400,000 is about $10,000.

Leave rent alone. If the seller owns the building, the lease was part of your deal. Note it for renewal.

How you ask matters. Tell suppliers you’re the new owner, you’re reviewing every account and you’d like to keep them. Most would rather sharpen a price than lose the account. Do it in one sweep, over a few weeks, not one supplier at a time over a year. A new owner gets one natural moment to reopen every account. Use it once.

The add-backs.

In diligence you adjusted profit for the seller’s personal costs: the car, the phone, sometimes a family member on payroll. That adjustment assumed those costs

stop. Check that they did. If the seller's still on the fuel card six months after settlement, the profit you paid for isn't the profit you're getting.

Labour per dollar.

Watch labour cost per dollar of revenue, not the wage bill. Tech wages of $800,000 on $2 million is 40 cents in the dollar. Each cent you take off is worth $20,000.

You get there through hours, not pay. Driving across town between jobs. A second trip for a part. Going back to fix a job twice. Fix the scheduling, stock the vans, lift the first-time fix rate, and the same team bills more hours. Nobody takes a pay cut.

The test and the verdict.

The test for any line: would a customer notice within a week if this changed? Yes, it's list A. Protect it. No, it's list B. Cut it.

Verdict: list B, once, properly, in month two. Then stop. Six months squeezing the phone plan is six months not spent on income.

Where it doesn't apply. If the overhead really is lean, skip the sweep. Go straight to the add-backs and labour per dollar. That's where a lean business still hides money. And if labour per dollar is rising month on month, that's not a cost problem. It's a scheduling problem, and you fix it in the diary, not the payroll.

About 10% more profit from lines no customer will ever see. Worth having, and it has a ceiling, which is why the next three episodes are income.

Where people lose money.

- Cutting list A because it's the biggest number. The good techs leave, and the revenue goes with them.
- Adding overhead ahead of income: a GM you don't need yet, a new system, a nicer office. Every new fixed cost comes out of the cash that pays the seller.

- Leaving the add-backs running. The profit you paid for quietly leaks back to the seller.

You can keep doing what most new owners do. Cut from the wrong list. Squeeze the last $500 out of the phone plan while the builder from episode 46 keeps eating the margin. Wonder why the good techs leave. Or you can cut once, properly, with someone who knows where to look, and get back to income.

On the call we go through your target or your business, your structure, and whether the Owners Academy or 1:1 advisory fits. The Academy is the course, every template and script and daily deal discussion. 1:1 is me on your strategy, structures and lender presentations.

If you’re someone who reads a bank statement line by line, and who’d rather protect the people customers love than the subscriptions nobody uses, you already know the next step.

Thirty days from now you’ll be thirty days older whatever you do. The only question is whether the subscriptions are cancelled and the add-backs have stopped.

Book a call with me below. Not a setter. Me.

Not ready? The free 3C Starter Kit has a DSCR calculator. See what 10% more profit does to your cover.

Next episode: turn one-off customers into revenue that repeats.

EP 48 · Every level from one-off job to contract revenue (and what each is worth at exit)

A trades business is a good business, until January, when every customer has to find you again.

You go from booked out to chasing work. From choosing jobs to taking anything.

In this illustrative business, 200 customers on an upfront plan put $72,000 in the bank before a single visit. Here's every level from one-off job to contract revenue, and what each is worth when you sell.

Revenue that repeats pays you twice. It's predictable cash for the seller payment every month. And when you sell, it's the first thing a buyer checks in diligence: how much of this comes back on its own.

This is for owners willing to build something slowly that pays for years. Not for anyone looking for a trick that doubles revenue next month.

One line: sell the next job at the moment of this one, and get paid for it upfront.

There are four levels. One-off jobs. Repeat customers. Plans paid upfront. Service agreements. Most trades businesses sit on level one or two.

And if your business has always lived job to job, it has nothing to do with disloyal customers or techs who can't sell. It has everything to do with the fact that nobody ever offered customers a reason to come back.

I help people buy businesses with little to no money down, then build them up like this. If that's where you're heading, book a call below. Now the detail.

Level 1. One-off jobs.

Every job is won from scratch, usually through Google or the number on the van. Revenue starts at zero each year. A buyer sees a business that has to be re-won every January, and prices it that way.

The move up: record who bought and what they'll need next.

Level 2. Repeat customers.

Customers come back, but only when something breaks, and only if they remember you. Better. Still not predictable.

Count it: how many customers bought once last year, and how many came back? That one number tells you which level you're on.

The move up: stop waiting for the next breakdown. Give the customer a reason to book before it happens.

Level 3. Plans paid upfront.

A home plan. Two visits a year, priority booking, no callout fee. $360 a year upfront, or $36 a month.

Monthly adds up to $432. That's 20% more for paying monthly, on purpose. Make upfront the obvious choice.

Sell it at the moment of the big job. The tech finishes installing a hot water system and says: "Most people with a new system get it checked twice a year so it lasts. We do that for $360 a year, and you jump the queue if anything goes wrong. Want me to put you down?" One line on why, one on what, one question. The office sends the invoice the same day.

Set the term just past how long a happy customer stays. In a trade that's usually a year. Send a reminder before it renews and make cancelling easy. A plan people regret is worse than no plan.

Level 4. Service agreements.

For businesses: property managers, strata, schools, shops. A fixed monthly fee for a set scope, repairs at agreed rates, signed for a year. This is the level a buyer values most, because it's contracted.

Illustrative: ten agreements at $500 a month is $60,000 a year, signed before the year starts. And every one of them brings repair work at rates you've already agreed. You sell these once a year, at renewal, to someone who already buys from you. The builder's maintenance work is the obvious first one.

In clinics, the version is packages and memberships. Check what your sector's rules allow before you design one. **[JOSH: one line on whether your healthcare group sells packages or memberships, and roughly what share of revenue repeats.]**

What a buyer pays for.

Here's what's changed about who buys small businesses. It isn't only the next owner-operator any more. It's groups doing roll-ups: buy businesses at around four times profit, combine them, sell the group at eight, ten, fifteen. Those buyers don't pay for a full diary. They pay for revenue they can predict. A business on level one is priced as a job. A business on level four is priced as an asset.

If you haven't bought yet, ask it in diligence. Saul, an Owners Academy member, is in early diligence on an electrical and aircon business: 25 staff, around $3.8 million revenue, owner retiring in two years. The question I'd want answered on a business like that: how much of the revenue repeats, and how much has to be won again?

That's before any repair work the plans bring. And it lands at the start of the year, not when someone's pipes happen to burst.

Where people lose money.

- Building the plan and never selling it. It sits on the website, nobody hears about it, and you decide plans don't work in your industry.
- Pushing it on every job. It feels like a hard sell, reviews drop, and the referrals that fed level two dry up.
- Locking people in past the value. Complaints and cancellations cost more than the plan earned.

Two paths. Alone, you either never sell the plan or oversell it, and you take years to find the middle. Or you start with a script, a moment and a number to hit, and someone checking the plan before a customer sees it.

On the call we look at your business or your target, what repeats today, and which way in fits. The Owners Academy: the course, every template and script, daily deal discussion. Or 1:1, where I work your strategy, structures and lender presentations with you.

If you're someone who's tired of starting every year at zero, and you'll ring ten customers this week, you've already made the decision.

Thirty days from now you'll be thirty days older. Either still waiting for the phone, or with your first plans sold and paid upfront.

Book a call with me below. Not a setter. Me.

Not there yet? Get the free 3C Starter Kit: the executive-summary template, the three documents to request, and a DSCR calculator.

Next episode: a guarantee for a boring business, built from your own job data.

EP 49 · 4 guarantee mistakes that cost more than the guarantee ($12K worked example)

Every trades business tries to win quotes the same way: a sharper price, a faster reply, and “satisfaction guaranteed” on the van.

Nobody believes the van. So it wins nothing.

How about something different. A promise built from your own job data. In this illustrative business it costs about $12,000 a year, and it pays for itself if it wins $30,000 more work. Here are the four mistakes that make guarantees cost more than that.

Price is the most expensive way to win work. Every dollar you drop comes straight off margin, and margin pays the seller. A guarantee lets you win at the same price.

This is for owners who’ve hit the ceiling of what one good name can carry, and who’ll count before they promise. Not for anyone who wants a slogan.

One line: a guarantee is only cheap when you’re already good, and you only know you’re good if you’ve counted.

Four mistakes, ranked. Mistake two is the expensive one. The last one is the one most owners never think of.

And if you’ve tried a guarantee before and it did nothing, it has nothing to do with your industry or your customers. It has everything to do with where the promise came from. Copied off another van, it can’t mean anything.

I help people buy businesses with little to no money down, then do this kind of work in the first year. If you want help with yours, book a call below. Now the detail.

Mistake 1. A promise nobody believes.

You were told the bigger the promise, the more it sells. You were told a guarantee has to be bold to be noticed. It works the other way. A promise that sounds too good makes people doubt the whole business.

Promise something specific and modest that you control. Pick one:

- “Fixed price before we start. No surprises on the invoice.”
- “If the same fault comes back within 90 days, we come back free.”
- “We text when we’re 30 minutes away. Miss the window you picked and the callout fee’s on us.”

Why fixed price works so well: people hate a surprise on the invoice far more than a higher number on the quote. You’re not promising perfection. You’re removing the thing they’re actually afraid of.

Put it where the decision happens: one line on the quote, near the price, and in the tech’s mouth at the door. In a clinic, never guarantee a clinical outcome. Guarantee the experience: on time, a clear plan, a call back the same day.

Mistake 2. Writing it before you’ve counted.

Same illustrative plumbing business: $2 million revenue, $300,000 profit, $200,000 a year to the seller. About 4,000 jobs a year.

Say 3% need a return visit. That’s 120 trips at about $150 each. $18,000 a year you’re already spending, for free, with no credit. A guarantee puts in writing what you already do.

Now model the downside. Putting it in writing pushes return visits to 5%, because a few people try it on. 200 visits, $30,000. Extra cost: $12,000.

Rule: if your return-visit rate is 15%, don’t write a guarantee. Fix the work first. And if you’ve just bought and have no data, don’t launch in month one. Track return visits for a quarter. The promise you write in month four will be one you can afford.

Mistake 3. Ten conditions.

Conditions full of gotchas turn a guarantee into fine print, and customers read it as a trick. Worse, your own team stops believing it, and they're the ones who have to say it out loud. Keep two or three, each one something the customer wants anyway, plus one catch-all.

- Invoice paid on time. It filters out the customers hardest to look after.
- They went ahead with the fix you recommended. Choose the cheap patch and the guarantee covers the patch.
- Catch-all: nobody else has worked on it since.

One legal line. In Australia customers already have rights under consumer law, and other countries have their own. Your guarantee sits on top of those rights, never in place of them. Get the wording checked by a lawyer before it goes on a quote.

Mistake 4. Using one tool for two problems.

Most quotes aren't lost to a no. They're lost to hesitation. An outcome guarantee removes the fear of it going wrong. It doesn't remove the fear of starting.

So on bigger jobs, add the second tool: a small deposit to lock the booking, fully refundable until you order parts. Saying yes becomes easy. Saying no becomes a decision. And cash arrives before the work, which is next episode.

On a business quoting well over a million a year, $30,000 is a small lift in quotes won. Past that point, the guarantee is making money.

Where people lose money.

- Copying a competitor's guarantee without knowing your own return rate. It either means nothing or costs a fortune.
- Launching it in month one. Track return visits for a quarter first.

- Leaving it off the quote. A guarantee the customer never sees at the moment of decision wins nothing.

Or you can keep doing what most businesses do. Copy a promise off a van. Bury it in conditions. Keep dropping price to win the quote, and pay for it out of the margin that pays the seller. Or build it from your data, with someone checking it, and let it do its job.

On the call we look at your business or your target and which way in fits. The Owners Academy: the course, every template and script, daily deal discussion. Or 1:1, where I work your strategy, structures and lender presentations with you. If it's neither, I'll say so.

If you're someone who'd rather be trusted than cheapest, and you'll count before you promise, you've already decided.

Thirty days from now you'll be thirty days older. Same sticker on the van. Or your return visits counted, and one sentence your customers believe.

Book a call with me below. Not a setter. Me.

Not a fit yet? The free 3C Starter Kit has the executive-summary template, the three documents to request and a DSCR calculator.

Next episode, the last of this act: get paid faster, because cash, not profit, pays the seller.

EP 50 · Profit doesn’t pay the seller. Cash does. (60 to 30 debtor days = $165K)

How come a profitable business can run short of cash on the first of the month?

It has customers, a full diary and a P&L that says $300,000. But the bank balance never lies.

In this illustrative business, $165,000 of cash is sitting with customers. Here’s how to bring it home, without finding one new customer.

In a vendor-finance deal the seller gets paid from the bank account, on a date. Every dollar stuck with a customer is a dollar that isn’t there on that date. Run short twice and you’re renegotiating with the person you just bought from.

This is for owners who check the balance with a knot in their stomach. Not for anyone who thinks cash flow is the accountant’s job. In a 3C deal, it’s yours.

One line: profit is an opinion on the P&L. Cash is what pays the seller.

Most people think profit is money. They think a good year means a full account. They think the seller gets paid from profit. That’s not how it works. The bank account only knows what’s been collected.

Five parts. Measure it, find it, move it forward, chase it, and use the deal’s own cash tools properly.

And if you’ve ever been profitable and short of cash at the same time, it has nothing to do with being bad with money or soft on customers. It has everything to do with a P&L that counts money when you earn it, not when it arrives.

I help people buy businesses with little to no money down, then make sure the business can carry its own debt. If you want me on your numbers, book a call below. Now the detail.

Measure it: debtor days.

Same illustrative plumbing business: $2 million revenue, $300,000 profit, $200,000 a year to the seller. About $16,700 a month.

Debtor days is what customers owe you, divided by revenue, times 365. At year end they owe $330,000. $330,000 over $2 million, times 365, is about 60 days. The business waits two months to get paid for work it has already done.

Find it.

Do the same sum customer by customer. One or two accounts usually hold most of it. Here, the builder from episode 46 owes $200,000 of the $330,000.

That's not a collections problem. That's one conversation. And you have it at the contract review, with the margin numbers from episode 46 in front of you: "We want to keep the work. To do that, we need fourteen-day terms or a rate that carries sixty." Either answer is better than what you have now. And it's the same customer with the weakest margin. Low margin and slow money together means you're funding their cash flow out of your seller payment.

Move it forward.

Five ways, in order of how fast they work:

- **Paid on the day** for homes. The tech takes payment on site. Card fees are real, so price for them. A couple of percent to be paid today usually beats sixty days and three phone calls.
- **Deposits** on quoted work, so materials are paid for before you order them. Last episode's refundable deposit does double duty.
- **Progress payments** on bigger jobs. Never carry a whole job on your own cash.
- **Shorter terms** for businesses. Seven or fourteen days where you can get them. At the builder's contract review, terms go on the table next to the rates.
- **Upfront plans** from episode 48. Cash before the work.

Chase it.

An aged-debtors list, every Monday. A reminder the day it's due. A call at seven days. A firmer call at fourteen. A written rule for when new work stops. Written down, so it isn't personal.

And take payment while you're in the room. A tech who leaves without payment has just become a debt collector. "I'll pay when I get the invoice" loses you more money than any follow-up call ever wins back. Set the techs up to take it, and make it the default, not the exception.

Use the deal's cash tools.

Two from the deal itself.

The working capital line. A bank will often put one in place at settlement. My good friend Cam got $500,000 of working capital from the bank across his two deals. It's runway. It isn't a permanent loan to your slowest customer. If debtors keep growing and the line keeps getting drawn, the bank will notice before you do.

The payment holiday. My first deal, the physio clinic, had a nine-month payment holiday on the vendor finance. Seven years at 4%, nothing down. A holiday like that is when you fix collections, before the first payment is due. **[JOSH: what you did with cash and collections during the nine-month holiday at the physio clinic. Cut if nothing.]**

It isn't new profit. It's cash you'd already earned, arriving sooner. At 1.5 times cover, that buffer is what gets you through a slow winter.

Where people lose money.

- Reading the P&L as the truth. Profit looks fine while the balance falls.
- Being too polite to chase because you're new and want to be liked. Respected beats liked.
- Using the working capital line to fund slow payers every month. It hides the problem until the bank finds it.

Two paths. Alone, you learn this the expensive way, on the first of a month when the money isn't there. Or you learn it from people who've already paid for the lesson, before it costs you anything.

On the call we go through your deal or your target, how the cash covers the seller, and which way in fits. The Owners Academy: the course, every template and script, daily deal discussion. Or 1:1, where I work your strategy, structures and lender presentations with you, including the working capital line.

If you're someone who'd rather be respected than liked, and you'll ring the five biggest overdue accounts this week, you already know what to do.

Thirty days from now you'll be thirty days older. Same money sitting in other people's accounts. Or debtor days falling and a buffer under the seller's payment.

Book a call with me below. Not a setter. Me.

Not ready? Get the free 3C Starter Kit and run the DSCR calculator on cash, not just profit.

Next episode starts sales and marketing: answer every enquiry in five minutes.

Act 11 · Grow: sales and marketing

EP 51 · 100 enquiries, 40 booked: where the other 60 go (step-by-step)

A business you buy comes with an enquiry flow nobody has measured.

A clinic or a trade is a great business. Steady work. People need you. Until the phone rings more than anyone can answer. Then it goes from booked out to busy, and somehow not growing.

In a clinic doing 100 enquiries a month, ten more bookings is about $72,000 a year. Same enquiries. No new ads. I'll walk one enquiry through the business, in the order the customer sees it, and show you where the money leaks.

When you buy at 4× profit, you pay for the bookings the business already makes. You don't pay for the ones it loses. That gap is upside the seller isn't pricing, and you capture all of it. This is for owners and buyers of service businesses: clinics, trades, local services. It isn't for a business that's already at capacity. Fix capacity first. That was episode 26.

Speed to lead means one thing: every enquiry gets a human reply in minutes, not hours, on every channel it came in on.

There are four stops on the way from first ring to booked job. The door, the first five minutes, the hours, and the chase.

If a business is slow to answer, it has nothing to do with lazy staff, or a bad receptionist, or impatient customers. It has everything to do with one thing. Nobody owns the number.

I help owners buy businesses with little to no money down, then plug exactly this kind of leak. If you want that for yours, book a call below. Now the detail.

The door.

Map every way a customer can reach the business. Phone, website form, email, Google messages, Facebook, Instagram, the after-hours voicemail. Next to each, write who answers it and how fast.

Most small businesses have at least one door nobody owns. Then mystery-shop it. Call at 7:30 on a Tuesday night. Fill in the form on a Sunday. Message the Google profile. Time every reply.

If you're buying, do this before you make the offer. It costs nothing and the seller never knows. Then in due diligence ask for the enquiry numbers: how many came in, from where, and how many booked. If the seller can't answer, you've found upside, and you've found a business where nobody watches the front door.

The rule: every door has a name next to it. No name, no door. Shut it, or give it to someone.

The first five minutes.

Three touches. An automatic text the second the form lands, so they know a human saw it. An email with what happens next. Then a real phone call.

Give it one owner. A boring business already has a receptionist, an office manager, or the owner's partner doing the books. Give one of them first response and one number: minutes to first contact. Speed you don't measure drifts back to "I'll call them after this job".

Most owners think growth means more leads. More ads, a new website, more posts. That's not how it works. If you're reaching half the people who already put their hand up, buying more just pours more water into a leaking bucket. Answer what you've got. Then buy more. Episode 54 is the buying.

The hours.

Enquiries arrive when customers are free. Lunch, evenings, Sunday night. Not when the office is open. In a trade it's worse. The person who should answer is on a roof.

So move the hours, not the headcount. An office person on 11 to 7 instead of 8 to 4. An after-hours answering service. In a clinic, someone clearing online booking requests in the evening, because that's when patients sit down and search.

Pull a month of enquiry times and count them by hour. The answer is usually obvious. If a third of enquiries land after 5pm and nobody answers until 9am, that third is going to whoever picks up first.

Speed doesn't mean ringing someone at 9pm. Calling-hour and privacy rules exist. Build them into the system.

The chase.

Some enquire and don't book. Chase on a fixed rhythm: the same day, then once a day for a few days, then a monthly check-in. Cancels and no-shows get the same. Every message carries a link to rebook, because without one people cancel and never come back.

Don't overdo it. A 70-year-old physio patient doesn't want eight emails. One text, one reminder, one call. A customer who replies "yep, see you Thursday" turns up. One who goes silent needs a call.

Then log it. Every enquiry: time in, time of first reply, source, booked or not. Four columns in a spreadsheet. After a month you know your real booking rate, and after three months you have a number the next buyer can check.

[JOSH: one line on whether you checked enquiry handling before buying the physio clinic, or what you found after settlement]

You didn't pay a dollar for that $172,800 when you bought. And a leak you plug in year one gets valued again when you sell.

Where people lose money.

- They buy software nobody opens, and the enquiries still sit in an inbox until Monday.

- They tell the receptionist to “be faster” and never give her a number, so nothing changes.
- They buy ads before fixing response, and pay for leads that ring out.
- They skip enquiry data in due diligence, so they can’t see the upside or prove it to the next buyer.

You can work this out alone, on the business’s money, a missed job at a time. Or you can do it with me, and look at enquiry flow during due diligence, so the fix is in the plan before you settle.

On the call we work out your strategy, your first structure, and whether the Owners Academy or 1:1 advisory fits. I made about 1,000 cold calls before my first deal. I know what speed and persistence are worth.

If you’re someone who’d rather fix the leak than buy a bigger bucket, this is for you. Thirty days from now you’ll be 30 days older either way. Still guessing how many jobs went down the road, or with an enquiry log, a five-minute rule and a number you can show a buyer.

Book a call with me below. Not a setter. Me.

Not ready? Grab the free 3C Starter Kit: the executive-summary template, the three documents to request, and the DSCR calculator.

Next episode: you’ve answered fast. Now, what do you say?

EP 52 · 5 mistakes that let quotes die after you buy a business

Most quotes don't lose on price. They die in silence.

How come a business with good reviews, fair prices and a solid team still loses jobs it should win? The quote goes out, and nobody calls again. The job goes to whoever followed up.

In a trade sending 100 quotes a month, five more wins is about $40,000 a month of revenue, from quotes you've already paid to produce. Here are the five mistakes that kill them, worst last.

In a lot of small businesses the owner is the sales process. He knows who to ring back and what to say. When he retires, it walks out with him, and your profit drops in year one while you're paying him. This is for owners who've hit the ceiling of what they can sell themselves, and buyers taking over from a founder. It isn't for anyone who wants pressure tactics. They don't work on a 60-year-old getting a quote for a new roof.

A sales process is the written path from enquiry to deposit, simple enough that someone other than the owner can run it.

Five mistakes break it. If quotes are dying, it has nothing to do with your price, your workmanship or "customers these days". It has everything to do with nobody ever writing it down.

I help owners buy businesses with little to no money down, then build this so the business doesn't hang on one person. Book a call below if that's you. Now the detail.

Mistake 1. The process lives in one head.

You were told good work sells itself. You were told selling is pushy. You were told if they want it, they'll call. None of that's true. The businesses that win more jobs aren't better tradespeople. They ask better questions, make one clear recommendation and ring back.

So write the stages on one page: enquiry, triage, visit, quote, follow-up, deposit. But sell it yourself first. As the new owner, go on 20 quote visits or sit in on 20 consults. Write down every question, objection and reason someone said no. Then write the page.

The page is short on purpose. If it runs past one page, nobody reads it, and the team goes back to doing it their own way.

Saul, an Owners Academy member, is in early due diligence on an electrical and aircon business: 25 staff, about $3.8 million in revenue, owner retiring in two years. In a business like that, one of the first things I'd ask is who wins the work, and whether it's written down anywhere.

Mistake 2. Pitching instead of asking.

Five questions do most of the work. At the kitchen bench, for a ducted aircon quote:

- "What made you call us now?" Broad gets you the real reason.
- "Is it just you deciding?" Partner, landlord, body corporate. Book the visit when both partners are home and "I need to talk to my wife" goes away.
- "What's it costing you?" The power bill. The bedroom nobody sleeps in over summer.
- "Have you had anyone else out?" Either they haven't, or something didn't sit right.
- "When do you need it done?" Last. Asked early, it sounds like pressure.

The customer does most of the talking. By the time you quote, they've told you why they need it, what it's costing them and who signs off. The quote just confirms what they already said. The rule: no price until you've heard the problem in their words.

Mistake 3. Leaving without a decision.

You’re the expert. Say what you’d do, give the price plainly, ask for the go-ahead. No fake urgency. If they say yes, take the signature and the deposit there and then, like we set up in episode 50. More jobs are lost to “I’ll sign it tonight” than are won in follow-up.

In a clinic the same bones look different. A physio doesn’t sell, they recommend care. But the next appointment gets booked before the patient leaves the room. A lot of clinics lose patients after visit one simply because nobody booked visit two.

[JOSH: optional, one sentence on how your clinic books the next appointment]

Mistake 4. “Let us know” follow-up.

Follow-up is planned, for a month, and tied to the objection. “Did you get a chance to talk to your partner?” “We’ve got finance options now.” Any sign of interest, you ring. You don’t start an email thread.

And every lost job gets one reason: budget, authority, need or timing. Once a month, fix the biggest one. Lost on budget, add a finance option. Lost on authority, book visits when both decision-makers are home. Lost on timing, put them on a three-month call list.

Start today. Pull every open quote from the last 30 days and ring each one. In most businesses I look at, that list is the fastest money in the building.

Mistake 5. Too many options.

This one’s counterintuitive. Good, better, best feels helpful. Often it hands the customer a reason to go home and think. One recommended option gets a yes or a no.

I wouldn’t rip it out on day one. Test it. One estimator quotes a single recommendation for a month. Compare win rate and average job value against the rest.

Five points of win rate. No new leads, no new staff.

Where people lose money.

- They copy a pushy script off the internet and upset customers who've been loyal for 15 years.
- They spend months moving to expensive sales software the team won't use. A spreadsheet and a one-page script beat it.
- They let the seller leave before the process is written, so the know-how retires on settlement day.

Or you can keep doing what most new owners do. Change nothing, and let quotes keep dying in silence. Or do it with me: we work out who actually wins the work during due diligence, and plan the handover around it.

On the call we work out your strategy, your first structure, and whether the Owners Academy or 1:1 advisory fits. I made about 1,000 cold calls before my first deal. Every one was a sales conversation with a stranger.

If you're someone who wants the next business to run on a process, not a personality, this is for you. Thirty days from now you can be 30 days older with the same quotes dying, or 30 days older with one page, a lost-job log and every open quote called back.

Book a call with me below. Not a setter. Me.

Not ready? The free 3C Starter Kit is in the description: the executive-summary template, the three documents to request, and the DSCR calculator.

Next episode: the process works and you can't keep up. You hire the first salesperson.

EP 53 · Salary vs pay on cash collected: your first salesperson inside a 1.5 DSCR deal

Your first salesperson can break the deal before they sell a thing.

There are two types of owners. The ones who still quote every job at night, and the ones who hired someone and paid them for cash in the bank.

On a business making $250,000 a year and paying the seller about $166,000, there's $84,000 of room. A $90,000 salary eats all of it. Here's salary versus pay on cash collected, a test for when to hire, and my verdict.

In a vendor-financed deal, the cash flow that pays a new hire is the same cash flow paying the seller. The 1.5 DSCR rule applies every month, not just at settlement. Get this hire wrong and you're late on the seller in month six. Get it right and you stop being the business's only salesperson, which is what holds its multiple down. This is for owners whose quote calendar is full. It isn't for someone hoping a hire fixes a business that can't deliver.

Pay for cash in the bank, not for turning up.

Two options. Option A, a salary. Option B, a smaller base plus commission on cash collected, taken back if the job is refunded. First, a self-test for whether you're ready to hire at all.

If your last hire didn't work, it had nothing to do with being a bad judge of people, or "nobody wants to work". It had everything to do with the setup: no target, no trial, and pay that didn't depend on results.

I help owners buy businesses with little to no money down, then make them run without the owner doing everything, sales included. Book a call below. Now the detail.

The self-test.

Three questions. Have you, or a manager, sold it yourselves and written it down? That was episode 52. Are there more quote requests than you can get to? And do you know what a good month looks like in dollars?

Three yeses, you're ready. Any no, you're not. Without selling it yourself, you can't set a target, you can't judge a trial, and you can't know what to pay.

And the target comes from your own month. If you sold $60,000 of work last month, that's the yardstick. Expect a new hire to do about half of you at first. Half of you, while you work on the business instead of in it, is a good trade.

Option A: salary.

A salary is a fixed cost. You pay it in the month they sell nothing, and month one is usually that month. On our illustrative deal, cover goes from 1.5 to below 1.0 before the first job comes in. That's a deal paying the seller out of your savings.

Salary does buy one thing: loyalty from someone who won't take a commission-heavy role. If you go this way, size the debt for it in the deal model, before you settle.

Option B: base plus cash collected.

A smaller base, plus commission paid when the cash lands. Part when the deposit clears, the rest when the final invoice is paid. If the job's cancelled and refunded, the commission comes back.

Cash collected, not jobs signed. A signed job that cancels has paid you nothing, so it pays them nothing. That one rule lines their month up with your DSCR.

Use tiers, so the more they sell the better the rate. A flat amount per job lets people hit a comfortable number and coast. And never change the plan mid-stream. Your best sellers leave first.

Before I knew this, I'd have assumed you need cash to attract good people. At 25 I had none. I built my board by offering founders' equity instead of fees. Good

people took upside over a fixed cheque. Pay that grows with results attracts people who expect results.

Who, and the trial.

Hire someone who's already sold in your trade or a close one. Don't hire hopefuls you have to train. Find them like customers: ask your suppliers, your accountant, your best tradespeople. Hiring from a competitor is fine within the law. Hire the skill, never the customer list.

Everyone sounds great in an interview. So the trial is real work: the first 30 quotes, with a pass mark set from your own numbers. Judge them on revenue per enquiry, not close rate. Close rate is easy to game by only chasing the easy ones.

In a clinic, be careful. I wouldn't put a front-desk coordinator on commission for treatment sold. Measure that role on speed to lead, bookings and shows.

Option B costs you $50,000 less if they sell nothing, and pays them more if they sell a lot. That's the trade you want.

Where people lose money.

- A friend of a friend on a big salary in month one, no target, no trial, no clawback.
- Hiring before you've sold it yourself, then paying for a guess.
- Paying on jobs signed, then paying again when the job cancels.
- Putting a clinic coordinator on commission and getting a call from the regulator.

Option B, built into the deal model before you settle. Base small enough that cover stays above the line if they sell nothing for a quarter.

It depends on two things. Your buffer: if the deal has plenty of room above 1.5, a salary is survivable. And your market: if every good estimator in your trade expects a salary, you may have to pay one. Then pay less base, add a bonus on

cash, and size the debt for it. Hire two if the cash flow allows, so you can compare them.

You can do this alone and learn it on the cash flow that's paying the seller. Or do it with me, and put the sales hire in the deal model before you close, so the business can carry it from day one.

On the call we work out your strategy, your first structure, and whether the Owners Academy or 1:1 advisory fits.

If you're someone who wants a business that sells when you're not in the room, this is for you. Thirty days from now you're either still the only salesperson, or you've got a target, a pay plan built on cash, and a shortlist.

Book a call with me below. Not a setter. Me.

Not ready? Get the free 3C Starter Kit: the executive-summary template, the three documents to request, and the DSCR calculator.

Next episode: your salesperson needs more people to talk to. Ads for a boring business.

EP 54 · Every level of ads for a boring business, from $0 to a full calendar

The cheapest lead is often the most expensive one you'll buy.

Every day someone's selling small businesses cheaper leads. "Leads for $10." "We'll fill your calendar." Then the calendar fills with people who don't show or can't pay.

In an aircon business, I'd pay up to $1,000 to win a customer worth $10,000, and not a dollar more. Here's every level of ads for a boring business, and the number that tells you when to stop.

A business that can buy customers at a known cost has upside most sellers don't price. And one that can show cost per job and revenue by channel is a better story for a bank and for the next buyer. This is for people buying their first business, or who just have, and want growth they control. It isn't for anyone who wants to boost a post and hope, or a business that can't handle more work yet.

Price your ads from what a customer is worth, then measure every dollar to cash.

Five levels. Each one has to work before you climb to the next. If ads have burned you before, it had nothing to do with your industry or your budget. It had everything to do with being sold the wrong number. Somebody measured leads. Nobody measured jobs.

I help people buy profitable, boring businesses with little to no money down, then build growth they control. Book a call below. Now the detail.

Level 1. Strangers buy.

Before a dollar on ads: when a stranger calls, do you win the job? If you only win work from mates of existing customers, ads will only make that louder. When ads fail, the cause is usually the offer, not the ad. Fix the offer first. And fix speed to lead from episode 51, or you'll pay for leads that ring out.

Level 2. The ceiling.

Work out the most you'll pay to win one customer, before you spend. I work it off gross profit, not revenue, because in a trade materials and labour eat a big chunk of every job.

Lifetime value, times gross margin, gives lifetime gross profit. I cap acquisition cost at about a quarter of that. Then work backwards through your win rate on quotes and your booking rate on enquiries. That gives you a maximum cost per enquiry, and anyone selling you leads has to beat it.

Lifetime value is install plus servicing plus the next replacement. Use what the business's records show, not what you hope. If the seller can't tell you what a customer is worth over five years, pull the customer list and work it out in due diligence.

Level 3. Search, for urgent jobs.

A blocked drain or a dead aircon in January, people search. They're comparing two or three firms right now. Google search ads and your Google Business profile matter here. You're paying for intent, and you're competing on speed and reviews. Episode 55. Search clicks cost more, but the person is ready to buy today. For an urgent trade, this is usually the first dollar I'd spend, in a tight radius, on the jobs with the best margin, not every job the business does.

Level 4. Meta, for planned jobs.

A new kitchen, solar, a ducted system. People often don't know they're in the market yet. That's where Facebook and Instagram work, in a radius around the business.

And the market has moved. On Meta now, the ad itself does most of the targeting. The platform reads what's in it to decide who sees it. Fiddling with interests matters less. So the ad should sound like your customers. Name the suburb. Show the van. Show the actual team. Say what the job is, never who the person is. No "struggling with..." call-outs. In health, advertising rules are stricter again.

Level 5. Measured to cash.

Every enquiry gets a source: a tracking number per channel, a source field on the form, and “how did you hear about us?” at the counter. Once a week, one table by channel: spend, enquiries, quotes booked, jobs won, cash collected.

Set the test budget and the kill rule before you start. Write them down. Give each ad enough money to produce a few enquiries at your ceiling. At $125 an enquiry, that’s about $500 an ad. Nothing booked by then, turn it off. Then judge on cash collected, not leads, not clicks, not reach.

A cheap lead that never books has an infinite cost per job. A $200 lead that books half the time is cheaper. That’s the whole lesson of this episode in two sentences.

The first ad money in a 3C deal often comes from a working capital facility negotiated at settlement. Cam, a good friend of mine, did two deals in 23 days with 100% vendor finance and got $500,000 of working capital from the bank.

That’s borrowed money, and the same cash flow pays the seller. Test small, measure to cash, keep 1.5 DSCR in front of you.

Ten customers a month at the ceiling is $10,000 of spend for $40,000 of lifetime gross profit. A $10 lead that never books is worth nothing at any price.

Where people lose money.

- A 12-month agency contract that reports clicks and reach, never jobs.
- The working capital spent in a quarter, with no idea which job came from where.
- One bad week, and “ads don’t work in my industry”.
- Ads switched on before anyone answers the phone in five minutes.

Or you can keep doing what most do: rent growth from an agency and hope. Or do it with me, and build the acquisition numbers into the deal model, so you know your ceiling before you settle.

On the call we work out your strategy, your first structure, and whether the Owners Academy or 1:1 advisory fits.

If you’re someone who’d rather own the growth than rent it, this is for you. Thirty days from now you’re either still in the same job reading about other people’s businesses, or you’ve got a target business in view and a ceiling for the first ad dollar.

Book a call with me below. Not a setter. Me.

Not there yet? Get the free 3C Starter Kit: the executive-summary template, the three documents to request, and the DSCR calculator.

Next episode: the thing that makes every ad, quote and call work harder. Proof.

EP 55 • 40 reviews vs 400: the asset nobody prices when they buy a business

Two businesses in the same suburb make the same profit. One has 40 reviews and one has 400.

They are not the same business. One buys customers cheaply because strangers already trust it. The other pays full price for every job.

There's a well-kept secret in buying small businesses. You buy years of happy customers, and almost nobody turns them into proof. I'll show you what that's worth, and the five habits that build it.

Accounts don't show reputation, so most buyers don't price it, and most owners never build it. That's the opportunity. If you're putting capital into a business, proof makes every ad, quote and call from this act convert better, and a buyer at the exit can see it in two minutes on Google. This isn't for anyone thinking of faking reviews. That's how you lose a reputation, and possibly end up in front of a regulator.

Proof is borrowed trust. A stranger who's never heard of you borrows it from the neighbours who left a review.

I know how borrowing works. At 25 I had no track record, so I borrowed credibility. I built a board of credible operators, and banks and sellers took me seriously. Proof does the same job for a business.

If a business has 40 reviews after 20 years, it has nothing to do with bad work or unhappy customers. It has everything to do with nobody asking at the right moment.

I help people buy businesses with little to no money down, then grow them and make them worth more. Book a call below. Now the detail.

Ask at the win.

The job’s done, the customer’s happy, the hot water’s back on. That’s when you ask. Not in a survey three months later. A text with a direct review link, before the van leaves the street. In a clinic, it’s the moment a patient says “I can finally lift my grandkid”.

Give the crew a wins chat. Every good job, a photo. Collecting proof afterwards is nearly impossible. Customers move on, change numbers, forget. Collect it at the win or not at all.

Then count. Reviews a month is the number. If the business does 200 jobs a month and gets three reviews, nobody’s asking.

Record the before.

A result needs something to compare against. A before photo, same angle, every job. For a commercial cleaner, the audit score before you took the contract. For a clinic, the patient’s own measures at the first visit, kept in their record, with consent. Privacy rules apply to health information.

Package it in three seconds.

Name and suburb, the problem, the fix, one result. “Sarah, Ringwood. Ducted system that kept tripping. Installed in a day. Power bill down.” With her permission. The same result can land several ways: a dollar figure, a percentage, a time saved, or a before and after. “Saved 30% on power” moves one customer. “Done in a day” moves another. One two-minute video of a happy long-term customer, filmed once, can sit in quotes, ads and the website for years.

Match proof to the objection.

Worried about mess, show the clean-up photo. Worried about price, the power bill. Worried about trust, the review count. And never hand out customers’ phone numbers as references. Tell them you won’t give theirs out either.

Guard it.

The objections you never hear hurt most. People see one bad review and never ring. The owner answers bad reviews in public. Calm, specific, no arguing. A thoughtful reply often does more than another five stars, because the next customer reads how you handle a problem.

And stay inside the rules. Platforms like Google generally don't allow incentives for reviews, and consumer law goes after fake or cherry-picked ones. Reward the team for asking every customer, never pay a customer for a good review, never hide the bad ones. In Australia, health practitioners are generally restricted from using testimonials in advertising, so a physio can't run patient stories as ads the way a plumber can.

You don't need a track record to start, either. Jy Kingston, who I mentor, came from IT with no finance experience. He built his board in under 30 days through LinkedIn. He didn't wait for proof. He borrowed it. When you buy a business, it's easier still. You've bought years of finished jobs. Most of those customers were never asked.

[JOSH: one line on what proof the physio clinic had when you bought it, and what you did with it]

Same spend, same team, eight more jobs a month. And the next buyer looks you up before they look at the accounts.

Here's the test. Search the business name on your phone, the way a stranger would. Rating, count, date of the last review, and whether the owner replies. If you wouldn't ring it, neither will they.

Reviews are the cheapest marketing a business will ever have. Most owners just never ask.

Where people lose money.

- They rebrand in month one and lose the name 300 reviews were attached to.
- They copy a review-gating trick and break the platform's rules.

- They leave reputation off the due diligence list, so they can’t price it or protect it through the handover.

Or you can keep buying on the accounts alone, and pay full price for every customer. Or do it with me: we list proof and reputation as assets in due diligence, so you protect them through the handover and build on them from day one.

On the call we work out your strategy, your first structure, and whether the Owners Academy or 1:1 advisory fits. My first deal was a physio clinic, 100% vendor finance, no deposit, at 25, after four failed deals.

If you’re someone who wants your capital working in a real business, and would rather build trust than buy it, this is for you. Thirty days from now you’re either still reading listings, or you’ve got a target business and a due diligence list that includes its reputation.

Book a call with me below. Not a setter. Me.

Not ready? Get the free 3C Starter Kit: the executive-summary template, the three documents to request, and the DSCR calculator.

That’s the sales and marketing act. Next, the team. Episode 56: hire the GM before you need one.

Act 12 · Grow: team and operations

EP 56 · Owner-run vs GM-run: what a $150K manager does to a $600K business

Owning a small business is great until about 20 staff. Then you go from owner to bottleneck.

Here’s the bit most owners miss. A business making $600,000 with the owner running it is really a $450,000 business. Every bank and every buyer does that sum.

So the GM isn’t a cost you add later. You’re already carrying it. I’ll cost owner-run against GM-run, give you a test, and tell you which one to buy.

This shows up in two places. Debt cover, because the seller and the lender are paid out of the business. And exit value, because the next buyer pays a lower multiple for a business that leaves with its owner. This is for owners who want a second business, or want to sell the first one properly. It’s not for someone who wants to buy a job and do it forever. That’s a fine life. It’s not what we’re building.

One line: a buyer pays for the profit left after someone is paid to run the business.

Two options. Option A, owner-run. Option B, GM-run. I’ll cost both, then give you the test and the verdict.

You were told owner-operated is the cheap model. You were told you hire a manager when you’re drowning. You were told a GM is overhead. None of that holds once you look at the business the way a bank does.

And if you’re the person everyone waits on, it has nothing to do with being a control freak or bad at delegating. It has everything to do with the order the business was built in. One person did every job first, and nobody wrote down what that person does.

I help owners buy businesses with little to no money down and set them up to run without the owner. Book a call below. Now the detail.

Option A: owner-run.

It looks cheapest. No manager on the payroll. Profit on the P&L is $600,000.

But your hours are a salary nobody's paying. A bank or buyer asks one question: who runs this when you're gone? If the answer is nobody, they cost in a manager. Then they discount again for the risk.

That's two hits. Profit drops by the cost of a manager. And the multiple drops, because every big customer and every hard decision sits with one person. That's key-person risk.

The rule: if your name is on every decision, your real profit is the P&L minus a GM.

Option B: GM-run.

The GM costs $150,000, illustrative. Profit is $450,000. On paper it looks worse.

But $450,000 is what the buyer was going to underwrite anyway. Now there's no key-person discount on top, so the multiple goes up.

It also changes the deal you're buying. In a 3C deal, free cash flow has to cover debt payments at least 1.5 times. Say the payments to the seller and the bank are $300,000 a year. Owner-run, $600,000 covers that twice. Add the GM and it's 1.5. Right on the floor.

So you have two choices. Structure the deal so the payments fit with the GM already in: a longer term, a payment holiday, a lower price. Or plan the GM for year two, once profit has grown. What doesn't work is pretending you'll run it yourself forever.

Making the hire.

Three steps, in order.

Scorecard first. One page. The job in one sentence: runs the day-to-day so the business hits its numbers without the owner. Then three to five numbers. For a trades business or a clinic: gross margin on jobs, jobs done on time, staff

turnover, debtor days, one customer number. Write it before the job ad. A manager who writes their own scorecard writes one they can hit.

Search inside first. In the 3C process you meet the staff before you close, so you already know who people go to when something breaks. That person might be your GM now, or in a year. If not, hire from a bigger, more structured business. Give the finalists last month's numbers and ask what they'd fix first. One hour of that beats three interviews.

Hand over to the GM, not to you. The seller's transition period is written into the deal. Most buyers use it to learn the business themselves. That's backwards if you want a second one. Hand the top 20 customers, the key suppliers and the staff who only listen to the old owner to the GM. Make the list. Tick it off.

The test and the verdict.

The test: if you left for four weeks, would gross margin, on-time jobs and cash collection hold? If not, you own an owner-run business, whatever the org chart says.

The verdict: buy owner-run, run GM-run. Owner-run businesses are cheaper to buy because of the key-person risk. Your job is to remove it. That spread is the money.

Saul, one of our Academy members, is in early due diligence on exactly this shape. Electrical and aircon, 25 staff, about $3.8 million revenue, owner retiring in two years.

I won't say what Saul will do. But in that shape the GM question comes first. Whoever runs it when the owner goes has to be named, scored and in place before the owner walks out.

[JOSH: who runs day-to-day in your healthcare group, how you found them, and one thing you'd do differently]

Same profit, same GM cost in the end. The GM-run version is worth about $675,000 more, because the buyer isn't pricing in your absence.

Where people lose money.

- Leaving the GM out of the deal model. Cover reads 2.0 and is really 1.5. One bad quarter and you're under the floor.
- Letting the seller's relationships move to you. You've bought a job, and the multiple stays at the bottom of the range.
- Hiring the first confident person with no scorecard. A bad GM costs a year of salary and a year of drift.

You can do this alone. You close, step into the seller's shoes, and the GM never makes it into the numbers. Three years in you're still the only manager, and the bank and the next buyer both see it. Or you do it with someone who's already made these mistakes, and the GM goes into the structure before you sign.

On the call we work out your strategy, then your first structure with room for a GM in it, then whether the Owners Academy or 1:1 advisory fits. The Academy is the community, the full course, every template and daily deal discussion. 1:1 is me working your structures and lender presentations with you.

If you're someone who wants to own businesses, not be owned by one, and you'll write the scorecard before the job ad, this is for you. Thirty days from now you'll be thirty days older either way. Or thirty days older with a GM plan inside your deal.

Book a call with me below. Not a setter. Me.

Not ready yet? Grab the free 3C Starter Kit: the executive-summary template, the three documents to request, and the DSCR calculator.

Next episode: getting the ten jobs that matter out of people's heads in one week.

EP 57 · Every level from “in the owner’s head” to sellable: 10 SOPs in 1 week (step-by-step)

There’s a well-kept secret about small businesses. Most of them run on one person’s memory.

The buyers who know it record the ten jobs that matter in one week, and turn four cents of every revenue dollar into profit. The rest spend three months on a binder nobody opens.

Here’s every level from “it’s in the owner’s head” to sellable, and how to climb it in a week.

Three people pay for this. Your lender, who wants to know the business survives one person leaving. Your seller, who is leaving and carries half the business in their head. And your next buyer, who pays more for a business that can be handed over. If you’re the only one who knows how things work, that feels like job security. To a buyer it looks like risk, and they price it.

One line: a process nobody can follow without you isn’t a system, it’s a liability.

There are four levels. Most businesses are stuck on Level 1.

People think systems mean a consultant, an operations manual and software that costs more than the person using it. That’s not how it works. The person who does the job records it once, someone new tests it, and you track one number.

And if your business runs on your memory, it has nothing to do with being lazy or disorganised. It has everything to do with twenty years of being flat out doing the work, with nobody to write it down.

I help owners buy businesses with little to no money down and make them worth more once they own them. Book a call below. Now the detail.

Level 1. In the owner’s head.

No documents. The owner prices the odd jobs, knows which supplier to ring when stock is short, knows which customers need a call instead of an email.

The trap: it walks out the door on the last day of the seller's transition. The one move that unlocks Level 2 is choosing the right ten jobs.

Sit with the team for an hour. Write every job that happens at least once a month. In a trades business: taking an enquiry, writing a quote, booking a job, ordering parts, invoicing, chasing a late payment, onboarding a new tech, a safety check. In a clinic: booking, intake, billing, recalls, rostering.

Score each one. How often, one to five. How bad when it goes wrong, one to five. Multiply. Your top ten is the week. The top of the list is usually money: quoting and invoicing.

Level 2. Recorded.

Don't write. Record. The person who actually does the job does it once while recording. Screen capture for computer work. A phone on a tripod for anything physical, with the person talking through what they're doing.

They know the shortcuts and the traps, and they'll own the result. Ask the best person first and give them the credit. The rest follow.

If you've just bought the business, put the seller first. Record the jobs only they do, before they go. How they price the odd jobs. The supplier they ring when stock is short. Which customers need a phone call, not an email. That's part of what you paid for.

Level 3. Tested.

Turn each recording into a one-page checklist. Numbered steps, a photo where it helps, the video link at the top. People watch the video once and use the checklist forever.

Then on Friday, give one checklist to someone who has never done that job. Watch. Don't help. Every time they stop, that's a missing step. Fix it, and it's done.

Add a second set of eyes on anything that leaves the building. In most small businesses that's quotes. Nothing over a set size goes out unchecked.

Level 4. Measured.

One number: labour cost per revenue dollar. As the business grows, it should fall. Not because anyone's pay is cut. Because new hires get productive faster and fewer jobs get redone.

If it's rising, you're adding people, not systems.

This is the level a buyer pays for. Level 1 says the business needs its owner. Level 4 proves it doesn't, with a number they can check every quarter.

Timing matters. My first deal, a physio clinic, came with a nine-month payment holiday. That's the window where this work gets done, before the first payment is due. Most businesses also have a slow month or two a year. That's your SOP month.

[JOSH: one process at the physio clinic or your healthcare group you documented early, and what changed]

Four cents on $2.4 million is $100,000 a year. In a business that sells on a multiple of profit, one week of recording is worth several times that at the exit.

Where people lose money.

- Writing a binder. Three months, nobody reads it, and the number never moves.
- Letting the owner write the SOPs. They skip the steps they do on instinct, which are the ones that matter.
- Buying software before you have ten processes. A shared folder and a video link is enough to start.
- Letting the seller's transition end before their jobs are recorded. That knowledge is part of what you paid for.

You can keep doing what most owners do. Keep promising yourself you'll document it next quarter. Keep being the person every question comes back to. Or you can plan the recording into your first 100 days, before you sign.

On the call we work out your strategy, then your first structure, then whether the Owners Academy or 1:1 advisory fits. The Academy gives you the community, the full course, every template and script, and daily deal discussion. 1:1 is me working your structures and lender presentations with you.

If you're someone who's tired of being the only one who knows how it works, this is for you. Thirty days from now you'll be thirty days older either way. Or thirty days older with ten jobs recorded and a business that doesn't need you in every room.

Book a call with me below. Not a setter. Me.

Not ready yet? Take the free 3C Starter Kit: the executive-summary template, the three documents to request, and the DSCR calculator.

Next episode: keeping the people who know how the place works, after the sale.

EP 58 · $18,000 to keep your best person: 4 mistakes that lose key staff after you buy

How come buyers with capital, good advisers and clean numbers still lose their best people in the first six months?

They did the diligence. They matched the financials to the tax returns. Then the senior tech hands in his notice, and the debt payments don't move.

Here are the four mistakes that cause it, ranked, and the $18,000 fix.

When you buy a small business, you're buying a team. The cash flow that pays the seller and the bank is produced by a handful of people. Lose one of them in month two and your payments stay exactly where they were. This is for buyers close to a deal, or just closed. It's not for people who think staff come with the furniture. They can leave on a Friday.

One line: staff rarely leave because a business was sold. They leave because nobody told them what the sale means for them.

Most buyers think people leave over money. They think it's the new owner's personality. They think it's random, and you just replace them. That's not how it works. In a small business, people leave when the future goes quiet. The owner they knew is gone, nobody's said what happens next, and a competitor rings at the right moment.

So if you've lost good people after a change before, it had nothing to do with your offer or your personality. It had everything to do with the silence.

Four mistakes. The most expensive one is second.

I help buyers get into businesses with little to no money down and plan what happens to the people inside them. Book a call below. Now the detail.

Mistake 1. Not knowing who's key before you close.

Small businesses usually have three kinds of key person. The one who holds the customers, because the big accounts ring them, not the owner. The one who holds the know-how, the senior tech or head clinician. And the one who holds the office together: rostering, invoicing, the supplier who only answers their calls.

In due diligence, ask the seller: “If these three left next month, what would happen?” Watch their face. Then meet those people yourself before you settle, and make employment agreements for them a condition of the deal.

When you buy a small business, you’re buying that context. A new hire with a better CV takes a year to learn what these three already know. Don’t let it walk out the week you take over.

Mistake 2. Silence in week one.

This is the expensive one. Settlement happens, the seller gives a two-minute speech, and nobody hears anything for a month.

Instead, sit with each key person one-on-one in the first week. Not an all-staff email. Four parts.

What’s not changing: pay, role, who they report to. If you don’t know yet, say when you will. What’s in it for them: a bigger business, a path up, the bonus you’re about to describe. How they’ll hear things: a weekly catch-up, your mobile, whatever you’ll actually keep doing. Then ask what worries them, and listen.

Anything that matters, say in person. In your first months every message gets read three times.

Mistake 3. No retention bonus, or one paid up front.

A key supervisor on $90,000. A retention bonus of 20%, $18,000. A third at 90 days, two thirds at 12 months.

It’s weighted to the back for a reason. The first 90 days are when people decide whether they like the new owner. The 12-month payment carries them through the

first full year, which is when your numbers get proven to the bank. Paid up front, it’s just a gift.

Put it in writing in week one, in the same conversation as everything else. A bonus they hear about in month five doesn’t stop the call from a competitor in month two.

The bonus can often be built into the deal structure rather than paid out of your pocket.

Mistake 4. Getting equity wrong.

For the one or two people who really carry the business, a small slice of equity or a profit share does what a bonus can’t. It’s the same idea as the board: in the 3C model, board members get founders’ equity, usually 2 to 10% each, instead of cash. For staff it’s smaller, and it vests over time.

The mistake is setting it up loosely. Minority holders get no veto and no voting control, and there’s a drag-along from day one, so when you sell the group, everyone sells. If equity is too complex, a profit share on the operating company does most of the job.

And keep it small. Debt over dilution. I keep 73% of my company.

[JOSH: what you said to the staff in the first week at the physio clinic, whether anyone left, and what you’d change]

Do your own version. Even a rough one usually lands well above the bonus. And unlike the bonus, the loss lands in the same year your debt cover is being tested.

Where people lose money.

- Letting the seller tell the staff alone. Agree when and how, and be in the room.
- Promising “nothing will change” and then changing the roster in week two. You only get to break that once.

- Handing out equity without vesting or a drag-along. It’s cheap now and expensive at the exit.

There are two paths. Alone, you focus on the bank and the lawyers, settlement happens, and by Christmas your best supervisor is working down the road. Or the staff plan, the bonuses and the agreements go into the deal before you sign.

On the call we work out your strategy, then your first structure with retention built in, then whether the Owners Academy or 1:1 advisory fits. The Academy is the community, the full course, every template and daily deal discussion. 1:1 is me working your structures and lender presentations with you.

If you’re someone who knows the real asset in a small business walks in every morning, and you want it protected before you sign, this is for you. Thirty days from now you’ll be thirty days older either way. Or thirty days older with your key people named, priced and planned for.

Book a call with me below. Not a setter. Me.

Not ready yet? Grab the free 3C Starter Kit: the executive-summary template, the three documents to request, and the DSCR calculator.

Next episode: the whole business on one page, and where the owner’s name shouldn’t be.

EP 59 • A $3M, 20-person business on one page (copy this org chart)

There are only two types of small business. The ones with an org chart, and the ones with an owner and everyone pointing at them.

The first kind can be sold, bought or run from somewhere else. The second kind stops the day the owner gets sick, and a buyer prices it that way.

I'll put a $3 million, 20-person business on one page and read it the way a buyer does.

Every box with the owner's name in it is key-person risk, and key-person risk comes off the multiple. On $500,000 of profit, the difference between 3.5 and 4.5 times is half a million dollars. This is for owners and buyers who want the business to keep working when they're not in the room. If you enjoy being the answer to every question, keep it. You just can't buy a second business while you're doing it.

One line: every job in the business sits in one of three boxes, and each box needs one named owner who isn't you.

The three boxes from episode 29. Win the work. Do the work. Protect the business. A buyer reads the chart in four passes: the owner's name, the box owners, the numbers, the pay.

You were told a 20-person business is too small for an org chart. You were told the fix is one superhero manager. You were told the owner being across everything is a strength. To a buyer, it's the discount.

And if you're the one everyone points at, it has nothing to do with being bad at letting go. It has everything to do with how small businesses grow. The owner does every job first, then hires helpers, and nobody draws the boxes.

I help owners buy businesses with little to no money down and set them up to run without the owner. Book a call below. Now the detail.

Pass one: where is the owner's name?.

Draw it. Win: the owner on the phone and in the ute quoting, an office person taking enquiries, one estimator. Do: a senior supervisor, two crew supervisors, around twelve techs and apprentices. Protect: a bookkeeper who also does payroll, an office admin, the external accountant and lawyer.

The owner sits at the top of Win, and probably at the top of Do, because every hard job ends up with them. That's normal for a retiring owner. It's also the first thing a buyer circles.

Saul, one of our Academy members, is in early due diligence on a business of this shape: electrical and aircon, 25 staff, about $3.8 million revenue, owner retiring in two years. These are round, made-up numbers, not his.

Pass two: one owner per box.

Each box gets one named person. Not a committee. Not "the owner and the supervisor."

The mistake here is hiring a superhero: one person who quotes, manages the crews, talks to the bank and fixes the van. You won't find them, and if you do, you've built the same risk with a new name.

Break the owner's job up instead. Billing and late payments go to Protect. Scheduling and parts go to a coordinator. The supervisor mostly supervises. The estimator quotes.

Add a role only when the work someone is covering becomes a full-time job. Until then, one name can sit in two small boxes, as long as it isn't yours.

Pass three: three numbers per box.

Win owns enquiries per week, quote-to-win rate and average job value. Do owns gross margin per job, jobs done on time and callbacks. Protect owns debtor days, payroll on time and accurate, and licences current.

Nine numbers, each with a name next to it. Same idea as the Monday numbers from episode 30.

Pass four: pay by box.

Win and Do are where profit is made, so pay them partly on results. A base plus a bonus on won work for the estimator. A base plus a margin or on-time bonus for supervisors. Protect is hard to measure fairly, so it's salaried. Pay on margin and on-time, not volume, or you'll get busy and broke.

And build in order. Never let Win outrun Do. A great estimator who doubles the work won will break the crews if delivery isn't ready.

Where the board fits.

In a 3C deal, the board and the external team cover a lot of Protect. But a board isn't a box owner. Every box needs a named person inside the operating company, with the board above it.

I built my board through LinkedIn and cold outreach, and I keep 73% of my company. That board means I'm never the only brain in the room. It doesn't replace someone running each box day to day.

[JOSH: how your healthcare group splits Win, Do and Protect today, and who owns each, by role]

Same profit. The only change is whose name is in the boxes, and it's worth $500,000.

Where people lose money.

- Putting your own name where the seller's was and calling it temporary. Three years later it's still there, and so is the discount.
- Paying the estimator on volume. You win the jobs that lose money.
- Counting the board as a box owner. The bank and the buyer can tell the difference.

You can keep doing what you're doing. Keep taking every call. Keep quoting every job. Keep being the reason the business can't be sold. Or you can draw the one-page chart before you settle and plan who takes each box.

On the call we work out your strategy, then your first structure, then whether the Owners Academy or 1:1 advisory fits. The Academy is the community, the full course, every template and daily deal discussion. 1:1 is me working your structures and lender presentations with you.

If you're someone who's built a business that needs you, and you're ready to own one that doesn't, this is for you. Thirty days from now you'll be thirty days older either way. Or thirty days older with your name out of two boxes and a plan for the next business.

Book a call with me below. Not a setter. Me.

Not ready yet? Grab the free 3C Starter Kit: the executive-summary template, the three documents to request, and the DSCR calculator.

Next episode closes the act: your first 90 days as the new owner, and the change that costs the most.

EP 60 · The $90,000 mistake new owners make in week two

James buys a business and changes everything in week two. New software, new roster, a big speech about growth. By Christmas his two best people have gone.

Sam buys the same kind of business and changes almost nothing for 90 days. Fixes the one thing everyone hated. Keeps every key person.

Same business, same debt. James's version costs about $90,000 more in year one and drops below the bank's floor. Here's why the fastest new owner is usually the poorest.

In a deal funded by the seller and the bank, the debt is paid from what the staff do every day. Everything in this act, the GM, the SOPs, the key people, the org chart, depends on them staying. This is for anyone about to walk into a business someone else built. It's not for people who want to stride in on day one and fix everything. That's the most expensive way to lose the staff you just paid for.

One line: in a small business the culture is usually one person, the owner. When they leave, it leaves with them, unless you replace it with rules people can see.

If you've watched a workplace change hands and fall apart, it had nothing to do with difficult staff or an old-fashioned business. It had everything to do with the rules living in one person's head.

Think of moving into a share house. You don't rearrange the kitchen on day one. You learn where things go, fix the tap that's been dripping for a year, and then you earn a say.

I help people buy businesses with little to no money down and take them over without breaking them. Book a call below. Now the detail.

Why people believe the opposite.

New owners feel they have to prove something. They've paid for it, the bank is watching, and change feels like progress. In a corporate job, a new boss announces a plan in week one.

But a 20-person business isn't a division. Every change lands on someone by name. The tech whose van setup you moved. The office manager whose system you replaced. They don't see a plan. They see that the place isn't theirs any more.

The first all-hands.

Do it in the first week, with the seller in the room. The seller introduces you. That handshake does more than anything you'll say.

Then five minutes, not fifty.

Who you are, briefly, and why you bought this business. What's not changing: pay, jobs, who people report to, the name on the van. Be specific, because people fill silence with the worst story. What will change and when: "nothing big for 90 days while I learn how you do things" is a good answer. How they'll hear things, and then keep doing it. Take questions, and answer the hard ones straight.

The test for every change.

Before you change anything, ask: does a customer feel this, or does a staff member love it? If yes to either, leave it for 90 days. The Friday barbecue. The way the senior tech sets up the van. These cost you nothing, and they're how people know it's still their workplace.

What you fix early is what everyone already hates. The broken tool. The roster that never works. The invoice system that makes people chase their own pay. Fixing one in month one buys more trust than any speech.

Then replace the owner's head with standards people can see. Set each one from your best real performer. "Our best supervisor gets 95% of jobs done on time. That's the standard." People accept a standard someone in the room already hits.

And own everything that goes wrong in your first months, even when the seller caused it. The team is watching who takes the blame. If it's you, they'll start bringing you problems early, while they're still cheap.

The proof.

The usual objection is “I’ve never run a team, and half the staff are older than me.” When I bought my first business, a physio clinic, I was 25 with zero experience. I pulled $150,000 out in year one. That only works if the team keeps doing the work while the new owner learns.

[JOSH: what your first week as the new owner of the physio clinic looked like, and one thing you deliberately didn’t change]

The $90,000 gap is close to a fifth of profit. It’s the difference between above the 1.5 floor and under it, in the year the bank is watching hardest.

Where people lose money.

- Changing software or the roster in the first month. You pay for it in resignations, not licence fees.
- Sending anything that matters by text or email. Say it in person.
- Losing your temper over a botched job in week three. You teach the whole team to hide problems.

That’s Act 12. Before it, the team was what happened after you closed. Now you know it’s part of the deal: a GM in the model, ten jobs recorded, key people kept, one page of who owns what, and a calm first all-hands.

Two paths. Alone, you walk in with a plan for everything and the people who carried the business decide it isn’t theirs. Or you plan the first all-hands, the first 90 days and the staff conversations before you settle.

On the call we work out your strategy, then your first structure, then whether the Owners Academy or 1:1 advisory fits. The Academy is the community, the full course, every template and daily deal discussion. 1:1 is me working your structures and lender presentations with you.

If you’ve spent years under the new boss who changed everything in week two, you already know which kind of owner people work harder for. If you’re someone who’ll listen first and change things second, this is for you. Thirty days from now

you’ll be thirty days older either way. Or thirty days older with a first all-hands written, a 90-day plan, and a deal you can walk into.

Book a call with me below. Not a setter. Me.

If the timing’s not right, grab the free 3C Starter Kit: the executive-summary template, the three documents to request, and the DSCR calculator.

Next, Act 13 starts building the group: episode 61, the holdco, and why the structure matters for lending and the exit.

Act 13 · Scale: build the group

EP 61 · Every group structure, from one company to a $1M-profit holdco

One business is easy to own. You know every number and every person.

Until you buy the second one. Then a structure you never thought about decides two numbers: how much the bank lends you, and what a buyer pays for the lot.

In the example I'll run today, that's the gap between four million and eight million. Same businesses. Different paperwork.

This is for owners who plan to own more than one business. If you'll only ever own one, a single company may be fine, and your accountant can tell you. Everyone else: the structure is cheap to set up before deal two and expensive to fix after deal four. It's also the first thing a lender and a buyer's diligence team look at.

The whole idea in one line: one deal, one company, with a holding company on top.

There are four levels of structure, and most owners are stuck on level two without knowing it.

If your first business went into whatever company was handy, that has nothing to do with how careful you are. It has everything to do with timing. Nobody plans for deal five while they're scrambling to close deal one.

I help owners set this up, from a first deal with little to no money down to a group a buyer will pay a premium for. Book a call below. Now the detail.

Level 1: the partnership.

You and the business are the same thing legally. Every debt and every claim can reach you.

Rule: don't buy a business this way. Ever.

Level 2: one company.

You own a company, the company owns the business. Fine for one deal.

The trap is deal two. Buy the second business into the same company and both now share one set of debts, one set of books and one set of risks. The bank sees one pile and takes security over the whole pile. A bad year in business two can now reach business one.

Most people think structure is admin you sort out after the deal. That's not how it works. Lenders price your structure. Buyers price it. It's part of the deal.

Level 3: holdco plus one company per business.

This is where most groups should live.

A holding company sits on top. It's the permanent vehicle. Your board's founders' equity sits here. Every business you buy goes into its own new company underneath, with its own bank account, its own lender and its own seller note.

Why the lender cares: they want to see this business's profit paying this business's debt. Ring-fenced, they can lend to that company alone and take security over its assets, not over everything you own. Don't sign a guarantee where one company stands behind another's debt unless your lawyer has read it. That one clause turns five ring-fenced companies back into one pile.

Why the seller cares: in a vendor-finance deal, the seller's note sits in the company that owns their old business, limited to that company where you can get it, and behind the bank. Your lawyer will call that non-recourse and subordination. Ask them to show you both on your own structure.

Why the buyer cares: clean pieces. A buyer can take one business or all of them. Tangled, their diligence team spends months unpicking shared accounts, and every question they can't answer comes off the price.

Level 4: the octopus.

Under the holdco you run arms. One per region or one per industry, each with its own manager, its own businesses, sometimes its own lenders. Lose an arm, the animal lives.

You won't need it for a while. The rule is to build level three so it can grow into level four without being torn down.

Day-one settings.

Two things to set up before anyone else owns a share.

Issue plenty of shares. A million, not a hundred. It's far easier to hand a board member ten thousand out of a million than to reissue later.

Set minority rules from the start. Drag-along, so a minority can't block a sale of the group. No veto and no voting control for minorities. Board members, sellers rolling over equity and managers all sign up to the same agreement.

That's how I've done it. My board sits at the top. The founder of the Australian Institute of Fitness is a shareholder. I keep 73% of my company. **[JOSH: one line on how your healthcare group is structured, e.g. holdco and number of operating companies, or cut.]**

The multiple gap is the roll-up. Buy at around four times, combine and grow, sell the group at eight, ten, sometimes fifteen. It only shows up if a buyer can see clean, comparable numbers. The structure is how you keep them that way.

Private equity is the buyer at the top of that ladder. My friend Jason Nagy's first deal was a five and a half million dollar radiology business, zero down. Seven years later he sold to private equity for two hundred million. Buyers at that level don't untangle shared accounts for you. They price the mess, or they walk.

Where people lose money.

- Business two goes into the same company because it was quicker. Cost: security over everything, and a buyer discount at exit.

- Cross-guarantees signed at settlement without a lawyer reading them. Cost: one bad business can take down the rest.
- Shares handed to a board member with no shareholders' agreement. Cost: a minority who can block the sale of the whole group.
- Fees between companies with no real service behind them. Cost: a tax problem. Management fees need real services at a fair price; your accountant decides the detail.

You can work this out alone. Most people who do it alone find out at the exit, when the buyer's lawyers send back forty questions about shared accounts. Or you can set it up once, with someone who's already made these calls.

On a call with me we look at what you own today, what you want to own, and whether the Owners Academy or 1:1 advisory fits. The Academy gives you the community, the full course and every template. 1:1 is me working your structure and your lender presentations with you.

If you're someone who plans to own more than one business, and you'd rather set it up right once than fix it four times, this is for you.

Thirty days from now you're thirty days older either way. Either with the same tangled page, or with a structure your lawyer is building and a plan for deal two.

Book a call with me below. Not a setter. Me.

Not ready? Get the free 3C Starter Kit below.

Next episode: once you've got three companies, you don't want three bookkeepers. We run the back office once.

EP 62 · Centralise vs keep local: the $50K back-office decision

Three businesses. Three bookkeepers, three payroll systems, three insurance brokers.

How come owners with three good businesses often feel busier than when they had one? Because they're paying for the same work three times, and they're the glue holding it together.

In a three-business group, fixing that is worth about fifty thousand a year. At exit, about three hundred thousand. Customers never notice.

This is for people who own two or more businesses, or are about to. The saving looks small at three. At five it's real money, because the same shared team absorbs each new business for a small extra cost. And at sale, a buyer sees one finance function and one set of books instead of five little kingdoms. If you're hoping a back office will fix a business that doesn't make money, it won't. Fix that first.

One line: centralise what customers never feel, keep local what they pay for.

So every function in your group is Option A, centralise, or Option B, keep local. I'll give you both, the test, and the order.

If your back office is a mess right now, that has nothing to do with discipline. It has everything to do with how you got here: one deal at a time, each business arriving with its own setup.

I help owners build groups like this, starting from a first business bought with little to no money down. Book a call below. Now the detail.

Option A: centralise.

You were told every business needs its own bookkeeper, its own office manager doing payroll, its own broker. That was never a rule. It's how a standalone business has to run. Inside a group, it's a choice.

Centralise anything that’s the same job in every business. Bookkeeping. Payroll. HR admin. Insurance. Compliance. Software. Buying.

One accounting system. One chart of accounts, so wages are wages and rent is rent in every business. One person or firm closing the month for all of them. That matters more than the saving. Until every business reports the same way, you can’t compare their margins, and you can’t see which one is quietly losing money. One payroll, with one set of contracts and policies, adjusted where the law or your industry’s award needs it. One broker. Group buying on fuel, consumables, phones and software seats. Suppliers give better terms to a bigger customer, and now you are one.

Option B: keep local.

Keep anything a customer would notice changing. The person who answers the phone. The tech on the tools. The clinician. The local name on the van.

That’s what you bought. Don’t rename a forty-year-old local business after your holdco because it looks tidy on a slide. Centralise the engine behind marketing if you like, one person running ads and reviews for every business, but the customer still sees the local name.

The test.

Ask one question of every function: would a customer notice if this changed tomorrow?

No: centralise it. Yes: leave it local.

Then a second question for anything you centralise: will the person who uses the tool help pick it? Let the people who’ll use a system test two options before you buy. Don’t put the fanciest software on a twelve-person plumbing business because it looked good in a demo.

The usual pushback is “my businesses are too different to share anything.” Every business pays wages, does its books and buys insurance. Start there. The other

one is “my staff will hate it.” Some will, if you do it in one go without telling them. Do it one function at a time and explain why.

The order.

Books first. You can’t run a group whose numbers arrive in five different shapes. Then payroll and HR, where staff notice change, so tell them what’s changing and what isn’t before you do it. Then insurance and buying. Marketing last, and carefully.

Verdict: both, in that order, one function at a time. Not before you have two businesses running steadily. Never all four in the same month.

Fifty thousand back in profit, plus one set of numbers you can trust. And notice it isn’t huge on day one. That’s normal. The bigger win comes at business four and five. A fourth business on its own would need its own bookkeeper and payroll. Inside the group, the same team takes it on with a small top-up, not a new hire. Every dollar it doesn’t spend on back office is a dollar of profit, and every dollar of profit is six at exit.

Groups often charge this through a management fee from the holdco. It has to cover real services at a fair price, and how it’s taxed depends on where you are.

Where people lose money.

- Centralising everything in one month. Cost: every business stops working properly for a month, and staff leave.
- Buying software because a friend uses it. Cost: a migration, then a rollback, paid twice.
- Taking the one competent office manager out without a plan. Cost: the hundred small things she did that nobody wrote down.
- Stripping the local touch. Cost: the customers you paid for when you bought the business.

You can carry on as you are. Keep paying for the same work three times. Keep reconciling three sets of books on a Sunday. Keep a group that, at sale time, looks like five small businesses in a trench coat.

Or you can fix it one function at a time, in the right order. On a call with me we look at what you own, what the group should look like, and whether the Owners Academy or 1:1 advisory is the better fit. The Academy has people who've already set up a shared back office you can ask. 1:1 is me working your structure with you.

If you're someone who owns more than one business and you're tired of being the glue, this is for you.

Thirty days from now you'll be thirty days older either way. Either still paying for three of everything, or with the books already moving into one system.

Book a call with me below. Not a setter. Me.

Not ready? Get the free 3C Starter Kit below.

Next episode: bolt-ons, the small deals that make this back office pay for itself.

EP 63 · This $150K bolt-on adds $1.2M to the group (teardown)

A business making a hundred and fifty thousand a year, owner retiring, nobody else bidding.

There's a well-kept secret in buying businesses: a lot of a group's value is built with deals like this. Small, boring and ignored. On its own it's a job. Bolted onto a group, it can be worth one point two million.

I'll tear one down in the order a lender sees it.

This is for people who own at least one solid business, the platform, or have capital looking for cash flow. If you haven't bought business one yet, watch this for where it goes, then start at deal one. If you're collecting tiny businesses for the sake of a count, this isn't that. Done badly, bolt-ons drown your best manager and turn a group into a pile of problems.

One line: buy small at a low multiple, make it part of a bigger business, and the bigger business sells at a higher one.

A bolt-on is a small business you add to a platform. A platform is the business everything plugs into: a manager who isn't you, clean monthly numbers, and a back office with spare capacity.

If you've been chasing one big deal and getting outbid, that has nothing to do with your offer or your nerve. It has everything to do with where you've been looking. The big deals are where the crowd is.

I help people buy businesses with little to no money down, then build them into groups like this. Book a call below. Now the teardown.

The target.

Your platform makes a million in profit. A business across town in the same trade makes a hundred and fifty thousand. The owner is sixty-eight. No successor.

What makes it a good bolt-on: same industry, so your staff understand the work and your back office understands the paperwork. Same region, so staff can move between sites. An owner who'll stay for a handover, because small-business customers often buy from the owner, not the brand.

How you find them: map every business in your trade within an hour's drive. Mark the owner-run ones with an owner over sixty. Call five this week and ask one question: "Have you ever thought about selling?" That's the profile. One of our Owners Academy members found an electrical and air-conditioning business that way, direct to the owner by cold call: twenty-five staff, about three point eight million in revenue, owner retiring in two years. He's in early due diligence now.

Same diligence as any deal. Three years of financials, matching tax returns, revenue by year, before you make an offer. Small books are usually messier. Expect to adjust.

The price.

Three times profit. Four hundred and fifty thousand.

You price it on the business as it stands today. Never on what it'll be worth inside your group. The seller gets paid for what they built, not for your back office.

Most people believe the value is in finding a bigger deal. The roll-up says otherwise. Buy businesses at around four times profit, or three for small ones. Combine and grow them. Sell the group at eight, ten, sometimes fifteen. Small businesses sell cheap because most buyers ignore them. Bigger, cleaner groups sell high because they're more stable. You're buying at one price and selling at another.

The structure.

Paid over time, with a payment holiday up front, the way you did deal one. Say about a hundred thousand a year to the seller.

Now the lender’s first check. A hundred and fifty thousand of profit covers a hundred thousand of payments one and a half times. On its own numbers. If it only works because the platform’s cash props it up, cross it off.

Two common patterns. Buy the assets, not the shares, so old liabilities stay behind. And if you’re unsure how many customers stay once the owner leaves, tie part of the price to it: an earn-out on revenue from existing customers over the next year or two.

Where it sits, its own company under the holdco or folded into the platform, depends on the lender, the tax position and how you’ll sell. Decide that with your accountant and lawyer before the LOI.

Inside the group.

It closes. It joins the shared back office. Its own bookkeeper, software and broker fall away. It picks up group buying. Say that’s fifty thousand of costs it no longer needs. It now makes two hundred.

The group goes from one million to one point two million.

You agree four hundred and fifty, paid out of the business’s own profit, for something worth one point two million at exit. None of it is guaranteed. The group multiple only shows up if the group is clean, growing and runs without you.

Where people lose money.

- Paying the seller for synergies. Cost: your margin of safety, handed over at signing.
- Buying faster than the platform can absorb. Cost: integration falls behind, the manager drowns, the platform’s profit slips.
- Drifting into another industry because the price looked cheap. Cost: no shared back office, no shared staff, no group multiple.
- Leaning on platform cash to cover a bolt-on below 1.5×. Cost: one bad year in a small business hits the big one.

You can do this alone and learn each of those mistakes at full price. Or you can have someone check every bolt-on against the rules before you sign.

On a call with me we'll look at your platform, your bolt-on list and whether the Owners Academy or 1:1 fits. In the Academy you can put a bolt-on in front of people who've done them. In 1:1, I work the structure and the lender presentation with you, deal by deal. The NBIO template you get when you join is the one you'll use on every bolt-on.

If you're someone with a platform, or capital looking for one, and you'd rather buy small and well than big and contested, this is for you.

Thirty days from now, you're either still waiting for the big deal, or you've got a scored bolt-on list and your first offer out.

Book a call with me below. Not a setter. Me.

Not ready? Get the free 3C Starter Kit and run your first bolt-on through the DSCR calculator.

Next episode: the bolt-on that's sitting right across the road. Your competitor.

EP 64 · 4 mistakes when buying your competitor (the $1.05M deal)

Two owners. Same town, same trade.

James runs more ads, sends more quotes and works more hours every year, and still wins half his jobs against the business across the road on price. Lorenzo doesn't cut his price or work more hours. A few years ago he bought the business across the road.

In the deal I'll run today, that's one point oh five million, paid over time, for about three hundred and ninety thousand a year of extra profit. And four ways to wreck it.

Your competitor is the one business you already know almost everything about. That makes it the easiest deal to value. It also makes it the easiest to wreck, because they know you too. This is for owners with a running business who've thought, "I should just buy that lot down the road." If you want to buy them to punish them, stop. You'll overpay.

One line: approach carefully, price on their profit as it stands, and plan the people before you close.

Most owners think the way to beat a competitor is to outwork them. In a boring local industry, with owners retiring and no successors, that's not how it works. Buying them gets cheap when you pay over time.

If you've been fighting the same rival for years, that has nothing to do with your effort. It has everything to do with a market that has two of you in it.

Here are the four mistakes, ranked by what they cost.

I help people buy businesses with little to no money down, including the one across the road. Book a call below. Now the detail.

Mistake 4: handing over your secrets.

Competitors know each other. Same suppliers, same association, same gossip. They'll take your call. They'll also wonder what you're after.

Be direct: "We've both been at this a while. Have you ever thought about selling? If you have, I'd like to be the first call."

Then protect yourself. Mutual NDA before numbers move either way. Ask for their three years of financials, matching tax returns and revenue by year. Release yours in stages. Before an LOI they need to know you can fund and close. They don't need your customer list, your pricing or your staff names.

A competitor who stalls on the NDA, then wants to "just have a coffee and compare notes", may be fishing. In some industries and sizes, a competitor deal can raise competition-law questions. Ask your lawyer early.

Mistake 3: losing the people.

You'll have two of some roles. Two office managers. Two senior techs who both think they're the senior tech.

Decide before you close who stays and in which role. Meet their key people before settlement, with the seller's agreement. For the ones you can't lose, a retention bonus at around ninety days and again at a year is common. Small next to losing the person every customer asks for. Your staff are watching how you treat theirs. So is the town.

Then the culture. You're not just changing owners. You're merging two teams who spent years competing for the same jobs. Pick one way of doing things, explain why, and give it time. The staff are most of what you're buying.

Mistake 2: assuming every customer stays.

Some customers used both of you on purpose, so they always had a second option. They'll find a new one.

Ask for revenue by customer under the NDA and match it against yours at the right stage, with your accountant handling the comparison if the seller's nervous.

Revenue from customers you already serve is worth less to you than it looks. And if one big customer is a large share of both businesses, the merged business has a bigger concentration problem than either did alone.

Mistake 1: paying for your own savings.

This is the expensive one.

Price the deal on their profit as it stands. Three to five times. Count only the savings you control: one premises instead of two, one back office, one set of software and insurance. Treat extra sales from cross-selling as a bonus. Never in the price, never in the lender's model.

Check cover on their numbers alone at one and a half times, before any savings. The savings are your margin of safety, not your plan. Paid over time, payment holiday if you can get it, its own company under your holdco.

And never say "vendor finance" to them. Say "getting paid over time". A retiring owner who doesn't want to wait sixteen weeks for a bank often prefers a buyer who knows the trade, will look after the staff, and can close in weeks. If they won't move on price, your best tactic is the one most owners won't use: walk away. Second best is a time limit on the offer.

Still a good deal after the customer loss. But if you'd paid the seller for your hundred and forty thousand of savings, it wouldn't be.

Where people lose money.

- Numbers handed over at a coffee, nothing back. Cost: your pricing in their hands, no deal.
- Savings in the price. Cost: you pay twice for value you created.
- Every customer assumed to stay. Cost: a price built on revenue that leaves.
- Staff hear the news from the rumour mill. Cost: the senior tech walks, and his customers follow.

You can keep quoting against them on every job for another ten years. Or you can plan the approach, the price and the people with someone who’s done it, before you pick up the phone.

On a call with me we look at your market, the competitor and whether the Owners Academy or 1:1 advisory fits. In the Academy you can sanity-check an approach before you make it. In 1:1, I work the structure and lender presentation with you, including how to approach them without giving the game away.

If you’re someone who’d rather own the competition than outwork it, this is for you.

Thirty days from now you’re either still quoting against them, or you’ve had the first conversation and an NDA is on the table.

Book a call with me below. Not a setter. Me.

Not ready? Get the free 3C Starter Kit below.

Next episode: by deal three the bank wants to lend to your whole group. Why that offer is the dangerous one.

EP 65 · Why the bank's best offer at deal three is the dangerous one

On deal one, nobody would lend to you. By deal three, the bank wants to lend to everything.

There are two types of owners who get there. The ones who use that offer to build the group, and the ones whose group gets tied in a knot by it.

In the example I'll run, one business losing a hundred thousand in a bad year puts the whole group in breach. The difference is one clause.

This is for owners with two or more businesses, or one solid one and a pipeline. The bank's group offer usually looks better on every line: bigger limit, lower rate, one facility. The cost sits in the security clause, and most owners don't read it until something goes wrong. If you're still on deal one, go back to the Capital episodes first.

One line: the rules don't change at deal three, but the bank's offer tries to change them.

Every deal still covers its own debt at one and a half times, on its own numbers. Vendor finance is still the first tool. What changes is that a lender will now look at the whole group, and that's a trade.

If it feels like you don't have the capital to buy more, that has nothing to do with your savings or your salary. It has everything to do with what your businesses can now prove.

I help owners buy businesses with little to no money down and then finance the group as it grows, without tying it in knots. Book a call below. Now the detail.

Why the bank says yes now.

You were told the bank decides how big you get, and that each new deal needs more of your own money. That's not how a group gets funded. The businesses fund the businesses.

On deal one you borrowed credibility from a board. By deal three you've got two businesses of monthly numbers, a lender who's watched you hit them, and sellers who've been paid on time. That's why deal three usually moves faster than deal one.

My friend Cam did two deals in twenty-three days, both a hundred percent vendor finance, with five hundred thousand dollars of working capital from the bank. That's what a lender relationship can do.

What the offer costs.

The bank says: "We'll refinance A and B and fund part of C in one facility. Lower rate, bigger limit. We just want security over all three, and the loans cross-default."

Cross-collateral means security over all your businesses. Cross-default means if one business breaks its loan terms, every loan is treated as in default.

Separately, a bad year in C is C's problem. C's lender and C's seller talk to you about C. A and B keep running. In one group facility, C's bad year is everyone's problem.

How to take the money without the knot.

First, every new deal stands on its own numbers anyway. If it only works because the bank lends across the group, it doesn't work.

Second, push back on security. Common fallbacks: security only over the business being funded; security over named assets, not everything; or a higher cover covenant, say one point seven five, in exchange for less security.

Third, check the seller notes. They usually sit behind the bank. Make sure a group facility doesn't change that in a way the sellers' documents don't allow, and that a default in one place doesn't trigger defaults in your seller agreements.

Fourth, personal guarantees. On larger deals, over about five million, one often isn't needed, because the business's assets give the bank its security. Typically. Every lender and deal is different. Ask again at every deal.

Make lenders compete.

Lenders lend on trust, and trust is a forecast you hit. Every quarter, send each lender what you said each business would do, what it did, and why. A year of that and your next credit application half writes itself.

I did over thirty million dollars of deals in banking by twenty-one. **[JOSH: one line from your banking years on what made a lender say yes to a repeat borrower, or cut.]**

Keep two or three banks that know your group, plus your sellers. Keep updating the ones you didn't use. Competition is your best rate. And never fill a cash gap in one business with a credit card or a short-term loan. Keep a reserve, separate.

Two objections I hear. "Cross-collateral is standard, I can't avoid it." Sometimes you can't. You can usually limit it. Ask. And "my bank's been great, I trust them." Good. Trust them and read the documents anyway. Bank staff change. Clauses don't.

Separately, C falls below one times on its own, and that's one conversation with one lender. In a group facility, one business drags all three into breach.

Where people lose money.

- Signing the bigger, cheaper facility without reading the security. Cost: every business on the line for one.
- A deal that only works on group cash flow. Cost: a weak business propped up by the strong ones.
- A cash gap filled with a card. Cost: expensive, unsecured debt exactly when the numbers are weakest.

- Reporting that slips after the deal closes. Cost: the trust that funds deal four.

You can sign whatever's put in front of you, because the rate looks good and the bank's been great. Or you can walk into that bank with someone who's put these deals in front of lenders before, with your bear case already run.

On a call with me we go through your group's numbers, the facility on the table, and whether the Owners Academy or 1:1 suits. For a group facility, 1:1 is where I work your structure and lender presentation with you.

If you're someone planning deal three, and you'd rather read the security clause before you sign than after, this is for you.

Thirty days from now you'll be thirty days older either way. Either signed up to whatever was offered, or knowing your bear case, your covenants and your next deal's numbers.

Book a call with me below. Not a setter. Me. Bring the documents.

Not ready? Get the free 3C Starter Kit and run the bear case through the DSCR calculator.

That's the group built. Next act is about you: episode 66, your week when you own five businesses.

Act 14 · Scale: you as the owner

EP 66 · Every level from 1 business to 5 (where the owner's hours go)

Owning one good business is a great job. Until you buy the second one.

Then you go from fixing problems to being the problem. By business five you're the busiest person in the group, and the reason it's worth less.

Five businesses making four hundred thousand each, bought at four times, is eight million dollars of assets. Sold as one group at eight times, it's sixteen million. A buyer pays the second number for a group that runs without you. Here's every level from one business to five, and where your hours go at each.

That gap is the roll-up. Buy small at three to five times, combine, sell bigger. But it only shows up if the group runs on managers and systems. If every decision still goes through you, the buyer sees one tired person holding the whole thing up, and prices it in.

This is for owners who want the group and the exit. It's not for anyone who bought a business to work four hours a week. Five businesses won't give you that either.

The whole idea in one line: at every level, your hours move one step further from the site.

There are four levels. Most owners get stuck on level two.

And when an owner drowns after deal two, it has nothing to do with work ethic, or intelligence, or how much they care. It has everything to do with a week built for one business that nobody rebuilt.

I help owners build this, from the first deal with little to no money down to the group. Book a call below. Now the detail.

Level 1: one business, you're the operator.

At level one you are the business. You know every customer and every number, and you can fix almost anything by walking in the door.

That feels like control. It’s a ceiling. The business can’t grow past your calendar, and the bank looking at business two can see that.

The move to level two: build the Monday pack. One page, nine numbers or fewer, every week. Revenue against budget, margin, cash, debtor days, the one sales number that drives the business. Then write the job description of the person who could run it without you.

Level 2: two businesses, the first GM.

This is where people get stuck. Business two settles and they run both by hand. They drive between sites, override the manager on the spot, and the pipeline for business three dies because there’s no time left in the week.

Here’s the mechanism. Every time you override a GM, they learn to wait for you. Now you’re the bottleneck in two places.

The rule: one GM per business, and you change things through them, never around them. You see each business through its GM and its numbers. Hire that GM before settlement, not six months after.

Level 3: three to five, one industry, one playbook.

Five unrelated businesses are five distractions. A clinic, a car wash and a café are three games with three rulebooks. You’ll be bad at two of them.

Five clinics, or five electrical contractors, under one holding company are one business with five sites. Same staff types, same suppliers, same numbers. Finance, HR and marketing run once for the group.

Most people think owning more means working more. That’s not how it works. At this level an hour spent fixing one site is one-to-one. An hour spent fixing the system all five use is one-to-five. A booking script, a price change, a hiring scorecard. Same hour, five times the effect.

So every hour gets one test: does this fix a site, or the system?

This is also where the lender's view changes. Five sites reporting the same numbers, the same way, every month, is a group a bank can lend to as one. Five sets of books in five formats is five separate conversations.

Level 4: the group owner.

At level four the week runs on a rhythm, not on you turning up.

Monday morning, five packs land by nine. You read them for red flags only. Two hours.

Tuesday is meeting day. Each GM gets forty-five minutes: last week's numbers, the one problem, the one decision they need from you.

Wednesday and Thursday are the owner's real job. Lenders. The pipeline for business six. Calls to owners who might sell. Nobody else in the group will do this for you.

Friday is people, and one site visit, rotated so each business sees you about once a month.

If that week is boring, the machine's working. An exciting week means a GM left, a lender's nervous or a site's losing money.

I run a healthcare group full time, so this isn't theory. **[JOSH: one line on what a normal week running your group looks like, and the one report you'd never drop.] [JOSH: one thing you changed in your own week after the group grew, and why.]**

The eight-million gap is the prize. The bottom row is what earns it: most of the week on capital, deals and people, almost none of it inside one site.

Where people lose money.

- Buying business two in a different industry. Two playbooks, no shared costs, and no group a buyer will pay a group multiple for.

- Overriding GMs. The good ones leave or stop deciding, and you're back at level one with more debt.
- No Wednesday. With no time for deals, the pipeline dies and the group stalls at two.
- Hiring the GM after settlement. You run the site yourself for six months while you search, and business three waits.

There are two paths from here. Work the rhythm out alone, after business two has already swallowed your week. Or set it up with someone who's built one, before the second settlement.

On a call with me we look at your goal, your hours, your assets and your industry, then your next structure and the level you're building toward. Then whether the Owners Academy or 1:1 advisory fits. The Academy gives you the community, the full course and every template. 1:1 is me working your strategy and structures with you.

If you're someone who wants a group, not five jobs, and you'd rather fix the system than the site, this is for you.

Thirty days from now you'll be thirty days older either way. Either still running everything by hand, or with a Monday pack, a meeting day and a plan for business two.

Book a call with me below. Not a setter. Me.

Not ready? Get the free 3C Starter Kit below.

Next episode: Tuesday's most important meeting. The board meeting that moves the numbers.

EP 67 · The 2-hour board meeting for a 5-business group (copy it)

There's a well-kept secret among owners who run groups of businesses.

Their board meetings aren't for updates. They're for decisions. And one decision, made on time, can be worth a hundred and twenty thousand dollars a year in profit, and close to a million at exit.

Here's the whole meeting, in the order your board sees it. Copy it.

Your board is why sellers and banks took you seriously in the first place. After settlement, the same people should be making you money.

Board members on founders' equity, typically two to ten percent each, give you a few hours a month. Spend those hours reading them numbers they could have read at home and you've paid equity for nothing.

This is for owners building a group to sell. It's not for anyone who'd rather nobody looked at the numbers.

The whole idea in one line: a board meeting exists to make decisions. If it could have been an email, it wasn't a board meeting.

There are six parts, in this order. The pre-read pack. Last month's decisions. The numbers. The decision papers. Capital and deals. The decision list.

You were told a board is a formality for big companies. Compliance and minutes. You were told small businesses don't need one. For a group that borrows money and plans to sell, none of that is true. A working board is how several businesses become something a bigger buyer wants.

And if your meetings drift, it has nothing to do with your board's talent or your charisma. It has everything to do with a meeting that was never designed to decide anything.

I help owners build the board, buy the business and run the group. Book a call below. Now the teardown.

The pre-read pack.

The pack goes out at least two days before the meeting. One page per business, one page for the group. Same numbers, same order, every month, so the trends jump out.

Per business: revenue against budget, gross margin, profit, cash, debtor days, the one sales number that drives it, staff turnover, and the GM's one problem.

For the group: total profit, debt service cover against the 1.5 floor, cash against your reserve floor, the deal pipeline, and lender covenants.

Every number has a named owner who explains it. If nobody owns it, nobody fixes it. And send the pack to your GMs too. If they can see what the board sees, they fix things before the board asks.

Last month's decisions.

Ten minutes. The meeting opens with the list from last time. Done, not done, why.

Anything that's slipped past two meetings gets discussed on its own. That's what stops "let's look at it next month" becoming the culture.

The numbers.

Twenty minutes. No walk-through. The board has read the pack.

Questions only, and only on what's off budget or trending the wrong way. A site that's on plan gets no airtime. That's the reward. The question a good board asks more than any other: what do you expect to happen, and how do you know?

The decision papers.

Forty minutes, one or two decisions. Each comes with a one-page paper: the options, the numbers, your recommendation.

Here's one. Five clinics, each booking four hundred appointments a month at a hundred dollars. That's two hundred thousand a month for the group.

The paper proposes two moves. Price up five percent at all five: ten thousand a month. Fill two empty practitioner days at the two busiest sites: another ten thousand. Each move has an owner, a date, and the number that shows it's working.

"Grow twenty percent" isn't a decision. That is.

Agree who decides what before the meeting. The operator decides operations. The finance lead decides how the debt is structured. You break ties as the owner, and the minutes record who decided.

Capital and deals.

Thirty minutes. Pipeline, lenders, covenant headroom. Whether to sign the LOI on business six. This is where your finance lead earns their equity.

Then ten minutes on risk: what could hurt the group in the next ninety days.

The board also sets the scorecard for every senior hire before the search starts. Never let a new GM write their own. The person being measured shouldn't choose the ruler.

The decision list.

Ten minutes. Decision, owner, date. Read it out before anyone leaves. That list is item one next month.

I found my board through LinkedIn and cold outreach. The founder of the Australian Institute of Fitness is a shareholder in my company. When people like that give you two hours, the meeting has to be worth it. **[JOSH: how often your board meets, for how long, and one decision a meeting changed in your group.]**

The price rise falls almost straight to profit. The fill-rate move adds revenue but carries practitioner cost, so I haven't counted it. One decision, owned and dated, is worth close to a million at exit.

Where people lose money.

- Presenting the pack in the meeting. Two hours of expensive people reading, and nothing decided.
- Decisions with no owner or date. They come back next month, and every month late is a month of profit gone.
- Hearing about covenant headroom from the bank instead of the pack. By then your options cost more.
- Letting a senior hire set their own KPIs. You end up paying for activity, not results.

You can keep doing what most owners do. Run meetings that are updates. Carry every decision alone. Find out the headroom got thin when the bank rings. Or you can run the group with a board and a pack that already work. Standing still is the first option.

On a call with me we look at your board, your numbers and your next structure, and whether the Owners Academy or 1:1 advisory fits.

If you’re someone who’d rather leave a meeting with a decision than a feeling, and you want a group, not a ceiling, this is for you.

Thirty days from now you’ll have had one more month of meetings either way. The only question is whether it ended with a decision list.

Book a call with me below. Not a setter. Me.

Not ready? Get the free 3C Starter Kit below.

Next episode: the line on the pack that keeps you alive. Your risk budget, and what you’ll never sign.

EP 68 · 5 things I'd never sign to buy a business (1.5× DSCR first)

This one isn't for most people. If "no money down" sounds like "no risk" to you, it isn't for you.

No money down is a capital strategy, not a risk strategy. Deals that blow up rarely blow up on price. They blow up on something someone signed.

Here are five things I'd never sign, ranked from expensive to the one that costs you the exit.

When you buy with seller finance and bank debt, your equity is the thin layer on top. A twenty percent dip in profit doesn't cost you twenty percent. It can cost you the business, because the repayments don't dip with it.

This is for owners and capital deployers building something big with borrowed money. It's not for anyone who'll sign whatever's put in front of them to get a deal done.

The whole idea in one line: write your risk rules on a calm day, because on a bad day you'll talk yourself into anything.

There are five lines. When an owner loses a business this way, it has nothing to do with being reckless or greedy. It has everything to do with having no written rules before the pressure arrived.

Most people think nothing-down deals are fragile by design. Look at Cam, a good friend of mine. Two deals in twenty-three days, a hundred percent vendor finance, and five hundred thousand dollars of working capital from the bank. Nothing down, with a cushion built in from day one. Structured right, those two go together.

I help owners structure deals the business can actually carry. Book a call below. Now the list.

Mistake 1: a deal below 1.5×.

DSCR is free cash flow divided by debt repayments. The floor is one and a half.

A business throws off three hundred thousand of free cash flow. Divide by one and a half, and the most it should pay in debt service is two hundred thousand a year. The other hundred is your buffer.

Now the bear case. Profit drops twenty percent. Three hundred becomes two-forty. Against two hundred of repayments, that's 1.2. Tight, but you're paying. Close at 1.2 instead, and the same dip puts you under one. You're funding the bank from your own pocket.

Rule: no deal closes below 1.5 in the base case. Check each business on its own, and the group as a whole. A strong business can hide a weak one in the group total, and the bank will find it before you do.

Mistake 2: settling with no cushion.

Being undercapitalised at close is one of the most common ways a good deal goes bad. Wages, a slow debtor and a broken machine, all in month two.

Write a reserve floor. Months of fixed costs plus debt repayments, held in cash or an undrawn facility, that you never go below. The right number depends on your business and your lender. The point is that it's written, and it's on the board pack every month.

Then put a stop-loss on every new bet. A new site or service line gets a budget and a kill line before it starts. Fifty thousand. If it isn't paying back by month four, we stop. Illustrative, and written in the minutes.

Mistake 3: a personal guarantee by default.

On larger deals, often over about five million, an asset-rich business can give the bank its security, and a personal guarantee often isn't needed. Typically. Every lender and deal is different.

On smaller deals you may have to sign one. Then you negotiate it. Cap the amount. Put a time limit on it. Have it fall away when the debt drops to a set level. Never sign the default. The first draft is the bank's opening position, not its last.

Mistake 4: unsecured personal debt.

Credit cards, personal loans, anything that can follow you home. It's fast, which is the problem. It lets a business that's bleeding look like one that's growing, and it's the dearest money there is.

Never stack it on top of a seller note. You'd be paying the seller from the business and the bank from your house.

Your personal costs should be covered before you sign. Savings, a partner's income, or a salary the business can carry. If your rent depends on the business having a good month, your risk is personal, not commercial. That's when people sign everything on this list.

Mistake 5: equity sold to plug a cash gap.

This is the most expensive line, and it feels like the safest. Selling equity in a panic has no repayments, so it looks like the low-risk option.

It isn't. Debt gets paid off. Equity is forever. Sell ten percent to cover a bad quarter, and if the group later sells for sixteen million, that bad quarter cost you one point six million. Maybe the control over when and to whom you sell, too. A new investor who came in on a bad day has every reason to want a say on the good one.

Debt over dilution, inside the 1.5 rule. It's why I keep 73% of my company. **[JOSH: your own reserve floor or the one line you won't cross, and why; any document you've refused to sign, without names.]**

The top rows are why the floor is 1.5. The bottom row is why you cover a gap with debt you can carry, not equity you can never buy back.

Where people lose money.

- Running only the base case. The base case never arrives on time.
- Counting property or equipment as the reserve. It doesn't pay this Friday's wages.
- Hiring fixed overhead ahead of proven revenue. Payroll doesn't fall when sales do.

There are two paths. Learn these lines alone, usually right after you've crossed one. Or have someone check every structure before you sign it, in the exact moment you want to break a rule.

On a call with me we look at your deal or your next one, check it against these five lines, and work out whether the Owners Academy or 1:1 advisory fits.

If you're someone who wants the upside of buying businesses, and refuses to bet everything to get it, this is for you.

Thirty days from now you'll either have a written reserve floor and a never-sign list, or you'll still be meaning to write them.

Book a call with me below. Not a setter. Me.

Not ready? The free 3C Starter Kit below has the DSCR calculator.

Next episode: the reserve that isn't on the balance sheet. Yours.

EP 69 · Decide at 60%. Don’t run at 100%.

James works seventy hours a week and answers email at nine at night. He hasn’t had a week off in two years. Chad works hard too, but he stops at dinner and his holidays are booked a year out.

Chad’s group is the one that’s growing. Not because he works less. Because he decides better.

Running at a hundred percent isn’t commitment. In a group, it’s the most expensive habit an owner has.

At one business, hours are output. At five, the owner’s output is a handful of decisions a quarter. A GM who isn’t working. A covenant getting tight. Whether to sign the next LOI. Tired owners make those calls late, and a late call on one site can cost more than a year of your salary.

If you left a corporate job to own a business, the trap is rebuilding the same job with more debt attached. Same seventy hours. Now the risk is yours.

This is for people who’ll put forty to a hundred hours a week into building this. It’s not for the four-hour-work-week crowd. I mean that here most of all.

The whole idea in one line: decide at sixty percent, don’t run at a hundred. They’re different things.

There are three parts. Why people believe hours win. What actually moves the numbers once you own the businesses. And a test.

When an owner burns out, it has nothing to do with being soft, or not wanting it enough. It has everything to do with never deciding what they were willing to trade.

I help owners build a group without it eating them. Book a call below. Now the detail.

Why people believe hours win.

Because early on, they do. Before my first deal I made about a thousand cold calls, and four deals fell over. That stage is volume. You make the calls, send the offers, do the reps.

The mistake is staying in sprint mode after the job has changed. Once you own the businesses, the volume belongs to your GMs. Your job is the few decisions only you can make.

You were told the owner who works the most hours wins. You were told rest is for later. You were told that if you're not exhausted, you're not serious. None of that holds once you own the business.

What actually moves the numbers.

Decide at sixty percent. There is never a perfect moment. Waiting for a hundred percent certainty isn't safe. It's passive risk. You lose the deal, or the year.

But the decision is the fast part. The pace is what you can hold.

A long-haul driver doesn't arrive sooner by skipping every stop. He arrives later, or not at all. It only takes one bad call at the wheel.

So pick one number-one priority for the year. For most people watching, that's the next deal. Then write a floor under everything else that matters. Sleep, movement, the people at home. Minimums, not dreams. In a bad week, you protect the floor.

[JOSH: your own floors for sleep, training, time off and family while running the healthcare group.]

Hand off early. The things only you can do in a 3C deal are few: the seller relationship, the decisions, the lender meetings. The spreadsheet clean-up and the data-room admin can go to someone else sooner than you think.

And plan the year in seasons. Two pushes, usually one deal each. Two maintenance quarters to fix systems, tidy the numbers and rest the team. Real time off, booked like a board meeting.

The test.

If you went offline for two weeks, which decisions would wait for you? Write them down. Then hand one of them to a GM this month, with the numbers they need to make it.

If that list is long, the group runs on your energy, and so does its price. A buyer looks at a business that needs one tired person to hold it up and calls that risk.

It’s also why so many sellers sell. A generation of owners carried their business for decades, and they’re done. You’re building the opposite.

Where this doesn’t apply: the first ninety days after settlement. You will run hot. New staff, a new bank, a seller to look after. That’s fine. Choose it on purpose, with an end date, and keep the floors. The danger isn’t working hard. It’s working hard by default, with no floor and no plan for when it eases.

[JOSH: optional. A time you ran too hot and what it cost.]

Three months of a stretched owner putting off one call. Eighteen thousand in cash, and over half a million off the exit if nobody ever fixes it. Compare that with the cost of a week off. It isn’t close.

Where people lose money.

- Waiting for a hundred percent on a deal. The seller signs with someone who didn’t.
- Sprinting for two years with no floor, then stalling right when deal two needs you.
- Doing admin someone else could do while the lender meeting waits.
- No quiet season. The team burns out with you, and the best GM leaves.
- Treating the owner’s energy as free. It’s the one input in the group nobody else can top up.

Or you can keep doing what you’re doing. Running at a hundred percent. Carrying every decision alone. Waiting to feel ready. Feeling ready is the hundred percent you’ll never reach.

Or you can build at full intensity with floors, seasons and someone to ask. Where your energy goes decides whether this works.

On a call with me we look at your goal, your hours, your assets and your industry, and the pace your situation can actually hold. Then whether the Owners Academy or 1:1 advisory fits.

If you’re someone who wants the big outcome, will work hard for it, and wants to still be standing when it arrives, this is for you.

Thirty days from now you’ll be thirty days further in either way. Still running at a hundred with no plan, or running hard with floors, seasons and a plan for the next deal.

Book a call with me below. Not a setter. Me.

Not ready? Get the free 3C Starter Kit below.

Next episode is the Season 2 finale. The thing that breaks owners who get everything else right: partners.

EP 70 · 50/50 handshake vs 4 clauses: how partnerships break when the money arrives

There are only two types of business partnerships. The ones that wrote down what happens when the money arrives, and the ones that break when it does.

Partnerships rarely break when things are hard. They break when things start working.

On a sixteen-million-dollar exit, four clauses decide who gets what. Here's the handshake against the agreement, and a test to tell you which one you've actually got.

In the 3C model you'll have more partners than you think. Co-buyers. Board members on founders' equity. Sellers who roll equity into the new company. Each one owns a slice of the exit.

If the paperwork doesn't say what happens when someone stops, leaves or disagrees, the exit is when you find out. That's the worst possible day to negotiate.

This is for anyone buying with a co-buyer, building a board on equity, or taking a seller's rollover. It's not for anyone hoping a handshake will hold for ten years.

The whole idea in one line: contribution changes over time, so the terms have to be able to change too.

Two options. Option A is the handshake. Fifty-fifty, goodwill, sort it out later. Option B is four written clauses: roles and vesting, deadlock, buy-sell, and minority exit. Plus one trigger.

When a partnership breaks, it has nothing to do with bad people, or greed, or one partner getting lazy. It has everything to do with terms written for year one that nobody touched again.

I help owners structure this from the start, so the group survives the money arriving. Book a call below. Now the detail.

Option A. The handshake.

People choose it because it’s fast, it’s friendly, and writing things down feels like you don’t trust each other.

Here’s how it plays out. Two co-buyers, fifty-fifty, buy a business making four hundred thousand. One runs it full time. The other finds the next deal. By year three the seller note’s paid down, the business throws off cash, and the deal-finder has taken a job elsewhere.

Same fifty-fifty. Completely different contribution. The operator is doing all the work for half the profit, and resentment does the rest.

Now add a board member given five percent on a handshake, who stopped turning up after six months. And a seller who rolled in with a veto. The group grows to sixteen million, a buyer wants a hundred percent, and three people can each slow the deal down.

Most people think trust is enough. They think writing it down means you don’t trust each other. That’s not how it works. Writing it down is what lets you keep trusting each other in year five.

Option B. The four clauses.

Your lawyer drafts these. You decide what goes in.

One. Roles and vesting. Who does what, how many hours, and what happens if someone stops. Only partner where the jobs don’t overlap. One person finds and finances deals, the other runs the businesses. Two people doing the same job is one too many. Equity vests against contribution. For board members, that’s founders’ equity, two to ten percent, vesting from the signed purchase agreement.

Two. Deadlock. Agree decision rights in advance. The deal person decides on structures. The operator decides on operations. Then a formal last resort, which your lawyer sets out.

Three. Buy-sell. If a partner wants out, dies, divorces or stops contributing, how is their share valued, who can buy it, and how is it paid for? Agree the formula now, while nobody knows which side of it they'll be on.

Four. Minority holders on exit. Drag-along, so a minority can't block a sale of the group. No veto and no voting control for small holders. Set up from the start.

Then the trigger. The terms reopen when the seller note is paid off, or when anyone's hours drop below an agreed level. Maybe the operator gets a salary first, then profit splits. Maybe the partner who stepped back sells some shares under the buy-sell formula. The conversation is already in the contract, not left to resentment.

Sellers are partners too.

Any seller who rolls equity into the new company is a partner who used to be the boss.

My friend Jason Nagy's first deal was a five-and-a-half-million-dollar radiology business, zero down, on a sixty-forty structure. Seven years later he sold to private equity for two hundred million.

At that end of the market, the buyer wants a clean shareholder register. So the same rules apply to the seller. Their role after settlement. What they can and can't vote on. And drag-along, so they come with you when the group sells.

It's also why I care about control. I keep 73% of my company. Equity can be shared. Control should sit where the decisions get made. **[JOSH: how your own shareholders' agreement handles deadlock or exit, or a partnership you've seen break, without names.]**

The self-test.

Two questions. If your partner stopped working tomorrow, could you say in one sentence what happens to their shares, at what price, and who pays? And if a buyer offered for a hundred percent of the group, could anyone block it?

If you can’t answer the first, or the answer to the second is yes, you’re on Option A, whatever you think you agreed.

Option B, every time you share equity. No exceptions for friends. Friends are who it protects most.

And if you can’t find a partner whose job is different from yours, go solo and keep a hundred percent. You’ll still have a board and maybe a seller rolling in, so clauses three and four still apply.

None of those is a fight on day one. Every one of them is a fight on exit day, with a buyer waiting.

Where people lose money.

- Equity with no vesting. Someone leaves in year one and owns a slice of year ten.
- Two partners in the same job. One of them is overpaid, and both know it.
- A seller rollover with a veto. The person you bought from can block the sale you built.
- No buy-sell formula. The valuation fight happens at the worst moment, with lawyers on the clock.

There are two paths. Sort it out over a beer and hope it holds. Or structure it from the start with someone who’s set these clauses up before.

On a call with me we look at your goal, your hours, your assets and your industry, then your first or next structure, including who you’re doing it with. Then whether the Owners Academy or 1:1 advisory fits. Bring your partner if you have one.

If you’re someone who wants to grow past one business, and you’d rather have the awkward conversation now than the expensive one later, this is for you.

Thirty days from now you and your partner will either have the four clauses on paper, or you’ll still be relying on a handshake.

And this is the end of Season 2, which makes it a good line to draw. Before it, you wanted to buy a business. Now you know how to own one, grow it and build the group around it. Your week, your board, your risk lines, your pace and now your partners. That’s the owner a buyer wants to deal with. What you do with that is the only question left.

Book a call with me below. Not a setter. Me.

Not ready? Get the free 3C Starter Kit below.

Season 3 opens with the buyer at the end of all this: what private equity actually pays for.

Act 15 · The exit

EP 71 · What private equity pays for: every level from 3× to 8×

There are two types of people who buy a business. The ones who buy themselves a job. And the ones who buy something a bigger buyer will pay for.

Same $1M profit. One sells for $3M. The other sells for $5M.

Nothing about the second one is clever. Here's every level between them, and how to build it in from the day you buy.

Season 3. The map in two lines: Credibility and Capital get you a business with little or none of your own money in it, and Closing gets it signed. Grow makes it bigger, and Exit is where you get paid for all of it.

A buyer pays a multiple of profit. One turn of multiple on $1M of profit is $1M. So the only question in this episode is what moves the multiple. If you want a lifestyle business you never sell, skip this one.

The multiple is the buyer's answer to one question: will this profit still be here after the owner leaves? The surer they are, the more they pay.

You were told value comes from hard work, years in the chair and revenue growth. If you believed that, it's not on you. It's what owners tell each other. Buyers don't price any of it. They price certainty.

There are four levels. Each one adds one thing a buyer can trust.

I help owners and buyers do exactly this: buy with little to no money down, then build the business up these levels. Book a call below. Now the detail.

Level 1: A job you own (~3×).

The owner wins the work and does the work. Customers come back every year, but on a handshake. The books get done once a year, for tax. One customer is a third of revenue.

A buyer sees profit that walks out the door with you. So they offer around 3×, and hold part of it back in an earn-out to keep you tied in. Episode 74 covers those.

The test for Level 1 is simple. Take four weeks off with your phone off. If revenue drops, you're here, and so is the price.

If you're buying, this matters. Most retiring owners sell you a Level 1 business. That's partly why you can buy at 3 to 5× profit. It's not a problem. It's the gap you get paid to close.

Level 2: Revenue a buyer can count (~4×).

Contracts, maintenance plans, memberships, retainers. In most traditional businesses the work already repeats. It just isn't on paper.

A contract is revenue a buyer can count. A handshake is revenue they have to guess at, and buyers discount guesses.

Turning handshakes into contracts is usually a letter and a phone call to customers who already come back every year. On $1M of profit, moving from 3× to 4× is $1M of exit value. That's the best-paid admin you'll ever do.

The rule: get more than half of revenue on contract or a fixed schedule. Then spread it. Once one customer is over 20 per cent, a buyer prices in the day that customer leaves.

Level 3: Runs without you, numbers they can check (~5×).

This is the biggest jump. A general manager runs the day to day. You don't win the work and you don't do it. And there's a stretch of months that proves it ran while you weren't there.

Next to that, numbers that check out. Monthly profit and loss reconciled to the bank. Revenue by customer and by source. Every add-back with a document behind it. Clean numbers shorten diligence, and a short diligence keeps the price you agreed. That's next episode.

The rule: hire the GM one to two years before you want to sell, not one month. A buyer wants to see the year after you stepped back, not your promise.

Level 4: Big enough for private equity (8× and up).

Size changes who’s buying. One business making $1M attracts individuals and competitors. A group with a management team attracts private equity, and private equity pays more for size and systems.

That’s the roll-up in one line. Buy ten businesses at around 4× profit, grow and combine them, sell the group at 8, 10, sometimes 15×. You don’t need any one of them to be special. You need each one at Level 3 before it joins the group.

My friend Jason Nagy bought one radiology business for $5.5 million with zero down, using a lender plus the seller staying in. Seven years later, private equity bought the group for $200 million. The seven years are his story to tell. What it proves is that a zero-down first deal doesn’t cap where you finish.

Same profit, $2M apart. And B is paid mostly at settlement, so the buyer’s risk isn’t parked in an earn-out that might never pay. First you buy A. Then you put in the contracts, the GM and the monthly books. Once you have those, you own B, and you never paid a B price.

Where people lose money.

- **Chasing revenue instead of certainty.** Another $2M of handshake revenue still sells at a Level 1 multiple.
- **Hiring the GM in the sale year.** Buyers see it. The price drops a turn or comes with an earn-out. On $1M of profit, a turn is $1M.
- **Leaving one customer at a third of revenue.** The buyer cuts the price or walks.
- **Buying without scoring the target.** You can’t plan a fix you never measured. Score every target one to five on contracts, owner-dependence, concentration and monthly books.

Two paths. Buy whatever you can get, run it hard, and find out at the sale it’s worth $2M less for things you could have fixed three years earlier. Or build the exit in from deal one.

On a call with me we score your business or your target on these four levels, sketch your first structure, and work out whether the Owners Academy or 1:1 advisory fits.

If you're someone who'd rather own an asset than a job, and you want to know what it's worth before you buy it, you've already decided.

Thirty days from now you'll be thirty days older either way. The difference is whether you've also got a target list scored on the four levels and a structure on paper.

Book a call with me below. Not a setter. Me.

Not ready? The free 3C Starter Kit is in the description: the executive-summary template, the three documents to request and the DSCR calculator.

Next episode: the data room, the folder that keeps the price you agreed.

EP 72 · The 7-folder data room that protects a $6M sale (copy it)

There's a quiet rule among people who buy businesses for a living. Most deals don't die on price. They die in diligence, waiting for documents nobody can find.

On a $6M sale, six slow months can cost you $500,000.

This is the folder that stops it, opened in the order a buyer's accountant opens it. Copy it.

A data room is one online folder holding every document a buyer will ask for, with access you control. It pays twice. On the way in, it's your checklist: you can find the gaps in a target in an afternoon. On the way out, it's what keeps the price you agreed. If you won't keep monthly books, nothing in this episode will help you.

Most people think diligence is the buyer's problem. That's not how it works. The price in your LOI is a draft. Diligence is where it gets tested, and every missing document is a delay, a price cut or a reason to walk.

If you've looked at a deal and couldn't tell a good one from a bad one, it has nothing to do with your intelligence or how much you've read. It has everything to do with never having seen a complete set.

Seven folders, in five stops.

I help people buy businesses with little to no money down and run them so they're ready to sell. Book a call below. Now the folders.

Folders 1 and 2: Financials and tax.

Opened first, every time. Three years of annual accounts. Monthly profit and loss and balance sheet for at least the last two years, reconciled to the bank. Tax returns that match the accounts.

Monthly matters because buyers look at trend and seasonality, not just the year. An annual figure can hide a bad last quarter. A buyer will find it, and price it as if it's the new normal.

When you bought, you asked the seller for three years of financials, matching tax returns and revenue by year. That was their data room. Now keep yours.

[JOSH: one line on what you asked the physio seller for before your offer, and what was missing.]

Then the add-backs: owner costs you say won't carry over to the buyer. Each one needs the document that proves it. No document, no add-back. Every $50,000 you can't prove comes off profit, and at 5× that's $250,000 off the price.

Folder 3: Customers and revenue.

Revenue by customer, by service line and by source, every month. Your top twenty customers and their share. Who left, and why.

This is where the buyer prices growth. If you can't show where revenue comes from, they can't see what drives it, so they won't pay for it.

It's also where they check concentration. If your top customer is 30 per cent of revenue, expect a lower multiple or part of the price moved into an earn-out. Better to know that from your own folder than from their accountant.

Folders 4 to 6: Contracts, people, licences.

Every customer contract, supplier contract and lease, each one marked: assignable to a new owner, or needs consent. The trap is a key contract with a change-of-control clause found in week ten. The deal reopens.

People: an org chart, employment agreements for every key person, pay and entitlements. In licensed industries like healthcare, every practitioner's registration.

Licences: every permit the business needs to trade, any issue, and how it was fixed.

On the way in, these three folders are where a target hides its problems. A lease with eighteen months left. A key practitioner on no contract. Ask for all three before you finalise the price, not after.

Folder 7: Corporate and legal.

Company records, the shareholders' agreement, board minutes, any disputes. This is where your day-one structure pays off. Drag-along rights, and no veto for minority shareholders. If someone with 3 per cent can block the sale, the buyer finds it here.

Fix it early. Changing a shareholders' agreement before a sale is a lawyer's afternoon. During a sale, the minority holder knows they have leverage, and they'll price it.

The KPI pack and the access rules.

The KPI pack is the story the folders prove. Twelve months of revenue per customer, gross margin, churn and concentration. If you've been doing the Monday numbers, you already have it.

Access: signed NDA first, serious buyers only. Customer names and staff pay only after a signed LOI. It's the same rule we use as buyers: the NDA is the first test of who's serious.

A quality-of-earnings review is an accountant testing whether the profit is real and will repeat. You ran one on your seller. One day a buyer runs one on you.

Timing: build the folders the week you settle, add to them every month, and a year before you sell, get your own quality-of-earnings review so nothing in the buyer's surprises you.

Every request without the folder takes two weeks. Ninety days becomes six months, a slow season lands in month five, the buyer's model drops and they come back at $5.5M. You've waited too long to start again, so you take it. That's $500,000 lost to time.

Where people lose money.

- **Add-backs with no paper.** $50K unproven at 5× is $250K off the price.

- **Tax returns that don’t match the accounts.** The buyer believes the lower number.
- **Customer names handed out before an LOI.** Some “buyers” are competitors fishing.
- **Waiting until a buyer calls.** You can hire someone to sort documents. You can’t hire someone to create two years of monthly accounts that were never done.

Or you can keep doing what most owners do. Documents in three inboxes and an old laptop. Meaning to sort it out. Finding out, when a buyer turns up, that six months of digging just cost you the price you agreed.

On a call with me we run the seven folders against your business or your target, sketch your first structure, and work out whether the Owners Academy or 1:1 advisory fits.

If you’re someone who’d rather know than guess, and you want your capital in a business you’ve actually checked, you already know what to do.

Thirty days from now you’ll be thirty days older. Either with seven folders filled and a way to check any deal, or still wondering what you missed.

Book a call with me below. Not a setter. Me.

Not ready? Grab the free 3C Starter Kit in the description: the executive-summary template, the three documents to request and the DSCR calculator.

Next episode: sell 60 per cent, keep 40, and why the second cheque can be bigger than the first.

EP 73 · Sell 100% vs sell 60% (the $32M second bite)

Growing a group of businesses is a great position to be in. Cash flow, a team, control. Until the next step needs more money and more people than you have.

That's when most owners think there are two options: stay stuck, or sell the lot. There's a third. In the example I'll show you, the second cheque is bigger than the first.

It's called a recapitalisation, or recap. A buyer, usually private equity, buys a majority of your company, say 60 per cent. You're paid for that now and you keep the rest. When the group is sold again, your 40 per cent gets paid too. That's the second bite.

This is for owners who've hit a ceiling and think the next five years are worth more than the last five. If you want one clean cheque and never to think about the business again, sell 100 per cent. That's a fine answer.

Most people think selling means walking away. At the top end, that's not how it works. A recap trades certain money for a bigger, uncertain second cheque, and trades control for a partner with more capital than you.

If you've hit the ceiling, it has nothing to do with your work ethic or your industry. It has everything to do with arithmetic. One owner's money and one owner's hours only stretch so far.

Option A, option B, the rights that decide it, and a test.

I help people buy businesses with little to no money down and structure them for an exit like this. Book a call below. Now the detail.

Option A: Sell 100%.

Certain, simple, done. You get today's multiple on today's profit.

What it costs you is the next jump. The buyer is paying you a group multiple so they can buy more businesses at 3 to 5×, combine them, and sell at 8, 10 or more. Sell everything and that arbitrage is theirs, not yours.

In our example, that's $32M today, before debt, fees and tax. Nothing left at risk and nothing left to gain.

It's the right call if you're done, or if you don't believe the next five years beat the last five.

Option B: Sell 60%, keep 40%.

This is the mirror image of the 60/40 buying structure from episode 14. When you buy that way, a lender funds most of the price and the seller rolls part of their value into equity and stays in. In a recap, you're the seller who stays in.

In our example the buyer pays $19.2M for 60 per cent, and your 40 is worth $12.8M on paper. Paper, not cash. It only turns into cash at the next sale.

The buyer wants you to keep 40 per cent. It keeps you motivated and tells them you believe the numbers. If an owner wants every dollar out on day one, a buyer asks why.

Now the case against. Profit could fall. The buyer could overpay for what they add, or load the group with debt. And you stop being the boss. Every rule you set for your own minority shareholders, drag-along, no veto, no voting control, now applies to you.

The rights that decide it.

Agree these before you sign, while you still have something they want. Proper lawyers. Not a template.

- **Tag-along.** If they sell their 60, you can sell your 40 on the same terms.
- **Information.** Monthly accounts, the board pack, the debt position.
- **A board seat,** or at least the right to attend.

- **Consent on the big things:** much more debt, new shares that dilute you, selling a major part of the business. You won't get a veto on everything. Spend your leverage on debt and dilution, because those are what shrink your 40.
- **Leaver terms.** What happens to your 40 per cent if you leave or they push you out. Read it twice.

[JOSH: optional. One line on any recap or partial sale offered to your healthcare group and what you thought of it. Cut if none.]

The test and the verdict.

Write down your first-bite number: the amount that changes your life even if the second bite never comes.

If 60 per cent of today's value clears it, a recap is on the table. If it doesn't, sell 100 per cent or don't sell yet.

Then check what the second bite depends on: the buyer's plan, how much debt they'll put on the group, and whether you'll still be running it. Ask to see the plan before you sign. If they won't show you, that's your answer.

The verdict: recap when the first bite clears your number, you believe in the next five years, and you've got the rights in writing. Otherwise, take the whole cheque.

The good case pays $19.2M more than a full sale. The bad case pays $4.4M less. It's a bet, so size the first bite to be fine if it loses.

Where people lose money.

- **Signing the buyer's shareholders' agreement as drafted.** Their lawyers, their terms. You find out what's in it in year three.
- **A first bite too small to live on.** If the second never comes, you've sold 60 per cent and carried all the risk on the rest.

- **No tag-along.** They sell their 60 to someone you didn't pick, and your 40 is stuck with them.
- **Weak leaver terms.** Get pushed out and your 40 per cent can be bought back at a discount.
- **Ignoring the debt stack.** Lenders are paid before equity. Load the group with debt and your 40 per cent of the sale price shrinks after they're paid.

Two paths. On the first, the minority agreement is written by the other side's lawyers and you find out what it means three years later. On the second, your structure is set up from deal one, so at the end you've got options, not surprises.

On a call with me we map your exit doors, sketch your first structure, and work out whether the Owners Academy or 1:1 advisory fits.

If you're someone who's outgrown doing it all yourself, and you want the exit to be your choice and not a fire sale, you've already made the decision.

Thirty days from now you'll be thirty days older. Either still at the same ceiling, or thirty days into buying past it with a structure that keeps your options open.

Book a call with me below. Not a setter. Me.

Not ready? Grab the free 3C Starter Kit in the description: the executive-summary template, the three documents to request and the DSCR calculator.

Next episode: earn-outs, and the paragraph that decides whether you get paid.

EP 74 • 5 earn-out mistakes that turn a $1M sale into $700K

How come people with capital, good lawyers and a signed deal still end up in a fight two years after settlement? They had the money. They had the advisers. What they also had was an earn-out written like a handshake.

On a $1M deal, that's $300,000 riding on one paragraph. Here are the five mistakes that lose it, cheapest first.

Typical shape: a base of 70 to 80 per cent, and an earn-out of 20 to 30 per cent paid over one to three years if the business hits agreed targets. You'll meet it from both sides. As a buyer, it means you don't pay for "maybe" at settlement. As a seller, it's how buyers bridge the gap between your price and their doubts. This is for people doing real deals. If you're still deciding whether to start, go back to episode one.

You were told an earn-out is a bonus. Upside. A sweetener. It isn't. It's part of the price that might never arrive, and whether it does depends entirely on what's written down.

If you've seen one go badly, it had nothing to do with trusting the wrong person. It had everything to do with a target nobody defined properly.

Here's the example we'll use.

I help people buy businesses with little to no money down and structure deals like this so they hold. Book a call below. Now the mistakes.

Mistake 1: Too many metrics.

Five targets is five arguments. Revenue, margin, headcount, new customers, retention, each with its own definition. Hit three, miss two, and now you're arguing over what a partial payment should be. Every one becomes a dispute about how it was counted.

Each argument costs legal fees, management time and goodwill with the person you need running the handover. On a $300K earn-out, one dispute can eat a third of it before anyone wins.

The rule: one or two metrics. Never five.

Mistake 2: No cap, no reporting.

As the buyer, an uncapped earn-out means one lucky year can cost you more than the business was worth. Say a big one-off contract lands in year one. Uncapped, you pay a share of revenue you'll never see again. Cap it at the agreed amount.

You also keep control of operations. A seller chasing a number will run the business for this year's target at the expense of the next five.

And both sides get monthly reporting. Nobody should find out at year end that the target was missed in March. If the seller sees the trend in month four, they can still act on it. If they see it in month thirteen, they call a lawyer.

Mistake 3: Undefined terms.

Most earn-outs are a paragraph that says "revenue" and stops. Four fights come up again and again. Each one has a clause that stops it.

- "You changed how revenue is counted." Define revenue line by line, the way it was counted in the accounts you diligenced.
- "You moved my customers into your other business." Say what happens to revenue that moves between businesses.
- "You fired the team that was going to hit it." Agree what the buyer can and can't change during the earn-out.
- "You sold before year three." Say what happens to the unpaid earn-out on a sale. Usually it's paid out, or a fair share of it.

Mistake 4: A profit target instead of revenue.

This one costs the whole earn-out. Profit depends on a hundred cost decisions, and after settlement the buyer makes all of them. They merge your team into theirs, move overheads around, and your profit target is missed through nothing you did.

Say the buyer moves $80,000 of group overheads onto your business. Revenue hits the target. Profit misses by $80,000. Earn-out: zero.

The rule: revenue wherever you can. It's harder to move and easier to check.

Mistake 5: Accepting a base you wouldn't take alone.

This is the most expensive one, and the test is simple. Would you accept the base alone? If not, you haven't sold the business. You've sold part of it and taken a bet on the rest.

Three million with two of it in earn-out is really one million and a lot of hope.

Here's what most people miss. The fix isn't in the contract. A buyer loads the earn-out when the business depends on you: they think the profit walks out with you. Episode 71. Make it run without you before you sell, and the base goes up.

As a buyer, offer one in two cases only. First, when you'd otherwise be arguing about price: the seller says this year will be the best yet, so you pay for it when it happens, out of the extra profit it brings. Second, when the seller holds the customer relationships and you need them through the handover. That's the six-month to three-year transition, with money attached.

Same business, same performance. One paragraph decides $300,000.

Where people lose money.

- **Agreeing the earn-out before the base.** Negotiate the base as a fair price on its own first, then talk about upside.
- **Planning your life on the total.** Plan on the base. Treat the earn-out as money you might not see.

- **“We’ll sort the detail later.”** The detail you didn’t write is the fight in year two.
- **Stacking an earn-out on an all-vendor-finance deal.** Getting paid over time already shares the risk. An earn-out is for the gap that’s left.

Or you can keep doing it the usual way. One paragraph, agreed over lunch between two people who like each other. Year two is when you find out what it meant, and what it cost.

On a call with me we go through your offer or your target, sketch the structure, earn-out or not, and work out whether the Owners Academy or 1:1 advisory fits.

If you’re someone who wants your capital protected by structure, not trust, and you’d rather write the clause now than argue about it later, you’ve already decided.

Thirty days from now you’ll be thirty days older. Either with your next offer structured to hold, or still hoping the handshake means what you think it means.

Book a call with me below. Not a setter. Me.

Not ready? Grab the free 3C Starter Kit in the description: the executive-summary template, the three documents to request and the DSCR calculator.

Next episode: selling to your own managers, which is vendor finance run in reverse.

EP 75 · Sell to your own managers for $1.66M (vendor finance in reverse)

Two owners, same business, both ready to retire. James lists with a broker, opens his books to strangers and waits a year. Tom sells to his general manager, who pays him over ten years out of the business's own profit.

On $250,000 of profit, that can be about $1.66 million to Tom. He never met a stranger.

I know this structure from the other side. At 25 I was unemployed, with no savings and no experience. I bought my first business, a physio clinic, on 100 per cent vendor finance. Seven years at 4 per cent, a nine-month payment holiday, no deposit. I pulled $150,000 out in year one.

A management buyout is that deal with you as the seller. It's for owners stuck inside their business. If you need the highest cash price at settlement, private equity is usually your buyer, not this.

Your best buyer might already be on your payroll, and the money to pay you is already in the business.

If you feel trapped in your own business, it has nothing to do with being a bad manager or picking the wrong industry. It has everything to do with being told there's one way out: find a stranger with cash. Strangers with cash are rare, slow and picky. Your managers are already there.

Before you knew this, the speed run was buyer's maths. After this episode, it's your exit plan. Five parts.

I help people buy businesses with little to no money down and plan the exit from day one. Book a call below. Now the detail.

Why my seller said yes.

A generation of owners in traditional industries is ready to retire, and they carry the burden of ownership. They don't want to wait sixteen weeks for a bank or haggle with a broker. They want out, and they want the business and the people looked after.

[JOSH: one line on why your physio seller agreed to be paid over time.]

And getting paid over time can be worth more than cash. Sellers on terms can get 6 to 7× where cash offers sit at 3 to 5×, and close in two to four weeks instead of six to sixteen. One day that seller is you.

Why your managers can be the better buyer.

Four reasons. Speed: they know the business, so diligence is shorter. The team stays, and customers never see a stranger walk in. Your numbers don't go to competitors who might be fishing. And you're paid on terms, at a better price.

Your managers usually don't have the cash, and they don't need it. Neither did I. The money comes from the business. That's the whole model.

The case against: a bigger buyer may pay more at settlement, and you carry the risk. If your managers run it into the ground, your money goes with it.

Leave the 1.5 headroom.

Here's the speed run from the seller's side. Profit divided by 1.5, the cover rule, is what the business can safely pay in debt each year.

Say a bad year cuts profit by 30 per cent, to $175,000. At $166,000 of payments, the business still pays you. At $250,000 of payments, it's $75,000 short, and the business is in default in year one.

As a buyer, the 1.5 protected you. Now it protects you as the seller. Squeeze the payments up to every dollar of profit and the first bad year breaks the business, and your money with it.

The terms you'll want as a seller.

As a buyer I got no deposit and a nine-month holiday. Your managers will ask for the same. Decide in advance what you'll trade it for.

- **Security over the business,** so you can step back in if payments stop.
- **Quarterly reporting,** at least.
- **A default clause:** what happens if a payment is missed, and how long they have to fix it.
- **Covenants:** a minimum level of cover, and limits on new debt, so they can't borrow ahead of you.

If a bank lends part of it, the bank gets paid first and your note sits behind it. That's the subordination clause you accepted as a buyer.

Build your buyer years out.

First, name the person. Ideally a GM hired one to two years before you want to go, who already owns a whole part of the business, so owning all of it is a smaller step.

Then give them a small stake early, vesting over time, so they think like an owner. Once they're ready, the bank will want what it wanted from you: financials, a model with a bad-year case, the cover rule. A data room from episode 72 does most of that. And help them build their own credibility: an accountant, a lawyer, a small board. It's the 3C model, pointed the other way.

[JOSH: optional. One line on a management buyout plan in your group, or one done well in healthcare. Cut if none.]

That's well above what many cash buyers would pay for a business this size. The $84,000 of headroom is what keeps it paying in a bad year.

Where people lose money.

- **Squeezing payments to 100 per cent of profit.** First bad year, they default and you're owed money by a broken business.

- **An unsecured note with no default clause.** If they stop paying, you're a creditor, not an owner.
- **Picking the buyer in the last year.** No track record of running it without you, so the bank won't lend.
- **Selling on a handshake to a loyal manager.** Loyalty isn't a covenant.

Two paths. Keep working in it, keep waiting for a stranger, and hope a loose note with a loyal manager holds up in year three. Or set it up properly, so it works for both of you.

On a call with me we look at your business or your target, sketch your first structure with the way out built in, and work out whether the Owners Academy or 1:1 advisory fits.

If you're someone who wants out of working in the business without abandoning the people in it, and you want to choose the exit, you've already made the decision.

Thirty days from now you'll be thirty days older. Either still the only person who can run the place, or thirty days into building the buyer who'll take it off your hands.

Book a call with me below. Not a setter. Me.

Not ready? Grab the free 3C Starter Kit in the description: the executive-summary template, the three documents to request and the DSCR calculator.

That's the end of the exit act. Next, the industry playbooks start in my world: buying a healthcare clinic.

Act 16 · Industry playbooks I

EP 76 · The $800K mistake in a clinic sale (teardown)

A clinic reporting $500,000 profit can be worth $800,000 less than the asking price. The numbers aren't wrong. A third of them just walk out the door with the owner.

My first deal was a physio clinic. No deposit. Seven years of vendor finance at 4%. Here's the teardown I'd run on any clinic, in the order a bank reads it.

Clinics sell at roughly 3 to 5 times profit. So every $100,000 of "profit" that's really the owner's wage adds $300,000 to $500,000 to the price. You pay that once, and you service the debt on it for seven years.

The sellers are there. Healthcare is full of practitioner-owners who treated patients all day for twenty years and did the payroll at night. They don't want to wait 16 weeks for a bank. They want out, and they want their patients and staff looked after. That's why getting paid over time lands well with them.

This is for owners whose one clinic has hit the ceiling of their own diary, and for buyers who want a group, not a job with a lease. Not for anyone after a clinic they visit on Fridays.

A clinic's value is the profit that stays after the owner leaves. That's the whole idea.

There are five lines to read, in the order a lender reads them: the headline profit, billings by practitioner, the owner's hands, utilisation, and the debt test.

And if your own clinic has stalled, it has nothing to do with how good a clinician you are or how many hours you put in. It has everything to do with a business built around one person. That's a design problem. The next owner can fix it.

I help owners and buyers do this with little to no money down. Book a call below. Now the teardown.

The headline profit.

Start where the seller starts. Three years of financials that match the tax returns.

Here, illustrative: $2 million revenue, $500,000 profit. At 4 times, the seller's number is $2 million. Write it down. Then go looking for what's propping it up.

Lenders often like healthcare, because demand tends to hold when the economy doesn't. What they check is predictable: revenue that doesn't sit with one person, practitioners staying, a lease that can be assigned with enough term left, registrations and billing in order. And they look at who's behind you. A board with a finance lead and someone who's run clinics carries real weight.

Billings by practitioner.

The name is on the door. The revenue sits with people. Ask for billings by practitioner, three years.

Here, the owner bills $600,000. That's 30% of the clinic. Treat any one person above about 30% like customer concentration, because that's what it is. Those patients may follow that person out.

The owner's hands.

A lot of owner-practitioners pay themselves through the profit, not a salary. So the profit looks bigger than it is.

Replace the owner's clinical work with a practitioner on a fair rate. Say $200,000 a year. True profit: $300,000. At 4 times, that's $1.2 million. The $800,000 gap is the price of the owner's hands. Don't pay it.

Most buyers think a clinic's value is its profit, its name, its location. That's not how it works. It's the profit after the owner goes. Price that, and the rest is negotiation.

Utilisation.

Booked appointments against available appointments, per practitioner. This is your growth line.

A clinic at 60% has room to grow without hiring. At 95% it's capped until you recruit. Same profit, very different upside, and the seller rarely prices it.

Lift five practitioners from 60% to 75% and you've added a quarter more appointments on the same rent, the same front desk, the same software. That's the cheapest profit you'll ever buy. You don't pay for it. You find it.

The debt test.

Now the bank's question. Can the clinic pay for itself? Free cash flow should cover debt repayments at least 1.5 times.

$300,000 divided by 1.5 is $200,000 a year to the seller. Over seven years, $1.4 million. Your $1.2 million offer fits with headroom.

Then the regulation. Healthcare is licensed. In some places the rules decide who can own a clinic and how it bills. Check before you spend a week on a target.

[JOSH: one thing you checked in the physio clinic's numbers or staff before settlement that every clinic buyer should check]

The $800,000 between the two prices is the owner's job. Protect the 30% you do pay for with a handover, and part of the seller's payments tied to those billings holding.

Where people lose money.

- The owner is the top biller and leaves early. The handover was a handshake. The billings go with them.
- A practitioner walks across the road with their patients. Whether a restraint holds depends on where you are and how it's written. Ask your lawyer.
- Billing problems with a government scheme or insurer come back after you own it. Get someone who knows healthcare billing to look.
- The team hears about the sale in the car park. Talk to the key people before close, with the seller's agreement.

After you own it, the order is simple. Fill the empty appointments before you hire, starting with answering every enquiry fast. Episode 51 covers speed to lead. Then recruit, because every practitioner with a full book makes the clinic less dependent on any one person. Then a second clinic nearby, sharing the practice manager, the marketing and the bookkeeping. Buy at small-business multiples, combine, and a group can sell at a bigger buyer's multiple.

[JOSH: one change you made after taking over the physio clinic that lifted revenue or profit]

Two paths from here. Alone, you offer on the headline and find out in diligence, or after settlement, that the owner was the clinic. The numbers were real. They just weren't the clinic's. Or you read the billings with someone who's bought a clinic, before you offer, and the $800,000 mistake never happens.

That's what the call is for. Owners Academy, or 1:1 advisory where I work the structure and the lender pack with you. We'll work out your strategy and first structure, and whether either fits. If neither does, I'll tell you.

If you're someone who wants a group, not a job... who'd rather read the billings than guess... then thirty days from now you can be thirty days older, or thirty days older with three clinics on a list and their billings requested.

Book a call with me below. Not a setter. Me.

Not ready? Grab the free 3C Starter Kit.

Next episode: an Academy member found a 25-staff electrical business with one cold call. Here's what to check before you price one.

EP 77 • $3.8M revenue, 25 staff: 4 mistakes that kill a trade business deal

There are only two types of people who leave a job to buy a business. The ones who chase the exciting one. And the ones who quietly buy the aircon company with twenty-five staff and a yard full of vans.

Saul, a member of the Owners Academy, cold-called the owner of an electrical and aircon business. 25 staff. About $3.8 million revenue. Owner retiring in two years. NDA signed, early diligence. Here are the four mistakes that kill deals like his.

Trade businesses tend to sell at sensible multiples, because nobody makes a documentary about an aircon company. They often carry vans, tools and stock a lender can look at. And the owners are retiring in numbers.

A lot of trade owners started on the tools. Thirty years later they're running twenty people, quoting at night, and their knees have had enough. The kids often don't want it. Saul's owner is retiring in two years, which is useful: time for a proper handover, and an owner who cares who takes over his team.

The money is real. So are the traps. Each mistake below costs either the deal or six figures of cash. This is for people who'll put real hours in and want a group. Not for anyone who wants a business they never visit.

A trade business is worth its licence, its recurring work and its cash cycle. Not its busiest year.

You were told the good businesses are the new ones. You were told you need to know the trade to own a trade business. Neither was ever true. And if one of these ever looked out of reach, it had nothing to do with your trade skills or your savings. Nobody showed you where the money in a trade business sits.

Four mistakes, ranked by how fast they kill a deal.

I help people buy businesses like this with little to no money down. Saul found his by cold call, no broker. Book a call below. Now the four.

Not checking who holds the licence.

In a lot of places, an electrical or refrigeration business must have a licensed person nominated on its licence. If that's the retiring owner, the licence can walk out with them.

Find out who the nominee is in week one. Then plan the replacement: a licensed manager in place before the owner leaves, written into the deal.

This one is first because it doesn't cost you money. It costs you the deal. A business that can't legally trade on settlement day has no profit to multiply. And it's the check people leave to the week before settlement.

Paying for installs like they repeat.

Split revenue into recurring and one-off. Maintenance contracts and service agreements come back every year. A big install year doesn't.

Banks like contracted revenue. The next buyer pays more for it. So price the recurring share at a full multiple, and treat a bumper install year as a good year, not a new baseline.

Illustrative: an install boom adds $100,000 of profit for one year. At 4 times, paying for it as if it repeats adds $400,000 to the price for profit that may not come back. Ask for three years, split by job type, and check gross margin on each. Owners often know the business makes money. They don't always know which work makes it.

Leaving the business in the owner's head.

Two things live there. The quoting: thirty years of instinct nobody else can do. And the senior techs' loyalty.

Get the quoting out while the owner is still there: price lists, a simple estimator, recorded walk-throughs. Talk to the key techs before close, with the seller's agreement. Licensed staff are hard to replace.

[JOSH: anything from Saul's diligence he's happy to share, in one line, or cut]

Ignoring debtor days.

The counterintuitive one. Trade businesses can be profitable and short of cash at the same time. Customers pay late. Materials get paid up front.

Debtor days is how long customers take to pay, on average. It's where the cash hides. And at settlement there's usually a working capital line to agree. Get it wrong and you fund the gap yourself.

Deposits, progress billing and someone chasing invoices every week. Same customers, same work, a quarter of a million in cash. Run the other way, you need that much again just to stand still.

Where people lose money.

- Warranty callbacks on last year's jobs. Nobody agreed who pays. Put it in the contract.
- The working capital target is set off a good month, and you top it up at settlement.
- All the work comes by word of mouth. No volume knob, so growth is a guess. Test whether outbound or ads can book jobs before you plan a group on it.

The good news on lending: trade businesses often have something clinics don't. Vans, tools, stock, sometimes a yard. That can give a lender security, typically. Ring a commercial lender and ask how they treat vehicles and equipment before you write an offer. After you own it, turn every install into a maintenance plan. Episode 48 covers that.

You can do this alone. Most people who do take years and lose deals. Or you can keep doing what you're doing: keep the job, keep scrolling listings for something exciting. Keep finding out in week six of diligence that the owner is the only licence holder and the debtor book is full of 120-day invoices. All findable in week one, if you know to ask.

The call is how you ask in week one. Owners Academy, the community Saul is in, or 1:1 advisory where I work your structures and lender presentations with you. We'll work out your first structure and whether either fits.

Electrical, aircon, refrigeration, solar. Buy a few at around 4 times profit, combine them, and a group can sell at a bigger buyer's multiple.

If you're someone who'd rather own the boring business than talk about the exciting one... who'll make the cold call... then thirty days from now you'll be thirty days older either way. Older, or older with ten owners called and one NDA in play.

Book a call with me below. Not a setter. Me.

Not ready? Get the free 3C Starter Kit.

Next episode: accounting firms, where the clients follow a person, and the price should too.

EP 78 · Cash vs paid over time: buying a $1.2M accounting firm

There’s a well-kept secret in accounting firm sales. The buyers who do well don’t pay for the client list. They pay for the clients who stay.

Buy a 400-client practice for $1.2 million in cash. The partner retires, 60 clients follow them out, and you’ve paid about $180,000 for people who left. Here’s the other way to pay.

An accounting firm looks like the safest business there is. Same clients, same work, every year. That’s why people with capital like it.

And the sellers are there. A lot of practices are owned by partners in their sixties with forty tax seasons behind them, no obvious successor, and young accountants who don’t want to buy in. They want out, their clients looked after, and their staff kept on.

But it’s a people business. The asset is relationships, and relationships can leave. This is for people with capital who want steady cash flow and a structure that protects it. Not for anyone after a quiet practice to coast in.

In a people business, the price should follow the people who stay.

Two options. Option A: pay a fixed price in cash on day one. Option B: pay over time, out of fees, with the price tied to retention. One self-test. Then the verdict.

And if a deal like this has burned someone you know, it had nothing to do with their intelligence, their capital or how carefully they read the numbers. It had everything to do with a structure that paid for clients before anyone knew who’d stay.

I help people structure deals like this with little to no money down. Book a call below. Now the detail.

What you’re buying.

Recurring fees. Annual compliance, tax returns, bookkeeping, payroll. Work that comes back without a sales call. Don’t pay for one-off projects like they repeat.

Three numbers. Recurring share: what percentage of fees repeat. In a lot of practices it’s high. Check it, don’t assume it. Three-year retention: of the fees clients paid three years ago, how much is still there. That tells you how sticky the firm is before you arrive. Lock-up: unbilled work plus unpaid invoices. Some firms do a year’s work and bill it in one hit, and you fund that gap.

Lenders will want the same three years of financials, fees by client and by year, and proof the recurring fees really recur. Some have specific professional-practice lending. Ask.

And it’s a regulated profession. Who can own a practice, sign returns or hold a practising certificate depends on where you are.

Option A: cash on day one.

Most people with money think the safe move is to pay cash, take a discount, own it outright. That’s not how it works in a people business.

Paying it all on day one moves all the retention risk onto you. The partner has your money. The clients have a choice. If 15% of fees leave, you’ve paid full price for a smaller firm, and there’s no one to send the bill to.

Option B: paid over time, tied to retention.

Lenders tend to see an accounting firm as asset-light. Little equipment, often no property. So the seller often carries more of the price anyway.

Use that. The seller is paid over six years, out of fees. After year one you measure recurring fees again. Above an agreed line, say 90%, the price stands. Below it, the price comes down in proportion. Arrangements like that are common in professional-practice sales. The wording is your lawyer’s job.

Now the seller wants the handover to work as much as you do. They stay a year, introduce the top clients in person, and get paid when those clients stay.

The self-test.

One question. What share of fees does the retiring partner personally look after?

If it’s small, and three-year retention is high, Option A is a defensible bet. If it’s most of the fees, Option A is a guess with your money on it. Fees by partner tells you which one you’re looking at, in one line.

The verdict: Option B by default. Pay over time, out of fees, tied to retention. Move toward cash only when the firm passes the test, and even then keep a slice deferred until year one is measured. Your capital still has a job. It sits behind the deal as comfort for the lender and the seller, not in the seller’s account on day one.

And if the partner won’t accept any link to retention, that tells you what they think of their own client list. Walking away is the best negotiating tactic you have.

Same firm, same client loss. Under A you’ve paid about $180,000 for clients who left. Under B, the seller absorbs it, because they held the relationships.

Where people lose money.

- The handover is one email. The top clients follow the partner to a mate’s firm.
- Settlement lands in tax season. The team is flat out and the new owner is asking questions. Time it with the calendar.
- Lots of small, low-fee clients that take as long as the big ones. Revenue looks fine. Profit per hour doesn’t.

After you own it, move clients to fixed monthly fees in advance to cut lock-up. Add advisory work for the clients who already trust you. Then roll up: there are partners retiring in every town.

Two ways to put money into a practice. Alone, you pay a fixed price, a chunk of the fees leave with the partner, and you’re paying full price for a smaller firm. Or

you ask for so much protection the partner walks. Or you structure it with someone who's done it, so the price follows the fees.

That's the call. Owners Academy, or 1:1 advisory where I work your structures and lender presentations with you. The NBIO template you get on joining is where a retention clause like this first gets written down.

If you're someone with capital who wants it in a real business, and wants the risk in the contract, not in your gut... thirty days from now your money is either still sitting where it is, or you've got ten practices on a list and a structure on paper.

Book a call with me below. Not a setter. Me.

Not there yet? Download the free 3C Starter Kit.

Next episode: vet practices, and how my student Jy Kingston built his board in under 30 days.

EP 79 · Every number from $520K profit to a $1.6M offer: buying a vet practice

Picture two people in office jobs who want to buy a vet practice. James saves for years, studies the industry, waits until he feels ready. He's still waiting.

The other is my student Jy Kingston. IT background, no finance experience. Board built in under 30 days through LinkedIn, 12 deals active. The difference wasn't money. It was the order.

A vet practice reporting $520,000 profit looks like a $2.1 million business at 4 times. What it can actually pay for is closer to $1.6 million. Pay the headline and the gap comes out of your repayments, usually the year the X-ray machine dies.

The sellers are there. A lot of practice owners are vets first: long clinical hours, after-hours calls, then the payroll. Burnout is a real issue in the profession in many places, and there's often no younger vet ready to buy in. Banks often like vet practices for the same reason they like healthcare. People keep looking after their animals, typically.

This is for people in a job who want to own something real and can give it serious hours. Not for anyone after passive income with puppies in it.

A vet practice is worth what's left after the vets and the equipment are paid for. Not what's on the P&L.

Five levels, from the reported profit down to the price. Each one takes something off. Most buyers stop at level 1.

I help people buy businesses like this with little to no money down, and Jy is one of them. Book a call below. Now the levels.

Level 1. Reported profit.

Three years of financials matching the tax returns. Here, illustrative: $520,000 profit. At 4 times, $2.08 million. That's the seller's number, and the one most buyers anchor on.

Before you go down a level, check the trend the profit line hides. Active clients: animals seen in, say, the last 12 to 18 months. Growing, flat or shrinking? A practice can hold its profit for a year on price rises while the client base quietly shrinks.

Level 2. Take out the owner-vet.

Revenue in a vet practice follows the vets. Ask for revenue by vet. If the owner is the main vet and isn't taking a market wage, the profit is overstated.

Replace their clinical work with a vet at a fair rate. Say $120,000. Profit is now $400,000. And in many markets vets are hard to hire, so check who's staying before you count on anyone.

Level 3. Take out the equipment.

Imaging, anaesthesia, dental, lab. Expensive, and it wears out. Ask for the equipment list with ages. If replacements are due in the next three years, they're a cost hiding in the profit.

Financed on their own, say the repayments are $60,000 a year. Profit you can lend against: $340,000.

Level 4. The debt test.

Free cash flow should cover repayments at least 1.5 times. $340,000 divided by 1.5 is about $227,000 a year to the seller.

Skip level 3 and you'd think it could pay $267,000. Then the equipment fails in year two and you're short.

The 1.5 isn't the bank being fussy. It's your buffer for a slow winter, a vet on leave and a vaccine fridge that dies. Below it, one bad quarter and you're funding the practice from your own pocket.

Level 5. The price, and how to split it.

$227,000 a year over seven years is about $1.6 million. That's the price that fits.

Split the lending. Equipment can often be financed on its own, by an equipment lender, against the equipment. The goodwill gets paid to the seller over time. Two pots, each structured for what it is. Ring both desks before you offer, and you know your real numbers before the seller does.

If the seller owns the building, that's a third conversation: a lease to you, the rent, maybe a deferral. Episode 88 covers it.

And it's regulated: vet registration, sometimes premises registration, and medicines licences, including controlled drugs.

Two lines take about half a million off the headline. Neither is a negotiating trick. They're costs the next owner pays either way.

Where people lose money.

- The owner-vet leaves early and can't be replaced for months.
- Equipment that looked fine fails, and the replacement wasn't in the model.
- The medicines licence or premises registration doesn't transfer the way anyone assumed. Have your lawyer check.
- A bigger group outbids a slow offer. In a lot of places groups have been buying practices. What you can offer is speed, a personal handover and the practice keeping its name.

After you own it: wellness plans, with vaccinations, checks and preventatives paid monthly, turn one-off visits into recurring revenue. Episode 48. Then keep your vets. Rosters, after-hours load, the equipment they work with. In a profession where people are hard to find, retention is a growth strategy. Then nearby practices sharing a manager, purchasing and marketing, bought at small-business multiples and sold as a group.

Jy's company is KingVets. **[JOSH: confirm KingVets targets vet practices, and one line on what Jy is looking for] [JOSH: update Jy's status if his first deal has closed by filming]**

He didn't have money you don't, or a vet degree. He built his board first, accountants and lawyers in about two weeks, then went after deals. If it's taken you years to start, it has nothing to do with your background or your savings or your contacts. It has everything to do with the order.

A board isn't a favour. It's credible operators taking founders' equity, often 2 to 10% each, instead of cash. A lender looks at who's behind you before the spreadsheet. A seller does too. That's how you borrow ten years of experience in thirty days.

So two paths. James's: save, study, wait, then offer on level 1 and miss the equipment. Or lose it to a group because the offer took eight weeks. Jy's: board first, deal second, with people who've done it beside him.

Jy's path is the one the call puts you on. Owners Academy, or 1:1 advisory on your structures and lender presentations. Join, and one of your bonuses is a 1:1 session with Jy himself.

If you're someone in a job who's always wanted to own something, and would rather borrow experience than wait ten years for it... thirty days is about how long Jy took to build his board. Thirty days from now you're older either way. Older, or older with a board forming.

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Next episode: B2B service firms, and the one customer who's 30% of the revenue.

EP 80 · $600K profit, one customer at 30%: how to buy a B2B service firm

How come service firms with good contracts, good staff and good margins still sell for less than their owners expect?

Because in a lot of them the real asset isn't the contracts. It's the owner's phone. And a firm with $600,000 profit and one customer at 30% can fail its debt the month that customer leaves.

Commercial cleaning, facilities maintenance, IT support, security. Asset-light, often contracted, often owned by someone who sold every contract personally and is now tired of being the firm.

The light's on Exit, because what you check before you buy is exactly what the next buyer pays for when you sell. Buy around 4 times while the firm runs on its owner. Fix that, combine a few, and a group can sell at a bigger buyer's multiple. For owners who want a portfolio, not a phone that never stops.

A service firm is worth what it does without its owner. Concentration isn't a reason to walk. It's a reason to structure.

Four parts: the claim, why owners believe the opposite, the test, and the structure.

I help owners buy and structure firms like this with little to no money down. Book a call below. Now the detail.

The claim.

Most owners think a firm is worth more the harder they work in it. That's not how it works. It's worth more the less it needs them.

A buyer pays for revenue that stays after settlement. If the top clients ring the owner at 9pm, they're loyal to the owner, not the firm. That's key-person risk, and the buyer prices it in.

Think of a band where the singer writes every song. Fans buy tickets for the singer. Sell the band without them and you've sold a name. A service firm where the owner wins and keeps every client is the same deal. The buyer is paying for a name and hoping.

Why owners believe the opposite.

Because it's how the firm was built. One person won every contract and kept every relationship. The firm grew around their phone number.

And if that's your firm, it has nothing to do with how hard you've worked or how good you are at sales. It has everything to do with a business that grew around one person. Nobody designed it that way. Which means it can be redesigned.

That's also why the seller is often open to staying on for a proper handover, paid over time. Their fatigue and your risk point at the same answer.

The test.

Three numbers on the first call.

Top-two customer share. Above about 30%, it's a risk you deal with in the structure.

Contracted revenue and term left. What share is under signed contracts, how many months remain, and can they be assigned? Some let the customer walk on a change of control. Your lawyer reads every major one.

Owner-managed revenue. What share comes from customers whose main contact is the owner. That's how much can walk when the owner does.

The decision rule: if all three are high, you're not walking away. You're changing the structure. Concentration with long, assignable contracts is a pricing question. Concentration on month-to-month terms, managed by the owner, is a structuring question. Both can be fair deals. Neither should be paid for in fixed debt.

And if the service is licensed, security or electrical work for example, check the licence too.

The structure.

Lenders look hard at concentration in an asset-light firm. So the seller often carries more of the price here. Good. Make part of it depend on the thing that worries everyone.

Size the fixed debt off the profit without the top customer. Make part of the seller's payments depend on that customer renewing. If they stay, the seller gets paid more. If they go, you're not broke. Episode 74 covers payments tied to performance.

Then fix the firm, because that's where the exit value is. Put a manager on every big relationship and introduce them while the owner is still around. Renew contracts on longer terms, offering something the customer values in return. Win mid-sized customers so the top one becomes a smaller share. And track where new work comes from. If outbound can win contracts, you've got a volume knob, not a referral habit. Episode 59 covers building the team that runs it without you.

Each of those moves the firm from "runs on the owner" to "runs on a team". That's the difference between the multiple you buy at and the multiple a bigger buyer pays for a group.

Same firm, two structures. One is fine until month four. The other survives the bad case and pays the seller well in the good one.

Where people lose money.

- The top customer has a change-of-control clause and uses the sale to retender.
- The handover is one lunch per client. Put a manager on every big relationship and introduce them while the owner is still there.
- Most contracts are month-to-month and nobody checked.
- The account manager the clients actually like resigns, because nobody told them about the sale.

You can do this alone. Most people who do take years and lose deals. Or you can keep doing what you're doing. Keep running the one firm that runs on you. Keep taking the 9pm calls. Or buy a second firm alone, where the debt cover looks fine, and the big customer retenders in month four. The protection had to be in the structure.

The call is where we build it. Owners Academy, or 1:1 advisory where I work your structures and lender presentations with you. A concentrated deal is exactly the kind we'd work through together.

If you're someone who's tired of being the phone, and wants a second firm, then a third... thirty days from now you'll be thirty days older. Still taking every call, or with three firms screened and a structure on paper.

Book a call with me below. Not a setter. Me.

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Next episode starts Industry playbooks II: buying a manufacturer, where real assets change what the bank will lend.

Act 17 · Industry playbooks II

EP 81 · Every Way to Fund a $2.4M Manufacturer, From Debtors to the Seller

A $2.4 million manufacturer can carry about half its own price.

The invoices, the stock and the machines are security a lender can see. Most buyers never ask for it, so they put their own cash at the front of the deal.

Here's every layer a factory gets funded with, from the debtors to the seller.

This is for people with capital to deploy, or a business behind them, who'd rather own cash flow with hard assets under it than sit in low-yield paper. Done right, the business funds its own purchase and your capital stays free for the next one. Done wrong, you've bought a shed full of problems and borrowed your own buffer to do it. If you want a four-hour week, a factory is the worst place you could look.

The whole idea in one line. In a manufacturer the lender isn't only asking "does profit cover the repayments?" It's asking "if this goes wrong, what can we sell?"

Answer both questions and most of the deal funds itself. There are four levels to the stack. Most buyers stop at level one.

If a bank has knocked you back on a deal like this, it had nothing to do with your CV or your savings. It had everything to do with asking a cash-flow lender a question only an asset lender answers.

I help owners and investors structure deals like this with little to no money down. Book a call below. Now the detail.

Level 1: The cash-flow lender.

A cash-flow lender lends against profit. One rule decides how much: free cash flow has to cover all debt service at least 1.5 times. That's the 1.5 rule, and it covers every dollar of debt in the deal, bank and seller combined.

Most people think that’s the whole conversation. Profit, a multiple, then a yes or a no. That’s not how it works in an asset-heavy business.

Level one sets the ceiling on your repayments. It doesn’t decide where the money comes from.

Level 2: Debtors and stock.

Asset-based lending. ABL for short. The lender advances a percentage against what’s already on the balance sheet.

Debtors first. The invoices customers owe the business. Usually only the good ones. Old or disputed invoices are often left out.

Stock second. Often advanced at a lower percentage, because it’s harder to sell. Finished goods and raw materials can be treated differently to half-made product.

No percentages from me. Advance rates vary a lot from lender to lender. Ring two and ask for theirs.

Level 3: Plant and equipment.

The machines. What they lend against depends on the valuation, the age, and how easy the machine is to resell. A common machine other plants want lends better than a custom line built for one product.

This is also where personal guarantees change. On bigger deals, roughly over $5 million, banks often don’t need one, because an asset-rich business gives them their security. Typically. And if a lender wants security over everything, you have fallbacks. Security on specific assets only. Or partial security, say on the equipment but not the debtors and stock.

Level 4: The seller.

Whatever the assets don’t cover, the seller funds. Getting paid over time. Never say “vendor finance” to a seller. Say “getting paid over time.”

Plenty of these sellers will listen. A founder started making one thing thirty years ago. Now it's 30 staff, a leased factory and a customer list built on handshakes, and nobody lined up to take over. Too small for most private equity, and a lot of individual buyers get scared off by the machinery. A thin buyer pool and a tired owner is exactly when "paid over time" sounds good.

One more thing the lender wants: credibility. Put someone who's run a plant on your board. Founders' equity, typically 2 to 10%, not a salary.

Exactly on the line. No headroom. So the maths tells you what to negotiate: a payment holiday on the seller's piece, a longer term, or a lower price. A payment holiday means payments start later and the full price is still paid.

And then the value. It's common to find small manufacturers that haven't repriced properly in years. Every dollar of price rise on the same volume is pure margin. Fix price first, then add the salesperson these businesses never had, then buy the competitor down the road. Buy at around 4 times, combine, and a group can sell at a higher multiple than any one plant.

Where people lose money.

- **Borrowing your own buffer.** Debtors and stock are your working capital. Use them to fund the price and that facility can't also carry a slow month. Line up a separate working capital line, and make sure it's there on the day of settlement.
- **One customer over about 30% of revenue.** Common in manufacturing. Check whether their contract survives a change of owner. Some don't.
- **Margin that's quietly slipping.** Material costs move. Ask for gross margin by product line for three years, not one blended number.
- **Deferred maintenance.** A seller planning to exit can stop spending on the machines. Profit looks better, then a machine dies in your third month. Compare three years of equipment spend with depreciation, and pay an engineer to walk the floor before you sign.

Two paths from here. The hard one: you ask your usual bank, get a no, and decide factories can't be funded. Or you find an asset lender, spend all of it on the price, and run dry in month four. The other path: someone who's done the structures sits next to you, so you know which lender to ring, what to ask, and how to keep the buffer.

[JOSH: optional. One line on a manufacturer you or a member has looked at and what stood out; cut if none.]

On the call we work out your strategy, your first structure, and whether the Owners Academy or 1:1 advisory fits. The Academy is the community, the full course, every template and daily deal discussion. 1:1 is me working your structures and lender presentations with you. If neither fits, I'll tell you.

If you're someone who'd rather your capital sat behind real assets, and you'll sit in the lender meetings yourself, you've already decided.

Thirty days from now you'll be thirty days older either way. The difference is whether you've spoken to two asset lenders and have a list of 20 factories, or you're still driving past them.

Book a call with me below. Not a setter. Me.

Not ready? Grab the free 3C Starter Kit and put this example through the DSCR calculator.

Next episode: transport, where the trucks are assets too, except half of them are already borrowed against.

EP 82 • 5 Mistakes That Overpay for a $4M Transport Business

How come owners who already run a business overpay for their second one?

They can read a P&L. They've survived the bad years. Then they look at a transport business doing $4 million and price it on the revenue.

Here are five mistakes that turn a $1.6 million offer into a deal the cash flow can't carry.

Transport is thin-margin, asset-heavy and full of tired owners. That's a buyer's market for anyone who reads the numbers properly, and a trap for anyone who doesn't. On today's example, getting it right is the difference between a $1.6 million offer and the roughly $1.16 million the business can actually pay a seller. This is for owners who want a second business that doesn't need them at the depot at four in the morning. If you won't read boring spreadsheets, skip this industry.

One line. In a thin-margin business, small moves in cost are big moves in profit, so you price on profit after every debt, never on revenue.

If you've ever overvalued a business, it had nothing to do with being bad at maths. It had everything to do with how businesses get talked about. You were told a bigger top line means a bigger business. You were told the trucks in the yard are assets. You were told a twenty-year customer is a safe customer. None of that is true until you check it.

Five mistakes. Roughly in order of what they cost.

I help owners buy their second business with little to no money down, and check the numbers hold before they sign. Book a call below. Now the detail.

Mistake 1: Pricing on revenue.

$4 million of revenue. $400,000 of profit. That's 10%. Thin margins are common here.

Ask for margin after the big three costs, fuel, drivers and repairs, by customer or by run. You'll often find one or two customers the business is quietly losing money on.

Rule: the offer is built on profit. Revenue is context.

Mistake 2: Forgetting the truck finance.

This is the expensive one. Trucks are usually on equipment finance. When you buy the business, that finance either comes with it or has to be paid out. Either way it's debt service, and it eats the same profit you're using to pay the seller.

Run the 1.5 rule. Free cash flow has to cover all debt service 1.5 times. $400,000 divided by 1.5 is about $266,000 a year for all debt. Truck finance is $150,000 of that. About $116,000 a year is left for the seller. Over ten years, about $1.16 million.

That's your ceiling, not your opening offer. The truck loans are part of the price.

Get every finance agreement and payout figure before you write an offer. And check fleet age. Old trucks mean repairs now and replacements soon.

Mistake 3: Modelling last year's fuel.

Say fuel is $1.2 million a year. It goes up 5% and the contracts don't let you pass it on. That's $60,000. Profit drops from $400,000 to $340,000. A 5% move in one cost took 15% of profit.

So check how much revenue sits under written contracts, how long they run, and whether they pass on fuel increases. That matters more than the names on the customer list.

It's also your first move after you buy. Reprice the runs that lose money, or let them go. Put fuel clauses in every new contract. Once one depot runs without you, add bolt-ons: small fleets with retiring owners, one depot, one dispatch team.

Mistake 4: Buying the owner's handshakes.

The owner started as an owner-driver and built it truck by truck. Plenty of the work sits on a handshake with a customer who's used him for twenty years. A handshake isn't nothing. But a bank can't lend against it, and the loyalty may leave with him.

If one or two customers are over about 30% of revenue, that's a red flag. Meet the big customers with the seller before close. Keep the seller in for the transition. And talk to the senior drivers yourself. Drivers can be hard to find and keep. Losing three in month one costs more than any price you chipped off.

Check the compliance record too. Safety, fatigue and maintenance logs. In regulated freight a bad record is a risk to the whole business, not just a fine.

Mistake 5: Starting with an empty tank.

Customers often pay on 30 days or more. Fuel and wages go out every week. So you want a working capital line in place at settlement.

And negotiate a payment holiday on the seller's piece. Payments start later, full price still paid. The first months are when you're learning the business, and a slow patch then shouldn't break you. Sellers tend to agree once the headline price is settled.

My good friend Cam got a $500,000 working capital line from the bank on his deals. Different industry, same principle.

The headline offer is about $440,000 more than the cash flow can carry once the trucks are paid. And a 5% fuel move takes another $60,000 a year off the profit that whole stack rests on.

Where people lose money.

- Finding the fleet debt late in due diligence, after the price is agreed. Ask for it before the offer.
- Assuming the twenty-year customer stays. Their loyalty was to the owner.

- Losing key drivers in the first month because nobody spoke to them before close.

You can keep doing it the way most people do. You can keep pricing businesses on revenue. You can keep finding the truck finance after settlement. You can keep modelling deals on last year's fuel price. Alone, that usually takes years and costs deals.

Or you can have someone go through the numbers with you before you sign anything.

On the call, after a short application, we work out your strategy, your first structure, and whether the Owners Academy or 1:1 advisory fits. The Academy is the community, the full course, every template and daily deal discussion. 1:1 is me working your structures and lender presentations with you. If neither fits, you'll hear that from me.

If you're someone who already runs a business and knows it can't be the only one, and you'd rather check the finance agreements than trust a big revenue number, you already know the next step.

Thirty days from now you'll be thirty days older whatever you do. The difference is whether you've got a list of 20 fleets and a question sheet in your hand, or you're still wondering if a second business is possible.

Book a call with me below. Not a setter. Me.

Not ready? Take the free 3C Starter Kit. Put the truck finance into the DSCR calculator before you work out what's left for the seller.

Next episode: plumbing and roofing, and how to tell a business from the owner's job.

EP 83 · Plumbing Job vs Plumbing Business: The $480K Question

A plumbing business is a good business. Local work, customers who come back, and nobody can fix a burst pipe from overseas.

Until it gets to the size where the owner can't quote every job. Then it goes from a full diary to a phone nobody answers.

On one illustrative deal, telling those two apart is worth $480,000 of price.

Two trades businesses can show the same $400,000 profit. One is a business. The other is a job with a crew attached. Pay a multiple for the second and you've bought profit that walks out the door with the seller. This is for owners at the ceiling of one business who want the next one to grow without them. If you want a van and a quiet life, this isn't that.

One line. You only pay a multiple for profit that stays when the owner leaves.

Option A is the trades job. Option B is the trades business. Then what the lender sees, a three-question test, and a verdict.

If every trades business you've looked at seemed too tied to the owner, it had nothing to do with your judgement or not having a trade. It had everything to do with what's out there. A lot of them really are jobs.

I help owners buy trades businesses with little to no money down and put a growth plan behind them. Book a call below. Now the detail.

Option A: The trades job.

The owner quotes every job, wins the work and does the hard ones. Ninety per cent of new work is word of mouth. Reported profit looks strong, because the owner takes almost no wage.

The seller is real. Thirty years on the tools, back gone, knees gone, kids in other careers. But part of that profit is his labour. Replace him with an ops manager and estimator at $120,000, and $400,000 of profit is really $280,000.

And a word-of-mouth business can’t choose to grow in a given month. The phone rings or it doesn’t.

Option B: The trades business.

Someone other than the owner quotes. Much of the work repeats: maintenance plans, commercial and strata accounts, builder and insurance work that comes back every month. And some new jobs can be bought, through local search ads, emergency-call ads or outbound to property managers.

That last part is the growth lever. If you know what a booked job costs you and what that customer is worth, you can turn volume up or down. That’s what makes buying the next one, and the one after, worth doing.

The usual belief is that owners like this only sell to someone they know. A nephew, a long-time employee, a mate from the trade. Saul, an Owners Academy member, has an NDA signed and is in early due diligence on an electrical and aircon business. 25 staff, around $3.8 million in revenue, owner retiring in two years. He found it with a cold call, straight to the owner. Not plumbing, but the same kind of business and the same kind of seller.

What the lender sees.

Trades are light on assets. Vans, tools, maybe some stock. So a lender leans on cash flow and on how stable the work is. Repeat and contracted work helps. One-off jobs from people who know the owner hurt.

Two more checks. Licences: in many places this work has to be done or supervised by a licensed person. If the owner holds the only licence, that’s solved before close, not after. And seasonality: roofing can drop away in wet months, emergency plumbing can spike in cold snaps. Ask for revenue by month for three years. A business that makes its profit in six months needs a bigger buffer and a repayment schedule that survives the quiet months.

The test and the verdict.

Three questions to the owner. Who quoted the last 20 jobs? Where did the last 20 jobs come from? How many callbacks last year, crews going back to fix work for free?

If the answers are “me,” “they all know me” and “we don’t track it,” you’re looking at Option A.

The verdict. Buy B at a fair multiple. Buy A only if you price it as A, on profit after replacing the owner, and you have a plan to turn it into B in year one: an estimator, a booking process that answers fast, maintenance plans. Never pay a B price for an A business.

One question took $480,000 off the price. And the 1.5 rule runs off the real number, so about $186,000 a year is all you can pay the seller and the bank together.

Where people lose money.

- **The owner leaves and the phone stops.** The customers were calling him. Keep the seller in for a proper transition, at least six months, often longer.
- **The best crew leader leaves.** He wanted to buy it himself. Meet crew leaders before close and think about retention bonuses.
- **A warranty claim lands in year two.** In roofing especially, claims can turn up years later. Write down who carries pre-sale work in the contract.
- **Pricing on the growth plan.** Ads may not work in your market. Test before you rely on it, and price the deal on today’s profit.

Two paths. Alone, the mistake in trades is buying the owner. You see a strong profit number, never ask who quotes the jobs, and pay a multiple on profit that leaves with the seller. Or someone who’s looked at these businesses sits next to you and asks the uncomfortable questions before you sign.

On the call, after a short application, we work out your strategy, your first structure, and whether the Owners Academy or 1:1 advisory fits. The Academy is

where Saul is working his deal: the community, the full course, every template, daily deal discussion. 1:1 is me working your structures and lender presentations with you. If neither fits, I'll say so.

If you're someone who's hit the ceiling of one business, and you'll ask an owner where the last 20 jobs came from, you've made the decision already.

Thirty days from now you'll be thirty days older either way. Or thirty days older with five owner conversations behind you, knowing which business is a business and which is a job.

Book a call with me below. Not a setter. Me.

Not ready? Grab the free 3C Starter Kit and run the owner-replacement test through the DSCR calculator.

Next episode: childcare, where the regulator decides who has to be on your board.

EP 84 · Cutting Staff Is the Wrong Way to Profit From Childcare

There are two types of childcare buyer. The ones who plan to cut staff to make it profitable, and the ones who plan to fill the empty places.

The first type runs into the law. The second finds about $300,000 of revenue already sitting in the building.

Childcare and education pull in a lot of corporate people who want to own something that matters. Good. It's also regulated, people-heavy and tied to one site. So the money is in occupancy, and the risk is in approval and the lease. Get those right and the growth plan is already in the rooms. Get them wrong and you sign an offer you can't get approved. If you want something you never have to think about, look elsewhere.

The claim. In childcare, profit doesn't come from cutting wages. It comes from filling places in rooms you're already staffing.

Four parts. Why people believe the opposite. The empty-seat maths. The regulator. And the test.

If you've been told you can't buy a regulated business without having worked in it, that had nothing to do with your background. It had everything to do with the team around you.

I help people buy businesses like this with little to no money down, and build the team that gets them approved. Book a call below. Now the detail.

Why people believe the opposite.

Wages are usually the biggest cost by a distance. So cutting them looks like the lever.

That's not how it works here. Ratios set a minimum number of educators per room. You don't go below the floor. Ever. Push against it and you lose staff, then families, then possibly your approval.

The empty seat.

A flight with empty seats still takes off. The pilots, the crew and the fuel are paid either way, so every extra passenger is mostly margin. A room staffed to ratio works the same, right up to the child that needs one more educator.

A centre is licensed for 100 places. Say each full-time place brings in about $30,000 a year. At 70% occupancy that's 70 places and $2.1 million. Lift it to 80% and that's ten more places and about $300,000 more revenue. If those places land in rooms that already have enough educators, a large part drops to profit. If they need another educator, less does.

So ask for occupancy by room and age group for three years, not one average. A centre can be full for older kids and half-empty in the baby room, and those rooms staff differently.

Then fees. Many independent centres set fees once a year without looking hard at what's nearby. Families mostly choose on trust, the educators and the location, so a well-run centre doesn't have to be the cheapest in the suburb.

Now flip it. If occupancy falls 10 points, the same maths works against you. So you price the deal on the occupancy you have, not the occupancy you hope for.

The regulator is your other buyer.

In many places the approval to operate sits with the operator, and a change of owner can need regulator sign-off. So credibility here isn't only for the bank. The regulator wants to know who the approved operator is, who's responsible day to day, and whether they have the experience and qualifications.

So the order matters. First, the right person on your board: a former centre director or area manager, on founders' equity, typically 2 to 10%, not a salary. Then make regulatory approval and lease assignment conditions of your offer. No approval, no deal. Then it closes.

[JOSH: optional. One line on how regulator or licence approvals worked when you bought in healthcare; cut if not.]

The lender wants occupancy history, the lease and the compliance record. A full centre on a long lease with a clean record is a very different loan to a half-full one with two years left.

The test.

Three numbers. Occupancy by room against licensed places. Wages as a share of revenue, and whether they're rising faster than fees. And the lease: years left, renewal options, rent as a share of revenue, and whether it can be assigned to you. If it can't, or it runs out in two years, the business may not be what it looks like.

For education outside childcare, tutoring, training colleges, music schools, swap occupancy for enrolments and how many students come back each term. Then ask how much revenue rides on one accreditation or one funding body. If that changes, how much is left?

Ten points either way is $300,000 of revenue. Up is your growth plan. Down is why you price on today's occupancy and run the 1.5 rule on it.

Where people lose money.

- **Approval takes longer than planned** and the seller's patience runs out. Build the team before the offer.
- **The director families trust leaves after the sale.** Interview the director and senior educators before close, think about retention bonuses, and keep the seller involved for six months at least.
- **A lease clause or compliance issue nobody mentioned.** Get a lawyer who knows the sector to read both.
- **Subsidy policy changes.** In many places government subsidies are a big part of fees. Treat that like one big customer and price the risk in.

You can keep going the way most first-time buyers do here. Sign an offer, start due diligence, then find out you can't be the operator without someone qualified

on the team. Watch the seller’s patience run out while the paperwork catches up. Or you can build the team first, with someone who knows the order it has to happen in.

On the call, after a short application, we work out your strategy, your first structure, and whether the Owners Academy or 1:1 advisory fits. The Academy is the community, the full course, every template and daily deal discussion. 1:1 is me working your structures and lender presentations with you. In this industry the board comes first, and Jy Kingston, who I’ve mentored, built his in under 30 days. If neither fits, you’ll hear it from me.

If you’re someone who wants to own something families in your area rely on, and you’ll build the team before you make the offer, the decision’s already made.

Thirty days from now you’ll be thirty days older either way. The difference is whether you’ve read your regulator’s rules, messaged a centre director about a board seat and listed 20 centres, or you’re still in the same job thinking about it.

Book a call with me below. Not a setter. Me.

Not ready? Take the free 3C Starter Kit and test your deal at 10 points lower occupancy.

The rule to keep: in a ratio business, the margin is in the empty chair, not the staff room. Next episode closes this act: the 40-point sheet for picking your industry.

EP 85 · The 40-Point Sheet I’d Score Every Industry On (copy it)

Two buyers. Both in corporate jobs. Both want out.

James picks his industry like a restaurant, whatever looks good that night. Six months later he’s still calling owners in an industry no bank will fund.

Chad doesn’t work longer hours or know more people. He spends twenty minutes on one page before his first call. Eight lines, 40 points. Here it is. Copy it.

The industry you pick sets your ceiling before you make a call. Whether a bank funds it. What multiple you buy at. Whether you can buy the next one and the one after, and sell the group for more than the parts. Six months in the wrong industry is six months with no deal flow. This is for people who’ll act on the answer. If you’ll score ten industries and call nobody, keep the sheet and skip the call.

One line. Score an industry on two things, can it be bought and can it grow, and kill anything that fails either.

If you’ve spent months unable to choose, it had nothing to do with not being smart enough. It had everything to do with having no way to compare one industry with another. You were told to buy what you love. You were told to wait for the perfect industry. You were told to read everything first. None of that tells you whether a bank will fund it.

Eight lines, each scored 1 to 5. Five for buyable, three for growable. Then the kill rules.

I help people pick the industry, build the board for it and get to a first offer. Book a call below and bring the sheet. Now the detail.

Buyable: lines 1 to 5.

Line 1, bankable. Will a lender fund a business like this? Assets give the bank security. Steady cash flow gives it comfort. Don’t guess. Ring three lenders and ask their appetite for the sector. Twenty minutes, and it’s the most important line on the sheet.

Line 2, boring. Traditional, stable, still needed in ten years. Score down anything technology is about to replace, and anything that’s a fad.

Line 3, fragmented. Lots of small owners, nobody dominant. That’s what makes a roll-up possible: buy at small-business multiples, around 4 times, combine, and sell the group at a higher one. An industry owned by three giants scores a 1.

Line 4, retiring owners. Plenty of owners in their fifties and sixties with no successor. That’s the burden of ownership, and it’s why “getting paid over time” lands.

Line 5, margins. Is there enough profit left to pass the 1.5 rule after the debt? Thin isn’t automatically a no. Transport often runs thin. It just leaves less room.

Growable: lines 6 to 8.

Three caps stop a business growing. Score each one.

Line 6, the location cap. Can this business only ever serve one suburb, one building, one town? A single childcare centre scores low on its own. A group of them doesn’t, because you get past the cap by buying more sites.

Line 7, the key-person cap. Does revenue usually depend on one person? The owner who quotes every job. The practitioner patients ask for by name. Score it low, or write down how you’ll fix it in year one.

Line 8, the platform cap. In the businesses we buy, the platform is one big customer, one funder, one supplier or one referral source. A manufacturer living off one contract. A training college living off one funding stream. Score it low.

And to break a tie: can revenue be bought, with ads or outbound? If yes, you can grow on purpose.

The kill rules.

If bankable scores a 1, stop. No lender, no deal. If any cap scores a 1 and you can’t see the fix, stop. And set a line for the total. Around 28 out of 40 is a sensible start. That’s a rule of thumb, not science. Set yours and stick to it.

Where the scores come from.

Lenders, for bankable. They'll tell you which sectors they like and which they won't touch.

Owners, for everything else. Ten calls into an industry and you'll hear how old the owners are, where their customers come from, and whether one big customer runs their life.

Industry associations and public lists, for how many businesses there are and how big.

So your first sheet is a guess. Then you pick one and make the calls. After fifty, you score it again. Your second sheet is data.

Plumbing clears the line. Its weak line is key person, and the fix is an estimator and a sales process. Tutoring is under the line, so unless you plan to buy several, keep looking. The scores will differ in your city. The point is the sheet made you name the weak line and the fix.

Where people lose money.

- **Picking the interesting industry, not the fundable one.** Bankable is line one for a reason.
- **Scoring a 24 and going ahead anyway** because you like the industry. Months later, no lender.
- **Drift.** Five industries, a month each, never a hundred calls in any of them.
- **Staying "open to anything."** Sellers hear it. An owner takes a call more seriously from someone building a group in their industry.

Two paths. Alone, the failure at this step is drift, or picking what you find interesting instead of what a bank will fund. The other path is someone outside your own head checking the sheet with you and holding you to what it says. There's never a perfect industry. Decide at 60%.

On the call, after a short application, we work out your strategy, your first structure, and whether the Owners Academy or 1:1 advisory fits. The Academy is the community, the full course, every template and daily deal discussion, where people share how industries score in their own cities. 1:1 is me working your structures and lender presentations with you, starting with which industry. If neither fits, I'll say so.

If you're someone who'd rather decide at 60% than research forever, and you'll make ten calls the week you pick, you've already decided.

Thirty days from now you'll be thirty days older either way. The difference is whether you've picked one industry and made your first ten calls, or you're still choosing.

Book a call with me below. Not a setter. Me.

Not ready? Grab the free 3C Starter Kit and use it on the first business you find in your chosen industry.

That's the industry playbooks. Next episode starts Act 18: a friend of mine in the US sent around 40 offers and got three LOIs signed at 100% seller finance with a 99-year "pension plan" offer, and how it works.

Act 18 · Advanced structures

EP 86 · $1.2M once vs $200K a year for life: the 99-year offer

There's a well-kept secret in buying businesses. Some sellers don't want a price. They want an income.

Offer a 65-year-old owner $1.2 million once, or $200,000 a year for life, and a lot of them take the income. You put in no deposit. You don't need a bank. And every dollar of growth above that payment is yours.

A friend of mine in the US, Elliot, sent about 40 offers built on that idea. Three sellers signed. 100% seller finance, on 99-year terms.

Here's the cash offer against the lifetime offer, and how to tell which one wins.

A cash offer needs a bank, a deposit and a wait. A lifetime offer needs none of them. The seller is paid out of profit, like they've been paid for thirty years. The catch is real: over a long life you can pay out far more in total than the cash price. So this is for operators who will grow the business. It isn't for anyone who plans to hold it flat, and it isn't for a seller who needs cash now.

A lifetime offer is 100% seller finance, paid out of profit, for the seller's life. Two options, one test, one verdict.

When a good offer gets ignored, it has nothing to do with your age, your bank balance or your track record. It has everything to do with the shape of the offer. Most buyers still send a price, a deposit and a wait for the bank.

Meanwhile the market has moved. A generation of owners in traditional industries is ready to retire. Their problem usually isn't price. It's the burden of owning the thing. They want out, and they want to be looked after. Most of them have never managed a lump sum. They've managed a business that paid them.

I work through structures like this with buyers one deal at a time. If you've got a seller who's warm but won't take a normal offer, book a call below. Now the detail.

Option A: the cash offer.

Illustrative. A business makes $300,000 a year in profit after paying a manager to run it. The seller is 65.

Four times profit is $1.2 million. You need a bank, a deposit and six to sixteen weeks. Then the seller holds a pile of money they have to invest, protect and make last. That's a new job, at 65, and most of them don't want it.

Option B: the lifetime offer.

Take profit and divide by 1.5. That's $200,000 a year, for life.

If the seller lives another twenty years, that's $4 million paid over time. More than three times the cash offer. And it arrives the way they've always been paid.

For you: $100,000 of headroom from day one. No deposit. No bank. And the real prize: if the payment is fixed and you grow profit from $300,000 to $600,000, the seller still gets $200,000. You keep $400,000.

Language matters. Never say "vendor finance" to a seller. Say "getting paid over time", or a pension from your business. That's a nickname, not a regulated pension product. Never present it as one.

Elliot's numbers, honestly.

Elliot sent around 40 offers. Three sellers signed LOIs at 100% seller finance on these terms. Forty offers, three signatures. That's the job.

His example: $500,000 of net operating income, $350,000 a year to the seller for life.

Now be straight about it. $500,000 divided by $350,000 is about 1.43 times coverage. My rule is 1.5. On headline numbers, it sits under my line. **[JOSH: why this structure still worked at ~1.43× coverage, below the 1.5 rule (flexing payments, step-down, holiday, or NOI before planned cuts); if it didn't fully clear, say so on camera]**

And the other two questions. **[JOSH: what happens to Elliot's payments when the seller dies, and whether he can pay the obligation out early]**

I’m showing you the gap on purpose. A clever structure that breaks the rule isn’t clever.

The three clauses.

Every lifetime offer answers three questions before the LOI goes out.

Profit drops. A fixed payment hurts in a bad year. Your choices are a fixed payment, a share of profit, or a floor and a cap. Fixed is better for you if you grow. A share is safer if you don’t. Pick on purpose.

The seller dies. Payments stop, pass to a spouse for a set period, or go to the estate. That one clause moves the deal’s value more than any other.

You sell. Whoever buys your group won’t want a lifetime obligation attached. So negotiate the right to pay it out for an agreed lump sum after an agreed year. Agree it now, while everyone’s friendly.

Security and control sit with a top-tier lawyer, not a template.

The test and the verdict.

Run this test on the seller. Lifetime wins when three things are true. They’re over 60 and want income more than a cheque. Profit has been steady for three years. And you have a real plan to grow it.

Cash wins when the seller needs money now, or profit swings year to year.

The verdict: don’t choose for them. Put both in the LOI, side by side. Paid over a set number of years, or paid for life. Let the seller pick. Either way, you’re inside 1.5. And never lead with “99 years”. Lead with the income.

The seller gets more in total. You get no deposit and the upside. That trade is fair only if you actually grow it.

Where people lose money.

- Leading with “99 years”. It sounds like a gimmick and the seller’s accountant kills it. Lead with the income.

- No death clause. The family finds it in diligence and the deal dies.
- No buyout right. At exit, a lifetime payment hanging off the company cuts what a buyer will pay for it.
- A fixed payment under 1.5×. One bad year and you're funding the seller from your own pocket.

From here there are two paths. You can build this alone. You'll pitch it like a gimmick, forget the death clause, or sign without a buyout right and find out at exit. Or you can have someone who's done this check the structure before a seller ever sees it.

That's what the call is. We look at your seller and your numbers, and work out whether the Owners Academy or 1:1 advisory fits. The Academy gives you the community, the full course and every template. 1:1 means I work your structures and lender presentations with you. If neither fits, I'll tell you.

If you're someone who'd rather own than earn a salary forever, and you'd rather send a better-shaped offer than wait years for a bigger deposit, you've already decided.

Thirty days from now you're thirty days older either way. The only question is whether you're also holding a lifetime offer, checked by a lawyer, in front of a real seller.

Book a call with me below. Not a setter. Me.

Not there yet? Get the free 3C Starter Kit and run your lifetime payment through the DSCR calculator.

Next: my friend Cam's structure. Ten years interest-only, with balloons in years three and ten.

EP 87 · Ten years interest-only, balloons in years 3 and 10 (step-by-step)

Owning one good business is a phenomenal position. Until you want the second one.

Then every spare dollar goes back to the seller of the first. You go from building to treading water.

My good friend Cam closed two deals in 23 days. 100% vendor finance. Interest-only for ten years, with balloons in years three and ten.

Here's that shape, year by year, in the order the money moves.

Same business, same price. On a normal schedule, the debt eats most of the spare cash. Interest-only, you keep about $159,000 a year more in the first three years, in the example I'll show you. That's the money that buys the second business. The cost is two lump sums you must plan for on day one. This is for operators putting in real hours. A balloon punishes owners who aren't paying attention.

Interest-only means you pay the seller only the interest each year. A balloon is a lump sum of the price due on a set date. Put them together and you change when you pay, not what you owe.

You were told debt has to come down from day one. That principal and interest from settlement is the responsible thing. For a home loan, maybe. For a business you plan to grow, it's one option. When a deal feels too tight to grow, it usually has nothing to do with how hard you work. It has everything to do with the schedule you signed.

Five stops on the timeline.

I help buyers build structures like this and the plan to pay them out. If the normal repayments on your deal are too heavy, book a call below. Now the detail.

Settlement: the coverage test.

Illustrative, not Cam's deal. A business makes $400,000 a year of free cash flow. The price is $2 million, carried by the seller at 5%.

The rule for the whole series: free cash flow covers yearly debt payments at least 1.5 times.

Principal and interest over ten years is about $259,000 a year. Coverage: 1.54. You pass by a hair. One bad year and you're under.

Interest-only is $100,000 a year. Coverage: four times.

Years one to three: the breathing room.

You've got about $300,000 a year left over, against $141,000 on principal and interest. That gap is the point of the structure.

Use it two ways. Grow profit. And fill the balloon fund: about $170,000 a year into a separate account you don't touch gives you $500,000 by year three.

Cam also got $500,000 of working capital from the bank on top of the vendor finance. That's runway for the business. It isn't balloon money.

And 23 days wasn't luck. What made it possible was a board, a lender relationship and a structure ready before the seller said yes. Episode 92 goes through what had to be true.

Year three: the first balloon.

Say $500,000 is due at the end of year three. Illustrative. **[JOSH: the rough size of Cam's year-3 and year-10 balloons, as dollars or a share of the price, if he's happy to share]**

Three ways to pay it. Save for it. Refinance it: by year three you have three years of your own statements and tax returns, and a bank may lend you the balloon over a normal term. May. Or sell before it lands. The best plans use two of the three.

Start the bank conversation twelve months before the balloon, not two. If your only plan is “I’ll refinance”, you’ve made the bank’s mood your plan.

Years four to ten: the long tail.

The balance drops to $1.5 million. Interest falls to $75,000 a year. Coverage on today’s profit is over five times, and more if you’ve grown it.

This is the window to buy the next business. And the reason the seller agreed to any of this is simple. They get interest every year, a real chunk in year three, the full price by year ten, and a buyer who closed fast. Speed and certainty matter to a retiring owner more than most buyers think.

Year ten: the final balloon.

$1.5 million is due. If you’re building a roll-up, this one is often paid out of the exit. Buy at three to five times, combine and grow, sell the group at a higher multiple, settle the note on the way out. Or refinance it against seven more years of your own numbers.

Interest-only costs you about $235,000 more interest over ten years. It buys you about $477,000 more cash in the three years that matter most. It’s a cash-flow tool, not a discount. You owe every dollar.

The decision rule: take interest-only when you have a written plan to turn the spare cash into more profit, and a named source for every balloon. If you’d just spend it, take principal and interest and buy a business with more profit instead.

Where people lose money.

- Spending the breathing room on yourself. Then year three arrives and you’ve only delayed the problem.
- No default clause read. A balloon you can’t pay is a default, and depending on what you signed, the seller may be able to take the business back.
- No extension right. Negotiate the right to extend a balloon for a fee or a higher rate, in case the bank says not yet.

- No stress test. Run year three with profit 20% lower. If the plan breaks, fix it before you sign.

You can keep doing what most buyers do. Sign repayment schedules that leave nothing to grow with. Treat the balloon as future you’s problem. Find out twelve weeks out that the bank wants six months of paperwork. Or you can build the balloon plan on day one with someone who’s seen how these go.

On the call we model your deal both ways and decide whether the Owners Academy or 1:1 advisory fits. The Academy is the community, the course and every template. 1:1 is me working your structures and lender presentations with you, including the one in year three.

If you’re someone who’s already proved you can run one business, and you want the second without starving the first, you’ve already decided.

Thirty days from now you’ll be thirty days older. The question is whether you’ll also have your next deal modelled both ways and a balloon plan on one page.

Book a call with me below. Not a setter. Me.

Not ready? The free 3C Starter Kit has the DSCR calculator. Run both versions through it.

Next: when the seller owns the building, and the lease becomes part of your finance.

EP 88 · 4 mistakes that cost $240,000 when the seller owns the building

How come buyers with real capital still overpay for businesses?

They've got money, advisers and patience. But when the seller also owns the building, a lot of them miss one line in the accounts. In the example I'll show you, that line is worth $240,000.

Here are the four mistakes, cheapest to most expensive.

In owner-run businesses, the owner often owns the property too. That changes the profit you're paying a multiple on, the cash you need at settlement, and how keen the seller is to carry finance. Get it right and the building helps fund your deal. Get it wrong and you pay for profit that doesn't exist. This is for buyers who want to operate businesses. If you'd rather be a landlord, that's a different game.

When the seller owns the building, the lease is part of the price. Four mistakes, ranked.

When a buyer overpays here, it has nothing to do with being careless or bad with numbers. It has everything to do with accounts prepared by an owner who is also the landlord. They were never built for a buyer.

I help buyers structure deals where the property is part of the picture. If your target's owner also owns the building, book a call below. Now the detail.

Mistake 1. Missing the above-market rent.

The cheapest mistake is the one you miss in your favour. Some owners charge their own business above-market rent, because it's a tax-effective way to pay themselves. Profit looks worse than it is. Normalise it and you can be the buyer who sees value the others don't. That's money left on the table, not lost. It's still a mistake.

Mistake 2. Treating the lease as paperwork.

When the seller is your landlord, the lease is negotiated in the same conversation as the price. That's leverage.

Rent in arrears: you pay after the month, not before. On my first deal, a physio clinic, the rent was in arrears. No deposit, a nine-month payment holiday on the vendor finance, and rent paid after the month.

No bond: cash at settlement you don't have to find. A deferral: six months' rent deferred and paid back over two years. At $60,000 a year, that's $30,000 that stays in the business while you settle in. And a long lease with options, because lenders won't lend comfortably against a short one.

How to ask: agree the headline price first. Then raise the lease. "Given the transition, I'd like rent in arrears, no bond, and the first six months deferred. You still get every dollar."

Mistake 3. Pricing on profit with no rent in it.

Illustrative. A business shows $300,000 of profit. The owner owns the building and charges the business nothing. Market rent is $60,000 a year.

Once you own it, you pay rent. So real profit is $240,000. At four times, that's $960,000, not $1.2 million. A $240,000 swing from one line.

Before any offer you want three years of financials, matching tax returns and a revenue breakdown. Add one question: who owns the building, and what does the business pay for it? Then get a local agent's market-rent opinion. Your coverage maths has to include the rent too. If it only works with no rent, it doesn't work.

Mistake 4. Buying the building.

Buyers with capital think the building is the safe part. Property is the real asset, the business is the risky bit, so owning both is conservative.

That's not how it works. The business is the asset. Cash flow pays everyone, and cash keeps a newly bought business alive. Tie that cash up in bricks early and

you've slowed the part that builds value: cash flow now, and multiple arbitrage when you sell a group.

And the seller keeping the building works in your favour. Sell the business, keep the property, and they have two incomes: your payments and your rent. The rent only keeps coming if the business keeps going. So their retirement depends on you doing well. That's alignment you can't buy.

It also shrinks what you fund. If you're not buying the property, you're not borrowing against bricks. The price is just the business. That's a smaller number for the seller to carry and a smaller number for a bank to look at.

Default: buy the business, lease the building, revisit the property in a few years. You'll also hear "sale-and-leaseback": sell a property to an investor and lease it straight back. Cash now, rent for years. It only makes sense if the rent still fits inside 1.5 coverage.

Priced on real profit, the deal clears 1.5 comfortably and the seller still gets about $184,000 a year from you. Priced on the flattered number, you've paid $240,000 for rent you'll be paying anyway.

Where people lose money.

- Closing without the lease signed. The seller can raise the rent once you own it. Set rent reviews and options in writing first.
- A short lease with no options. The bank won't lend against it, and the deal stalls at finance.
- Forgetting the rent in your coverage. Seller payments plus rent, against what the business really makes. If it only clears 1.5 with free rent, it doesn't clear.
- A third-party landlord ignored. The lease still has to be assignable and long enough for a lender. You just have less to negotiate.

Two paths. Alone, the mistakes at this step are expensive: a multiple on profit that only existed because rent was zero, or the business's cash spent on a building right when the business needed it. Or you have someone who's been through these leases look at yours before you sign.

On the call we look at your target and work out whether the Owners Academy or 1:1 advisory fits. The Academy is the community, the course and every template. 1:1 is me working your structures and lender presentations with you, leases included.

If you're someone with capital who wants it in real cash flow, priced on what a business actually earns, you've already decided.

Thirty days from now you're thirty days older. Either way. The difference is whether market rent is in every model in your pipeline and your lease asks are written into the LOI.

Book a call with me below. Not a setter. Me.

Not there yet? Grab the free 3C Starter Kit. Put market rent in before you run the DSCR calculator.

Next: borrowing against the business's own receivables and stock.

EP 89 · $1M of unpaid invoices is an $800K loan

Every day, someone online is telling business buyers how to fund the gap. Raise from investors. Take a personal loan. Save for two more years.

How about something different. A business with a million dollars of eligible unpaid invoices can support around $800,000 of borrowing. It's a loan the business hasn't asked for yet.

A newly bought business usually runs out of working capital before it runs out of profit. Wages, suppliers, the gap between doing the work and getting paid. Fund that from your pocket and you've put your own money in after all. Fund it from investors and they get a say in your company. Asset-based lending funds it from the business's own balance sheet. It suits businesses that invoice other businesses on terms. It doesn't suit a café.

Asset-based lending, ABL, is a line of credit secured on the business's receivables and stock. The lender advances a percentage of what's eligible. That total is the borrowing base.

When a newly bought business runs dry in month four, it has nothing to do with the new owner's effort. It has everything to do with a structure that funded the price and forgot the working capital.

Three parts: why the receivables are the security, how the base is worked out, and the test.

I help buyers put the full stack together: seller, bank, working capital. If your target carries big receivables or real stock, book a call below. Now the detail.

The lender isn't lending against you.

Before you know how a lender reads a business, receivables look like admin. Money that turns up eventually. After you know, they're a facility. Every invoice under 90 days is borrowing power. Every invoice that ages past it is borrowing power you just lost.

That’s why this works for a buyer with no track record. The lender is looking at the invoices, the stock and your board. It’s still credibility first, but the asset carries most of the weight.

It suits manufacturers, distributors, logistics, trades doing commercial work on 30 or 60 days. On bigger deals, roughly over $5 million, banks often don’t need a personal guarantee, because an asset-rich business gives them their security. Typically. Every lender and deal is different.

How the borrowing base works.

Illustrative. A distributor turns over $8 million and makes $800,000 of free cash flow.

Receivables are $1.2 million. Lenders usually exclude very old invoices, say over 90 days, money owed by related parties, and anything above a limit for one big customer. Say $1 million is eligible. Advance rates on receivables are often around 70 to 85%. Use 80%: $800,000.

Stock is $1 million. It’s harder to sell if things go wrong, so the rate is lower. Use 40%: $400,000.

Borrowing base: about $1.2 million. It’s a ceiling, recalculated every month as receivables and stock move.

Use it for working capital first. A working capital line at settlement is often around 10% of revenue. Here, about $800,000. My good friend Cam got $500,000 of working capital from the bank on top of 100% vendor finance. That’s the job this line does.

Then, maybe, part of the price. Some buyers draw on the line to pay part of the price so the seller carries less. It can work, but only with real headroom. If you spend the line on the price, there’s nothing left for the slow month.

The test.

Before you count on a line, answer three questions about the target.

What are the debtor days? If customers pay in 75 days and the cut-off is 90, one slow quarter pushes invoices out of the base.

What share of receivables is the biggest customer? One customer at a third of the ledger gets capped, and if they stop paying, the line wobbles.

Who owns collections after settlement? With ABL, your receivables ledger is the loan. Collections stops being admin and becomes a finance job. Somebody owns the aged-debtors report every week.

If you can't answer all three, you don't know the size of your line yet. And if the target has almost no receivables or stock, ABL isn't your tool. Vendor finance and a normal working capital line are.

The line moves with the business. When sales grow, it grows. When sales drop, it shrinks, right when you'd want it most. So it never replaces the 1.5 rule. Seller payments, bank payments and ABL interest, against free cash flow. 1.5 minimum.

Where people lose money.

- Spending the line on the price. Then there's nothing for the slow month, and a bad quarter puts you over your limit.
- Springing subordination on the seller in week ten. An ABL lender wants first security over receivables and stock, so the seller's note ranks behind it. Explain it at the LOI: "The bank gets paid first on the invoices and stock. You still get every payment we agreed."
- Ignoring the costs and covenants. Interest on what you draw, set-up fees, sometimes an unused-limit fee. Break a covenant and the lender can freeze the line.

You can keep doing what most buyers do. Count every receivable when half are ineligible. Spend the line on the price. Let collections slide after settlement, so the line shrinks just as payroll is due. Or you can build the stack properly the first time, with someone who's done it.

On the call we look at your target’s balance sheet and work out whether the Owners Academy or 1:1 advisory fits. The Academy is the community, the course and every template. 1:1 is me working your structures and lender presentations with you, including how the seller, the bank and the ABL lender fit together.

If you’re someone who’s run a business and knows the gap between doing the work and getting paid, and you want the next one without handing over equity, you’ve already decided.

Thirty days from now you’ll be thirty days older. Either with a borrowing base worked out on your target and two lenders’ answers on your sheet, or without.

Book a call with me below. Not a setter. Me.

Not ready? Get the free 3C Starter Kit. Add the ABL interest before you run the DSCR calculator.

Next: mezzanine, and what happens when the deals get bigger than the cheaper layers can fund.

EP 90 · Every layer of a $10M deal, from bank debt to equity, explained

There are only two types of buyers on bigger deals. The ones who fill the gap with debt and keep the company. And the ones who fill it by giving the company away.

On an illustrative $10 million deal with a $2 million gap, that choice is about $1.4 million of interest, or about $8 million of your exit.

Here's every layer of the stack, from first paid to last.

Bigger deals are where the real money is. The roll-up is buying businesses at three to five times profit, combining and growing them, and selling the group at eight, ten, fifteen times. But on bigger deals the seller and the bank rarely reach the full price. How you fill the gap decides how much of that exit you keep. This isn't for a first-time buyer looking at a $500,000 business. Park it. It'll matter later.

A deal is a stack of layers. Each one ranks in order of who gets paid first, and the further down you go, the more it costs. Five levels.

When owners stall at one business, it has nothing to do with ambition or work ethic. It has everything to do with only being shown two options: save more, or sell equity.

I help buyers structure bigger deals and present them to lenders. If the usual layers don't reach your price, book a call below. Now the detail.

Level 1. Senior bank debt.

Top of the stack. First in line, cheapest money. On our illustrative deal, a business makes $2 million of free cash flow and the price is $10 million, five times. The bank lends 50%: $5 million at 7% over ten years. About $712,000 a year.

On bigger deals, roughly over $5 million, banks often don't need a personal guarantee, because an asset-rich business gives them their security. Typically. Every lender and deal is different.

Level 2. The seller note.

The seller carries 30%: $3 million, interest-only at 5% for the early years. $150,000 a year. Often the cheapest layer of all, and the one most buyers under-use.

Before you reach for anything more exotic, push this one. A lot of people assume bigger deals need a big cheque. My friend Jason Nagy's first deal was a $5.5 million radiology business with zero down, on a 60/40 structure. Seven years later he sold to private equity for $200 million. That first deal didn't need a big cheque. It needed a structure.

Level 3. Working capital.

The line that keeps the business running, often around 10% of revenue, sometimes against receivables and stock, like last episode. It's runway, not price. Don't spend it closing the gap.

On a $10 million deal that's real money, and it's also where lenders look hardest at you. Your lender presentation has to show the line is sized to the business, not to the gap.

Bank plus seller is 80%. There's still a $2 million hole.

Level 4. Mezzanine.

Mezzanine sits below the bank and above your equity. It's usually subordinated, ranking behind the bank. Often interest-only, principal due at the end. Sometimes part of the interest is added to the balance instead of paid, which helps cash today and costs you more later. Sometimes the lender wants a small slice of equity on top, called a kicker. Pricing varies widely. It's typically well above bank debt, often in the double digits.

Illustrative: $2 million at 14%, interest-only. $280,000 a year.

[JOSH: whether Arthur's $23M deal, or another deal you know first-hand, used mezzanine; one line on why, and confirm whether Arthur is a friend or student]

Level 5. Equity.

Bottom of the stack. Last paid, all the upside. Fill the $2 million gap by selling equity and an investor might want, say, 40% of the company. Illustrative. Now they get a say in when and how you sell.

Run it to the exit. Say you grow the group and the equity is worth $20 million in five years. 40% of that is $8 million handed over. Five years of mezzanine interest is about $1.4 million.

Debt over dilution. Mezzanine is the most expensive debt you'll put in a deal, and it can still be the cheapest option on the table. Use it when three things are true: the cheaper layers are maxed out, selling equity would cost you control or most of the exit, and the business still clears 1.5 with the mezzanine in.

It passes at 1.75. Then you stress it, and at 1.40 it's under the line. So it only works if you're confident in that profit, or you fix it: a longer bank term, a holiday on the seller note, or part of the mezzanine interest rolled up for two years.

Where people lose money.

- Using mezzanine to rescue a weak deal. It's a growth tool. If you need it to make the numbers work, the deal is wrong.
- Signing a kicker and rolled-up interest without working out what they cost at exit.
- The seller finding out in week twelve they rank third. If they're carrying $3 million behind two lenders, the intercreditor agreement gets explained to them in plain English before they sign, and they get their own lawyer.

Two paths. Alone, bigger deals get dangerous. More lenders, more lawyers, more documents, and it's easy to stack layers until the price is covered and forget to test a bad year. Or you build the stack with someone who's seen where these break.

On the call we draw your stack and work out whether the Owners Academy or 1:1 advisory fits. The Academy is the community, the course and every template. 1:1 is me working your structures and lender presentations with you. On bigger deals, that lender presentation is most of the work.

If you're someone who's hit the ceiling of one business, and you'd rather fill the gap with a structure than give the company away, you've already decided.

Thirty days from now you'll be thirty days older. The only question is whether your biggest target's stack is drawn, stress-tested and in front of a lender.

Book a call with me below. Not a setter. Me.

Not there yet? Get the free 3C Starter Kit and stack every layer in the DSCR calculator.

That's advanced structures. Next act opens with my first deal, line by line: the physio clinic.

Act 19 · Deal breakdowns

EP 91 · No deposit, 7 years at 4%: my first deal, line by line

The first business I bought had no deposit. And the seller still got paid every dollar.

There are two types of first-time buyers. The ones who argue about the price, and the ones who write the terms. I was the second type. A physio clinic. In year one I pulled $150,000 out of it and built mid six figures in equity.

Five lines carried that deal. One mattered more than the rest. I'll walk them in the order the seller saw them.

Price decides what you pay. Terms decide who pays it. Get the terms right and the business funds its own purchase. Get them wrong and you've bought a job with a loan attached. This is for people who'll read a term sheet line by line and do the maths themselves. If you want someone to hand you a business, skip this one.

One line: every term in a deal does a job that cash would normally do.

I was 25. Unemployed, no savings, zero experience running a business. So every line had to replace money I didn't have. There are five: the ask, the term and rate, the holiday, the rent, and the result.

If you earn well and still own nothing, it has nothing to do with your savings rate or how hard you work. It has everything to do with the path you were handed. Save a deposit, ask a bank, wait. That takes years, and at the end the bank can still say no, or private equity outbids you.

I help people build their first deal like this, term by term. Book a call below. Now the detail.

The ask: "getting paid over time".

The seller didn't see a price first. They saw a plan for how they'd get paid.

100% vendor finance means the seller funds the whole purchase and is paid out of the business over time, instead of a lump sum from me. I never once said

“vendor finance” to them. I said “getting paid over time.” One sounds like a trick. The other sounds like a pension.

[JOSH: how you found the clinic, how long from first contact to settlement, and what the seller wanted out of it (retirement, the staff looked after, staying on).]

The rule: find out what the seller wants first. Then every term becomes an answer to something they told you.

“You said you want to step back but keep an eye on things. If you’re paid over seven years, you’ve got a reason to stay close and help it go well.” Same term. Framed as their benefit, not your lack of money. Then you put it in a written offer, so nobody remembers it differently a month later.

Seven years at 4%, principal and interest.

From the seller’s side, seven years is a reasonable window, with interest on top of the price. From mine, 4% means the interest doesn’t eat the cash flow. And principal and interest means the debt actually falls every year, instead of sitting there waiting to bite later.

[JOSH: the purchase price and the clinic’s annual profit, or a range you’re happy to say on camera. If not, the illustrative numbers below carry it.]

The test is one sum. Free cash flow divided by the yearly repayment. My minimum is 1.5. Under that, you change the term, the rate or the price until it passes.

The nine-month payment holiday.

This is the line I promised you. Nine months, no repayments.

The first months after you buy are the riskiest. Staff are nervous, patients are watching, and you’re learning the systems. A holiday means the cash the business makes in that window stays in the business. You build a buffer before the first repayment ever goes out.

To the seller, you frame it around the team. “You said the first year matters because of your staff. A few months before the first payment gives the business a cushion while everyone settles in.”

Read how it’s written. Sometimes interest still builds up during the holiday. Get your lawyer to spell it out.

Rent in arrears, no deposit.

Rent in arrears means paying at the end of the period, not the start. A small line. But when you have no money, every dollar you don’t have to find on day one counts. No deposit means exactly that. Nothing down from me.

[JOSH: who owned the premises (the seller or a third-party landlord), and what the $150K in year one was made of (salary, distributions or both).]

The result, and the four that didn’t close.

Year one, $150,000 out and mid six figures in equity. At 25 that made me the youngest person in Australian history to close a no-money-down healthcare deal, JC Health Group. I run a healthcare group full time today.

Before the clinic, four deals fell over. Around a thousand cold calls. Before I understood structure, I kept getting the same result. **[JOSH: one line on what you were focused on in those four deals, and the one lesson from them that shows up in the clinic’s terms.]**

Once I understood that the terms carry the deal, I stopped treating price as the whole conversation. I built every offer around what the seller wanted. Then the clinic closed. If I’d stopped at deal three, there’s no clinic, no group and no episode.

Put it together. The seller got paid in full, over time, at a fair rate. The holiday protected the first year. After that, repayments came out of cash the business had already made. Every line solved a problem for someone. That’s how you read any term sheet: what does this line solve, and for whom?

At $300,000 of free cash flow the deal passes with room. At $200,000 it’s 1.2, too tight, so you’d change a line. And the seller walks away with about $166,000 more than a lump sum, which is why “paid over time” lands.

Where people lose money.

- Fighting over price and giving away the terms. A few percent off the price is worth less than nine months of kept cash.
- Not asking for a holiday at all. On these numbers that’s about $225,000 of buffer gone.
- Letting interest build during the holiday without knowing it. On $1M at 4%, that’s about $30,000 added to the debt.
- Panicking when a seller says no to one line. Trade instead. A shorter holiday for a better rate. A longer term for a higher price. The sum tells you what you can give.

You can do all of this alone. Most people who do take years, lose deals, and get the holiday written wrong. Or you can do it with someone who’s already made those mistakes.

On the call we work out your strategy and your first structure, and whether that’s the Owners Academy, with every template and daily deal discussion, or 1:1 advisory, where I work your structures and lender presentations with you.

If you’re someone who’d rather read a term sheet line by line than wait five more years for a deposit, this is for you. Thirty days from now you’ll be thirty days older either way. Or thirty days older with your five lines written and your first offers out.

Book a call with me below. Not a setter. Me.

It’s not for four-hour-work-week people, or anyone who’ll watch for another year without sending an offer.

Not ready? Grab the free 3C Starter Kit and run the debt cover sum on one business this week.

Next: my good friend Cam closed two deals in 23 days, and we'll walk it in the order his sellers saw it.

EP 92 · 2 deals in 23 days at 100% vendor finance: what the seller saw

There's a well-kept secret among people who buy businesses fast. They don't rush.

My good friend Cam closed two deals in 23 days. Both 100% vendor finance. Interest-only for ten years, with balloon payments in years three and ten. And $500,000 of working capital from the bank.

Speed like that is built before day one. Here's the deal in the order the seller saw it.

Time kills deals. A bank-funded deal often takes 6 to 16 weeks. Vendor finance can close in 2 to 4. Every extra week is a week for the seller to cool off, staff to hear rumours, or another buyer to turn up. If you already run one business, you don't have months of spare evenings to drag a deal out. This is for people who'll do the boring preparation first.

One line: speed is what preparation looks like from the outside.

Most people think fast deals are risky. They think speed means skipping steps, or that you need years of experience to move quickly. That's not how it works. A deal moves at the speed of the seller's decision when everything on your side is already done.

If a deal you looked at dragged on and died, it has nothing to do with your intelligence or how badly you wanted it. It has everything to do with the order you did things in.

The seller sees five things: the buyer, the document request, the offer, the money behind it, and the settlement.

I help people get that preparation done so they can move when a seller says yes. Book a call below. Now the detail.

The buyer.

Before any number, the seller asks one question. Who is this person?

You answer it before you call. A board of credible people. A one-page executive summary. A proper offer on letterhead. When that question is already answered, a seller can decide in days, because trust no longer has to be earned over months.

[JOSH: what Cam's two businesses were (industry, rough size, related or separate), and what he already had in place before day one: board, lawyers, lenders, templates.]

The document request.

Next the seller sees what you ask for. Three years of financials, the matching tax returns, and revenue broken down by financial year. All of it, on the first serious call.

A buyer who asks for the right documents straight away looks like someone who has done this before. And diligence starts that week, not a month later.

Compare the usual buyer. No lawyer yet, so two weeks finding one. Wrong documents requested, so diligence starts late. No bank conversation, so working capital is a question mark at the end. Each gap adds weeks. Together they add months, and months are where deals die.

The offer: interest-only with balloons.

Here's the structure from the seller's side. They get interest every year, plus two lump sums. A partial payout in year three, the rest in year ten. For an owner who wants to be looked after, that reads as income plus certainty.

From the buyer's side, low repayments early leave cash in the business while you grow it. The catch is the balloons. They're real money, and you plan from day one how you'll pay them: out of profit you've grown, by refinancing with a bank, or both. No plan, and interest-only is just a later problem.

The money behind it: working capital.

Then the seller sees that the buyer can actually run the place. Cam got $500,000 of working capital from the bank. That pays wages in a slow month, covers fees at settlement, and funds the growth that pays the balloons. It's the line first-time buyers forget. Ask a lender early: do you do working capital lines at settlement, and what do you need to see?

[JOSH: how Cam got the bank comfortable with the $500K line. No bank name unless Cam is happy to give it.]

Settlement.

Day 23 isn't luck. It's what happens when the lawyer, the accountant and the lender were lined up before the seller said yes.

Here's the kit I'd want on the shelf before calling a single seller. A one-page executive summary with your board on it. An NDA and a document request ready to send. An offer template with your structure options already written in. A lawyer who has agreed to act. An accountant who turns diligence around fast. And two or three lenders who already know your plan and your working capital ask.

None of that needs a deal to exist. All of it can be done this month. Then the clock starts on the seller's decision, not on the day you start getting organised.

Interest-only frees about $80,000 a year while you grow. The seller still collects close to $400,000 in interest. Both sides win, as long as the year-three $300,000 has a plan behind it. Three years of $80,000 kept is $240,000, most of that first balloon, if you actually keep it. If you can't see how you'd pay a balloon, don't agree to it.

Where people lose money.

- Finding a motivated seller before they're ready, then spending six weeks building the team while the seller walks.
- Signing interest-only with no plan for the balloon. That's a $300,000 bill in year three with nothing set aside.

- Forgetting working capital and running out of cash in the first slow quarter.
- Confusing fast with rushed. Rushed skips diligence. Fast has diligence starting on day one.

If you're going to buy a business, you have no choice but to get prepared first. The only choice is how long it takes. Most people do it in the wrong order: seller first, scramble second, deal gone cold.

On the call we work out your strategy, your first structure, and which fits: the Owners Academy, with the document request, offer template and daily deal discussion, or 1:1 advisory, where I work your structures and lender presentations with you.

If you're someone who'd rather do the boring work now so you can move fast later, this is for you. Thirty days from now your kit is either still a list, or it's on the shelf, ready for the next seller who says yes.

Book a call with me below. Not a setter. Me.

It's 40-plus hours a week. If there's no time to prepare, there's no time to close either.

Not ready? Grab the free 3C Starter Kit and send the document request to your next seller.

Next: a man with no job, no degree and a criminal record got a bank to fund all of a $2.4 million first deal, and we'll read it the way the bank did.

EP 93 · A bank funded all of a $2.4M first deal. Here's what it checked

How come people with a salary, a degree and a clean record find it so hard to get a bank behind a business purchase?

Christian Dawes was unemployed. No higher education. A criminal record. His first deal was $2.4 million, and the bank funded all of it. More than all of it.

Banks don't lend to your past. Here's what this one checked, in the order it checked it.

Bank debt costs you interest. Investors cost you equity, control and the exit. A bank is set up to lend, and investors take months per cheque. So if you can get a bank to fund the deal, you keep the whole upside. This is for people who'll put their numbers in front of a lender and let the numbers talk. If you're waiting for your CV to be perfect, it isn't for you.

One line: a bank lends to a business's cash flow, not to your history.

Christian is an example I use, not a student of mine. **[JOSH: one line on how you know Christian's story, plus his industry and what the business earned if that's public. No bank name.]**

You were told you need a big deposit, a spotless record and years in the industry. Christian had none of those. A bank funded his deal anyway, and then some.

If a bank has knocked you back, it has nothing to do with your degree or your past. It has everything to do with what you put in front of them.

A credit file reads in five parts: the ask, serviceability, security, management, and the extra.

I help people build the lender pack that gets a bank to yes. Book a call below. Now the file.

The ask.

The first page is the ask. How much, over how long, and what for. A vague ask reads as a vague buyer.

Walk in as an interviewer, not a beggar. “I’m building relationships across the banking sector. Here’s my team, here’s what we’re looking at. What are your parameters?” Minimum debt cover, industries they like, deal sizes, personal guarantee policy, and whether decisions are local or central. You’re shopping, not pleading. Talk to lots of them. One bank’s policy can rule out an industry another bank loves.

Serviceability.

Then the question that matters most. Can the business repay the debt out of its own cash, with room to spare?

My rule is free cash flow at least 1.5 times the yearly repayments. That one ratio does more for your application than anything on your résumé. Bring a simple model with a base case and a bad case, and show the cover in both.

Bring a pack, not a pitch. The one-page executive summary. Short bios of your board and external team. Three years of financials and matching tax returns. The model. A bank sees plenty of people with a dream and a spreadsheet. A tidy pack tells them you’ll be easy to deal with after settlement too.

Security.

Next: if it all goes wrong, what can the bank sell? Equipment, property, receivables, stock. That’s why you pick an industry that’s asset-rich enough to lend against.

A service business with nothing on the balance sheet has to carry the whole loan on cash flow alone. An asset-rich one gives the bank a second way out, and that’s what turns a maybe into a yes.

On bigger deals, roughly over $5 million, a personal guarantee often isn’t needed because the assets give the bank its security. Typically. Every lender and every deal is different, and this one was $2.4 million, so ask.

Management.

Then: who's running it? Notice what's not in the file. Your degree. Your old job. This is where a record or no degree would usually hurt, and where borrowed credibility does its job. A credible board, an experienced operator, a proper M&A lawyer and a decent accounting firm. Then the answer isn't one person with a past. It's a team with a plan.

[JOSH: what Christian had around him (board, operator, advisers) and whether he gave a personal guarantee, only if known and public. Otherwise cut and keep the general point.]

The extra: over-financed.

Last page. Over-financed means the bank lent more than the price. On a first deal that extra is usually working capital and costs: wages in a slow month, the legal and accounting bills, a first-year buffer. It's the difference between owning a business and owning one you can afford to run.

[JOSH: roughly how much above $2.4M the bank lent, and what it covered, if you know.]

The over-finance isn't free. Every dollar of working capital raises the cash flow the business has to show. Know that number before you walk in.

Now compare the alternative. Raise that $2.4 million from investors instead, and you might give away a large slice of the company for good. The bank wants $300,000 a year and then it's done. The investor wants a share of every dollar, including the exit. As long as the deal passes 1.5, debt is usually the better trade.

Where people lose money.

- Walking in with a story and no numbers, or numbers and no team.
- Picking an industry with nothing to lend against, then wondering why the bank wants a personal guarantee.

- Talking to one bank, getting one no, and deciding banks don't lend to people like them. A no tells you about that bank's policy. Write down why, fix it, walk into the next one.
- Raising equity because the bank felt hard. On a deal that passes 1.5×, that's giving away part of the exit to avoid a few meetings.

There are two paths into a bank. Alone, you learn what the credit team wants one rejection at a time. Or you walk in with a pack that's already been pulled apart by people who've done it.

On the call we work out your strategy, your first structure, and whether that's the Owners Academy, with the templates and daily deal discussion, or 1:1 advisory, where your lender presentation is exactly what we build together.

If you're someone who'd rather let the numbers talk than wait for a perfect CV, this is for you. Thirty days from now you'll be thirty days older either way. Or thirty days older with a lender pack built and your first bank meetings done.

Book a call with me below. Not a setter. Me.

Your situation is probably different. The bank's questions aren't.

Not ready? Grab the free 3C Starter Kit and run the debt cover sum on a real business this week.

Next: Saul, an Owners Academy member, made one cold call straight to an owner and ended up with a signed NDA on a $3.8 million business.

EP 94 · One cold call to a $3.8M NDA (copy it)

Every day, the same listed businesses get shown to the same buyers. If it's on a website, you're one offer in a pile.

Saul skipped the pile. One cold call, straight to the owner, no broker. It turned into a signed NDA on an electrical and air-con business: 25 staff, about $3.8 million in revenue, owner retiring in two years.

Here's that deal in the order the owner saw it. Copy it.

If you've got capital sitting in low-yield assets, the money isn't the hard part. Finding the deal is. Listed businesses get bid up. An owner you call first has no auction to run. And this deal hasn't closed. It's at NDA and early diligence, which is the point. This is what the start looks like, and most people never get here.

One line: the best deals are bought, not found on a website.

If you've looked and found nothing worth buying, it has nothing to do with your judgement or your timing. It has everything to do with where you were looking. Plenty of good businesses never get listed, and some of their owners would talk to the right buyer if anyone asked.

Saul didn't wait for a listing or an inside line. He made the call. That's the whole difference.

The owner sees five things: the call, the NDA, the document request, the conversation about what they want, and the offer.

I help people go from cold calls to signed NDAs to real offers. Book a call below. Now the call.

The call.

Short and direct. Skip "how are you going today." Who you are, why you're calling, one question.

“Hi, it’s [name]. I’m building a group that buys businesses like yours. Have you ever thought about selling?”

Most say no. Some say not yet. A few say maybe. If they ask whether you’re a broker, be straight: you found the business, you like it, and you’re buying, not selling. Owners hear from brokers all the time. A real buyer calling directly is rarer, and they can tell.

[JOSH: how many calls Saul had made before this one, and what the owner said when he asked about selling. Two lines, only what Saul’s happy to share.]

The NDA.

When an owner’s interested, you send an NDA. It protects their information and shows you’re serious. It’s also a test. An owner who won’t sign a simple NDA probably isn’t ready to sell.

Send it the same day they say maybe. Not next week. Have it sitting ready before you make your first call, so the owner’s interest never has time to cool.

The document request.

Then you ask for three things. Three years of financial statements, the matching tax returns, and revenue broken down by financial year. An owner who sends them is motivated. If the financials and the tax returns don’t match, that tells you something too.

In a trades business, look at the mix of one-off jobs and maintenance contracts. The contracts repeat, so they’re usually worth the most. Check who holds the licences, often the owner. And with 25 staff, find out which ones the customers actually know.

[JOSH: what Saul found in early diligence that’s worth sharing: contract mix, owner dependence, key staff.]

What a retiring owner wants.

A two-year retirement window isn't a problem. It's the deal. Owners in traditional industries want out, and they want to be looked after. They want certainty, a fair result and their staff kept on. They don't want to wait months for a bank.

So you never say vendor finance. You say getting paid over time. For an owner who's leaving anyway, being paid over ten years out of the business they built can mean more money than a lump sum. Vendor finance can pay above market, six to seven times instead of the usual three to five, and close in two to four weeks instead of six to sixteen. The numbers show how.

And if you have capital, this is where it earns more. You don't need to spend it as a deposit. It can sit behind the deal as the buffer and the security, while the business pays the seller.

The offer.

Once your board has been through the documents, the offer goes out as an NBIO or LOI. The usual range is 3 to 5 times profit. And revenue is not profit. A $3.8 million business could make a lot or a little. That's what diligence is for.

Then the cover check: yearly repayments no more than two thirds of free cash flow, which is the 1.5 rule. Keep the NBIO template ready, so the offer goes out the same week the documents are reviewed.

You don't need to know electrical businesses. Someone on your board should. That's what the board is for. Your job is the call, the documents and the structure.

Paid over time, the seller can receive far more than a lump-sum offer, and the business still covers the debt one and a half times. That's why vendor finance can pay above market and still work for the buyer.

Where people lose money.

- Making 30 calls and stopping. I made around a thousand before my first deal closed.
- Getting a "maybe" with no NDA ready, so it goes cold.

- Pricing off revenue instead of profit. On $3.8 million of revenue, that mistake can be worth millions.
- Losing the “not yet” owners. Keep a sheet: name, business, what they said, when to call back. Call, then email, then LinkedIn, months apart.
- Stopping calls once one NDA is signed. Walking away is your best negotiating tactic, and you can only walk away with other deals in the pipeline.

If you’re going to buy off-market, you have no choice but to make the calls. The only choice is whether you make them with a script and a process, or without one. Or you keep scrolling listings and bidding against everyone else.

On the call we work out your strategy, your first structure, and which fits: the Owners Academy, where Saul is, with the call scripts, NDA process and daily deal discussion, or 1:1 advisory, where I work your structures and lender presentations with you.

If you’re someone who’d rather pick up the phone than wait for a broker’s email, this is for you. Thirty days from now you’ve either still made zero calls, or a few hundred, with a short list of owners who said maybe.

Book a call with me below. Not a setter. Me.

Not ready? Grab the free 3C Starter Kit and have the document request ready before your first call.

Next: my friend Jason Nagy turned a $5.5 million zero-down first deal into a $200 million exit, and we’ll follow the money from the bank to private equity.

EP 95 · $5.5M zero down to a $200M exit: every stage, bank to private equity

Owning one good business is a phenomenal thing. Until you hit the ceiling of what one business can be. Then you go from growing to grinding.

My friend Jason Nagy's first deal was a $5.5 million radiology business. Zero down, a 60/40 structure. Seven years later he sold to private equity for $200 million.

Here's that deal in the order each party saw it. The bank, the seller, then the buyer who paid the big number.

Most of the money in a business is made at the exit, and most of the exit is the multiple. A small business usually sells for 3 to 5 times profit. A group private equity wants can sell for 8, 10, even 15 times. If you own one business at its ceiling, that gap is the biggest number you're not using. This is for people thinking in years. If you want a quick flip next quarter, skip it.

One line: the first deal isn't the payday. It's the platform.

If your business has plateaued, it has nothing to do with your work ethic or your market. It has everything to do with the multiple one small business sells for.

And the market has moved. A generation of owners in traditional industries is ready to retire, and many want to be paid over time. Private equity pays more for groups than for single businesses. The buyers who understand both are buying small and selling big.

Jason is a friend of mine, not a student. His deal shows the whole machine.

I help people choose and structure a first deal as a platform. Book a call below. Now the detail.

What the bank saw: the 60%.

A 60/40 structure commonly means about 60% of the price comes from a bank as commercial debt, and about 40% from the seller. The bank sees a business that services its share at 1.5 times cover, and it sees the seller staying in. That's a seller who still wants it to work.

On deals over about $5 million, banks often don't need a personal guarantee, because the assets give them their security. Typically. Every lender and deal is different. Ask.

[JOSH: what Jason's 60/40 actually was (bank and seller, or something else), and whether he gave a personal guarantee, only if he's happy to share.]

What the seller saw: the 40%.

The seller's 40% can be rolled into equity in the new business, or left in as a loan paid out over time. Either way, the seller keeps skin in the game, stays helpful during the handover, and is paid out of a business they know works. And the bank's 60% tells the seller a lender has already checked the numbers.

For you, zero down means every dollar of value built over the next seven years sits on equity you didn't pay cash for. That's the leverage. It's also why the cover rule is non-negotiable. Two lenders being paid from one business leaves no room for a structure that only works in a good year.

The seven years between.

Seven years is long. It's also normal. A roll-up usually takes three to ten years from first deal to exit.

What makes a first deal a platform? A fragmented industry with owners getting ready to retire, so there's always a second and a third to buy. Systems someone else could run, so you work on the next deal, not the front desk. A bank that's watched you make your repayments on time. And a board that's done it once with you. Without those, you've bought yourself a job.

In the first year or two not much looks like it’s happening. You’re learning the business, paying down debt, fixing the basics. Most people quit right there, just before it compounds.

The order is simple. First the platform. Then the second deal. Once you have three or four, shared management and shared systems. And once the group is big enough, private equity starts calling.

And decide the goal before you start. A big exit, a legacy business and a flip are built differently. Jason was building toward an exit, and you can see it in the result.

[JOSH: what Jason did in those seven years (more acquisitions, new sites, new services, or growth in the original business). One or two lines, only what he’s happy to have said.]

The shareholder terms.

If you’ll ever have minority holders, a board with founders’ equity or a seller with rollover, set the terms on day one. Drag-along rights. No veto or voting control for minorities. So when the exit comes, one person can’t hold it up.

What private equity saw: the multiple.

Private equity pays more for size, clean numbers, revenue that repeats, and a business that runs without the founder in every room.

[JOSH: what Jason’s buyer valued most. No firm name unless it’s public and he’s happy to have it said.]

Look at it from their side. A single clinic is a job with a building. A group with ten sites, shared systems and a management team is an asset they can grow and sell again. They pay for the lower risk and the bigger runway. That’s why a dollar of profit inside a group is worth more than the same dollar inside one small business.

That’s multiple arbitrage. Same profit, different multiple.

On the first deal, the cover rule caps what the bank and seller can take out each year. On the group, $60 million of value comes from the multiple alone, before any profit growth.

Where people lose money.

- Buying a first business that doesn't fit a group, so there's no second deal to bolt on.
- Giving away equity early to avoid debt, and losing control of the exit.
- Signing shareholder terms that let one minority holder block a sale.
- Never deciding the goal. A big exit, a legacy business and a flip are built differently.

There are two paths up from one business. Alone, you learn every jump the hard way, one mistake at a time. Or you get the outside view before each jump, not after it.

On the call we work out your goal, your strategy and your first structure, and whether that's the Owners Academy, with the full course and daily deal discussion, or 1:1 advisory, where I work your structures and lender presentations with you. Equity or advisory roles are considered case by case.

If you're someone who'd rather build a group than grind at the ceiling of one business, this is for you. Thirty days from now you'll be thirty days older at the same ceiling. Or thirty days older with your goal written, your industry picked and your first platform deal in sight.

Book a call with me below. Not a setter. Me.

Results like Jason's aren't typical. The method that got there still is the method: buy well, grow, sell at a bigger multiple.

Not ready? Grab the free 3C Starter Kit and write your goal at the top of the executive summary.

Next: the last act starts with time, money and energy, and which of the three you've actually committed.

Act 20 · The long game

EP 96 · Time, money, energy: why money ranks last on a $0-deposit deal

How come people with a good salary, good credit and real savings so often never buy a business?

My first deal had no deposit. A physio clinic, 100% vendor finance. What it did take was about a thousand cold calls, and four deals that fell over first.

So money ranks last. Time and energy decide it. Here's how to score all three, and what each one is worth in a deal.

The structure carries the price. A retiring owner gets paid over time out of the business's profit, so the purchase price doesn't come out of your account. What nobody can finance is the work that finds the deal. Capital with no hours means you're still reading about this next year. Hours with no capital means slower, not shut out. This is for people who'll give it 40 hours a week. Not for anyone looking for a way to do it in four.

One line: you can borrow the money. You can't borrow the hours.

Three inputs, ranked from least to most important. Money. Time. Energy.

If you've been "working on this" for a year with no offer out, it has nothing to do with your intelligence, your background or your bank balance. It has everything to do with nobody showing you which input actually moves a deal.

I help people turn those three into a first deal, bought with little to no money down. If you've got the hours and want to know what your capital changes, book a call below. Now the detail.

Money: it buys speed, not permission.

You were told you need a deposit. You were told you need a track record. You were told the bank decides.

None of that was true for my first deal. Seven years at 4%. A nine-month payment holiday. Rent in arrears. No deposit.

So the structure buys the business. Money buys three other things. Speed: with cash, an existing business or property behind you, a first company in the next 30 days becomes possible. Room for mistakes, because deal one will have some. And runway, so you can live while the business pays its debt first.

The rule: the money question isn't "do I have a deposit?" It's "how many months can I live without drawing much from the first business?" Write that number down.

Time: income hours, not busy hours.

Time means hours you can name on a calendar from Monday. 40 at the very least. 60 is better. 100 is ideal while you're building.

Most people who say they're giving this 20 hours are giving it 20 hours of reading. Podcasts. Spreadsheets. Another video. Like this one.

Income hours put you in front of a seller, a board member or a lender. Calls, offers, lender interviews. Everything else is support.

An illustrative 40-hour week: 15 hours on calls, 10 on board outreach and lenders, 10 on financials, NDAs and offers, 5 on everything else.

My thousand calls was time. There's no shortcut through it. You can only get through it faster. If the hours aren't on the calendar, they aren't committed.

Energy: the input that kills more deals than money.

Energy is where your attention actually goes. Nobody measures it.

I've had people pay for advisory and still not take action. Paid, signed up, then nothing.

Low energy looks like three side projects. A plan to start "after this quarter." A spouse who hasn't been asked. Another book before the first call. Every hour on a side project is an hour not on the phone.

The rule: one thing. If this isn't the thing, the hours on the calendar won't survive the first hard week.

The audit: score yourself 1 to 3.

Time. One is "when I can." Two is ten to twenty named hours. Three is 40-plus, on the calendar, from Monday.

Money. One is nothing. Two is some savings. Three is cash, a business or property you could put to work.

Energy. One is "still deciding." Two is "doing it, alongside three other things." Three is "this is the thing."

A one on money is fine. A one on time or energy isn't. I'd rather work with a 3-1-3 than a 3-3-1. The second person has the money and will still be watching videos next year.

Fix them in order. Time first, because hours are the only thing you control this week. Energy follows, because the calls start giving you real conversations. Then the money question answers itself, because you're looking at one business's numbers instead of a fear.

Same thousand calls, same structure, same zero deposit. The ten-hour buyer hears the same "yes" about three months later, and a retiring owner who's ready now sells to someone else.

Where people lose money.

- Saving for a deposit the structure didn't need. Years of not owning, and the bank can still say no.
- Paying yourself from day one. It eats the payment holiday, and the first slow quarter puts you behind on the seller.
- Counting reading as hours. A year of "research" with no offer out is a year of a seller's profit going to someone else.

- Paying for help and not acting. The cost of advice with zero offers out is all cost.

There are two paths from here. Alone, the audit's free and the calls are free. And alone, your hours drift back to reading because nobody asks how many calls you made, and your energy leaks into whatever's newest. Most people on that path take years and lose deals. The other path is with someone who's already made the thousand calls and lost the four deals.

On the call, after a short application, we do today's audit on your real numbers. Your hours from Monday. Your assets. Your goal. What would stop you starting this week. You leave with your strategy, your first structure, and whether the Owners Academy or 1:1 advisory fits.

If you're someone who scored a three on time and a three on energy, and you're done treating money as the reason, you've already decided. Thirty days from now you'll be 30 days older either way. Or 30 days older with a few hundred calls made and a first structure on paper.

Book a call with me below. Not a setter. Me.

Not there yet? Get the free 3C Starter Kit and fix your scores first.

Next episode: walk-away power, and the three mistakes that make you overpay.

EP 97 · 3 negotiation mistakes that turn a $2M deal into $2.5M

Two buyers look at the same business, making $300,000 profit.

James has the cash and one deal he's fallen for. The other buyer has five conversations, a number written down, and a board who'll tell him no. The seller asks both for $2.5 million. James pays it. The other buyer says "No worries. Good luck." And ends up with the better deal.

Here are the three mistakes that cost James half a million.

On this business, $500,000 of price is the difference between the business covering its repayments 1.5 times and 1.2 times. At 1.5 a slow year is uncomfortable. At 1.2 you're borrowing to pay the seller. This is for people sending offers, or about to, especially with capital and a fear of overpaying. It isn't for anyone who thinks negotiating means being nice until the seller gives in.

Walk-away power is the ability to say "no worries, good luck" and mean it. It isn't a tactic on the day. It's a position you build before the meeting.

Three mistakes destroy it, ranked. The last one is the one most people get backwards.

I help people find, structure and negotiate a first business, bought with little to no money down. If you want someone beside you when a seller pushes, book a call below. Now the mistakes.

MISTAKE 1. One deal in the pipeline.

If you've ever overpaid, or nearly did, it has nothing to do with being soft or bad with numbers. It has everything to do with having one deal.

You've spent three months on it. You've told your partner. You've pictured the first day. The seller asks for more, and you hear yourself say "I'll see what I can do."

A buyer with five live deals can leave, and sellers can tell. That's why you run parallel pipelines and never single-thread a deal. My friend Elliot in the US sent about 40 offers to get three signed LOIs, all at 100% seller finance.

[JOSH: one deal you walked away from: what the seller asked, what you said, what happened next.]

The fix: never fewer than three live conversations. If you have one, make 50 calls this week.

Walk-away power comes in an order, and none of it happens on the day. First a pipeline. Then, once you have deals, a number. Then a team, a board and advisers who'll say "this one's not it" when you're too close. And once you have all that, a runway. If you need this deal to pay next month's rent, you can't walk.

MISTAKE 2. Walking in without a number.

Most people think negotiating is a personality. Hard men win, nice people get taken.

That's not how it works. The buyer who wins did the maths before the meeting.

The business makes $300,000. Free cash flow has to cover repayments at least 1.5 times. $300,000 divided by 1.5 is $200,000 a year to the seller. Over ten years, about $2 million. Interest left out to keep it simple.

The seller says $2.5 million. Same ten years, that's $250,000 a year, and your cover drops to 1.2.

So $2 million over ten years is your walk line. You don't think in the room. You check the number.

When you hear "I've got other buyers interested," the answer is the same whether it's true or a bluff: "That's great, you should talk to them. My offer's here if it doesn't work out." If they have a better buyer, you were never getting it. If they don't, they call back. And to stop a deal drifting for months: "This offer's open for 24 hours."

MISTAKE 3. Moving your line instead of the terms.

This is the counterintuitive one. You can say yes to $2.5 million.

When a seller wants more, change the shape, not your line. A longer term. A later start to repayments. Part of the price tied to performance.

$2.5 million over 12 and a half years is $200,000 a year. Your cover is back to 1.5. The seller gets the headline number. You keep a business that carries its debt.

Remember what the seller is really comparing you to. Not another buyer. Their own Monday morning. Another three years running the place, or a bank that takes 16 weeks. Never say “vendor finance” to them. Say “getting paid over time.”

And if no shape works, you walk. That’s what a line is for.

“But if I walk, I lose the deal.” Sometimes. A deal you lose by holding 1.5 times is usually a deal that would have hurt you. “The seller will be offended.” Not if you’re calm. A seller handing over their life’s work wants a buyer who knows their number.

Column one is how capital gets lost. Columns two and three are the same deal for you, and only one of them gets the seller to yes.

Where people lose money.

- Moving the line $100,000 at a time because you’re three months in and tired. Two moves and you’re at 1.2×.
- Chasing after “other buyers.” It tells the seller you have nowhere else to go.
- Letting an offer sit open for months. The seller shops it, and you’ve stopped calling.
- Needing the deal to pay next month’s rent. No runway, no walk-away power.

You can keep doing it the way most buyers do. One deal at a time, falling for it, the only person in the room who’s emotional. Or you can have someone outside the deal who’s seen the shape before and says “walk” when you can’t.

On the call, a short application, then me. Your capital, your hours, your industry, any live deal. We set your walk line and your first structure, and work out whether the Owners Academy, where you can post a seller’s counter and get eyes on it the same day, or 1:1 advisory fits.

If you’re someone with capital who refuses to overpay, and you’d rather lose a deal than sign a bad one, you’ve already decided. Thirty days from now you’ll be 30 days older either way. Or 30 days older with a written walk line and three live conversations.

Book a call with me below. Not a setter. Me.

Not yet? The free 3C Starter Kit has the DSCR calculator. Use it to find your line.

Next episode: every stage from one business to a group.

EP 98 · Every stage from 1 business to a 5-business group (year 0 to year 10)

Owning one business is a phenomenal thing. You set the hours. You keep the profit.

Until it can't grow past you. Then it goes from an asset to a very well-paid job.

A business making $500,000 is worth about $2 million at four times profit. Five of them, run as one clean group, can be worth $20 million to a bigger buyer. Here's every stage between the two.

The gap between four times and eight times is where the money in this whole model is made. It's called multiple arbitrage: small businesses sell cheap, groups sell dear. But you only get the higher multiple if the group can run, borrow and be sold without you. This is for owners and buyers who want a group: a roll-up, a legacy, something a bigger buyer wants. If you want one small business forever, this is more plan than you need.

One line: the plan runs in stages, not years, and each stage has one constraint.

Five stages. Get ready. Buy one. Buy more. Build the group. Sell or hold. Your job changes at every one. Most people get stuck because they keep doing the last stage's job.

I help people build this, starting with a first business bought with little to no money down and structured so it can be the base of a group. Book a call below. Now the stages.

STAGE 0. Get ready (about six months).

Build a board of credible operators, paid in founders' equity, 2 to 10% each. Line up lawyers and accountants paid at closing. Interview lenders before you need one. Start the calls.

Your job: caller. The constraint: volume. Every hour is calls, board outreach or lenders.

STAGE 1. Buy one (year 1).

The first deal is usually the hardest. Mine took about a thousand calls and four deals that fell over. Pick a business that covers its debt 1.5 times and that you could build on. Asset-rich, boring, bankable.

Your job switches to owner overnight. Keep the staff, keep the customers, keep the seller close for the handover. Then fix price and margin, then a way to bring in customers on purpose.

The constraint is you. Until there's a general manager, you own a job.

STAGE 2. Buy more (years 2 to 3).

If you own one business and you're stuck, it has nothing to do with your work ethic, your industry or your age. It has everything to do with nobody showing you that business two is bought differently from business one.

Business two is easier. You have a track record. You have a lender who's watched you make repayments. You have cash flow.

My friend Cam did two deals in 23 days. Both 100% vendor finance, interest-only for ten years with balloons in years three and ten, and $500,000 of working capital from the bank. Not because Cam had advantages you don't. Because he knew the structure.

Your job: buyer and manager. Hire a GM for business one so you can source business two. Set up a holding company so each business sits in its own entity. Give minority holders no veto and put a drag-along in from the start, so the group can be sold cleanly.

The constraint is management. Not money. People who can run a site without you.

STAGE 3. Build the group (years 4 to 6).

Finance, HR and marketing get done once for every business instead of five times. You add smaller bolt-ons that slot in. Maybe a competitor.

Your job: manager of managers. Monday numbers. Board meetings. Few decisions, made well.

The constraint is cleanliness. A year spent on clean books and businesses that run without their old owners can add more value than another acquisition, because that's exactly what a buyer checks.

STAGE 4. Sell or hold (years 7 to 10).

Sell, and you collect the multiple gap. My friend Jason Nagy did the real version: a $5.5 million radiology business with nothing down, sold to private equity for $200 million seven years later.

Or hold. Let the debt get paid down and take the cash flow. Both are fine. Next episode is about choosing on purpose.

The rule behind the whole ladder: one constraint per stage. Volume, then you, then management, then cleanliness, then the decision. Fix the one in front of you and leave the rest. And the test for where you are: if you stopped working for a month, what would happen to the profit? If it falls, you're still on stage 1, however many businesses you own. If it holds, you're ready for the next one.

"Ten years is too long." Think in stages. Getting ready takes months, and nothing says you have to sell at ten. "I can't picture running five businesses." You won't. You'll run the people who run them.

The profit didn't change between row three and row five. The multiple did, because the group can run without you. That's what stages 2 and 3 are buying.

Where people lose money.

- Buying business two before business one runs without you. Both go backwards, and both lenders notice.

- Structuring deal one in a way the group can’t use. Minority holders with a veto can block the sale that pays for ten years of work.
- Staying in the caller’s job after you own. The business owns you, and the multiple stays at four.
- Messy books at sale. A buyer discounts what they can’t verify.

Two paths to year ten. Alone, every stage has a playlist in this series. And alone, people lose years: they buy too early, structure deal one for one deal, and stay in the wrong job. The other path is with someone thinking about year ten while you’re on year one.

On the call, a short application, then me. Where you are on the ladder, your goal, your assets, your industry, and your next structure built to fit the group you want. Then whether the Owners Academy or 1:1 advisory fits.

If you’re someone who owns one business, knows it’s capped, and would rather own the group than be the job, you’ve already decided. Thirty days from now you’ll be 30 days older either way. Or 30 days older with a GM shortlist and a second target on paper.

Book a call with me below. Not a setter. Me.

Not ready? The free 3C Starter Kit is stage 0.

Next episode: jackpot, legacy or flip, and why you can only run one.

EP 99 · Jackpot vs legacy vs flip: the same $2M business bought three ways

There are only two types of business owners. The ones who decided what the business was for before they bought it, and the ones who find out when they try to leave.

Same business, $500,000 profit, $2 million. One buyer flips it for up to $3.5 million in three years. One holds it and keeps the $500,000 a year. One makes it part of a group sold at eight times. Three goals. Three different ways to buy it.

The goal sets what you buy, how you finance it, who you hire and when you sell. Get it wrong and the structure fights you: a flip with debt nobody can take over, a legacy business with repayments that eat the income you planned to live on. This is for owners and buyers after a big outcome. It isn't for the lifestyle business: one place, a few hours a week. Nothing wrong with it. It's just not what we do.

One line: pick the exit first, then build the deal backwards from it.

Three options. Jackpot, legacy, flip. Then a three-question test, and the verdict.

If you own a business and feel trapped in it, it has nothing to do with how hard you've worked or how good the business is. It has everything to do with nobody asking you what it was for.

On a call with me, your goal is the first question, because the structure follows it. Book below. Now the three options.

OPTION A. Jackpot: buy many, sell the group.

Here's what's changed. A generation of owners in traditional industries is ready to retire. They don't want to wait 16 weeks for a bank. They want out and they want to be looked after. Getting paid over time can pay them above market, six to seven times against the usual three to five, and close in two to four weeks.

That’s why one buyer can now line up several businesses in one industry. Buy at small-business multiples, combine, clean up, sell the group at the multiple a bigger buyer pays. My friend Jason Nagy’s first deal was a $5.5 million radiology business, zero down, on a 60/40 structure. Private equity exit at $200 million seven years later.

What it changes: a fragmented industry, bank relationships for many deals, and clean books and a management team from deal one.

OPTION B. Legacy: buy to keep.

Buy something that will still be needed in 30 years. Healthcare. Trades. Services. Structure the debt so the business carries it comfortably. Once it’s paid down, the profit is yours.

Debt over dilution matters most here, because the whole point is keeping it. I still own 73% of my company.

[JOSH: one line on which of the three you’re running with your healthcare group, and why.]

What it changes: you can be more patient on price because you’re not selling. You care about people and culture more than the multiple. And you set up ownership, often a holding company, so it passes on cleanly. Get advice for your situation.

OPTION C. Flip: buy one, fix, sell.

Buy the $500,000 business at four times, $2 million, paid over time. Over three years, raise prices, cut costs nobody notices, and put in a manager so it runs without the owner. Profit goes to $700,000. Sold at four to five times, that’s $2.8 to $3.5 million before paying off what’s left of the debt.

What it changes: you hunt for obvious fixes, not perfect businesses. And the debt has to match the exit date. If you sell in year three, know what’s owed then, and whether a buyer can take it over or pay it out. A year-three balloon is a gift or a trap, depending on your plan.

THE TEST.

Three questions, in order.

How long will you do this hard? Ten years of intensity is jackpot. Three is flip. A lifetime at a steady pace is legacy.

What do you want at the end? A cheque. A business your family owns. Or capital and a track record for the next one.

What do you have? Cash, a business or property lets you move faster on any path.

Verdict: pick one. You can change later. You can't run two at once. A jackpot buyer reinvests every dollar into the next deal. A legacy buyer takes the cash out. Try both and you build a group you can't sell while taking cash it needs.

And let the goal rise. Plenty of people start with a flip and finish with a group, because the first deal showed them what was possible. Changing goals between deals is fine. Running two inside one deal isn't.

"Jackpot is just for people with money." Jason's first deal was zero down. A roll-up is a structure problem, not a savings problem. "I don't know my goal yet." Pick the one that fits today. A flip is a fine first goal. You'll know more after deal one.

Same purchase. The last row is where owners lose money: the structure that suits one goal breaks the other two.

Where people lose money.

- A flip carrying a ten-year seller note nobody can take over. The sale stalls in year three.
- A jackpot built on a first deal that was never set up to combine. Re-papering costs time and the buyer's confidence.
- A legacy business with debt that eats the cash you planned to live on.

- No goal at all. Twenty years in, a business you can’t sell, can’t pass on and can’t leave.

Or you can keep doing what most owners do. No goal. Structured for one, living another. Or you set the goal first, with me, and let it shape the deal from the first offer.

On the call, a short application, then me. Goal first. Then your hours, your assets, your industry, and what would stop you starting this week. You leave with your strategy and first structure, and whether the Owners Academy or 1:1 advisory fits.

If you’re someone who owns a business and wants to know what it’s for, or someone about to buy who wants the goal right first, you’ve already decided. Thirty days from now you’ll be 30 days older either way. Or 30 days older with one word written down and a deal shaped around it.

Book a call with me below. Not a setter. Me.

Not ready? Get the free 3C Starter Kit.

Next episode is the last one: the whole series in one deal.

EP 100 · 100 episodes in one deal: $250K profit, $0 down, all five stages

This video isn't for most people who'll click on it. Not for anyone after a four-hour work week. Not for anyone waiting for permission. Not for anyone planning to watch for another year.

For everyone else: a business making $250,000 profit. No deposit. The seller gets about $1.66 million over ten years, paid out of the business's own profit. That one deal, run ten times, is the whole series.

If you're in a job you can't own, running a business that runs you, stuck at one business's ceiling, or sitting on capital earning less than it should, it's the same map. It's for people who can give this 40-plus hours a week, want a big outcome, and will act before they feel ready. Episode 100. Every stage, one deal, and the most direct pitch I'll make in the series.

One line: borrow credibility, let the seller be your bank, close off-market, grow the profit, sell the group.

Five stages. Credibility, Capital, Closing, Grow, Exit. I'll run one deal through them in the order the seller and the bank see it.

If you've watched a lot of this series and haven't sent an offer, it has nothing to do with your intelligence, your CV or your bank account. It has everything to do with waiting for a feeling that never comes. There is never a perfect moment. Decide at 60%.

I help people run that whole line. Book a call below: a short application, then me. Now the deal.

Credibility: what the seller sees first.

You have no track record, so you borrow one. A board of credible operators, paid in founders' equity, 2 to 10% each. Lawyers and accountants paid at closing. A

one-page executive summary. Now the seller and the bank are dealing with a team, not a person.

I found my board through LinkedIn and cold outreach at 25, with no network. The founder of the Australian Institute of Fitness is a shareholder in my company today, and I still own 73% of it. My student Jy Kingston came from IT with no finance background and built his board in under 30 days.

Capital: what the bank sees.

Before I knew how this worked, I made about a thousand calls and watched four deals fall over. After, my first deal: a physio clinic, 100% vendor finance, seven years at 4%, a nine-month payment holiday, no deposit. I took $150,000 out in year one.

Not luck. The structure worked on the business's numbers, not mine.

The speed run. $250,000 profit, divided by 1.5, is about $166,000 a year to the seller. Over ten years, about $1.66 million. That's above most cash offers, and the $84,000 left each year is what keeps you alive in a slow one.

Two rules, every deal. Free cash flow covers repayments at least 1.5 times. And debt over dilution, so you keep control and the exit. "No money down" is the hook. The 1.5 rule is the safety rail.

Closing: what gets it signed.

Find it off-market. Cold calls and one question: "Have you ever thought about selling?" Before any offer: three years of financials, matching tax returns, revenue by year. Offer three to five times profit in an LOI. Due diligence on the quality of the earnings. Top-tier lawyers.

The best negotiation tactic is to walk away. The second best is a time limit. You earn both with volume. My friend Elliot sent about 40 offers to get three LOIs at 100% seller finance.

Grow: what makes it worth more.

Settlement isn’t the finish line. Price and margin first, because a price rise the customers barely notice goes straight to profit. Then a way to buy customers instead of waiting for them. Then a team, so it runs without you. Each one raises the profit, and the last one raises the multiple. A business that needs its owner sells at the low end of three to five. One that doesn’t is the one a group buyer wants.

Exit: where the money is made.

Do it ten times. Ten businesses at $250,000, bought at about four times. $2.5 million of combined profit. A bigger buyer might pay eight times for a clean group: about $20 million.

My friend Jason Nagy did the real version. A $5.5 million radiology deal with nothing down. A $200 million exit to private equity seven years later.

Or hold it for your family. Or fix one and sell it. Pick one.

Under all five sit three inputs. Time, hours you can name on a calendar. Money, which buys speed, not permission. Energy, where your attention actually goes.

That’s the series at three depths. Season one, episodes 1 to 40, was the model start to finish. Season two was owning it: dead deals, profit, sales, team, a group. Season three was the payoff: what private equity pays for, industry playbooks, advanced structures, real deal breakdowns, and this act. Everything else in a hundred episodes is detail on five words.

The left column is how you start. The right column is why you start.

Where people lose money.

- Watching instead of offering. A year of episodes and zero offers is a year of someone else buying the business.
- Giving away equity to investors when debt was available. You lose control and the exit.
- Signing below 1.5×. The structure breaks in the first slow quarter.

- Moving the walk line because you're tired. That's the most expensive $100,000 in the deal.
- Building for one goal and living another. You end up with a business you can't sell or keep.

Two paths, honestly. Alone: every stage is in this series, free. I mean that. If you send offers every week, build your own board and have someone experienced to ring when a seller pushes back, you may well be fine. What usually happens is a year of watching, then another. A structure that breaks in a slow quarter. A walk line moved by a hundred grand. Not because people aren't smart. Because nobody was next to them when it mattered.

You've been watching. Maybe all hundred. How many offers have you sent?

The other path is with me. Speed, and someone to ask.

The doubts, one line each. "I don't have any money." It's a structure problem, not a savings problem. "Nobody will take me seriously." Borrow credibility. "I can learn this for free." Yes, you can. How many offers have you sent? "The deal might die." Some will. Mine did, four times. "It sounds too good." Judge the mechanism: seller finance, the 1.5 rule, multiple arbitrage. Ask any lender or accountant. None of it needs you to trust me.

So here's the direct version. If you can give this 40 hours a week from Monday, want a big outcome and will act before you feel ready, book the call. Not after one more video.

Two ways in. The Owners Academy: the private community, the full course, every template and script, and deal discussion every day. Or 1:1 advisory through G&L M&A Advisory: I work your strategy, your structures and your lender presentations with you. Join, and you get the NBIO template, which a client was quoted about $7,000 for, and a 1:1 session with Jy.

The call: a short application, then me. Your goal, your hours, your assets, your industry, what would stop you starting this week. You leave with your strategy and your first structure, and whether either fits. If neither does, I'll tell you.

If you're someone who can give this the hours, wants the big outcome and will decide at 60%, you've already decided. Thirty days from now you'll be 30 days older. Or 30 days older with a board conversation started, a few hundred calls made and a first offer drafted. You know the whole map now. You can't unknow it. Every seller you meet from here, you're either the person who knows how this works and acts, or the person who knows and waits.

Book a call with me below. Not a setter. Me.

Not ready? Get the free 3C Starter Kit: the executive-summary template, the three documents to request, and the DSCR calculator.

And if this is your first episode, go to episode 01, "Buy, don't build". It's where the map starts.